

Rallis India (RALLIS)

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May 2, 2023

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Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter and financial year ended March 31, 2023

Further to our letter dated April 12, 2023 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2023 held on Wednesday , April 26 , 2023 .

The same is also being made available on the Company's website at:
[https://www.rallis.com/investors/Financial -Performance](https://www.rallis.com/investors/Financial-Performance)

You are requested to take the same on record .

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary

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Q4 FY '23 Earnings Conference Call
April 26, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Rallis India Limited Q4 FY '23 Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Suraj from CDR India. Thank you. Over to you.

Suraj Digawalekar: Thanks, Ryan. Good morning, everyone, and thank you for joining us on the Rallis India Limited's Q4 and FY '23 Earnings Call . We have with us today Mr. Sanjiv Lal, Managing Director and CEO, Mr. Nagarajan, Chief Operating Officer, and Ms. Subhra Gourisaria, Chief Financial Officer. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward -looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation. I now invite Mr. Lal to begin proceedings of the call. Thank you, and over to

you, Sanjiv.

Sanjiv Lal: Thanks, Suraj. Good morning, everyone, and thank you for joining us today on our Q4 FY '23 Earnings Call. Nagarajan and Ms. Subhra Gourisaria are joining me on this call. I will begin the discussion by providing a brief overview of the industry, after which I will comment on Rallis specific developments during the quarter.

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On an industry level, the demand environment remained relatively muted during Q4, which historically is a lean quarter. Higher carryover inventory from Kharif season, coupled with higher returns, especially in insecticides impacted volume growth during the period. Low pest pressure and erratic rainfall has resulted in lower liquidation. Having said that, the macroeconomic variables like soil moisture, reservoir level, crop prices remains positive. Rabi season has ended with a 3% higher crop acreage on a year-on-year basis as of early February '23. However, despite reasonable acreages, adverse weather conditions in the recent past could impact the yields for the Rabi season.

IMD forecast for a normal monsoon at around 96% of the LPA. And this is, of course, at the lower end of the normal band, which is between 96% and 104%. Skymet forecast is below normal monsoon at around 94% of the LPA, and there could be concerns regarding the monsoon rains this year. It is important to note that only the overall forecast numbers have so far been made available. Spatial and temporal distribution matters a lot for agriculture. Last year, despite rains being above normal at 106% of LPA, spatial distribution was sharply uneven affecting the sowing pattern in regions with deficit and delayed rains.

Therefore, should it rain on time, this is a good chance because the El Nino is expected to develop only later in the monsoon season. With a good spatial distribution, the overall effect on agriculture may still be positive, even if the overall seasonal rainfall is lower.

As mentioned in our earlier earnings calls, demand in the international market, on the other hand, is witnessing headwinds due to stocking levels in specific active and countries despite remunerative commodity prices.

Moving on to Rallis' specific developments, starting with our headline numbers. Revenue grew 3% in Q4 over Q4 of FY '22, which is largely volume-led. Growth in the domestic market is soft, largely on expected lines owing to the factors I've just highlighted. International business reported growth even in these difficult conditions.

Margins, however, were low due to high stock levels globally as well as on pricing pressure. EBITDA loss for the quarter stood at Rs.65 crore. This has to be understood in the light of Rs.63 crore inventory provision and impairment of intangibles in the seeds part of our business during the quarter. As it had been mentioned in the previous calls as well, we undertook a

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detailed review of our seeds business and identified stocks which are higher than the future sales estimates. Additional provision of Rs.39.8 crore for slow-moving stock has been recognized for these stocks. Likewise, on the seed development technology, we reviewed the future economic benefit and recognized an impairment loss of Rs.23.6 crore. Gross margins remained lower due to high cost volatility, though mitigated through agile pricing and procurement decisions. Loss for the quarter stood at Rs.69 crore as against loss of Rs.14 crore reported during the corresponding period last year.

Moving on to individual businesses, starting with the domestic business. Q4 is seasonally a lean quarter for the business. As mentioned earlier and in our previous earnings calls as well, channel inventory levels were well above normal for the broader industry, and we expect it to have an impact on the volume growth and a rub-off effect on realization. Our focus was, therefore, to

focus on revenues with greater diligence towards improving our collections during the quarter. And I'm happy to report that we have been reasonably successful in achieving the stated objective as can be seen from our balance sheet and cash flows.

Despite the external challenges during the quarter and the year, I'm

happy to

report that we have remained committed towards our objectives of improving product mix by launching minimum two new 9(3) products. As you know, we have introduced three new products under 9(3) and five new 9(4) products besides adding three new products in Crop Nutrition portfolio during the year. I'm pleased to share that we have introduced two 9(4) products during the quarter, that is Thermifit , F-Multiple Crop , and Mahat , H -Paddy .Further, during the quarter, we launched under the Crop Nutrition, one new product, GeoGreen P Plus GR.

Besides new product launches, we have also been working towards expanding our distribution network and working more with e -com channels. Our retail footprint increased to 60,000 for our Crop Care business compared to 55,000 in the previous year.

Moving on to the international business. While the commodity prices still remain encouraging, prices for some of our key products continue to trend lower, largely owing to excess inventory and input costs coming down. Utilization levels for our key plants, Pendimethalin, Kresoxim -methyl, Acephate continue to remain satisfactory. Metribuzin volumes continue to inch up steadily. Hexaconazole, which faced a low demand in China and Southeast Asia , in the previous quarter reported a slight pickup in Q4, and we

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expect the trend to continue in Q1 FY '24 as well. Also with the Metri and Pendi both having secured technical equivalence in EU, we expect to win more customers in the coming years.

In terms of Contract Manufacturing segment, I am pleased to share that we have once again after a gap of nearly two years started the shipments of PEKK during the quarter and expect to build up towards the later part of FY '24 as the inventory level of our customer declines. The quantum as you would expect is on the low end, but should pick up as I mentioned going forward. Metco sales remained steady during the year.

Besides , two of our recently won contract manufacturing opportunities awaiting regulatory approval in their respective markets prior to commercialization. We're also seeing a good number of visits from prospective customers and are hopeful of translating a few of them into a meaningful business. Our teams have also commenced one -on-one interactions with partners, including overseas visits, and we remain positive on those as well.

Moving to the seeds business , business has had a challenging couple of years, saddled with slow -moving inventory of legacy cotton hybrids. Vegetable seed sales got impacted owing to reorganization within the business. As guided in the previous earnings call, we reviewed the overall sales plan in light of the inventory levels and also our future development plan. We also look at the development plan for our future hybrids in light of our plan to focus on specific segments in the backdrop of changing market dynamics. After having provided Rs.19.8 crore during the nine -month period of FY '23, we had to make further provisions, including impairment of Rs.63.4 crore during the quarter towards inventory and seeds development technology. We did a comprehensive exercise in Q4, which has resulted in these numbers.

Our priority for the business would be profitability by focusing on our resources towards viable products and markets. We are also witnessing positive response to some of our newly launched hybrids for example, Diggaz, which is a cotton hybrid , has seen a sharp pickup in volumes on a year-on-year basis. We're optimistic about the upcoming season. Furthermore, we also received the regulatory approval from two states for BRL field trials for our GM events for cotton and maize, which are both

herbicide -tolerant as well as insect -resistant.

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To conclude, I would say, our Crop Care performance is competitive despite

the challenges both on top line and bottom line. Our seeds business has faced headwinds, and I would like to reiterate that we are working towards reviving the business by sharpening our resource deployment to address viable opportunities. We are also undertaking steps towards strengthening and widening our distribution reach and lowering our dependence on China for key raw materials by identifying local suppliers.

Finally, I would like to highlight that this year marks the 75th anniversary of Rallis. We want to thank our shareholders and other stakeholders who have supported us in this journey. We have themed the milestone of our 75 years as "Rooted in Values , Seeding Growth " and we plan to continue working on these lines.

This concludes my opening remarks. I'll now hand it over to Subhra for a detailed analysis of the financials.

Subhra Gou risaria: Thank you, Sanjiv. Good morning, everyone, and thank you for joining us today for our Q4 earnings call. Let me quickly walk you through our financial performance for the quarter and the year, post which we shall commence the Q&A session.

Starting with the top line, our revenues for the quarter stood at Rs.523 crore as against Rs.508 crore generated during Q4 of FY '22, a growth of 3%. The growth has been largely volume -led with price increases now anniversarized, having completed one full year and raw material prices starting to come down. High channel inventory and steep cost volatility with costs receding down are our key challenges. Domestic revenues were flat. International revenue business reported a growth of 7%, driven by volume growth of 10% plus. Seeds business generated revenue worth Rs.25 crore during the quarter, largely in line with the previous year.

EBITDA loss for the quarter stood at Rs.65 crore as against a loss of Rs.3 crore generated during the corresponding period last year. Loss for the quarter stood at Rs.69 crore as against loss of Rs.14 crore garnered during Q4 of FY '22. I would spend some time to take you through the provisions and impairments recognized during the quarter. We had mentioned in the earlier calls that we would be reviewing the seeds inventory levels against the future sales potential. We launched Project "Fit" in the seeds business and recalibrated our long -term sales plan. As a result of this, we identified quite a

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few hybrids, especially in cotton, where in stock levels are significantly higher than the future sales estimate.

Similarly for some of our tail hybrids, we realized that it is prudent to recognize the provision and optimize our team's focus on some of the winning hybrids. The total amount of inventory provisions recognized during the quarter on account of these aged and slow -moving hybrids is Rs.39.8 crore. As regards our research and development efforts are concerned, we reviewed these again in the light of historical success and our plan to focus our costs and resources on a few promising hybrids and segments. As a consequence of this, we identified projects worth Rs.23.6 crore, which had to be impaired during the quarter.

For the year , revenue stood at Rs.2,967 crore as against Rs.2,604 crore in FY '22, growth of 14% led by price growth of 8.5% and volume growth of 5.5%. Crop Care sales grew by 16.3% over FY '22 and seeds sales de -grew by 1%. EBITDA for the year stood at Rs.218 crore as against Rs.274 crore registered during FY '22. This is after recognizing provisions and impairments of Rs.83 crore during the year. Gross margins were lower due to high cost volatility, largely mitigated through agile pricing and procurement decisions.

Crop Care EBITDA margins were maintained versus last year. Moving on to business -wise performance , Domestic business operated under a challenging environment. Delayed sowing, extended monsoon and high channel inventories impacted volume growth d

uring the year. However, despite the challenges, we have remained focused in the objective of improving mix by launching new and innovative products. These new products are targeted not only towards strengthening our existing position, but also helping plug the crop and regional gaps in our portfolio. The international business performed relatively well with a growth of 24.5% for the year, well balanced between price and volume. While utilization level for most of our key technicals remain ed elevated, excess inventory and temporary pullback in specific geographies resulted in lower profitability for the business.

Metribuzin volumes have started improving. Further with Metribuzin and Pendimethalin both having secured technical equivalence, we expect to win more customers in the coming years. Also with regards to contract manufacturing, we started the shipment of PEKK after a gap of almost two years during the quarter. Metco sales continue to remain steady, and we

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expect that the commissioning of two new recentl y won CRAMS contracts, will help us scale our business over the coming years.

The seeds business continue to face a difficult environment. To adapt to this challenging environment, the company has re -evaluated its strategy with a renewed focus on liquidati on, cost reduction and a more rigorous evaluation of new product development. Our endeavour will be to improve the unit economics of this business.

A quick word on capex. We have spent approximately Rs.190 crore during the year, and we envisage that FY '24 spends would be in the range of Rs.150 crore to Rs.180 crore. We're in the last stage of commissioning the MPP plant and expect to get the first batch of Difenconazole in the first half of the year.

Our cash flows have improved with significant focus on collections in the domestic and international markets. We were also able to get discounting on some of the international debtors at competitive rates to help improve cash levels. Inventory levels were a lso reduced with all -around focus from all the teams. Our effort on working capital optimization would further improve upon these levels.

To conclude, I would just like to iterate that we are focused towards building the growth of the business and are unde rtaking all the requisite steps towards achieving this target. We made significant investments in recent years towards plugging portfolio gaps, strengthening distribution reach and lowering our dependence on China for raw materials. We're confident that al l these efforts will yield the desired result in the coming years.

That concludes the opening remarks. We can now commence the Q&A.

Moderator: Our first question comes from the line of Nikhil Rungta from Nippon India Mutual Fund.

Nikhil Rungta: Firstly, a question from my side, how much is the inventory issue still pending? And what is this impairment on hybrid development program which we have taken during the quarter?

Sanjiv Lal: See, there are certain segments for the field crops that we have discontinued, which are the more niche segments. So all the R&D development work for that account has been impaired. Likewise, for our vegetable seeds, we are now focusing only on two crops, which is tomato and gourds. So the work

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that was being done on ve getable crops that has also been impaired. So that

is the second part.

Nikhil Rungta: Sir, how much inventory issue is still there in the books on the seed business or do you think everything is in the P&L?

Sanjiv Lal: No, we have done a fairly comprehensive exercise, Nikhil. We believe that whatever is the inventory which is not provided for is part of our sales plan

Nikhil Rungta: And my second question is, like you indicated last quarter, there was higher channel inventory. So how is the situation

now in channel inventory? And do

you expect higher sales return because of that? And to conclude this question, given these across-the-board issues, how do you see FY '24 overall?

Sanjiv Lal: So in terms of inventory level, our understanding about the inventory levels are still very high. As a company, we have taken back whatever we wanted to. So our inventory level in the market is fairly normal. But our understanding is that there is considerable inventory, which is still there in the market.

Nikhil Rungta: Okay, and given this how do you see FY '24?

Sanjiv Lal: So FY '24, the key challenges are going to be on our collections. That is certainly going to be one of the issues, with the monsoon expected to be on time, but maybe getting the El Nino effect late in the season, the Kharif is expected to take off in a nice manner. So we don't see any immediate issues.

But we've also put together a small team, which is going to be closely looking at how the El Nino is playing out. We, of course, have our own Drishti application, which has got the weather and crop status, and going forward also, we have some insights on that with our own satellite forecasting and weather forecasting. So it is a process for that on how the season progresses. Nagarajan, would you like to add something?

Nagarajan: No, I think that is fine, Sanjiv.

Sanjiv Lal: Okay.

Moderator: Our next question comes from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So the first question is what is the impact of China opening over the last 3-3.5 months that we have witnessed, both for the domestic market as well as for the international market?

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Nagarajan: Yes. I think the biggest impact, I would say, has been the easing up of the supply lines. Certainly, I think we are finding that we are able to get a lot more material. Today, I wouldn't say that supply of raw material is such a large challenge. But having said that, while this has opened up on one side, we are not sure how the demand situation is moving, because as you know, there is a tremendous amount of inventory even globally, prices have actually come down substantially for many active ingredients. In fact, for certain ingredients, it is down by 50% if you do a Y-o-Y comparison, March '23 over March '22. And it is continuing to fall. In the last quarter, there are certain APIs and even raw materials, where the price drop is up to even 20% - 22%. So substantial drop in prices. So I guess the important point from our perspective is the way the demand side moves. China's opening has been, I think more supportive from a supply easing point of view.

Rohit Nagraj: The second question is during 2019, we had announced a mega capex of Rs.800 crore over '19 to '24. How much of that has been completely executed as of now? And how much of the effect is reflected in our revenues till now?

Subhra Gourisaria: So, Rohit, out of Rs.800 crore that we had outlined, there were some major projects around MPP, formulation plant and also augmenting capacities of some of our existing technicals. I would say we have spent close to Rs.550 crore to Rs.575 crore of cash flows already out of this Rs.800 crore. The balance, Rs.150 crore we should spend during the course of FY '24, which is largely towards completing MPP and the balance projects as well.

And the next leg, the bigger one, which is out of this Rs.800 crore is the R&D plant, for which also we have started the work. So that explains this Rs.800 crore of capex that we had planned during some time in FY '19.

Nagarajan: In terms of the growth projects, the formulation plant is fully operational, as you are aware, from last year onwards. And in the financial year FY '23, we

had a pretty substantial portion of our formulation output coming from there. So that would be a reasonably large -sized investment out of that

Rs.550

crore to Rs.575 crore of investment done.

The second, of course, is MPP, and MPP is on the threshold of commissioning. So we should see that contributing to revenues in this year. And then there are, of course, many of the debottlenecking projects, which we had undertaken, capacity increases for P endimethalin, Acetamiprid, Lambda -Cyhalothrin. So these are all fully commissioned, and they are

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already contributing to the revenues. Of course, there are also, what we call a sustenance capex or maintenance capex, which is also sitting in this Rs.550 crore to Rs.575 crore.

Moderator: Our next question comes from the line of Tarang Agarwal from Oak Bridge Capital.

Tarang Agarwal: Three questions from my side the first is on the Crop Protection market. Just wanted to pick your brains. I mean, second consecutive year, we see acreages are moving up, both in Kharif and Rabi. But it seems like the on-the-ground development on the business is quite weak. So what is happening? I mean, is it lack of demand or are farmers down -trading or is there just too much supply in the market?

Sanjiv Lal: So actually, there are a couple of things that are contributing towards lower growth. Our estimate is that the market has grown at just about 5.5% during the FY '23. And largely, it has been a gain of pricing growth. And there are a couple of reasons for this. One, of course, is that there has certainly been less pest pressure on certain key crops. So therefore, there's been no consumption.

Second is the way the monsoon has played out and the rainfall has played out has also obviated the need for fungicides as a category, but herbicides overall for the industry has done well. So there have been pockets where there has been actually de -growth in the Crop Protection segment, while there has been growth in another segment. With that, Nagarajan, would you like to add something more to the question asked?

Nagarajan: Yes. I mean I would just say that you are right that the organic growth in the industry is not so much getting driven by increases in the sown acres. It is about a specific portfolio of organizations. If you take our example, I think we have certainly grown in the last couple of years in herbicides, for example, as a category substantially simply because I would say that we have had new products getting introduced into the herbicide category targeted at crops like soya bean and wheat which we had identified earlier as areas where we need to strengthen our portfolio.

So I would say that it is more at the level of the products, the portfolio and the distribution reach that we are able to see from different companies that is driving. So basically, idiosyncratic reasons rather than a general secular organic growth.

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Tarang Agarwal: That's helpful. A couple of more. One on seeds. You spoke about sharpening your focus and focusing on products which are viable and not viable. I mean is there a certain category, like for instance, you made a comment that in vegetables perhaps, you'll just be focusing on tomato and gourds and you'll be probably exiting everything else. Is it limited only to vegetables or is that pervasive for some of your field crops portfolio as well?

Sanjiv Lal: No, even in the field crops, there are multiple segments because, for example, cotton goes into North, it goes into Maharashtra, it goes into South geographies. And therefore, segment which tend to be more niche, which are good segments to be in. But since we needed to just make sure that we are

spending the money in a prudent manner, we said that we will curtail some of these segments, which we believe our programs are still quite far from getting success.

For example, in the case of maize, you know, we have always been working on improving our Rabi portfolio

and therefore the Rabi maize was one of the important projects. But our own success in that area has been fairly limited. So for the time being, we have limited the work that we are doing there. So we've cut back on the spends that we are doing on that particular category. So it is, even within the field crop, certain segments where our competitive position is weak, our R&D programs are running behind. So those are where we have said we will refocus.

Moderator: Our next question comes from the line of Viraj Kacharia from Securities Investment Manager.

Viraj Kacharia: Yes, so just two questions on the international business. If you can just talk about our top four, five molecules how is the overall demand supply situation, the price modulation that you talked about, before what kind of a fall we have seen versus Q3 and what will it be going forward?

Nagarajan: So I think at a broad level, one would say that if you take all the, let's say the top four products, four active ingredients, the prices have dropped over the last, let's say, January to April. So there is a difference in the extent of drop. One would think that the biggest drop, I would say, perhaps has been in Acephate.

And then it would probably be in, maybe Metribuzin, Hexaconazole, and then finally in Pendimethalin. But all of them have dropped. The biggest drop would have been probably in the range of about 20% or so. And the least

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drop would have probably been in the range of about 5% or so. So price-wise, there is a drop in all the products.

In some cases, there has been a corresponding drop in raw material prices as well, and to a similar extent. So effectively, what has happened is that you could say that the absolute margins have come down on these products, largely driven by an oversupply situation. The percentages may still be similar, but I think the absolute margins have come down, driven by an oversupply situation.

There are also some slightly different behavior in a few of the situations, which is that there is a unique demand-supply situation arising in particular AIs, where even without a corresponding drop in raw material prices, we have witnessed a significant drop in the end product prices and that is purely driven by whether there is an intermolecular competition, right? For example, between Hexaconazole and something like Tebuconazole, for instance. It is more driven by those factors, not just by the raw material price changes of Hexaconazole. So this is how the scenario is prevailing today, broadly two buckets we can put it into.

We think that this is something which will have to get stabilized on both the accounts. Certainly, I think as you know, the kind of price increases that were witnessed over the last couple of years in many of the active ingredients is not something which is expected going forward. So therefore, we will have to rely on volumes coming back. And the volumes are predicated on how the farmer finally behaves.

The good news, of course, is that the commodity prices in general have been reasonably good. So the farm economics are good, but I think it also depends on how the intermediaries are holding stocks and how that kind of plays out. So that is how we are looking at it. So it is actually a transitioning kind of situation, whether it will take 6 months, whether it will take a little longer than that, we will have to see.

Viraj Kacharia: What is the extent of overcapacity you are seeing in the market, say, in these 4, 5 molecules? And the second question is, we talked about 2 new CMO which we are looking to commission. And in the past, we talked about having quite a sizable amount of molecules in an advanced pipeline. So, if I have to look at, say, '24 and '25. Can you just briefly talk about what kind of

molecules we are looking to commission and what is the opportunity scale for us in each of those molecules?

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Sanjiv Lal: So, we will be going ahead with the Difenoconazole this year, plus maybe there will be one more CM molecule, Contract Manufacturing molecule which will go into FY '24. And with the current pipeline of these off-patented molecules that we are working on, we expect to introduce every year at least one new molecule into our manufacturing plants.

Viraj Kacharia: And on the overcapacity for the existing molecules, any sense you would have on...

Nagarajan: I think the oversupply, yes, I think there is. And I guess how it might play out, if you think about it from an individual player and certainly from our point of view, we would obviously have to look for specific strengths that we have, like it was mentioned in the case of Pendimethalin, where we have got a technical equivalence in the European market that allows us a larger sales aperture compared to what it was, let's say, a year back. So that is one of the ways in which we would try to address a larger portion of the market. The other, of course, is that while we would like to prioritize sales to the geographies which have better realizations, we may have to compromise a little bit on the geographies in order to secure volumes. Therefore, you could find some price pressures and margin pressures consequent to that. So that could perhaps be, for example, the Brazil market versus the US market when you think about from an Acephate AI point of view. So, I guess these are some of the approaches that we are contemplating or we are thinking of in terms of navigating through this phase.

Moderator: Our next question comes from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Sir first on Pendimethalin, now what we are understanding is that there is a shortage of the raw material in the global market. So, in terms of our raw material sourcing, are we secured for FY '24? And in terms of the demand, how should we look at the demand for that?

Nagarajan: Yes. I think from our point of view, we have certainly got a much, much better raw material position now on Pendimethalin. We have an Indian source also which we had developed. If you recall, in the first half of this year, H1 of this year, we did have some challenges when that Indian supplier was stabilizing its production. But, of course, in H2, things have greatly improved, and we are currently pretty well covered, both between the India source and the overseas source for the raw material of Pendimethalin.

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Pendimethalin, I think we do have a positive outlook, largely driven by the fact that we have access to a larger market. We are finding more inquiries. Our capacities have also been increased. So Pendimethalin, we are optimistic of.

Siddharth Gadekar: Sir, and secondly, in Pendimethalin, will it be only a one-year opportunity given that BASF has shut down some plants in Europe and they are transferring it to China. So, will it be a 1-year opportunity or this could be a structural opportunity for us?

Nagarajan: Well, yes, certainly, there has been some benefit because of the competitive context in Pendimethalin. But I think if you really think about it in pre-emergent herbicides, this is actually a somewhat unique product. And secondly, our market share is not so high that we will have I think the headroom that we have from our capacity point of view is quite large. So we would expect Pendimethalin to be reasonably positive.

Of course, in EU market, it is a candidate for substitution as they call, CFS, which is something which is scheduled for next year. We are hopeful that we should be able to pass that phase successfully. Assuming that we do and the

product gets reviewed in the EU market, we would expect Pendimethalin to be reasonably good.
Siddharth Gade

kar: And secondly, in terms of like CTPR, we have seen a lot of competitors launching that product. Are we also looking at launching this AI in the domestic market or for export market?

Nagarajan: At the moment, for financial year FY '24, no, we are not looking at launching the AI. But, of course, as you rightly pointed out, there is enough supply of the products that are coming out, formulated products. So, we could have formulations which we might launch.

Moderator: Our next question comes from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Sir, just one clarification I was hoping to seek on your insights on the global market. This inventory oversupply and pricing pressure, in your view, is this more pronounced in the generic active ingredients where the Chinese are relatively stronger and more dominant or is this also starting to become visible in some of the more differentiated products across the globe, given just the inventory overhang across the channel? I'm talking about more about the innovator products and those sorts of things.

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Nagarajan: Well, I guess, if you see many of the generic products, yes, I think the drop is substantial. Maybe some of the innovator or more differentiated products, yes, I guess what you're saying, Abhijit, is right, because if you really look at products like Glyphosate or if you think about Tebuconazole or if you think about Mancozeb, for these kind of products the drop is quite substantial if you compare it with some of the more differentiated products.

Abhijit Akella: Okay, and you expect that sort of difference or dichotomy to continue over the next year, sir, or could there be some pressure creeping into the broader industry as well?

Nagarajan: Well, I guess it all depends on how the crop acreages and the farm economics actually move. And at this point in time, the signs are reasonably positive. The commodity prices are holding up, the reports that are coming in are talking about good acreages in many of the markets.

But I think it is going to purely depend on farm economics. And therefore, it might depend on the shift between highly differentiated products versus genericized products that the farmers might undertake in some of these geographies. Sometimes if that were to sort of overlap, you might find more pressure on the differentiated products as well. It's a little bit difficult to read at this point in time, Abhijit.

Abhijit Akella: I understand. Thank you so much and I wish you all the best.

Moderator: Our next question comes from the line of Archit Joshi from B&K Securities.

Archit Joshi: Sir First, a clarification on the comment that you made about genetically modified seeds in cotton and maize. I couldn't hear that properly, so if you could just elaborate on what we are planning to do on that end? And how is the industry dynamic vis-à-vis the conventional seed market that we have already experienced compared to what we are planning in the genetically modified space?

Sanjiv Lal: So just to clarify, we've got a couple of events that our R&D team, our biotech team has been working on. This is for herbicide-tolerant and insect-resistant cotton as well as HT and IR for maize. So, we had applied for biosafety regulatory trials, and we have got approval from two states for both these crops. So I was alluding to the work on the BRL trials progressing. As far as genetically modified is concerned, 99% of the hybrid seeds sold for cotton are actually GM.

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So that is the only crop currently approved by the regulator for commercial cultivation. There are some approvals which are available for mustard and

more recently for a couple of other crops for some field review work. So, I think it's still early days for anything further on GM because I

think the

regulation is still evolving for fast -tracking some of these technologies.

Archit Joshi: Understood, sir. I was actually wanting to understand what are we seeing in this as an opportunity? Is this like a mid to long -term kind of a project currently in incubation or there are chances of this getting fast -tracked in the nearer term?

Sanjiv Lal: No, certainly, these are technologies which are helpful for the farmer. So, I guess sooner than later, these will get deregulated at a faster rate in India. And certainly, as far as Rallis is concerned, we have also been partnering with a couple of international organizations for things like drought -tolerant maize for which we have a very good event that has been successfully tested at our own R&D center.

Unfortunately, it is going to be too early in the day for the Indian market for this technology. So, we are working with some of the international organizations, so that this particular gene for drought -tolerant maize, can get incorporated into maize in other countries, not specifically in India as of now.

Archit Joshi: Understood, sir. . Sir, I think we have mentioned in the past that we have done quite a lot of debottlenecking in some of the individual AIs that we sell in the international markets. Some of them you mentioned earlier, like Lambda - Cyhalothrin, Pendimethalin, etc. And now we have an MPP plant under deliberation which will soon get commissioned.

What are our plans within the MPP plant? Will it be more of different active ingredients other than what we manufacture? How are we planning to ramp it up? And we can also give out what kind of potential we are looking at from this plant or this is for the contract manufacturing piece that we are trying to re-enter again?

Sanjiv Lal: So this plant is really intended for commercializing some of our new pipeline products as well as for commercializing some of the contract manufacturing opportunities, both for actives as well as for intermediates. So, in terms of the utilization of the plant, this is going to be the first year of its utilization. So, we don't expect very high utilization during this year.

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But from next year onwards, with the plans that we have, we should pretty much be upwards of 70% - 75% in terms of capacity utilization and maybe three years from now, we will be pretty much needing to have additional capacity for some of the pipeline products.

Moderator: Our next question comes from the line of Darshita Shah from Antique Broking.

Darshita Shah : The first question was with regards to the demand in agro. So, in the primary sale perspective, we understand that the channel inventory is high and that's why the demand is lower. But I want to understand the secondary sale, how is the demand from farmer end? What I'm trying to understand is how long will it take for the channel inventory situation to dial down?

Sanjiv Lal: So a very quick and simple answer to this is that the crops really need to have a need for application of some of these agrochemicals, because as I mentioned earlier, what we have seen is that the pest pressure has been on the lower side, even during FY '23 on many of the crops. So that has also led to an inventory build -up. So we need a good offtake.

From the Rallis side, what we are doing is that, for our category of products, our sales teams and our market development teams are working closely with the farmers on package of practice, the right set of inputs to be used for them to get good outcomes. So, we are doing what we do best in terms of communication, demand -generating activities at the farmer level as well as trade engagement.

Darshita Shah: If you could throw some light on the export market situation as well from the technical perspective?

Nagarajan: Yes. I mean I think even in the global market, it is the secondary

demand, I guess would be a result or would be dependent on both the farm economics as well as the need to apply a particular chemical. So, at the moment, farm economics are looking still positive. The need to spray a chemical would depend, of course, on the level of infestation that is witnessed. In India, for example, last year, you are aware that black thrips was a fairly high problem, large problem, which led to farmers trying to figure out what is the solution. What is the insecticidal solution for that? They experimented with a lot of things, but maybe the solution is still elusive. But in the process, of course, agrochemical companies did manage to benefit from the demand

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for insecticides. So, I guess, it would be a combination of the same two factors, whether it is in India or globally.

Moderator: Our next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: My first thought is if you're looking at the declining price trend across the value chain, what's the kind of volume growth you should expect? And what are the margins you can sustain, say, in FY '24, assuming normal monsoon and normal distribution as you were saying? How do you see the outlook for FY '24 in terms of your broad thoughts?

Nagaraj an: So, without actually giving forward guidance in terms of margins and volume growth, we can probably share with you what actions that we are taking. And those actions are predicated on a few things. One is, of course, on the introduction of new products. Like what Sanjiv already mentioned, we have a portfolio of products, which we are expecting to introduce in Q1, Q2 and so on. Much above our committed level of two 9(3) products that we have indicated will be the minimum for every year.

And the second is, of course, to scale up some of the products that we have launched in the last few years. As you may have seen in the investor deck, what we call as the ITI, the Innovation Turnover Index, in FY '23 was 13%. It was a couple of percentage points higher than the previous year. We are seeing this as a result of some specific work that we have undertaken to promote more actively some of the products that were introduced in the prior years and which could not get the benefit of strong field level marketing support because of COVID and other factors.

Now that is something which is behind us. And therefore, we think that increasing the new products contribution will be one important area that we will focus on. The second is, of course, in terms of improved market efficiencies. There are a number of actions that we are taking. We have identified a set of products in line with the overall principle that was also mentioned in the opening remarks of supporting the most viable products and most viable market opportunities with the best resourcing, whether it is in terms of capex or even in terms of opex.

So, we would be focusing very strongly on a set of products. And we have through the digitalization efforts that we have undertaken now have a good monitoring mechanism, we think to see ground-level field marketing activities,

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how effectively they are directed towards the opportunities that we want them to be directed at.

We've got an app, which is fully now working for the last six months, which links back with the IT systems for our supervisors to be able to very granularly guide our crop advisors and MDRs in the case of seeds, basically our field marketing people. So that would be the important area, improving the marketing effectiveness in order to achieve the volume growth what you're talking about.

And the third pillar is, of course, retail distribution strength. As you may have noticed, when Sanjiv mentioned it, we have reached about 60,000 retail

outlets in the case of Crop Care and over 40,000 i

n the case of seeds. It was

55,000 the year before in case of crop care. This is an intense area of focus.

And here, again, we are bringing in a lot of digitalization to be able to drive throughput through the different retail channels, provide some good incentive programs.

So, I would say our focus is on these three areas, NPD, new product development and focus, marketing efficiency improvement and distribution reach to achieve the volume growth when the prices are actually dropping.

S. Ramesh: Sir, as a follow-up, can you share your thoughts on to what extent the new products can help you grow faster? And what is the delta in margins in percentage points one can expect from these products based on your reading of the market?

Nagarajan: Well, the new products that we are introducing are targeted towards important crops. But I think to give some background, maybe we can say that 13% of our revenues this year in FY '23 came from the products that we had launched in the previous four years, three years plus the year FY '23. That was 11% the year before. So, that's the kind of a 2% increase on the increased revenue. So that's the indication of the gain that we got last year. Maybe that could be an indication of what could be in FY '24.

Moderator: Our next question comes from the line of Himanshu Binani from Prabhudas Lilladher.

Himanshu Binani: Sir, my question was largely towards the Crop Care raw material side. So, we have been seeing a gradual decrease into the RM pricing. So, have we taken any sort of provisions in the Crop Care segment? And secondly, on how is the final product prices likely to be going forward?

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Subhra Gourisaria: So, there's no provision which has been taken on the Crop Care side. We have spoken about saying that there was only an impact in Q3 on the additional demands served by BPT. But apart from that, there's no specific provision taken in Crop Care.

Nagarajan: And what was your second question? If you can.

Himanshu Binani: So, sir, how do we actually intend to pass on these price benefits, the RM price benefits to the final consumers?

Nagarajan: Well, I think our pricing approach is purely portfolio-led. So, depending on the competitive context in each of the formulations that we are selling in the domestic market. We assess the kind of price levels that we will be able to sustain. In some cases, we do enjoy a brand premium. We do look at the level of premium that we can sustain. We look at the cost of treatment per acre that the farmer will incur in the light of his overall economics. So, it would be different for different products. In some cases, we may pass on the benefits, raw material reduction. In some other cases, may not necessarily pass on fully. So, it's actually a portfolio approach that we adopt.

Moderator: Our next question comes from the line of Dhavan Shah from AlfAccurate Advisors.

Dhavan Shah: Yes. So, I have a question on the backward integration part. So out of the Rs.800 -odd crore of capex, I think we were planning to do roughly Rs.150 -odd crore capex for the backward integration. So how much part of that is utilized at the moment and by when we are expecting for the captive requirement?

Sanjiv Lal: For our securitization of key starting materials, one, of course, is the backward integration. And the other approach is also to do the localization of finding local vendors for certain products. So, in a way, what we have done is try to develop local vendors for some of our key starting materials. We have not made any significant investment yet on the backward integration for some of our key imported materials.

Dhavan Shah: So, if you were to compare it with the local sourcing prices versus the China prices, is there any differentiation? If you can share, what is the delta saving you are gaining in terms of the raw material

procurement from the domestic side?

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Sanjiv Lal: There may be no significant difference in terms of the procurement price, but it certainly de-risks the supply chain and also helps in reducing our lead time for the supplies. So, we are getting those advantages as well.

Moderator: Our next question comes from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Yogesh Tiwari: Sir, my first question is on Metconazole. So, if it would be helpful if you can share some details on it. So, what would be our capacity, the utilization and the pricing trend? And how is the global demand supply for Metconazole?

Sanjiv Lal: Yes, Yogesh, this is a product that we do as a contract manufacturing for one of our Japanese partners. And it will be incorrect for us to disclose the numbers that you are seeking, except to say that the business is running steady, and we don't see any immediate issues in the coming years on this business.

Yogesh Tiwari: So this is as per order-based, like do we get an order every year for this?

Sanjiv Lal: Yes. Typically, there is an annual requirement, which is indicated for the re-capacity planning purpose and the procurement of raw material planning purpose. So it's typically year-to-year, and that's how we've been working with our partner.

Moderator: Our next question comes from the line of Nitin Awasthi from InCred Equities.

Nitin Awasthi: I would like to understand whether there are other participants or other competitors that have received permissions for GM Maize trials in India or is it just Rallis that has permissions right now as you mentioned in the 2 states?

Sanjiv Lal: No, there are other companies also, which have gotten approvals as well. That is for maybe some other events, not necessarily the same event that we are working on.

Nitin Awasthi: Okay. And the gene that you're working on, is it developed by the company or is it in collaboration with a partner?

Sanjiv Lal: No, for the work that we are doing for maize and cotton, herbicide-tolerant and insect-resistant, this is work which is being done by us, but the gene has not been discovered by us. But the work that we are doing with the Israeli company, which I had mentioned for drought-tolerant maize, this is their intellectual property, and we are their partners in progressing and developing the hybrid for maize.

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Moderator: Our next question comes from the line of Chintan Modi from Haitong Securities.

Chintan Modi: Sir, one thing on the pricing front from an FY '24 perspective. Could you share like for average, say, domestic formulation as well as AI, what was our average price for FY '23? And how much would be the drop at the exit of March '23? So if you can just highlight the drop

Sanjiv Lal: Subhra, is there some number that you can share if you readily have?

Subhra Gourisaria: So, Chintan, I can say that in Q4, a large part of the growth was volume-driven. And hence, the price increase, as I said, has plateaued out. On a full year basis, the growth was 8.5% in terms of price. So I don't know whether that helps. We don't have a ready number in terms of how the exit prices are towards full year. But largely, as I mentioned in my opening remarks as well, the price increases have now annualized, so 1 year has happened and now you will see more decline only going forward.

Chintan Modi: Okay. So basically, the 5% to 20% drop that you mentioned is more specific to active ingredients on a Y-o-Y basis?

Subhra Gourisaria: Yes. And that's not the average, by the way, that's on some specific.

Nagarajan: Yes. And it is on active ingredients, not on the formulations.

Chintan Modi: Correct. But do you think that on the formulation side only similar kind of a drop would have been there or it would be levelled?

Nagarajan: Like I explained to you a little earlier back, it depends on the competitive context of that formulation, because as you know, the strength of the brand and the ability to withstand a brand premium or to command a brand premium is also another influencing variable, which comes into the equation beyond just the raw material prices in the case of formulation pricing. So therefore, it could be different. And it differs from product to product. That's why I think we are not having a ready or a single easy figure to share with you.

Moderator: Our next question comes from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Just a couple of questions sir, So we had built some capacities of intermediates and some technical manufacturing plants and also commissioning our MPP going to first half of next year. All of this has come in the last stage 2 years, which was really, in a very supply constrained

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environment, especially from China. So I think our cost dynamics at that time was different. Now we have seen that the China has completely opened up. They have already started reducing the prices in the global market and the supplies are not only just in doubt, but also has, I mean gone up significantly from China.

So now when we have built up the capacities in last 3.5 years and going to commission our MPP next year, do you feel that in the current environment, we still are competitive? And what is the capex we have made in the last 3 years to 4 years in building these intermediates and manufacturing? Will we be using them or will we be having them for cost efficiency? I understand that a lot of investments have gone into raw material security arrangement that's not dependent on China. But over the next 2 years to 3 years, if we see that the pricing scenario remains so competitive and the supplies are coming from China, will we be really using our capacities in certainty and if the competitive will be enough compared to China?

Sanjiv Lal : See, Rohan, the pricing, of course, will always be very competitive because of the nature of some of the molecules that we are in. In terms of capacity utilization, we are not seeing any challenge for our Pendimethalin, we are not seeing any challenge for Acephate. Metribuzin capacity utilization is expected to keep increasing during the course of the year. So our key products seem to be okay. Hexaconazole which had become a serious issue for us during FY '23 is also coming back in small steps. So there will be challenges on pricing. But in terms of our capacity utilization, we have modelled fairly high capacity utilization during the course of the year.

Rohan Gupta: But the profitability and the margin profile remain very, very subdued, right, we may be able to run the plant, but will you be justifying the investment which you have made in the current tightened scenario? And we are going to commission our MPP plant in first half next year by commissioning of Difenconazole. So, all these kind of products, I'm not expecting you to comment on exact margin, but will it be remunerative enough to recover the cost or what according to you would be the IRR from all these investments which we are making. If you can just comment something on the financial numbers and some more analytical number?

Sanjiv Lal: So, Rohan, just one product you're rightly pointing out will not help us in getting the kind of outcomes from our investment. And we have mentioned earlier also that our capital investment program is typically modelled on the project, we take the working the weighted average cost of capital, right? So it

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is going to take at least 2 years, 3 years before we get the 100% utilization of the plant and to get the IRR over a slightly longer period. So 1 or 2 -year period, the point that you're making

is very valid, but in a longer -term period of 3 years to 5 years, we don't see any issue.

Nagarajan: Yes. I think that is actually the point that I would like to additionally reinforce because if you see over the last couple of years, the kind of high prices that prevailed in Pendimethalin, for example, we had not expected when we did the debottle necking of the Pendimethalin plant few years back, a couple of years back when we had done the modelling in terms of IRR and that kind of working. So there was actually a favourable turn of events that happened. Now what you're pointing out is absolutely correct. Right now, the turn of events is a bit unfavourable . But when you think about a longer term, let's say, 10 -year kind of period, which is how we actually evaluate our investment plan, we actually think that it would not follow the trajectory that we have outlined in our modelling . There will be ups and downs. From our point of view, what we will focus on, of course, is to try and load up the plant as much as possible profitably, given the kind of price levels prevailing at that point in time and also focus on try and improve the consumption norms so that we can try and reduce our costs as much as we can. So these are the actions that we would be taking. But we think that over a long period of time, these investments are good.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question - and-answer session. And I now hand the conference over to the management for closing remarks.

Sanjiv Lal: Thank you, Ryan, and thank you all for participating in this call. I hope that we've been able to provide necessary clarity on our results. Our focus now is on planning for the upcoming Kharif season, and we continue to monitor the international business for all the issues that we have discussed in terms of inventory and pricing. We aim to continue to pursue all efforts to drive maximum utilization of our plants and get volume -led growth with pricing coming under pressure as we talked about.

We expect volume-led growth to continue with pressure on margins due to high inventory levels in the domestic and global markets, which would lead to pricing pressures. And as I mentioned, our theme for 75th year anniversary, "Rooted in Values and Seeding Growth ". Our long-term strategy to drive

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competitive growth remains on track, and we will keep reviewing all opportunities as relevant.
With that, I hand it back to the moderator till we meet 3 months from now.
Thank you very much.

Call: Jul 2023

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July 24, 2023
BSE Limited

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Mumbai – 400 001 Scrip Code
: 500355 National Stock Exchange of India Limited Exchange Plaza
Bandra-Kurla Complex, Bandra (E)
Mumbai – 400 051 Symbol
: RALLIS

Dear Sir,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the quarter ended June 30, 2023

Further to our letter dated July 13, 2023, we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the quarter first quarter ended June 30, 2023 held on Monday, July 17, 2023.

The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>.

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Rallis India Limited

Srikant Nair

Company Secretary

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Rallis India Limited
Q1 FY '24 Earnings Conference Call
July 17, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Rallis India Q1 FY24 Earnings Conference Call. Please note that this conference is being recorded. I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you and over to you, sir.

Gavin Desa: Thank you. Good day everyone and thank you for joining us on Rallis India's Q1 FY24 Earnings Call.

We have with us today Mr. Sanjiv Lal, Managing Director and CEO, and Ms. Subhra Gourisaria, Chief Financial Officer. Before we begin, I would like to mention that some statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation. I now invite Mr. Lal to open proceedings of the call. Over to you, Mr. Sanjiv.

Sanjiv Lal: Thanks, Gavin, and good morning everyone. As mentioned, Subhra Gourisaria, our CFO, is also joining me on this call this morning. I will begin the discussion by providing a brief overview of the industry, post which I will comment on Rallis' specific developments.

The agrochemical sector has encountered a rather challenging external environment. Delayed progress of monsoons and uneven rainfall distribution has impacted sowing patterns in the domestic market. Further, high channel inventory and unprecedented price drop for a few active ingredients due to an oversupply from China has created near-term volatility. We have also witnessed distress selling by some of the parties, resulting in very low price levels.

As far as monsoons are concerned, we experienced a delayed start to the season due to cyclone Biparjoy, resulting in a rainfall deficit during the first half of June. However, there was an improvement in the second half of June, leading to a reduced deficit. Except for northwest India, other regions received below-average rainfall compared to the long-term average. The monsoons have picked up with cumulative rainfall being 2% above normal till July 12th. For the period up to July 12th, out of the 36 subdivisions, 15 have received deficit rainfall, 10 have received normal rainfall and 11 have received excess rainfall. We have seen monsoon picking up pace and are hopeful of a good rainfall for the remainder of the season, El Nino notwithstanding. The delayed onset of the monsoon had an impact on crop acreage, with paddy and cotton being most affected. As per the

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Ministry of Agriculture and News reports, the overall Kharif sowing is showing a 4.29% lower than the previous year at the same time. Paddy cultivation, which constitutes a sizable part of the Kharif crop cultivation, decreased by around 9.8% and cotton has decreased by about 5% compared to the previous year. On the

other hand, the acreage fo

r other major crops such as coarse cereals and sugarcane increased by 15.9% and 4.7% respectively compared to the previous year. With the improvement in rainfall across regions, we can expect an increase in sowing activity and hope things will reach normal levels by the season end.

In terms of international business, there were challenges due to excess inventory build-up and pricing pressures on major generic active ingredients, which has affected business sentiments.

Moving on to Rallis-specific developments, starting with our headline numbers, revenue de-grew by 9% over the previous year, crop care business de-grew by 13% and seeds business registered a 2% de-growth over the previous year. EBITDA for the quarter stood at Rs.109 crore as against Rs.113 crore last year. EBITDA margins came in at 14%, higher than the 13% of the previous year. There were concerted efforts to improve margins through timely pricing actions, better product mix and control on fixed costs. Our actions of timely liquidation of high-cost inventory in the past have also helped us during these turbulent times. Profit for the quarter stood at Rs.63 crore as against a profit of Rs.67 crore reported during the corresponding period last year.

Moving on to the individual businesses, as mentioned earlier, domestic business was impacted by the delayed onset of monsoon. This impacted the sowing activities coupled with excess channel inventory, which we have been indicating in our earlier calls as well, which has restricted the volume growth during the quarter. Channel inventory continues to be on the higher side, primarily due to higher carryover inventory from the previous year, led by low pest infestation in the Rabi season. Due to the expectations of drop in prices, the trade is expectedly cautious and are more likely to decide on their purchases closer to consumption. Q1 is largely a placement season and clearer liquidation trends will become evident during Q2. Besides new product launches, we have also been working towards expanding our distribution network and continue to work with e-com channels as well. Our distribution network for domestic crop care business stood at 4700 with a retail footprint increasing to about 61000 as of end June.

Moving on to international business, as mentioned earlier, excess channel inventory coupled with sharp price erosion across major generic active ingredients have impacted the overall growth sentiment during the quarter. Prices of certain key products like Acephate and Hexaconazole continue to trend lower. Prices for Pendimethalin have been somewhat stable. Overall, volumes during the quarter have been significantly lower compared to the previous year and we continue to remain positive on Pendimethalin for which we have secured 'technical equivalence' in EU. Also, for Pendimethalin, as indicated in our earlier calls, raw material supplies for the product have been secured and the outlook remains positive due to our new access to the EU market.

Moving on to contract manufacturing, the business remains steady with revival of PEKK after a gap of nearly two years. Our teams continue to engage with overseas partners for further expanding

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contract manufacturing partnerships. As mentioned in the earlier calls, we have signed three new contract manufacturing opportunities and we have commenced the dispatch of one intermediate during the last quarter.

At Dahej SEZ, trial production has started at MPP plant. We have expanded the capacity for one of our key formulations both for domestic and export markets. On the digitization front, we have strengthened our planning process by deployment of SAP integrated business planning solution. We expect this to enable more agile and precise decision making while also digitizing many of our processes. Moving on to seeds business, we have had a good start with revenue marginally lower over the previous year. Our placement efforts were qui

te satisfactory with support from all teams. We also had a good marketing engagement for most of our regions. In terms of the new hybrids, we are pleased with the performance of Diggaz, our north cotton hybrid which has seen a good volume growth. In terms of absolute numbers, this season we sold 4 lakh packets as against 1.5 lakh packets during Q1 FY23. As far as other crops are concerned, we are waiting to see clear trends in liquidation with rains picking up only now. Our distribution network for seeds business stood at 2750 and retail footprint increasing to 47000 retailers as of end June.

To conclude, while the year has started on a challenging note, we are hopeful that the situation will ease in the second half of the fiscal. Our efforts are directed towards strengthening our product portfolio across businesses, our domestic formulation business, our seeds business and international business as well. We are also working towards widening our distribution reach. With these opening remarks, I will now hand over to Subhra for a detailed analysis of the financials. Over to you, Subhra.

Subhra Gourisaria: Thank you, Sanjiv. Good morning, everyone and thank you today for joining us for our Q1 Earnings Call. Let me quickly walk you through our financial performance for the quarter, post which we shall commence the Q&A session. Starting with the top line, our revenue for the quarter was Rs.782 crore as against Rs.863 crore during the previous quarter same period. The degrowth in the revenue was primarily on account of volumes and sharp drop in prices as mentioned by Sanjiv.

As such, performance of both domestic and international business was somewhat benign. Seeds business was broadly flat with revenue of Rs.262 crore during the quarter. EBITDA for the quarter stood at Rs.109 crore as against Rs.113 crore during corresponding period last year. While the

absolute EBITDA is lower, however, the EBITDA margin stood at 14% vis-a-vis 13% in Q1 FY23. Our teams have displayed agility in navigating through these turbulent times by ensuring market linked pricing and superior product mix. Profit for the quarter stood at Rs.63 crore as against Rs.67 crore for the corresponding quarter in previous year. PAT for the quarter at 8.1% vis-a-vis 7.8% in Q1 FY23.

Moving on to business wise performance, delayed monsoons coupled with high channel inventory impacted volumes and realization during the quarter. We had also indicated in our previous calls that

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the channel inventory has been higher and the sales growth will be impacted in the near term owing to the same.

The trade is in a wait and watch mode and are likely to firm up their decisions closer to the consumption period. We are committed towards improving our product mix by launching new and innovative products. These new products are targeted towards not only strengthening our existing position but also helping us plug the crop and regional gaps in our portfolio.

Moving on to international business, we remain cautious. Prices of input materials have been very volatile with some of the raw materials witnessing drop of more than 50% since their peak couple of years back. As you can expect in this situation, it is exceedingly difficult to predetermine the right purchase price.

We are working on shorter purchase and pricing cycles and are taking portfolio calls to liquidate inventory even at a lower margin wherever necessary. Also, globally some of the players in the industry have been holding very high inventory and delaying purchases till they are able to liquidate the old stocks.

Moving on to seeds, early trends are positive, especially the liquidation of North Cotton. However, we will get clear reads on the balance crops only by the end of current season. Our cash flows have improved with specific focus on inventory reduction and collections in the domestic and international market.

During the quarter, we repaid Rs.25 crore of working

capital loan. We envisage capex would be in the region of Rs.150 crore for the year. To conclude, we are hopeful that efforts towards improving product mix and distribution network coupled with efforts towards lowering our dependency on China for raw materials will contribute meaningfully in the coming years.

That concludes the opening remarks. We can now commence the Q&A session.

Moderator: Thank you very much. Our first question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Yes, thanks for the opportunity. Sir, 2% increase in crop care EBITDA in this sort of a subdued environment is quite commendable. What were the drivers in that, if you can just highlight for the start?

Sanjiv Lal: So, you know, the prices have been quite volatile, as you would have also got from your own network. So what we have been trying to do is taking more frequent pricing calls, downwards when it's necessary and upwards, when necessary, and also ensuring that we are not pushing too much into the trade because the trade is already overloaded, not with our product, but I'm saying generally the trade is overloaded. And we've also been taking these pricing calls and also been looking at our portfolio in terms of the more relevant products for the current period of time. So that is the portfolio choices that we are making for pushing appropriately. So largely, these are the actions and we had

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already started the work on our network expansion a couple of quarters back, and we had spoken about it. And that is also helping in sort of increasing our reach and width of our network.

Prashant Biyani: Secondly, sir, how post Q1, in the first 17 days of Q2, how has been the demand from the trade as well as the actual liquidation at the farmer's end?

Sanjiv Lal: See, actually, what is happening is that the northwest of the country where the sowing initially starts, as you are aware, that is having excessive rainfall. So, the consumption of many of these chemicals is still going to have to wait. So I think consumption may take some time for picking up, but since the overall acreages have now increased and come to within 5% of the same period last year, I think the overall sentiment seems to be in the right direction, that gives us some optimism.

Moderator: Thank you. Our next question is from the line of Tarang Agarwal from Old Bridge Capital.

Tarang Agrawal: Hi, good morning. Three questions from my side, mainly on the Diggaz seeds. What are the attributes of the seed which are driving off-take?

Sanjiv Lal: Well, I think what is driving off-take is that this is a slightly early variety and it is shown very good yield and this is what is finding favor with the farmers. Last year also we had a very positive response, although the volumes which we sold were limited by what we had, which was about 1.5 lakh packets and we had scaled up to about 4 lakh packets, which practically we believe have all got sold out. So this has come out as a good product and the farmers are appreciating the performance over the last two years, which is helping us scale it up.

Tarang Agrawal: Okay, and I mean, how do you see it for next year?

Sanjiv Lal: Well, we believe that this particular product is going to grow even further. So we are hopeful of being able to get enough acreages for planting for the next season. So that is the work currently underway for securing acreages for expanding the availability for next year.

Tarang Agrawal: Okay, and how is it priced? I mean, is it priced at par, slightly at a premium?

Sanjiv Lal: No, no. We are not doing any value extraction through a premium. It is sort of priced at a similar level to what our products have been.

Moderator: Our next question is from the line of Rahul Veera from Abakkus Asset Manager.

Rahul Veera: Hi sir, so I just want to understand our new launches, Gateway and Gateway GL. Are we making the technical by ourselves

or are we procuring it from outside?

Sanjiv Lal: No, no. This is currently insourced. We are going to be making the technical, but that is some time away.

Rahul Veera: Okay, is it a domestic manufacturer?

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Sanjiv Lal: Yes. It is a domestic supplier.

Rahul Veera: Okay and sir, coming back to the seed portfolio, are you seeing a reduction of spurious seeds in the cotton, where we are able to gain more marketable, because at the industry level data, we are seeing that the growing is down by 12%, versus our product has grown extremely well. But is it also because of these spurious seeds going down, particularly the industry or channel thing, sir??

Sanjiv Lal: So, Rahul, I am not very clear as to what is the level of the illegal cotton that has been sold this year, that we will know only more towards the end of Q2. But certainly, I think there has been a mixed experience of the farmers. This is from what our understanding is, that they have really not benefited from the illegal cotton that has been used by them.

All said and done, having seeds from a known company is giving a lot of assurance. So that has been our experience, where our products, at least in the North market, have moved well. Even Maharashtra, which is an important market for us, we believe that one of our very good hybrids, which unfortunately did not do very well in the last two years, has also done, I would say, reasonably well, although we will know the final figures after the liquidation only towards the end of Q2.

Moderator: Thank you. Our next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Yes, good morning. Thank you. So is it possible to share the breakdown between price and volume between both the domestic crop care and the export for the quarter, please?

Subhra Gourisaria: Yes. So Abhijit, domestic crop care business volumes were largely flattish, and price was the one which had led to this de-growth. And as far as international crop care business is concerned, the large part of the de-growth was led out of volume, with the mix of the portfolio, we were able to manage at an overall level the price, but the large part of the de-growth was coming out of volume.

Abhijit Akella: Okay. So the extent of price decline, is it possible to share a rough range there for the export side?

Subhra Gourisaria: It would be sub10%.

Abhijit Akella: Okay. Got it, and also, just on the pricing actions now, were there further price reductions taken during the quarter, and should we expect any lagged impact of that for the upcoming September quarter as well?

Subhra Gourisaria: So, there will be definitely carry-forward, because some of the price changes, as you know the prices or the material cost has been on a downward trajectory, and that's where we will have a carry-forward impact further in Q2.

Moderator: Thank you. Our next question is from the line of Rohit Nagraj from Centrum Broking.

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Rohit Nagraj: So first question is from the demand from global markets. So on the exports front, are there particular geographies where the inventories are higher and other geographies, where it is normal? Any sense on this? Thank you.

Sanjiv Lal: So, Rohit, in terms of our portfolio, Pendimethalin is one of our important herbicides, and the demand for that, we have seen largely stable, although there has been some price correction. On the insecticides, which is where Acephate is, one of our big insecticides that we export largely to Brazil, there we find that the price erosion has been very, very significant. As well as the inventory of herbicide, our understanding is also on the higher side, although Metribuzin is a smaller volume for us in that market presently.

Rohit Nagraj: Right. Got it sir. Second question is in terms of the increase of Chinese generics in the domestic market. So what is your sense, how this is affecting the domestic market and will it have

a significant

impact during the Kharif season because there is just a placement quarter and second quarter will see the actual impact in terms of any returns? Thank you.

Sanjiv Lal: We have a number of Multinationals and Indian companies in the domestic formulation business and basically the competition is in this set only. So many of these Chinese generics are being procured for formulation by the Indian companies as well as some of these Multinationals. So nothing has changed as far as that is concerned. The issue is that, the prices are coming down and there is already overload of inventory in the market and if the consumption picks up as the season progresses, then the industry will also have a positive outcome.

Moderator: Thank you, sir. Our next question is from the line of Viraj Kacharia from Securities Investment Manager.

Viraj Kacharia: My first question is on the inventory part. If we can just probably give some perspective, both in India

and in international markets, what is the extent of inventory in the system? Sir, if an annual consumption is 100, then are we at 30 or 60? So any perspective you can give both for the market or, key regions, India and abroad and for us?

Sanjiv Lal: I had mentioned in my earlier comment, that for the products that we are dealing in, we are finding that Pendimethalin, the demand is stable, plus we also expanded our technical equivalence in EU. So that is also helping in us, being able to maintain the volumes as far as Pendimethalin is concerned. We do have issues with Acephate, more so on the pricing. And Hexaconazole, which is another big molecule of ours, which we are selling into Southeast Asia, we are seeing some revival in terms of consumption, off-take in particular. So this is largely it and Metribuzin, I would say, more or less flat with maybe some slight uptake in terms of volume that we are expecting going forward.

Viraj Kacharia: Okay, so basically, what I was trying to understand is, Q1, if you see our, especially the domestic business, so these are the factors, which you outlined in product mix, more dynamic pricing, and, but product mix per se doesn't change in a quarter, right? I understand, we've been trying to launch new products and trying to scale them up. But there's also a factor of the key product prices, especially in

generic, being on a downward trajectory. So in terms of Q1 performance, is there something, were there any one-offs in this? Or how should one really understand the performance in domestic business, which helped us both in our sales and profit?

Subhra Gourisaria: There are no one-offs.

Sanjiv Lal: There are no one-offs. I would just say that, we've tried to be a little prudent in terms of, how we are doing our pricing. Also, on the procurement side, we've been reducing the quantities that we are buying at any particular point in time so that it has limited impact on the, in case the prices come down further. So we've been trying to navigate through this, in a manner, which I would say has been helpful. And what has also been mentioned is that, last quarter we were sitting on higher cost inventory, which we had liquidated even at very, very nominal margins. So that has also helped.

Moderator: Thank you. Our next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management Company.

Arjun Khanna: Sir, thank you for taking my question. Just on the export front, we talked of in the previous quarter's export of PEKK, the molecule coming back for the aerospace. Has that come through or do we expect it to take further time?

Sanjiv Lal: No. I also mention that, we will be exporting some of the PEKK during the current financial year from practically zero in the last two years. So we will be doing some volume this year. Our understanding with our customer is that, this volume is expected to steadily pick up over the next couple of years to where it was before this pandemic

started. So it is, in the right direction now.

Arjun Khanna: Did we see any revenues in the first quarter?

Subhra Gourisaria: Yes. We saw revenues in the first quarter. In fact, we commenced dispatches from Q4 of FY23.

Arjun Khanna: Sure. No, because we've yet de-grown 30% of this. Obviously, the scale is smaller? Sure but...

Subhra Gourisaria: Yes. The scale is not at peak capacity.

Arjun Khanna: Sure. The second is in terms of the MPP that's come through, in terms of the products, we're going to fill it in, do we have a sense of roadmap, when we could reach peak sales and which products we're going to fill in?

Sanjiv Lal: Yes, so this year, we've already commencing with Difenconazole, for which trial production is currently going on. And all going well, we will be doing one contract manufacturing molecule towards the end of Q3 in the same plant. Again, there's another intermediate that we are going to do in that plant. So, that may also happen towards Q3. So, Q2 will largely be Difenconazole in the multipurpose plant.

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Moderator: Thank you. Our next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, a couple of questions. One is on this sharp fall in prices and especially our supplies, which are coming immediately from China, where we have seen a sharp price reduction. Are we seeing that definitely when the high cost inventory is over, we see that the benefit of low availability, this low cost from Chinese material will help us in margin expansion? Or do you see that, everything will be passed on in the current competitive environment and no opportunity for the margin gain?

Sanjiv Lal: The prices have been coming down quite sharply and practically there's been new pricing which is being offered on a day to day basis. So, the issue is that, even the customer is seeing this declining price trend and for our products also, they are demanding lower pricing. So, in a declining market, it becomes very difficult to sort of get any kind of upside if that's what you are alluding to, Rohan. And our view is that in this kind of uncertain market, it may be better to take shorter procurement calls rather than taking a position and then you find that the price has fallen even further.

Rohan Gupta: Sir, my question was more basically, we at least procure close to 45% to 50% of our raw material requirement from the China market. So, which is pretty high compared to other players. So, when the Chinese prices have corrected so much, so I was just expecting that are we in a position to gain some benefit in terms of the low pricing environment because we are still dependent on China market?

Also, another question is that we have a backward integrated in an intermediates of Pendimethalin and

Metribuzin. In a current environment, do we see that the Chinese raw material availability is much attractive price than manufacturing by ourselves or in terms of if we have to keep any of our plant, we may lose in terms of the pricing advantage, which otherwise would have been offered from China?

Sanjiv Lal: This is again that question of make versus buy. So, if there's a better pricing that we are getting from imports, we will certainly look at that. And wherever we have got commitments because you developed a domestic manufacturer, we will stick to our commitment only that is very clear. There could be some low pricing that may be happening out of China, but we have certain tie-ups and commitments with some of our partners. We are also discussing with them about the correct level of pricing for the intermediates that we have shifted from import to domestic.

Subhra Gourisaria: And on to your first question, I think, the prices will ultimately reach to a level of equilibrium. So, I don't think that anybody having an index to a major source will help over a period of time. It will be market-determined pricing.

Moderator: Thank you. Our next question is on the line of A

Ankur Periwal from Axis Capital.

Ankur Periwal: Sir my first question, on the overall revenue growth both in the domestic as well as international market, given the on-ground scenario in terms of elevated inventory, what are our thoughts both on domestic and international considering that there are certain product launches that you have done already and probably are planning going ahead also?

Sanjiv Lal: Ankur, if I have understood your question, it is on revenue growth?

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Ankur Periwal: More focusing on the volume part here

Sanjiv Lal: Yes, okay. So, in terms of revenue growth, pricing growth I think is unlikely to happen in the near term because currently where the prices are. The main thing is volume recovery, so that is going to be a key driver for overall growth. And for the international market, we are a little cautious because the inventories are on the higher side, which is really putting a huge amount of pressure on all pricing.

As far as domestic is concerned, we expect that as the season is progressing, the consumption of these chemicals/products will start happening, which will help in bringing back the volume growth. So we are really pushing for volume growth with new product being introduced as well.

Ankur Periwal: Sure, and the contribution from the new products, especially in the domestic market, will still be hovering around 10%, 12% or it will be improving?

Sanjiv Lal: We have been tracking what we call as the Innovation Turnover Index. Last year it was at around 13%. And I had mentioned in earlier calls that if we are able to get to about ITI of about 15%, we will be in a good position. So we are still very much focused on getting our new products to be scaled up. And in that context, not only in the crop protection business, we have launched some new products this season in the crop nutrition and seeds category as well. So we are looking at across our portfolio to be able to bring in new products for driving the Innovation Turnover Index.

Moderator: Our next question is from the line of Chintan Modi from Haitong Securities India Private Limited.

Chintan Modi: Sir, the de-growth that we have seen in the international market, do you think this is more or less in line with the market trends or do you think that Chinese companies have got very aggressive and gaining market share there?

Sanjiv Lal: I don't have a very clear answer. I guess that will emerge as the time progresses, exactly who is winning and who is losing. But you know, I am sure you also come across these various news reports of very serious inventory and pricing, even with the multinationals which is likely to impact their overall revenues and growth during the current calendar year.

Chintan Modi: Sure. And second is with respect to the MPP, when should we expect this to be like full utilisation levels?

Sanjiv Lal: So this year, we are out looking, maybe we will get to about 60% capacity utilisation and next year, it should be much better. So this is the first year that we are going to be using it. So we have to bring in the new products and I had mentioned that one we have already started and one more intermediate and one more molecule we will be producing towards Q3.

Moderator: Our next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Just one question. Sir, can you give us some general sense of the situation in China and when do you see this entire inventory problem subsiding? Any thoughts on this situation?

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Sanjiv Lal: Well, I can only sort of go with what I have heard and also some of the inputs that we have received following the CSE, which was I think very well attended by many global companies. So the sense is that the Chinese industry is also trying to get back to a growth path, which I think is perhaps putting a lot of pressure on availability out of China. But with the inventories being where they are globally,

that is pushing prices downwards.

So I guess there will be some amount of stability, which will come once the inventory of many of these input materials in China also starts building up because unless there is consumption of these intermediates, they will also have to curtail their production. If they all continue to produce the way they are, then there is going to be a serious issue on even inventory of some of these materials in China.

So our sense is that there could be some price stability that may start emerging in the next month or two. We have already seen it in some of the products which seem to have now touched the bottom because some of the offers that are coming are at a slightly elevated price. So there seems to be some stability that is now coming, at least for some of the intermediates.

Archit Joshi: Sure, sir. Actually, there were a few companies, obviously global companies, some of them saying that the inventory situation can alleviate a bit probably in the first half of this calendar year. And there are some companies who are calling out for a complete washout for this entire calendar year or probably financial year. So I know that this will go, it will be product specific and it might differ from one product to another. For our company specifically, whatever we are exporting in the international market, for that, do you see, as you mentioned earlier, would that in some situations like Acephate maybe, the bottom has already reached, would that be like a safer assumption going forward and that there may not be any more deterioration in terms of prices?

Sanjiv Lal: As far as the season in Brazil is concerned, it is going to be picking up now in Q2. So if that season goes well, then there could be a huge demand coming back. And as far as our portfolio is concerned, I would say that we need to be a little watchful largely for Acephate, the others, I think, we will be able to manage. So Acephate, the price erosion has been fairly sharp and we are a little cautious on that particular product. But others, I think we should be able to navigate.

Moderator: Our next question is from the line of Abhishek Jain from Arihant Capital Markets Limited.

Abhishek Jain: Couple of question sir, firstly what will be the incremental revenue come from the capex completed in Dahej, if you can throw some light on the same?

Second question, apart from Dahej capex, what is the additional capex timeline for next two years, if you can give a little more of an accounting?

Sanjiv Lal: The revenue from our new MPP, there is nothing in Q1 from the new product because we have started the trial production in the month of June. So there is no revenue, but it will start accruing from Q2 onwards. And as far as capital is concerned, we expect to be incurring a capex of about Rs.150-odd crore during FY24. We will be spending some part of that on our new R&D facility as well, and also for perhaps some de-bottlenecking that we would like to do for one or two of our products where we see some good opportunity.

Abhishek Jain: Sir, going forward, any numbers like what kind of revenue, like asset turn over, you will be looking out once that is completed in the next three years?

Sanjiv Lal: So, typically as we mentioned in the earlier calls also, we look at our investment decisions slightly on the longer term using the internal rate of return for the investments that we make. So the asset turns and all, we have to see in a slightly longer period of time. Subhra, unless you would like to add something?

Subhra Gourisaria: This is a multi-purpose plant and it's for seeding new opportunities. So it will take some time as we try to reach the full capacity utilization. So I think, it will be early for us to talk about asset turns on this plant now.

Moderator: Our next question is from the line of S Ramesh from Nirmal Bang Equities.

S Ramesh: So in terms of the gross margin expansion

on in the first quarter, can you explain how you have been able to achieve that? Because of the decline in the international business, where you may possibly be enjoying lower margins. What is the reason for this?

Subhra Gourisaria: So one factor, as you said, is of course the mix, which is domestic versus international. But more importantly, it is within the products that we sold within the international business and the domestic business. So that has helped in terms of margin expansion. Plus, we have been able to sell off our high price inventory. We do have a small proportion even now, but not a significant one that has helped in terms of not coming under pricing pressure in terms of being on a very low margin. We have indeed taken some pricing calls at a low margin, but at a portfolio level, we have been able to be at a similar margin level or slightly better.

S Ramesh: As a follow-up, are we in a position to sustain this gross margin reported in the first quarter for the rest of the year, adjusted for seasonality of course? And on this base for next year, will you be able to maintain this sort of margin assuming prices are stable, so that if there is a volume growth, you can show earnings from a broader trajectory perspective?

Subhra Gourisaria: See, you yourself have said that there are multiple factors which are going to depend on margin. Plus, more importantly, you should remember that Q1 is a seeds business where the margins are relatively better. So if the domestic business does well, which makes better gross margin for us, the margin should continue to improve. But it's too early or too premature to say, because it's dependent on various factors.

S Ramesh: Just one last thought. So if you're looking at the MPP and the new product, incrementally, our understanding is a long-term decision, but incrementally, do we see growth coming more from volume growth or would you also be able to improve your margin profile?

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Sanjiv Lal: I think, in the near term, it will be more of the volume growth, because the price volatility is such, I don't think we can get huge revenue growth coming from pricing, at least in the near term.

Moderator: Our next question is from the line of Vishnu Kumar from Spark Capital.

Vishnu Kumar: I wanted to understand how the current demand trends, especially the fact that we are facing excess rainfall in certain regions and very deficient rainfall in the southern central. If you could just help us understand all this?

Sanjiv Lal: We just have to wait for some time because the consumption really needs to start now. Q1 largely is placement for crop protection and it is the main season for our seeds business, which we have already said has gone off well in our context. So the agrochemical consumption will just about now be getting started.

Vishnu Kumar: So are there any early trends that you're picking up, sir, because at least in the southern markets, the rainfall deficiency seems to be much higher.

Sanjiv Lal: That is true. So actually, if you see the offtake by trade, I think that is now picking up slightly because in anticipation of good planting, which is happening, the trade is also picking up material now. So we expect things to become clear in about a week, 10 days time.

Vishnu Kumar: Got it, sir. And also, sir, you mentioned that the price, I mean, the price erosion is continuing. Is it more or less passed through at the retail level or you still expect that the retail pricing can come down a little bit further to accommodate for the price reduction that is happening currently?

Sanjiv Lal: So in terms of our inventory in the market, I think we are okay. There will be no further reduction that we will see because we sort of, as I mentioned, done very, very measured placement in the market with the pricing that we believe is right.

Moderator: Our next question is from the line of Tarang Agrawal from Old Bridge Capital.

Tara

ng Agrawal: Just a couple of questions on the technical business. This is more to do with trying to get a sense on Acephate and Pendimethalin where you guys are big players. So on the market, the global market, right, is the pricing impact on account of incumbent manufacturers liquidating the stock that was already lying in their factories, maybe because of COVID, they were not able to supply? Or is it because of some sort of aggression on their part wanting to garner higher market share irrespective of whatever price it comes at? That's one.

Number two, I mean, given your scale in manufacturing these technicals, right, you all are fairly well aware of the cost structures and the current pricing and how they both interact. So at current prices of Acephate, Pendimethalin, do you think these are sustainable prices for any player?

Sanjiv Lal: In terms of Pendimethalin, I think, the pricing has been a little more stable. So we don't see any major issue there. But yes, in terms of Acephate, we have seen a very, very sharp reduction in pricing. Just
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to give you a sense of some numbers, the DMPAT is one of the key starting materials for Acephate, the price has come down by over 40% since its peak last year, which has led to the price of the product itself declining very, very sharply. So I would say that the price for Acephate is largely being driven off the price of the starting material, which is forcing the product to be sold at much lower pricing.

Tarang Agrawal: Okay. And do you see this? I mean, whatever action that we are seeing, whether it's on the technical or the intermediate, that action is on account of the manufacturer trying to liquidate the stock that was already lying? Or is it on account of some aggression of them wanting to come back on the horse and really gain market share irrespective of whatever price they gain market share at?

Sanjiv Lal: No, I think, there is some additional capacity which has come up and perhaps the newer players are trying to establish themselves with some of these intermediates, which is also adding to the lower pricing.

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Thank you for the follow-up. Just one question. For the domestic crop protection business, could you, is it possible to share the percentage of revenues from the top five products? And second, just on the new products, Chlorantraniliprole the two formulations that we are launching. If you could, you know, just help us understand your outlook for that market, I believe it's very large, but there's probably a lot of generic competition that's creeping in now. So what sort of market share would you potentially aspire to get in that? Thank you so much.

Sanjiv Lal: Well, you're absolutely right, that this Chlorantraniliprole is a fairly large market as far as India is concerned and more recently, we've seen a number of products getting launched in this category. So we are also going to be participating in this particular segment with this particular product.

And initially, we will have, a product introduction and we will maybe take a year to scale it up. As you rightly pointed out, that many competitors have now come up with similar products.

Subhra Gourisaria: I don't think at the quarter level we can look at the revenues for top products. But it's not that any of our products, it's not over-indexed on any specific product. So we have top 10, 12 products which contribute some 40% for the revenue. So it's a fairly diversified portfolio.

Moderator: Our next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, last year you took significant write-offs and provisions on seeds. I think there was something in the first quarter of last year as well. Would a reduction there or elimination altogether of that have had a favorable impact on the seeds business for the quarter a

nd for the full year this year?

Subhra Gourisaria: Firstly, we didn't take any material write-offs in Q1. It was all in Q4, you would have seen the

numbers. We have not had any reversal of that in Q1. So nothing of one-off which has helped the process. No write-back.

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Gagan Thareja: But for the full year?

Subhra Gourisaria: A bit early to say whether there will be a write-back or a further write-off, it will all depend on how Kharif goes.

Moderator: Our next question is from the line of Dheeresh Pathak from White Oak Capital.

Dheeresh Pathak: So for the export markets, where the industry in general and we are also experiencing higher inventory in the channel. So if you can give some better quantification, let's say for Acephate in Brazil, which we have a larger market. If the base line inventory in the channel for Acephate in the Brazilian market is let's say 100, where is the industry in aggregate at? Is it at 200? Is it at 150? Something like that would help me get a better sense of the magnitude and the severity of the channel. Because everybody is saying there is too much channel inventory. But there is not enough understanding at least from my side. What is the extent of the problem?

Sanjiv Lal: I think, Dheeresh, the issue is certainly there. This is all qualitative information. This quantitative information is not available.

Dheeresh Pathak: Sir, that's why I am picking a particular product and particular market. Because that you would know, right? Because you are so, Acephate in the Indian market is an important product for you. From your sales team, you would have some sense of what kind of channel inventory is there, right?

Sanjiv Lal: As far as Acephate is concerned, the issue is not that we will not be able to sell the entire production volume during the year. The issue for us is largely the pricing which is being forced downwards.

Moderator: Thank you. Due to time constraint, that was the last question of the question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Sanjiv Lal: Thank you, Zico. As you would appreciate, we are facing significant challenges in the near term due to sharp price reduction and global demand reduction due to inventory overhang. We discussed quite a bit about that during the call today. We will continue to monitor the volume-led growth across our portfolio. rice-led revenue growth, that is certainly going to be a challenge. However, focus will be on improving realizations through better product mix and dynamic pricing actions. Our diverse portfolio with presence across domestic and international markets, crop nutrition and seeds business does offer the business enough stability to navigate through these challenging times.

Absolute EBITDA and cash flow will also continue to be a key priority across our teams. We will further focus on improving collections across geographies in Q2. Investments over the last couple of years in R&D, product development, manufacturing will certainly enable us to drive our growth agenda in a sustainable way.

With that, thank you all for joining and we will connect again three months from now with our Q2 outcomes. Thank you very much.

Call: Nov 2023

Registered Office: 23rd Floor, Vios Tower , New Cuffe Parade, Off Eastern Freeway, Wadala, Mumbai – 400037
Tel: +91 22 6232 7400 Website: www.rallis.com
Corporate Identity No. L36992 MH1948 PLC0140 83

November 1, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS
Dear Sir,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 2023

Further to our letter dated October 11, 2023 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2023 held on Thursday, October 26, 2023 .

The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer
Page 1 of 14

Rallis India Limited
Q2 and H1 FY '24 Earnings Conference Call
October 26, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Rallis India Limited's Q2 and H1 FY '24 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desai from CDR India. Thank you, and over to you, Mr. Desai.

Gavin Desai: Thank you. Good day, everyone, and thank you for joining us on Rallis India Limited's Q2 and H1 FY '24 Earnings Call. We have with us today Mr. Sanjiv Lal, Managing Director and CEO; Mr. S.

Nagarajan , the Chief Operating Officer; and M s. Subhra Gourisaria , the Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward looking in nature and involve risks and uncertainties. A detailed statement in this regard is available in the results presentation sent to you earlier. I now invite Mr. Sanjiv Lal to open proceedings of the call. Over to you, Sanjiv.

Sanjiv Lal: Thanks, Gavin, and good morning, everyone. I will begin the discussion by providing a brief overview of the industry as I typically do, post which I will discuss some of the Rallis specific developments. To begin with, industry had to navigate a challenging and volatile landscape, spanning both domestic and international markets. While erratic monsoon and El Nino conditions led to long dry spells and spatial distribution-related issues, which in turn impacted the overall volume growth in the domestic market , pricing pressures in international markets on account of excess supply and destocking has an adverse impact on the margins and profitability of the business.

India's rainfall witnessed 94% of its long period average with deficit rainfall in South and North-east regions over the long period average. Of the 36 subdivisions, 29 received normal to excess rainfall, while seven received deficit rainfall. However, although overall sowing was largely satisfactory with higher acreages in paddy, wheat, sugarcane and coarse cereals, lower acreages were planted under cotton, pulses and oil seeds. Erratic monsoon had an impact in terms of water availability in the crucial stage of the plant growth. Reservoir levels as of end September were 79% of capacity. This is Page 2 of 14

18% below previous year's level and 6% below the last 10 years average. This could impact Rabi sowing adversely.

As far as international markets are concerned, channel inventory still continues to remain high across geographies, and the situation is slowly normalising, aided by a stabilization and drop of generic molecule prices. Commentary from some of the leading global agrochemical players indicates that they

expect global crop protection market to decline by low double digit as against earlier guidance of low single digit on the back of significantly poor volume uptake coupled with price correction. Channel inventories are getting corrected very slowly.

Moving on to Rallis-specific development, we believe our quarterly performance is reflective of the challenging environment in the industry, the quarterly performance really reflects the challenge in the industry. Our revenue decline is owing to the subdued performance of our international business. Domestic business performed better with a decline of 5% compared to the corresponding quarter last year. Volume growth was marginally positive and our cautious and calibrated approach to ensure right level of placement reflected in improving collections. EBITDA for the quarter stood at Rs. 133 crore, higher by 13% compared to the corresponding period last year.

Despite input and pricing-related challenges, we have been able to maintain our margin on account of better product mix and better cost optimization and rationalization. PAT for the quarter stood at Rs. 82 crore as against Rs. 72 during the previous period. During the quarter, EBITDA and PAT margins improved to 16% and 10%, respectively. In H1 for the current financial year, the company repaid Rs. 100 crore of working capital loans, with this, Rallis has become a zero-debt company, except for a small sales tax deferral loan.

Moving on to the individual businesses, starting with domestic, as mentioned earlier, monsoon-related challenges, long dry spell and overall spatial distribution of the rains this season has impacted the business growth momentum. Furthermore, the industry has witnessed pricing pressure as well, pricing out of China and perhaps distressed selling by some players. Having said that, we have seen some stability in the prices towards the end of the quarter, especially for a few molecules. Regarding segment-wise demand, key emergent herbicide started well. However, it did decelerate later due to the dry spell. Post-emergent herbicide demand was impacted due to low rainfall.

Given this background, our efforts have been directed on improving the product mix, widening distribution reach and plugging portfolio gaps. And with regard to product portfolio, we have launched one new 9(3) insecticide Benzilla. During the quarter, we launched an additional set of two co-marketing products and five 9(4) products as well. Besides new product launches, we have also been working towards expanding our distribution network and continuing to work with e-commerce channels. Our distribution network for domestic Crop Care business stood at around 4,900 distributors and our retail footprint increased to about 61,800 as of end of September.

We grew volumetrically in the insecticide category, although our fungicides category declined volumetrically over the last year and herbicides remained flat for our portfolio.

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Moving on to the international business as indicated in our previous calls, overall volume growth remains muted against high channel inventory. Pricing pressures continue for some of our key products, especially for Acephate and Hexaconazole. Metribuzin continues to face overall pressure. Amidst this challenging situation, as indicated by us in Q1 earnings call, we have adopted shorter buying and pricing cycles, and our efforts in the past of clearing some of the inventory even at lower margins, if necessary, has helped us avoid any significant markdown in inventory. Having said that, Pendimethalin prices though have remained stable with volume witnessing reasonable pickup, and we are evaluating continuous expansion of capacity on this product as well.

Moving on to our contract manufacturing, the same continues to remain steady with the revival of PEKK. As mentioned previously, we have also signed three contracts and have started dispatch of one

new intermediate during the previous quarter. One more CSM product is ready to be commercialized

during Q3 from our Dahej multipurpose plant. And we are hopeful that with time, we will be able to scale up the contract manufacturing business with progressive utilization of the new multi-purpose plant.

Moving on to the Seeds business. As mentioned in our earlier calls, we are satisfied the performance of the business with Kharif season. Diggaz, our cotton hybrid has sold well in the northern markets, and Aatish, our cotton hybrid for South and Central India has also done well. Besides cotton, we are also making steady progress across other crops such as Paddy, Maize and Millets. In addition to the

above, we are also increasing our market share in the North India market area.

The seed business, as you're aware, has gone to a rough phase in the last couple of years, but we are hopeful of this trend improving over the coming years. Based on the strategic review of the operations we have implemented steps that prioritize our resources and expenditures in development of the key geographies and crop segments with a view to improve the unit economics and the business. Our distribution network stood at 2,750 distributors and a retail footprint of around 47,000 as end of the quarter.

To conclude, we are positive about the growth potential of the business, and are undertaking the requisite steps towards ensuring steady and consistent growth over the coming years. In the near term, our focus will be on ramping up the multipurpose plant. Our new technical Difenconazole has been commercialized, and also our new CSM product, we expect to commercialize during the current quarter. Over the medium to long term, through our strategic initiatives, coupled with debottlenecking and steady ramp-up of the multipurpose plant should help the company improve its overall growth. Our actions on the seed front should improve the economics of the business also. Meanwhile, our new product pipeline towards launching new technical is also progressing well through lab-scale, KG scale and pilot scale and we are confident of progressively launching new products in due course. That concludes my opening remarks, I will now request Subhra for a detailed analysis of the financials. Over to you, Subhra.

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Subhra Gourisaria: Thank you, Sanjiv. Good morning, everyone, and thank you for joining us today for our Q2 and H1 earnings call. Let me quickly walk you through our financial performance for the quarter, post which we can commence the Q&A session.

Starting with the top line for the quarter. Our revenue stood at Rs. 832 crore as against Rs. 951 crore for the previous year, lower by 12%. The decline was a function of uncertain weather, headwinds in the export market and pricing competitiveness prevailing in the market.

In terms of business-wise contribution, our domestic business has performed relatively well.

International business continues to remain under stress. The seeds business contributed with a revenue growth of 237% during the quarter, mainly due to small base and lower sales return during the quarter. EBITDA for the quarter stood at Rs. 133 crore as against Rs. 118 crore during the corresponding period last year. Margins for the quarter stood at 16% as against 12% during second quarter of FY '23. Gross margin improved through superior mix, actions taken for improving cost efficiencies in the crop care and seeds business. Profit for the quarter stood at Rs. 82 crore as against Rs. 72 crore during Q2 of FY '23.

Moving on to business-wise performance, delayed and erratic monsoons coupled with pricing pressure impacted overall revenue growth during the quarter of the domestic business. Pricing pressure, as we have been indicating in our earlier calls, dented the overall growth in the business despite steady

volume growth. Amidst all the challenges, we remain focused towards improving our product mix and plugging the portfolio gaps by launching new products across segments and geographies. We have overall introduced 11 products during the first half of FY '24. We'll continue our focus behind quality of sales, including conscious placement in line with the liquidation and collection of over dues.

Moving on to Seeds, we had our first half which was very good, driven by the success of Diggaz. In addition to cotton, we are also making steady progress across other crops such as paddy, maize, millets, etc.

As far as international business is concerned, we have been indicating the on-ground situation continues to remain challenging. We have been also seeing global players forecasting a tough period in the near term amidst high channel inventory and pricing volatility.

Pricing pressure for some of our key products especially Acephate and Hexaconazole continues during the quarter. Prices for Pendimethalin though remain steady, along with encouraging volumes. Channel inventory for Metribuzin is high. We expect to face continued volume challenges on the export front. Our contract manufacturing business performed well during the quarter, and the outlook looks encouraging on a long-term basis.

Our cash flows have improved with specific focus on inventory reduction and collections in the domestic and international markets. During the quarter, we also repaid Rs. 75 crore of working capital loans. With this Rallis became a zero debt company except for the sales tax deferral scheme loan of

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Rs. 2.66 crore. As far as capex is concerned, we envisage that the spending for the year would be in the region of Rs. 150 crore.

To conclude, I would like to reiterate that our recent strategic initiatives, coupled with commissioning of the Dahej unit should help us to deliver consistent growth over the coming years. That concludes the opening remarks. We can now commence the Q&A session.

Moderator: Thank you very much. We'll take the first question from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, can you elaborate more on your product mix, what kind of products are you pushing right now? And on the cost optimization measures, which might have taken both of which are driving margin

expansion for the last 2 consecutive quarters despite lower top line growth

Sanjiv Lal: See, on the cost side, we have been a bit prudent on the fixed cost side, so that, to some extent, it has helped. On the product mix side, we have had some new launches also, which we tried to scale up, not to the extent that we would have really liked, but there has been some good traction for some of the new products as well. Certain products which are in terms of providing certain schemes to the trade, we have also done that for certain products to get the volumes.

S. Nagarajan: If you were to look at the Crop Care business into the domestic business and the international business separately. In the domestic business, I would say that we have certainly had some good traction on the insecticides front, we had a volumetric growth on the insecticides. We have had a benefit in terms of the overall margin consequent to that. Herbicides, which are usually lower in margins, herbicides have been flat.

Fungicides, however, have had a volumetric decline-growth. Yes, their margins are usually higher but I think they were more than offset by the gains that we made on the insecticide. When you come to international business, we have had pressures, but I would say that the pressure this year compared to what it was last year same quarter have been less in terms of the margin front. Some of the costs have also abated. So I think we have benefited on that front. I would say at this level, this is probably what it is. But in terms of detailed products, I would imagine that's a

little bit difficult to share because it has a competitive element in it. But I guess this gives you a broad idea.

Prashant Biyani: Sir, secondly, on the seeds business, what happened this quarter, if you can elaborate because generally, most of the seed sales and liquidation happens in Q1? And a related question to this is, typically, what is the sales return quantum in Q2 every year. And this year, it has been how much?

Sanjiv Lal: So the way we record our sales is largely based on the placement assumption of sales returns for Q1. And in Q2, once the sales return has already been accounted for, that's when we get the overall revenues from the business. So there had been a special effort which we had put in during the season, Q1, especially, in terms of ground level activities, in terms of the demand generation activities as well, as well as engagement with the trade.

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And as you are aware that we've had some difficulty in the business over the last 2 years. So this year, we did make that extra special effort in terms of the market-level activities. And that has helped. So we were able to demonstrate some of our product differentiation for the key hybrids, which has actually led to good liquidation at the market level, which resulted in lower sales return. And that, I think, is the benefit which is flown into Q2 results.

Subhra Gourisaria: On a first half basis, as where we have been positive by 21%. So Q2 may not be the only number that you should look at.

Moderator: We'll take the next question from the line of Tarang Agrawal from Old Bridge Asset Management.

Tarang Agrawal: Just a couple of questions, One, if you could give us a sense on what's the distribution overlap between your seeds and crop protection business?

S. Nagarajan: The distribution overlap was about 25% to 30% in the sense that we have common distributors between the 2 businesses. So that's the level of overlap.

Tarang Agrawal: Okay. The second question, if you could give us a split of your H1 seeds revenue between rice, maize and cotton? And what was it in the base period for us to understand really what has driven the growth? That's number one. And number two, my sense is in Q1, you anticipated that you'll be selling about 4 lakh packets of Diggaz, has that played out? Or you have outperformed your expectations?

S. Nagarajan: So without giving you a crop-wise breakup, the big contributor to the growth has been the cotton crop. You are right, Diggaz we had mentioned it even in Q1 that we were out looking at good level of sale, and we did end up, in fact, a little more than 4 lakhs. We also had a good performance of Aatish which we have also liquidated significantly this year. So these are the 2 big drivers. The other crops have been, you can say, plus or minus 3% compared to the base year volumetrically.

Moderator: We'll take the next question from the line of Viraj K from SIMPL.

Viraj Kacharia: So on the CS M contract, 1 of the molecules that we've just started out -- Difenconazole. And if you look at the growth in that particular molecule, for last many years, it's been a very flattish or a very low single digit kind of a molecule, so just 3 questions on this. What are the thought process behind choosing this molecule? How do you see any perspective you can give in terms of the competitive landscape, say, in India or outside, who are the major players? And last is, is this an exclusive contract? It's more like an in-licensing kind of a contract? Or if you can just kind of elaborate more on the supply agreement?

S. Nagarajan: So the way we have identified the products that we would get into is a combination of multiple things. One is, of course, the size of the market, like you talked about the growth rate, the levels of margin potential, the similarity in terms of chemistries that we have in other products, the ability for us to access the market

is relatively quickly because in certain products, you need to really wait for a long period of time for registrations to come through. So it's actually a multidimensional set of measures and Difenconazole was one of the products that came through that.

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And that is the first one that we have now introduced through our M PP. We hope to sell it largely in the Southeast Asian and somewhat likely unregulated markets to begin with, and thereafter expand it in other parts of the world. In India, of course, as you know, it does have a market that we have actually already got a couple of our products formulated products, which are utilizing that active ingredient. We hope to scale that up in India also.

Viraj K acharia: Any color you can give on the competitive landscape for this particular molecule?

Sanjiv Lal: Perhaps you can keep that for later as we can give you a better answer for that.

Moderator: We'll take the next question from the line of Archit Joshi from B &K Securities.

Archit Joshi : So just continuing with the previous point on the CSM business , so you mentioned that you're targeting the Southeast Asian geography. So is it that there are multiple customers? I'm just curious to understand the nature of the supply contract. How do we look at the CSM business in general? Are the newer molecules also going to be in a similar way wherein we are looking at multiple customers for one molecules ? If you can light on that front?

S. Nagarajan: So maybe I should clarify. The response that I have provided with respect to Difenconazole is not for the CSM product. This is for our own pipeline product , and that is how we chose it, and we will be selling it to multiple customers. As far as the CSM product is concerned, that is something which beyond the products which we already started making, which are, of course, very small. We will be producing the first active ingredient in the quarter 3, in this quarter, and that is not for East Asian market.

Archit Joshi : And that would be a single customer ?

S. Nagarajan: That is for a specific customer. You're right. That is for a specific customer. We are unable to reveal the name of that customer, on the product at this time, but it is for a specific customer.

Archit Joshi : Sure, sir. I have a second one. Sir, you alluded earlier that the success that we got in the insecticide portfolio and maybe a few other products in the domestic landscape was a function of the placement that we did that were quite proactive in nature. Sir, what are the thought process behind these placements?

Do we have some data management or any kind of software that kind of predict some insufficient supplies in certain catchments of a particular state wherein we can place these products properly so that the liquidation is stronger than what is happening on the industry level. What exactly did we do for us to get the placements right in the domestic line? The landscape, especially in this challenging high channel inventory sort of a situation.

S. Nagarajan: Yes, you're absolutely right. I think it was a very challenging period because as you would recall, there was a kind of a start, stop, start kind of a rainfall pattern, and at a fundamental level, I guess, we had to take a position or a stance in terms of the level of aggression that we would have in terms of

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stocking up, which I think we decided to stock up on these specific products. The second point, what you're saying in terms of data availability, you are probably aware that we mentioned it probably earlier also.

We are in the process of implementing what we call as Plan Guru, which is an SAP integrated business planning platform, SAP IBP, which seeks to get data from the field level and feeds it back to our planning and thereafter to our manufacturing teams to be able to produce the product and then make it available for supply. I wish I could say

that this is something which we had made use of last

quarter. That is not the case. We are in the process of implementing. But I guess this would be clearly an important lever as we go forward because we will be able to have much more ground level information much more easily available and much more easily analysable, I should say.

Moderator: We'll take the next question from the line of Chintan Modi from Haitong Securities India Private Limited.

Chintan Modi : Yes. So sir, my first question is with respect to gross margin. We have seen improvement in the first two quarters. Now going ahead, again, we are seeing that crude oil has started moving up, and this would have definitely impacted the base raw material prices. So do you think that spreads have largely settled or you think, again, there is some kind of a form of a risk to the spread? And second question with respect to the same gross margins, would it be that, say, in next two to three years, should we expect these gross margin levels to come back to like 40% to 43%, which we have done in the past also.

Sanjiv Lal: See, one of the ways that we've been trying to manage the gross margin, and I alluded to it in my remarks also is on the shorter purchase cycles that in a market the direction is not very clear.

Sometimes it's declining, sometimes going up. We've been taking shorter purchase cycles which has helped us in any kind of margin erosion which could potentially happen. And we've had that kind of situation, especially for some of the international markets where we had to sell even at wafer thin margins. So we will continue to sort of keep a shorter purchase cycles , till we can see some stability in the overall market.

S. Nagarajan: And the risk of crude oil increase definitely is a risk that is important to keep in mind because many of the solvents that we use are dependent on crude oil prices. And the additional point I would also add is that we try and look at our business as an overall portfolio, comprising of the domestic business, international business, the CSM business, the crop nutrition business and the seeds business.

So at a portfolio level, I guess the attempt would always be to kind of improve the margins by having the right mix between these different categories. And even within the categories within the D F business, for example, as we call the domestic business, we do have the opportunity to sort of manage the portfolio between insecticides, fungicides and herbicides. So I guess these are the levers that we will be using to manage the mix to sort of do the best on the margins.

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Chintan Modi : Sure sir, second question is with respect to your aspiration to grow international business to almost 40%, which implies that your international business has to grow at a much faster pace than the domestic business. Now I want to understand this from a perspective of ROE because we have seen a lot of volatility in the international business and generally in generic molecules where we deal, this volatility is generally there over long term also. So whether this will really help you in improving your ROE, taking this higher share of international business? Or whether this will be more ROE dilutive. If you can explain some thoughts on that.

S. Nagarajan: No, I think the way we are looking at it is not that it will be ROE dilutive we do think that each of these, what you characterize the international business and the domestic business has a certain combination of ROE and growth rates. I guess we would have to look at both of them together. As you are aware that the growth rates for the export business from India have been quite good. I think the export business is now far higher, right, more than \$5 billion, \$6 billion compared to the domestic business. So we, therefore, would tend to look at it as a combination of the growth rate as well as the ROE. And the overall business level,

between international and domestic, at an overall

Rallis level, I should say, the aim is to obviously improve the ROE, not to dilute it.

Sanjiv Lal: And just to add that we have to look at this over a period of time, not in a one -year or two -year time frame. We have also said that for what we call Catalogue products which we are selling to multiple customers in different geographies. We will be introducing one new Catalogue product every year. So over time, these will also scale. And that is the approach that we have taken. And we have also mentioned earlier that when we are looking at our investments, we are looking at the over 10-year IRR for decision -making process.

Moderator: The next question is from the line of Amar Mourya from AlfAccurate Advisors Private Limited.

Amar Maurya: So sir, firstly, on the export business. Export, we were talking about liquidation of high-cost inventory into the system. So that got liquidated. Secondly, what is the progress on PEKK front, and thirdly, like this Difenoconazole which we going to start from third quarter? What is the overall size of the opportunity? Are we going to supply the technical or formulation? These are three questions, sir.

S. Nagarajan: So in terms of the high -cost inventory, like it was mentioned in the opening remarks, I think we have been able to navigate through that without too much of negative impact in terms of markdowns. Most of our products are now down in terms of the high-cost inventory. There will be a few which may be a small quantum, which may be residually present, but we are confident that we should be able to liquidate that, either in the export market or in the domestic market under the branded formulations. As far as PEKK is concerned, we do believe that it will have a bright future. At this point in time, it is slowly recovering. We are finding some positive movement on it. And over a longer period of time, we do believe that it will come back to reasonable levels. Difenoconazole, is largely targeted towards at this point in time towards the Southeast Asian and the likely unregulated markets and the Indian market. We are in the process of working through the registrations for some of the other markets.

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And I guess it will be possible for us to kind of lay out a better road map in terms of its scale potential once we are a little bit more advanced in the registration process. Right now, these markets are comparatively smaller, and we are in the first year of production in the MPP. And we do expect that this will scale up maybe in a couple of years.

Amar Maurya: And we will be supplying the formulation or technicals over here?

S. Nagarajan: Both. As far as the domestic market is concerned, we already have two products which were launched in this quarter based on the technical that we produced. As far as the international market is concerned, we will supply technical and if possible and wherever it is based on the registrations and all of that, we will be also aiming to supply formulation.

Moderator: The next question is from the line of Abhijit Akela from Kotak Securities.

Abhijit Akela: So first question was on the other expenses line, which has declined year-over-year. And even on a sequential basis, it has hardly shown any growth despite the seasonal heaviness of this quarter. So just sort of wanted to seek your perspective on what sort of controls we've implemented here and in what areas has expense cuts, if any, be implemented?

Subhra Gourisaria: So Abhijit, some of the expenses which sit in the other expenses, for instance, freight and distribution for our international products, which has seen a compression both in terms of volumes and also in terms of rate, because freights and the cost have come down. Secondly, the optimization effort we did in terms of various other core expenses, be it in terms of bad debt in terms of other expenses

with

traveling, conveyance, where we have tried to optimize it in line with looking at the efficiencies, which can be plugged in has helped in reducing it.

Sanjiv Lal: We also introduced some controls within the expense modules and also that there's better visibility to the operating team in terms of what is it that they can spend in a particular period of time.

Abhijit Akella: Understood. That's helpful. And the other question I had was just with regard to the export business. You spoke about continued high channel inventories and oversupply and pricing pressure across several molecules. But pendimethalin, you mentioned that volumes are experiencing a pickup and you're evaluating an expansion as well of capacity. So if you could please shed some light on what's happening in pendimethalin in particular, maybe a little bit more broadly on some of the other products as well.

S. Nagarajan: So in Pendimethalin in certain markets, we are finding the demand traction to be high. As you are aware, last year, we had received the technical equivalence for the European market, and therefore, that has afforded us the opportunity to sell in the EU market. There are also certain formulations, pendimethalin-based formulations, mixtures, which are seeming to gain traction in the overseas markets. There is also a demand for the CS formulation, the capsule formulation that seems to be strong. So these are different growth drivers that are helping us to feel confident to expand our capacity.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

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Rohan Gupta: First question, you mentioned roughly 5% kind of volume decline from the domestic agrochemical.

Can you give some share of volume and pricing decline in this?

Subhra Gourisaria: So domestic, Rohan, the volumes have been largely flat, as we said, marginally positive. And the 5% that we spoke has been coming from price alone.

Rohan Gupta: So you were saying that the total revenue growth from the domestic agrochemical which you're talking about is 5% only, volume has been flat. So minus 5% is only the price.

Subhra Gourisaria: Yes.

Rohan Gupta: Okay. Second thing is that in our seed business and in the current quarter, I think a lot of credit goes to significant improvement in the seed business profitability which earlier had roughly Rs. 21 crore to kind of EBITDA loss and we ended the quarter with the profit. So seed being a very heavy Q1 business, do you see that there has been a structural change because the company has been striving to drive its non-cotton business to remove the quarterly volatility and to drive the business in the other non-season of cotton?

So do you see that there is a structural change and can expect that this going forward can have an EBITDA positive? Or it is just only season or in the current year, we have seen a less return of sales from the cotton business and that has driven this profitability in seed?

Sanjiv Lal: So Rohan, there is a significant skewness in our seeds business towards Kharif, right? And this skewness will continue at least for not only this year, but perhaps next year also, till we are able to sort out our Rabi portfolio in the seeds business. So that skewness will continue into this year for sure and next year, perhaps.

Subhra Gourisaria: In Q2, I think, Rohan, the impact that you have seen is largely because of sales returns accounting. Sales returns have been lower. There's intrinsically no change in terms of portfolio as such, major change.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V: Sir, in terms of this flat volume growth in the domestic front and the 5% price decline, can you just share some light? What are your thoughts on the industry performance and I mean how we would benchmark ourselves to the industry in the previous quarter?

Sanjiv Lal: So I understood your question right, there was

a bit of break in the audio. Are you referring to the domestic industry performance? If that is your question, I think the results will play out. We don't

think that there's significant growth in the domestic industry overall. Some companies which have had a more favourable portfolio will certainly do much better. But generally, I think it will be low single digit only, if at all.

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Somaiah V: Yes. Sir, on the international front, the revenue decline, can you give some color on pricing versus volume decline there?

Subhra Gourisaria: The international business, decline-growth was more in terms of volume. So around 10% to 15% is the price drop and the balance has come from volume.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on what is a good performance given the challenging environment. The two thoughts I had. One is what is your reading of the excess supply coming in from China? Is it possible to give some timeline over which we can see that abate? And secondly, if you see the Indian -- the water situation, to what extent do you think now this monsoon can make up of the shortfall in the levels for the Rabi, what is your reading of the situation? And how do you see the investment on the MPP to our revenue can you give us a ballpark number in terms of capacity or full potential revenue from the MPP at full capacity, that will be useful.

S. Nagarajan: So as far as the channel inventory and the availability of stocks from China. I think it is something based on our interactions with our customers. We feel that it is quite some time away, which is why in the opening remarks also, it was mentioned that it will be at least after this quarter. Now whether it will happen in the Q4 of this year or whether it will be a renormalization, even later than that, we will have to really wait for some more time to see. But the channel stock levels are fairly high at this point in time. That is one.

And the second is in terms of the rainfall, yes, there is a challenge, particularly in Peninsular India, where the reservoir levels at this point in time are significantly lower compared to the long period average. We do think that there is likely to be an impact on account of this in Rabi and at least we are factoring that into our plans for the upcoming Rabi season. As far as the MPP is concerned, as we said, we have started with Difenconazole, we will be getting into our first contract manufacturing product from there in the course of this year.

What we would do is to kind of wait after the execution of this to kind of arrive at some kind of a normative level at which we can have a good asset turnover ratio. It also depends on the progress of registrations that we are able to achieve. And we are also in the process of developing more pipeline products. So I would say that we will probably be able to aim for some kind of a reasonable ratio after we go through at least a year of experience on the MPP.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, the first question is on the global crop protection market. You indicated in your opening remarks that the market is likely to decline by low double digit. Is there any volume impact? I mean, largely will be attributed because of the pricing. But is there any volume impact that we have seen in certain geographies because of weather-related anomalies?

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S. Nagarajan: Not because of weather-related anomalies. It is more about what we have seen significant volume impact. In our quarter 2 international business only about 10%, 15% of the decline is attributable to the price drop. The rest of it is actually volume drop. So we have actually seen volume drops in our international business, and we believe that this will be typical of most of the industry. And this is more related to the stock

levels in the channel. And companies not being able to place fresh purchases because they are already overstocked and have challenges down the value chain. It is not so much about weather-related challenges. The farming income level in many of the geographies are still robust. So we are not looking at it from a weather point of view, but more from a channel inventory point of view.

Sanjiv Lal: And additionally, I don't think there's any drop in consumption because in some of the markets, the season is going fairly decently, not that there is going to be demand disruption from the consumption level.

Rohit Nagraj: Right, right. I was actually looking from the consumption point of view, and it's clear now. The second question is in terms of the lower water reservoir levels for Rabi. Given any historical precedence, does that affect the consumption, does that affect the acreages, and obviously, it will have impact, so excluding the inventory-related impact from the sowing perspective, have we seen this kind of anomaly historically, whenever such a situation has happened?

S. Nagarajan: Yes. I think in terms of water shortage, definitely would have an impact as you are aware the level of irrigation in the country is 50% to 55%. So there is bound to be an impact as far as the domestic business is concerned. And as I said, that is why we are factoring that into our plan. We're trying to look at which geographies what kind of impact that could be and how do we sort of operate under that situation.

Moderator: The next question is from the line of Rishabh Shah from Dalal & Broacha.

Rishabh Shah: Two questions from my end. Can you just tell me about the export and domestic revenue mix for the quarter because that's not mentioned separately in the PPT? And possible to share the CSM margins, expected CSM margin, because usually it will be like a cost-plus margin model, right? So yes, that's it for my end.

Sanjiv Lal: So we won't be able to share the margin profile of our CSM products, but overall revenue stood to even the share between domestic and international.

Subhra Gourisaria: The domestic and International would be 4:1 you can say, for this quarter.

Rishabh Shah: And just if you can directionally guide on the CSM margin, is it better than the company level margins or in line with the company level margins?

Subhra Gourisaria: we can't give that level of detail as that's also something that partners do not encourage.

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Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: Some of my questions are already answered. Just one question, if you can give us an overview on as we are saying that the export market is today impacted and volumes are down. Is it possible to just give an overview on region-wise specific thing that which regions are doing, I mean, which regions are under pressure? And where we are seeing some kind of improvement? And even going forward, where we are expecting some kind of green shoots in coming times?

S. Nagarajan: Green shoots at this stage is a little early, but certainly, the U.S. geography is quite a bit affected. EU is also affected and Latin America too a smaller extent. So I guess that could probably be the hierarchy of impact, but all these geographies are significantly affected. Green shoot is a little bit difficult to predict at this point in time. It all depends on how long it will take for liquidating the inventory and as you're aware, the global agrochemical business went up to \$80 billion, from about \$60 billion, \$65 billion in two years. So there is a kind of a process of working out this flab, which is going to take some time. It's hard to predict when the green shoots will emanate.

Sanjiv Lal: At least the next quarter is not going to be easy, that's for sure.

Moderator: Ladies and gentlemen, that was the last question for today. I would

now like to hand the conference

over to the management for closing comments. Over to you.

Sanjiv Lal: Thank you, as you would appreciate, we are facing significant challenges due to sharp price correction and global demand compression as well due to the inventory overhang as we have articulated. We expect the situation to continue well into Q3 and perhaps for the rest of the financial year as well. We will continue to monitor the volume-led growth across our portfolio with pricing growth likely to be negative. Margins will remain a priority, and we will continue – on the path to improve on an annualized basis through better product mix and pricing actions.

Our wide and diverse portfolio with presence across domestic and international markets, crop nutrition and seed business does offer us some stability to navigate through these challenging times.

Quality of sales and cash flow will continue to be a key priority across our business teams, and we will further focus on improving collections and controlling inventories during the second half of this year. Our investments made over the last few years in R&D, Product Development, Manufacturing

and Capabilities will enable us to deliver our long-term growth agenda in a sustainable way.

That concludes my remarks, and we can conclude the call here. Thank you very much for joining.

Call: Jan 2024

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Tel: +91 22 6232 7400 Website: www.rallis.com
Corporate Identity No. L36992 MH1948PLC 0140 83

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January 30, 2024

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001

Script Code: 500355 National Stock Exchange of India Limited

Exchange Plaza

Bandra-Kurla Complex , Bandra (E)

Mumbai – 400 051

Symbol : RALLIS

Dear Sir,

Sub: Transcript of Analysts' Call pertaining to the Unaudited Financial Results for the third quarter and nine months ended December 31, 2023

Further to our letter dated January 10, 2024, we enclose herewith a copy of the transcript of the Analysts' Call on the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2023 held on Wednesday, January 24, 2024.

The same is also being made available on the Company's website at:

<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Rallis India Limited

Srikant Nair

Company Secretary & Compliance officer

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Rallis India Limited

9M & Q3 FY24 Conference Call Transcript

January 24, 2024

Moderator: Ladies and gentlemen, good day and welcome to Rallis India Limited's Q3 FY24 Earnings Conference Call.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desai from CDR India. Thank you and over to you sir.

Gavin Desai: Thank you Michelle. Good day everyone and thank you for joining us on Rallis India Limited's 9M and Q3 FY24 Earnings Conference Call.

We have with us today, Mr. Sanjiv Lal – Managing Director and CEO, Mr. S. Nagarajan, – Chief Operating Officer and Ms. Subhira Gaurisaria, Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward looking in nature and involve risks and uncertainties. A detailed statement in this regard is available in the "Results Presentation" sent to you earlier.

I now invite Mr. Sanjiv Lal to open the proceedings of the call. Over to you Sanjiv.

Sanjiv Lal: Thanks Gavin and good morning, everyone. As usual I will start with a brief overview of the industry after which I will discuss the Rallis specific developments.

To start with, the industry grappled with numerous challenges in the initial half of this fiscal. India itself experienced a 6% rain deficit compared to its historical average, posing difficulties beyond just the low precipitation, spatial distribution challenges also emerged. In particular, inadequate rainfall during Kharif led to moisture deficit in the soil and reduced water storage and reservoirs. The Rabi season witnessed a small decline in the sowing area compared to the corresponding period in the previous year.

In addition to weather related challenges, the industry struggled with the declining prices of various generic active ingredients, primarily due to continuing high inventory overhang.

On a global scale, challenges also emerged in Latin America which is a substantial market for numerous Indian agrochemical companies where demand remained

subdued. North America and Europe faced de-growth issues attributed to channel

inventory issues.

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Moving on to Rallis Specific Developments:

Our performance during the quarter is largely in line with what we have been guiding in our earlier calls. Volume growth for the quarter is positive but because of steep cost deflation, in fact our price growth was negative at 8% resulting in a revenue decline of 5%. Our revenues for the quarter stood at Rs.598 crore. EBITDA for the quarter stood at Rs.61 crore against Rs.53 crore during the corresponding period last year. PAT for the quarter stood at Rs. 24 against Rs. 22 during the corresponding period last year. During the quarter, EBITDA and PAT margins improved to 10.2% and 3.8% respectively, compared to Q 3 of FY23.

Moving on to the individual businesses :

Starting with Domestic Crop Care:

As mentioned earlier, revenues have been impacted by the delayed and unpredictable monsoons. Our efforts in terms of calibrating placements with market agility and focused marketing helped in a 6% revenue growth during the quarter, supported by 7% volume growth in crop care. Regarding regional demand, North, Central and Southeast Asia have exhibited resilience, while West and Southwest India, particularly in Maharashtra and Karnataka, have experienced subdued demand due to lingering effects of the deficit monsoon. Fungicide liquidation in Maharashtra has been sluggish, influenced by clear weather conditions and decline in onion crop sowing.

Despite these hurdles, we remain focused towards enhancing our product mix, expanding our reach and deepening our connect with customers. We launched three new products during the quarter, for application in multiple crops. So far, during the first nine months of the current financial year, we have introduced 16 products across various categories and markets. We are optimistic that these efforts will contribute to our growth in the years ahead. Our distribution network for domestic crop care business stood at close to about 5000 distributors and our retail footprint has increased to about 62,000 as of end of December.

Moving to International Business :

Exports continue to witness challenge with 26% degrowth during the quarter. Demand in general remained muted across our key markets, including the United States and Europe. Product prices are soft and channel inventories continue to remain high. In terms of individual products, our key products, Pendimethalin, Metribuzin, Acephate and Hexaconazole, witnessed an approximately 15% to 30% price decline versus the previous year. Even in these turbulent times, Pendimethalin is showing traction and we have announced expansion of capacity of Pendimethalin to support the positive growth momentum.

Moving on to Contract Manufacturing :

It continues to remain steady. As highlighted earlier, we have signed three contracts. One of them an intermediate had already commenced despatch in H1. During Q3 we dispatched a new technical from a multipurpose plant for one of the Japanese innovators and a new formulation from our plant in the chemical zone. We are optimistic that over time we will be able to scale up our contract manufacturing business.

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Our Seeds Business:

We experienced a positive first half, predominantly fuelled by a strong performance of our cotton hybrid Diggaz. In addition to Diggaz, the new cotton hybrid, Aatish Express, has gained traction in Maharashtra and the southern cotton belt sales of other crops such as paddy maize and millet have been steady. Q3 being a small quarter, our revenue was Rs. 32 crore. The distribution network for the seeds business is now around 2,750 distributors and a retail footprint of about 47,000 retailers. While we have taken measures to enhance our Rabi portfolio, we anticipate that the seeds business will continue to be predominantly Kharif oriented in the near term. Our actions towards improving the profitability of our business are progressing

well.

In Summary:

Although we anticipate ongoing challenges in the near term, especially in the exports business, we remain optimistic of the overall potential in the medium to long term. Our actions around portfolio expansion through new product launches and expansion of distribution reach and market investments will continue to drive profitable growth. We are also commencing the construction of our integrated R & D facility and expect it to be ready within 18 months and this is also going to go a long way in building a steady product pipeline in line with our long-term ambition.

With these opening remarks, I will now request Subhra for analysis of our financials.

Subhra over to you.

Subhra Gourisaria: Thank you Sanji v. Good morning, everyone and thank you for joining us today for our Q3 and 9M Earning Call.

Let me quickly walk you through our financial performance for the Quarter, post which we should commence the Q & A session.

Starting with the top line for the Quarter:

Our revenue stood at Rs. 598 crore as against Rs. 630 crore generated during Q3 of FY23 which is lower by 5%. Volume growth is positive, but pricing challenges have impacted the overall growth. EBITDA for the quarter stood at Rs. 61 crore as against Rs. 53 crore during the corresponding period of last year.

Margin for the quarter stood at 10% as against 8% during Q3 of last year. Our efforts around agile pricing, shorter pricing calls and shorter procurement have helped in improving gross contribution.

Further, our actions around timely liquidation, even at lower prices in the past have ensured we are marked to market for finished goods. Lower exports mix, better domestic performance and overall cost control have helped in improving gross margin. We also continued to be prudent in terms of overheads during these turbulent times. Profit for the quarter stood at Rs. 24 crore as against Rs. 22 crore during Q3 of last year.

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Moving to Businesswise Performance:

In the backdrop of challenging monsoon conditions and steep cost volatility, our actions have helped domestic business growth at 6%. We continue to focus on the quality of sales and collections. As far as international business is concerned the overall situation remains challenging. Demand as well as the pricing environment remains muted in turn impacting the revenue and profitability of the business. Our focus will be to drive volume growth as much as possible and ensure the best possible capacity utilization. We are also happy with the commencement of dispatches to a few new prominent global customers during the quarter. Our contract manufacturing business delivers steady performance during the quarter, and we remain positive on a long-term basis.

As far as seeds is concerned, we've had a good year following the performance of cotton hybrids, Diggaz and Aatish Express. Our efforts on working capital continue to progress well. Our inventory levels are significantly under control, especially in the seeds business and we continue to remain cash positive during the quarter as well. On Capex, we envisage that our spends for this year would be in the range of Rs. 150 crore.

To Conclude:

I would like to reiterate that we remain positive on the business on a medium to long term basis, based on our recent strategic initiatives coupled with the commissioning of the Dahanu unit. That concludes the opening remarks.

We can now commence the Q & A session.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elera Securities.

Prashant Biyani: Subhra ma'am, can you elaborate further on this agile pricing point and how it is bearing fruit for you on the margin expansion side?

Subhra Gourisaria: So, what I meant was that we are looking at the market context and we are reviewing with the business team on what is the

pricing actions to be taken to remain competitive in the market and as far as the international business is concerned, we had spoken in the past that even if we had to liquidate some of the products at a lower margin, we have done that to ensure that our inventory levels do not balloon.

Both these actions, I would say have helped us in ensuring our gross margins are protected.

Prashant Biyani: But on the international front, liquidating at a lower price would drag your margin. But is it only because of your change in geographic mix that we are seeing margin expansion, or this dynamic pricing is helping you to increase margin in the domestic business? If this is true, then how is it doing it?

Subhra Gourisaria: So, our export margins are certainly under pressure but overall, at a product and a portfolio level we have been able to improve the margins .

S Nagarajan : So, I think we have to distinguish between international business and the domestic business. As far as the international business, what you're saying is absolutely correct , our margins are actually lower right this quarter compared to the last year same quarter, Q3 of FY24 versus Q3 of FY23, for the reasons that are quite obvious in terms of the price points falling much faster than the cost points . As far as the domestic business is concerned, there is definitely an improvement in the margin

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and that is happening because of a couple of factors. One, of course, is the overriding drop in costs which is certainly facilitating the process. But I think in terms of pricing also, there is a lot of short calls that we have been taking in the last few months, particularly more in last 6 months I should say and certainly in Q3 also. What it means

is that on a very short basis, like 10 days kind of basis, there is very close monitoring of how the product prices are moving. So that has contributed. The second is, of course, our mix also has improved I should say, in terms of the contribution margins. We have had some couple of new products that have been introduced which you are already aware of. Last quarter we introduced Clasto, an insecticide which has also been a good product from the point of view of margins as well. So, it's a combination of agile pricing, it's a combination of mix change in the domestic market and of course raw material cost reductions as well from the standpoint of GC level and at the overall level, there is fixed cost control also that was mentioned earlier. That has also contributed to EBIT margin improvement.

Subhra Gourisaria: And also the mix because domestic business has better gross margin, but on overall portfolio level as well the mix is positive. That's also contributed to the improvement in the gross margin.

Prashant Biyani: Lastly, leaving aside this year, is there a steady state margin for international business or it is quite volatile depending on the global Ag-Chem prices leaving aside this year ?

Subhra Gourisaria: It's actually quite volatile as you exactly said. It will depend on when the raw materials are sourced and it also differs between different products and the competitive context. But I think we had mentioned earlier as well that considering that the overheads are low for this business, at the EBITDA margin level, the business is comparable to domestic business in terms of margin on a longer -term .

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Asset Management.

Tarang Agrawal : Just a couple of questions from my side. If I look at nine- month FY24 or Q3 FY24, your operating expenses have come off reasonably versus the base quarter, which is everything in conversion cost except employee cost. So, what are the key factors that have driven this? So that's one. The second, in terms of your seeds business, how are you guys placed to feed Kharif of '24 in terms of maize, paddy and cotton? And do you

have products for Rabi Corn?

Sanjiv Lal: On the fixed cost there has been a special emphasis that we've been giving on managing our cost structures at manufacturing levels as well as at the sales, marketing and other corporate related costs. That has certainly helped in managing the costs, I would say. And as far as the seeds business is concerned, there have been challenges in hybrid seed production. As far as cotton is concerned, I think we are largely in line with what we were expecting to produce for the upcoming Kharif and there is a certain inventory that we are holding. So, we still need to fully establish what is going to be the hybrid seed production from the current sowing season. So, we'll get an estimate of that. But yes, there is going to be a certain amount of pressure on next year's Kharif placement.

Tarang Agrawal : Is it pervasive across crops or are you talking only about cotton?

Sanjiv Lal : Cotton, largely we are okay because whatever we were intending for next year, we've been able to secure the production for that.

Tarang Agrawal : So, your comment was more for the other crops ?

Sanjiv Lal : That's right.

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Tarang Agrawal : And are you present in corn which is sown in Rabi ?

S. Nagarajan: We have a very small presence ,

Sanjiv Lal: We are present but it's very small.

Tarang Agrawal : And just last, if you could give us a sense on how much was Aatish in FY24 versus FY23 and the years before, because that product seems to be garnering reasonable traction and similar number for Diggaz?

S. Nagarajan: We have crossed about 4 lakh packets for Diggaz this year and about 5.5 to 6 lakh packets for A atish Express this year.

Tarang Agrawal : And how much was this in the previous period, previous year ?

S. Nagarajan: Diggaz was last year closer to 2 -2.5 lakhs so it's kind of double. Aatish was also roughly 2.5- 2.75 kind of region.

Tarang Agrawal : So, there's been reasonable growth across both the products?

Sanjiv Lal: Yes, it's doubled FY24 over the previous year.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on the export or the international pricing. You did mention that lower pricing has been putting the margins under pressure. Just wanted to see where or how much the differential between our pricing versus competition is, which probably is largely China. So, pricing wise competitiveness over there?

S Nagarajan : Well, obviously I think in the cases that we have been able to win the orders at an overall level, not just from the standpoint of competitiveness based on pure price alone but overall, in terms of service, availability, quality, timely supply, everything put together, we have been able to obviously be competitive. But if you just take purely on a pricing basis, certainly the prices from China are in some cases lower.

But as you would appreciate, it is also an important point about registrations and all of that is going into a decision by the customer. We try to be fairly close to China. I can't say that we are lower than China. There are cases where China is definitely better than India and certainly our prices too.

Ankur Periwal: And just a follow up, basis your understanding, is it that Chinese are selling it below the cost or maybe cost to cost?

S Nagarajan : Its very difficult to predict their cost structure and all of that but the drops in prices are, as you know very steep. For the chemicals that we sell we have mentioned that we actually have seen 15% to 30% drop over last year, the same quarter Q3 of FY23. So, it's hard to say, but yes, it's possible.

Ankur Periwal: And just second question on a strategy which you highlighted, the short cycle focus versus the long cycle one, is it more specific for the domestic market and which is where large part of the cost cutting as well as the margin accretion happened or are

you focusing on this strategy equally across the export as well as the domestic crop care business ?

S Nagarajan : Both the markets. I think if you look at it from the front -end pricing point of view, it is of course in both the markets because even in the international markets, the demand situation is fairly weak, it is still muted. So, we are taking short and even the customers would like to sort of keep it short. And the domestic market, of course, we

are doing that. From a procurement point of view also we have shortened our cycles. We are actually taking near-term procurement calls so that we are able to sort of navigate the cost points if the raw material prices were to further fall down.

Moderator: The next question is from the line of Viraj from Securities Investment Management Pvt Ltd.

Viraj Kacharia: Just three broader questions. First is on a domestic piece and the question is largely one is on the volume outperformance. So, you are having positive volume growth in an environment where the industry inventory is quite high, and the season has not been that great. So, if you can just probably give more elaborate color in terms of the drivers of that growth in terms of the new product scale up and how is the performance of the base business has been in domestic crop care?

S Nagarajan : So, in domestic, I think the volume growth is largely coming because of our insecticide category. That is, of course, related to the new products that we have launched. Benzilla, which was launched in this quarter and Clasto, which was launched the last quarter. Benzilla, of course, as you know is for BPH control in paddy and Clasto is for whitefly control in cotton. These two have contributed significantly for the overall growth. We have had challenges on the fungicide front as was also mentioned earlier. So, there has been I could say adegrowth there. But overall insecticide is what has driven the growth. Geographically Andhra, Telangana, these locations have actually driven the growth, if you look at it for the last quarter.

Viraj Kacharia: But a lot of these will be primarily placement driven not consumption driven. Because most of the key market season for this will be primarily Kharif, maybe not that much Rabi, especially for cotton or paddy crop. So, do you see a possibility of sales return kind of situation going into Q4?

S Nagarajan : Well, I think the BPH product, Benzilla BPH comes late in the crop lifecycle for paddy.

So, it actually comes in the Q3 because in Kharif of '23, the crop would have started.

And then it would have reached maybe close to 80 or 90 days, depending on the market, 70 to 100 days kind of a time frame in Q3. So, liquidation has been happening there. And we have also found that for cotton, it was almost kind of the tail end stages in Q3. So therefore, the amount of Clasto that has gone there is

actually comparatively small.

Moderator: The next question is from the line of Esha Mohanty from Kotak Securities.

Esha Mohanty: My first question is the impact on the revenues because of the Red Sea freight disruption. And the second question is, what sort of revenue could we expect from the new contract manufacturing product in the upcoming years?

S Nagarajan : Red Sea, I think the impact has been more from the standpoint of higher freight costs. Definitely that is impacting us, and we do have sales there in the European and around that Mediterranean Sea region which was dependent on the Suez Canal. So, there is an impact consequent to that.

Esha Mohanty: What sort of revenue could we expect from the new contract manufacturing products in the upcoming year?

Sanjiv Lal : So, what we have mentioned is that our new opportunities in contract manufacturing, these are smaller opportunities, so they will take time to scale up. So, what we are currently trying to do is to add more a

nd more products and customers

in our contract manufacturing business. So, there will be a number of small opportunities that we will be building on. It will take some time to scale because some of them are very new products in the market. So, it'll take some time to scale.

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Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broach a Stock Broking.

Bhavya Gandhi: Just wanted to know if price erosion was close to 15% -30% so if you can just name key molecules and what is the price erosion over there, that will be really helpful.

S Nagarajan : I think this is the general overall range for all the molecules. Specific as you know, there is published information that is available, it can be accessed but this is broadly the kind of range for our portfolio.

Bhavya Gandhi: If you could name any key molecules and their prices one year back and what is the price right now?

S Nagarajan : Well, not readily available. So that's why I was saying that this is the range. We can share it with you later or you can also look it up. It's available.

Bhavya Gandhi: And also, just wanted to know, what was the current quarter international versus domestic mix and for nine months as well?

Subhra Gourisaria: Current quarter versus international would be domestic to international would be broadly 2:1. So 35% would come from international business. Domestic business 65% and on a year-on-year basis is in the similar vicinity.

Sanjiv Lal: 30%-32% will be international be on the lower side this year.

Bhavya Gandhi: And just one last question. In history, have we seen this kind of scenario where channel inventory has been to this level and how long did this cycle last historically?

If yes then is it like a 2-3-year cycle or is it like a four-five quarter cycle? Because I'm seeing all our agrochemical companies, they are forwarding their guidance maybe by one-two-three quarters then now. So, if you can just elaborate on that front historically, what has been the outlook?

S Nagarajan : Historic. No, I don't have that kind of information historic, but it has happened in the past also. But of course, the reasons and the contributory factors would have been very different at that point in time. I think 2013 or 15 or something. The drivers were different at that point in time. Now the drivers are, of course, quite different. How long it will stretch, we certainly think that this quarter is something where we have very good visibility, and it is not ending in a hurry in this quarter. Now we will have to see how quickly in the next financial year it will revive. Whether it is going to be Q1 or Q2 is a little bit hard to say at this point in time.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: If you see the trend in gross margins and EBITDA margins, what would be the difference in terms of the EBITDA margin or the absolute EBITDA between the international business and the domestic business? And you can give us the share of the international revenues in 3Q or nine months that will be very useful.

Subhra Gourisaria: I think we gave you the share already that it was broadly 65% for domestic business. As far as the EBITDA margin is concerned and I'll talk more about the steady state. The steady state international business will make lesser gross margin but at EBITDA margin, both the business would be broadly similar.

S. Ramesh: So, you are saying international business is still profitable, although there has been a 15% to 30% decline in the prices, right?

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Subhra Gourisaria: I'm not talking about this quarter, but on a longer-term basis. And yes, international business is certainly profitable, even for this quarter on a gross margin basis. And overheads are not very high if you take the exclusive costs.

S. Ramesh: So, if you take, assuming normalized inventory level

vels and normalized procurement

and placement, do we see the domestic and international margins kind of reach parity? And to that extent, can we expect your overall growth in earnings and cash flows to show a positive trajectory over the next 2 years? And to that extent, can we expect the R OCE to show an improvement in the next 2 -3 years?

Sanjiv Lal: Yes, I think certainly as Subhra was mentioning on a steady state basis, at the EBITDA margin level, the international business will be more or less in line with the domestic business.

S. Ramesh: Just one last thought on the contract business. When do you see the contract manufacturing business reach a material share in terms of the overall revenue 5% - 10%? And is that going to be similar in terms of a margin and R OCE profile or would you be able to reach a certain critical mass where the margin and return profile in the contract manufacturing would be higher than your existing crop care business? Because if you see the contract manufacturing companies across India and other countries, the margins tend to be a little bit higher. So, what is your overall sense of the business you're building?

Sanjiv Lal: That is true. Contract manufacturing does have better margins than what we call catalogue sales. And what is positive is that one of the businesses of ours, which is that polymer business which had been almost dormant for quite a period of time, is now slowly coming back. So that will also help in sort of improving the percentage of our business coming from exports. So, we see the contract manufacturing business steadily grow over the next 2 -3 years because some new products also being introduced for catalogue sales in the exports business apart from contract manufacturing opportunities which we've already mentioned.

Moderator: The next question is from the line of Rohit Nagraj from Centrum broking.

Rohit Nagraj: First question is on CAPEX. So, I believe including the FY24 CAPEX we will be completing the Rs. 800 crore that we had planned a few years ago. How much of this is currently reflected in terms of revenues or rather not exactly revenues, but may be from a utilization perspective? Just to get an understanding that this capacity will be available for the next 2 years or 2.5 years or so. And just a number, what would be the CAPEX run rate from FY25 onwards?

Sanjiv Lal: So, in terms of the big-ticket items, we had the formulation facility in the chemical zone. So that is fairly good in terms of its utilization. The multipurpose plant, which was the other big-ticket investment of ours, we are expecting about 60% capacity utilization next year as we add more products to it. And of course, we've also done a number of capacity enhancements for our existing products. Most of them have already been operationalized. The next big-ticket investment is the work which we are starting on the new R&D center that will be spread out over the next 15 to 18 months in terms of expenditure. So largely we are outlooking about Rs. 150 crore for the current financial year and maybe next year it'll be about Rs.170 odd crore.

Rohit Nagraj: Second question is on Pendi. So, what is the current competitive scenario and what gives us confidence of putting up incremental facility when in China we have been seeing that there have been capacity enhancements across all the generics.

Sanjiv Lal: I think for us we have a good customer list with us and our business has been quite steady with our existing customers, price drops and all notwithstanding all those issues, but certainly, we see that there's an opportunity for us to further add capacity

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so that we are able to support our customers in the key markets. In fact, what has also happened is that we have also got the Europe registration for Pendimethalin, so that is giving us another direct market.

Moderator: The next question is from the

line of Vishnu Kumar AS from Avendus Spark.

Vishnu Kumar AS: Just on the contract manufacturing business, you highlighted that we would see some growth from here on. Is that business fixed margin or will we see some volatility if the prices go up and down?

Sanjiv Lal: Typically for our contract manufacturing, the way we are structuring the contracts are with key raw material costs being passed through. So, in a way it is supporting the level of margin that we'll be getting from these contracts. Does that answer your question?

Vishnu Kumar AS: Yes.

Sanjiv Lal: I was just saying that the key starting materials are all pass-through costs.

Vishnu Kumar AS: So irrespective of the Chinese, assuming the prices continue to be soft, we will at least get the fixed margin per kilo exported. Would that be a right understanding?

Sanjiv Lal: That will be a correct understanding that we are having a pass through for the key raw materials.

Vishnu Kumar AS: What level of growth can we expect? Even if you can give some sense into the next couple of years on this side of the business, if you could help us on that.

Sanjiv Lal: One is as I mentioned, that one of our key products which is at polymer is coming back. So that itself we should see it getting back to its historical levels over the next

2-3 years. Our new business opportunities are going to be small ticket opportunities and we are quite happy to support new customers with even small volumes. A purpose of our multipurpose plant is to give that flexibility to be able to meet customer needs. I would not want to hesitate a percentage growth. But I would certainly say that we should be well placed to add at least two new customers products over the next 3 years.

Vishnu Kumar AS: And one final, if I may, reservoirs are not great. And also, we are hearing that the snowfall in the North has not been—at least in the upper reaches of Himalaya, has not been—good. Do we expect that the upcoming season for Kharif will be a bit more challenging and in any sense that you could give us, at least on this side, if these two conditions are there in the past, things have not been great, any sense on that?

Sanjiv Lal: So, actually, if one goes with the kind of information that is currently available, it is certainly not going to be very easy. To start with, there is a lower reservoir level, so it's already impacting what's happening in Rabi. That is one. Second is that if you look at the El Nino forecast, the probability of El Nino continuing into next year is almost at 75% probability. So, some of these things as of now, give you the sense that it may not be so straightforward. So, we'll have to wait for some guidance coming from IMD and others, but this is what is the current information.

Moderator: The next question is from the line of Darshita Shah from Antique Stock Broking.

Darshita Shah: I just had one question regarding the tax rate during the quarter. What was the reason behind it being lower and is it sustainable in nature?

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Subhra Gourisaria: The tax rate is dependent on, of course, how the income tax, I mean to say tax profit is calculated, which takes into consideration income tax depreciation and others. And that is where there is some difference when you're comparing year-on-year. So, I wouldn't be able to say whether it will continue or not continue, but you can, for all practical purposes, consider the marginal tax rate as for your working.

Moderator: The next question is from the line of Sneha Jain from SKS Capital.

Sneha Jain: I just wanted to ask what would be the impact if there is any logistics or shipping cost increase because of the Red Sea situation?

Subhra Gourisaria: Your question is shipping cost impact because of the Red Sea issue?

Sneha Jain: Yes.

S Nagarajan: Maybe a few tens of cents per kg.

Subhra Gourisaria: The situation is, I would say, dynamic. And we

'll have to see how this impacts the overall costing.

Sneha Jain: And secondly, the destocking of the inventory, what is the current situation and has it improved? Is the outlook going forward is better.

S Nagarajan: At this point in time, it still seems to be fairly highly stocked. There are some products where, for example, the imports that are coming into the US market are looking a little better than what they were one year back, November-December 2023 versus November-December 2022. But I think it is too early to say across the board and it is too early to say across all markets. So, we do expect as far as this quarter is concerned, like we mentioned a little earlier, things are not looking like it is going to

be addressed. Now, how quickly it will get addressed in the next financial year is what we are now trying to see whether it is going to be late Q1 or early Q2, or in Q2.

Moderator: The next question is from the line of Sandeep Abhang from LKP Securities.

Sandeep Abhang: I had questions related to your seeds business. So, your seed business has been higher by 33% during this quarter. Just wanted to know what drove these sales. And overall, just wanted to know the outlook for 2024 for your seeds business particularly.

S Nagarajan: So, this quarter is a very small quarter, Rs.32 crore and Rs.24 crore was the last year figure. So that one-third what you're talking about increase, I would suggest that we should look at it over a longer, like a YTD kind of a basis. On a YTD basis, what has driven a larger revenue this year, like we mentioned earlier, has been our performance on Diggaz and in Aatish. I wouldn't set too much store by the Q3 33% growth. As far as next year is concerned, I think like what was mentioned earlier, certainly we are having challenges this year in terms of the seed production, we are in the midst of the production season, so we will have to really see where we close on maize and paddy, not on cotton, but on maize and paddy in terms of production levels and therefore, after you add up the inventory levels that we are already carrying, where we might end on the supply levels for next year. So, we'll have some better clarity maybe a few weeks down the line.

Moderator: The next question is from the line of Anik Mitra from Finnomic Solution Pvt Ltd.

Anik Mitra: My first question is related to the late monsoon, which is evident for last two, three years continuous basis. So what strategy you are adopting? And you also rightly

mentioned about 75% probability of El Nino this year. So what strategy you are adopting considering late monsoon in this year as well.

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S Nagarajan : So, one of the things that has actually contributed to the success of many of the hybrids that we have in the market from a seed point of view, has been the shorter duration of them, whether you take Diggaz or even Aatish. So, I think one of the important things is to try and make sure we have enough short duration products on the seed side. As far as the crop care and crop protection business is concerned, I think it is a challenge because you go with the assumption that things might be normal and then you end up placing certain stocks and then you have some difficulty later on. So, what we are trying to do is to try and get as much information as close to the placement as possible. And there our deployment of the integrated business planning tool, the digitalization efforts that we are undertaking, it's just started this year, we are hoping that it will have some meaningful benefit in terms of helping us to predict the kind of demand that might be there in the market. It's early days, but that is what we are doing. And of course, to have a portfolio which can actually address if there are any changes in circumstances, rather than just focusing on one or two products which could get disrupted if things change adversely for those products. So those

are the things that we are doing.

Anik Mitra: My next question is related to a few products like do you see any price erosion in Acephate, Pendimethalin, Metribuzin, PEKK, if you can throw some light in the international market point of view and as well as in the domestic market.

S Nagarajan : In fact, that is what we mentioned. All the products that we are having in our portfolio, Pendimethalin, Metribuzin, all those products which you mentioned, we have seen price erosion between 15% to 30% compared to the last year same time.

Anik Mitra: This is in the Indian market ?

Sanjiv Lal: In the international market. These are in the international market. And the cost also has gone down. So, these are price reductions. But there's also cost reductions which have happened in the international market.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Asset Management.

Tarang Agrawal : Just a question on the crop care business, the technical business. Acephate, Pendi, Hexaconazole, Metribuzin, these are some of your key products. You seem to have reasonable global scale in these products. So, you would have a sense on peer set cost structures, whether it's in India and China. And some of these products, or maybe most of these products are also seeded by Chinese players. We have seen

in the last six, eight months where in case of other products, the market pricing has been onerous enough for the technical prices to be maybe at par or maybe in some cases even lower than the variable cost of production because of the aggression that some of the peers have demonstrated. Has it been true in your set of products?

S Nagarajan : On an average basis we are not in a negative contribution, if you can call it like that. We are not in that kind of situation.

Tarang Agrawal : But you have seen it happening across other molecules.

Sanjiv Lal: Just to also add, for example, if you are seeing significant price erosion where we feel that it is not even covering our cost of manufacturing, we simply don't produce that material. We don't want to be sitting on inventory in a market which is uncertain.

For example, just to let you know that Metribuzin is one of such products that we've been having significant challenges because one is the inventory is high plus the price is low. So, we prefer to keep the asset idle rather than to produce and hold wrong priced inventory. Likewise, even for Acephate, we've seen very -very sharp decline in sales, especially from key markets like Brazil. And there again, there are no

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buyers, even at any price, there are no buyers. So there again, we've had to take slight production cuts so that we don't end up sitting with the wrong inventory.

S. Nagarajan: And that is what, actually when we talked about agility earlier, I think it is across multiple dimensions. Pricing was one part of it, but also in procurement and in production as well as basically the supply chain as well. So, we haven't been in that kind of situation.

Tarang Agrawal : Would it be possible for you to hazard a guess that the players who are supplying at the current prices in all the markets that you also play in, would you be able to comment whether in your view, at the prices currently for, say, something like an Acephate or Metribuzin, are those players making any profits?

S Nagarajan : Hard to say. I think some of them are based in China also. For example, for Acephate, there are producers in China. It's very hard to really say what their cost structure is. But I think, let's put it this way, I think if you push for answer, yes, the

possibility exists that there could be negative GCs, possibility exists, but we don't know for sure.

Moderator: We'll take the next question from the line of Viraj Kacharia from Securities Investment Management Pvt Ltd.

Viraj Kacharia: Two questions. First is just continuing with the question from the earlier participant,

to put it in a different way, are you seeing any signs of capacity adjustment, say, in China or India, for the major products which we cater to?

Any perspective on Demand side, could you give a fair color that the end markets are not doing that great, and say in US or Europe or LATAM, even the current season has not been great, but on the supply side, are you seeing any signs of capacity closure or shutdowns, both in India and China for the major products which we cater to?

S Nagarajan : So it is, again, you see, definitely, I think 2023 has been a very difficult year and we have heard situations where smaller players have had deep troubles in terms of being able to make their ends meet because the prices have got so depressed. Maybe they are sitting on high -cost inventory themselves in terms of raw material, making it very difficult for them to hold on. If they produce and sell, they end up with losses. If they don't, they are ending up with high capital being locked up in inventory. So, there are these kinds of things that we hear, but explicitly for the products that we are operating, whether some capacity is working its way out of the market, whether it is for Acephate or Pendi, we have not heard about that.

Viraj Kacharia: Any further increase in capacity or new addition?

S Nagarajan : Capacity additions have also been obviously affected. Because everybody has, at least in the customer conversations that we have, indicated that everybody is really focused on dealing with the current inventory overhang that is there at an overall level. And certainly, for the products that we are having also we have not heard somebody has added capacity, let's say, in the last six months to nine months.

Viraj Kacharia: Second question is on the gross margin part. So, if you look at overall reported financial, we saw a little over 300 basis point expansion in gross margin. When you look at the domestic piece, the margin expansion could be well over 500 basis point year-on-year. Now, the question is that you highlighted that there are three reasons for the margin expansion. But if you were to just understand the major factor among three, the RM part, the dynamic pricing, and the new product piece, what is the larger factor driving the margin expansion and how does dynamic pricing really aim in margin expansion? If you can just probably elaborate more on that.

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Sanjiv Lal : When we are talking about dynamic pricing, if you recall, we had also said that we are going to be taking shorter pricing calls for procurement of materials. So, if we are very clear as to what price we are able to procure some of the key actives, we know how to price it. And we are not sitting on higher cost inventory, which is forcing us to price it at a level which we will be losing sales. So that is, I think, what has contributed. Basically, taking shorter procurement calls has helped us in this dynamic pricing.

S Nagarajan : Just to give a little bit more clarity for you as a process, for example, when we are buying some stuff, along with the procurement team, we also have a marketing person embedded in that process so that there is actually an integrated view we are able to take about the overall end to end, how the whole thing will play out from a margin, from volume point of view, it is a more inclusive or a more collective kind of a decision process, and that allows us to take better calls.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.

Bhavya Gandhi: Just one question on the contract manufacturing side. Just wanted to know, is it like a long- term agreement or do we have any minimum offtake guaranteed, or how is it, if you can throw some light on the same?

Sanjiv Lal : So, for older contracts, these are, in a way, long term only. It's not that we have a fixed price for a long period, but yes, there'

s a long- term commitment to each other, from our customer and from us. For some of the newer opportunities, since some of these products are new products, these are still on the basis of shorter contracts. They're not long- term contracts, but I guess once the product becomes successful in the market, they will convert into longer term contracts.

Bhavya Gandhi: And are we the sole supplier for this or are there other suppliers also for this product.

Sanjiv Lal : At least for one of the molecules that we are currently doing for the Japanese innovator, we are the only ones.

Bhavya Gandhi: And is there any minimum offset guaranteed to you at least?

Sanjiv Lal : As I mentioned we are supporting them with establishing their product and we also need them to succeed for the volumes to build up for us. So, we have not tied them into any long- term contracts.

Bhavya Gandhi: And on the process front, we don't do any innovation, right? I mean, on the process front, its only contract manufacturing, bulk manufacturing, if I'm not wrong.

Sanjiv Lal: As it turns out, for this particular product, there's been a lot of work that has been done in our labs by our team, and the customer has been guided by the work that our team have done.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Sanjiv Lal : Thank you, and I hope we've been able to provide clarity on your questions. For us, Q4 is a smaller quarter, and our larger focus will be on planning for the upcoming Kharif that we've talked about some of the potential challenges on the seed side, especially in terms of availability for the next season. But we are just working through that. We expect international business, which has been another problematic area for the last three quarters, we expect this to pick up momentum only towards the end of Q1 all going well. But as one of the participants in today's call mentioned, that new
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guidance keeps coming in terms of when things will start normal izing. So, we are also hopeful that maybe Q1, Q2, things will start normalizing. And inventory destocking is taking more time than what we had thought about because if you'll recall, we were actually expecting things to turn around by Q4 which is not really

happening. We will continue to pursue all efforts to drive maximum utilization of our plants and get volume led growth, with price possibly coming under pressure.

Margins will remain a priority and we will continue to improve on an annualized basis through better product mix and pricing actions which we talked about. Our recent initiatives position us well to capitalize on the growth opportunities in both domestic and international markets, and we will further focus on improving collections. That is going to be an important area for us. Investments that we have made over the last

couple of years in R&D, product development, manufacturing and capabilities will enable us to drive our growth agenda in a sustainable way. Our long- term strategy

of driving competitive growth remains on track, and we will keep reviewing all opportunities as relevant. Thank you all very much for joining till we meet next quarter end. Thank you.

Call: Apr 2024

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Corporate Identity No. L3699 2MH1948PLC014083

April 29 , 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir /Madam ,

Sub: Transcript of Analyst /Institutional Investors Call pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 2024

Further to our letter dated April 10, 2024 , we enclose herewith a copy of the transcript of the Analyst/Institutional Investors Call on the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2024 held on Tuesday, April 23, 2024 .

The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record .

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer
Page 1 of 17

Rallis India Limited
Q4 FY '24 Earnings Conference Call
April 23, 2024

Moderator: Ladies and gentlemen, good day and welcome to Rallis India Limited's Q4 FY24 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desa. Thank you and over to you, sir.

Gavin Desa: Thank you, Michelle. Good day, everyone, and thank you for joining us on Rallis India Limited's Q4 and FY24 Earnings Call. We have with us today Mr. Gyanendra Shukla, Managing Director and CEO, Mr. Nagarajan, the Chief Operating Officer, and Ms. Subhra Gourisaria, Chief Financial Officer. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the result presentation.

I now invite Mr. Shukla to begin in proceedings of the call. Over to you, sir.

Gyanendra Shukla: Thanks, Gavin. Good morning, everyone, and thank you for joining us today in our Q4 FY24 Earnings Call. As mentioned by Gavin, I have alongside with me Nagarajan, who is our Chief Operating Officer, and Subhra, who is our CFO. Let me begin the discussion by delving into the industry landscape initially, post which I will discuss Rallis' specific developments. But before that, let me provide a brief overview of my background. I'm new to the company, but I have over three decades of experience.

I have handled diverse roles and assignments across various regions, and I have spent about two decades at Monsanto, and then my last job was at JK Agri Genetics before joining Rallis India. I'm excited to be part of the Rallis family and take our journey forward.

Moving forward in terms of domestic market, demand was sluggish, with Q4 being a seasonably small quarter.

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Low reservoir levels and heat waves in the southern region impacted overall demand. However, northern and western regions have seen good momentum. The outlook is positive with the news around La Nina. We are expecting good rains. Export business continues to witness low prices and poor demand, as channel destocking continues across the globe. Commentary from many global players also indicate that getting back to normal demand level may take longer than originally anticipated.

Moving on to the Rallis developments, our sales for the quarter stood at Rs.436 crore, and we have a degrowth of roughly 17% over the corresponding period quarter last year. A large part of this degrowth was price-led, with volume degrowth being in low single digit. If we further look into this, domestic crop care experienced

a 9% degrowth solely attributed to the price drop, with volume being flat.

Export business experienced a major drop with 27% decline, with a drop across both price and volumes. The seed business had a growth over a small base in the quarter 4, with full-year growth being 21%. So, seed has really turned around this year quite well.

During these times, our teams have been focusing on shorter calls on both procurement and pricing, enabling improvements in gross margins. This year, there was some work done on overhead optimization. As a result, despite quarter 4 being a low seasonal quarter for us, our actions around pricing and cost management have helped the business generate Rs.6 crore of EBITDA. Loss for the quarter is around Rs 21 cr versus the loss in the similar period last year, about Rs.69 crore. Last year, quarter EBITDA was also impacted by Rs 63 crore for the provision taken for slow-moving inventory and impairment of intangibles.

Turning our attention to individual businesses, starting with domestic business, our efforts in recent years have been more directed towards having differentiated products, offering to solve farmers' needs. We have a robust exercise of starting with the product-pest combination to identify the gaps and have the right product to fill them. The pace of new product launches has picked up meaningfully in recent years.

In quarter 4, we have launched three new products in the crop nutrition portfolio, reaching to a total count of 19 new product launches, out of which 13 are being under crop protection and 6 are under crop nutrition portfolio. Our innovation turnover index has improved to 15.9%. We recognize this is a key lever for growth and are taking various steps to scale up launches. You will see more efforts in the future increasingly getting directed towards it.

We will continue our endeavor to increase the market reach in targeted geographies. Our distribution network for domestic crop care stood at roughly 4,500 dealers and a retail footprint of about 60,000 as of March 24. We are also progressively increasing digital investment both in the front and back end to build a more connected, agile, and effective organization.

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Moving to the seed business, after a few challenging years, I'm very pleased to report that fiscal year '24 has been a good year for the business. Growth was robust at 21%, led by volumes on the backup good offtake for our cotton hybrids, namely Diggaz and Aatish Express. In addition to cotton hybrids, sales for the other crops like paddy, maize, and millet also remained steady. Through several concerted actions taken during the last couple of years, we have been able to make the business more focused and optimized, helping to break even during the year. Our efforts are now around building a promising portfolio pipeline. Teams are focused on Kharif '24 as we are already entering the season and working their best to address the industry challenges of shortages across hybrid seeds.

Moving on to international business, the lower prices and soft demand continued amidst channel destocking. We expect the situation to persist for some more time. Acephate is facing challenges in Brazil and price for all our key active ingredients continues to be soft. The geopolitical situation further adds uncertainty to the timing of recovery. Even during these turbulent times, Pendimethalin continues to show good traction, especially in the U.S. and EU. We have already announced our plan to scale up production capacities, which should become operational by the end of fiscal year 25.

Our custom synthesis and manufacturing business was steady during the year. We finished the production of new CM material for our multipurpose plant and are reading the plan for the smaller batches of an intermediate for another innovator. We continue to engage with prospective customers, including their visits to our

plants, and we are hopeful that some of these will translate into meaningful future opportunities.

Even though industry and business are navigating through near-term challenges, we are committed to our longer-term strategy and our making necessary investment towards it. On a positive note, I am

happy with the advance collections in our seed business and the continuing good response for our cotton seed, Diggaz and other hybrids which are being sold in northern part of India. That concludes my opening remarks.

I will now hand over it to Subhra for a detailed analysis of the financials. Over to you, Subhra.

Subhra Gourisaria: Thank you. Good morning, everyone, and thank you for joining us today for our Q4 and FY24 earnings call. I will walk you through our financial performance for the quarter, post which we shall commence our Q&A session.

Starting with the top line for the quarter, our revenue stood at Rs.436 crore as against Rs.523 crore for the same period last year, which is lower by 17%. A large part of this drop was due to the pricing drop of 13%, which is due to a sharp meltdown in input costs. Exports continue to be under pressure, with the quarter degrowth being 27%. EBITDA for the quarter stood at Rs.6 crore against a total loss of Rs.65 crore for the same period last year. Loss for the quarter stood at Rs. 21 crore as against a loss of Rs.69 crore during the previous year.

Moving on to business-wise performance. As far as exports are concerned, volume growth remains benign amid channel destocking. Demand trend across the key markets remains muted. In addition to

the weak demand, we have also witnessed sharp moderation in the prices of our key products during the fiscal, with rates for some of our key input raw materials dropping in the range of 40% to 60% from the peak levels.

As far as seeds business is concerned, we had a fairly good year, underpinned by the strong performance of our cotton hybrids, a few of which have seen significant growth in volumes. Besides improving the product portfolio, we are also committed to keeping lower inventory covers to improve our agility. Our inventory levels in seeds have significantly reduced. We are also using technology in deploying solutions, which we believe will significantly help in reducing sales return, thereby enabling efficiency in operations. Our efforts in cost savings have also helped us break even during the year.

Volume growth was flat in domestic business, with price degrowth contributing to the overall degrowth of 9%. Despite this, timely actions and efforts towards improving the mix over the years have helped in improving gross profit to more than 30%. We continue to take shorter pricing and procurement calls and build strategic inventory only as it is relevant. Our actions around working capital have continued.

With good efforts on inventory and debtors, we have close to Rs.280 crore of liquid balance as on March 31st, with near nil borrowings. This healthy cash position will help us in good stead and help us navigate these volatile times. We are also taking several steps to improve the asset utilization levels by building necessary flexibility. We expect our capex to be in the range of Rs.100 crore to Rs.150 crore.

That concludes the opening remarks. We can now commence the Q&A.

Moderator: Thank you very much, ma'am. The first question is from the line of Viraj Kacharia from SIMPL.

Viraj Kacharia: Just a couple of questions, first is on the domestic business, if you can just probably give some perspective in terms of volume in this particular quarter and how does our inventory in the market compare versus the overall industry?

S. Nagarajan: So if I got you right, Viraj, you wanted to know the inventory position in the market. We think that our inventory is a little on the higher side compared to our previous year. However, we think it is

able to what we find in the industry.

We have had some difficulties in the quarter four of last year in terms of liquidation, which has contributed to this. As far as the volume growth in the domestic business...

Subhra Gourisaria: It is flat.

S. Nagarajan: It has been flat. Volume growth has been flat.

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Viraj: Okay. Second question is on the contribution margins for the company as a whole, right? So if I look at the period between, say, 2014 to 2018, right, the company used to generate average contribution margins, gross margins of around 44%, 45%. And if you look at each of those two businesses, say, crop care and so on, upwards of 40% to 45%, seeds used to be close to 50% gross margin. But since 2019, since we don't publish, if you look at the period between 2019 to 2024, that moderation has come down to 40% in gross margin. So if one wants to just understand the factors which contributed to a higher contribution margin in that period between 2014 to 2018 and the reasons for moderation in the last five years.

So why I'm asking this is because if I look at Q4 particularly, we reported a contribution margin of roughly around 44%, which is the highest it has been in the last six years. So if one can just give a perspective, the reasons why we used to earn such a high margin in the past and the reason for moderation and how one should look at contribution margin behaving for us in the future.

Subhra Gourisaria: So, Viraj, firstly, I think given the seasonality of the business, you should only look at annualized numbers, not look at quarter numbers in terms of gross margins. So longer term over the last four, five years, your assessment is right, that the gross margins have indeed come down.

And it is a combination of raw material inflation, which was not fully absorbed through prices. We

had a volatile situation globally. In the last few quarters, I would say last year, we have done relatively better in terms of improving our price versus cost.

And certainly the other big factor which influences gross margin is crop care versus seeds. Seeds makes relatively better margins. So as the seeds mix in the portfolio keeps dropping, which is what has happened in the last two years, the gross margins have also come down as a result.

Moderator: The next question is from the line of Abhijit Akella from Kotak Institutional Equities.

Abhijit Akella: Just a couple of questions, first on the financials, the finance cost seems to be a little bit on the higher side this is quarter, about Rs.8 crore, even though we've paid down all the debt basically on the balance sheet.

So just sort of wondering what might be driving that. And then on the capex number for the year, I believe it was about Rs.80-odd crore. Was that a little bit lower than your original plans? If so, were there any project deferrals? And then what do we expect next year's capex to be spent on, which projects in particular? Thank you.

Subhra Gourisaria: So, on your first question on finance cost, so you're right that there's practically no borrowings. So this finance cost is more of IND-AS ROU assets and the factoring that we do for export receivables.

So that's what is sitting in the interest cost. As far as the question on capex is concerned, the large part of our capex was completed. I would say the capex cycle was completed towards FY'23.

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What you see in FY'24 is more the residual capex for multipurpose plant, which we commissioned in the midcourse of the year, and more on sustenance capex. Given that the larger part of the capex cycle, I believe, is now complete out of the original plan that we had decided, FY'25 capex should be in the vicinity of Rs.100 to Rs.150. We have a bigger exercise to now get maximum utilization from the assets commissioned.

Abhijit Akella: Okay. So that will be primarily maintenance capex again, right, going forward?

Gyanendra

a Shukla: Maintenance capex plus we want to invest something in R&D.

Abhijit Akella: Okay, understood. And also just to follow up on the finance cost, so given that this is largely factoring for receivables, and then the Ind-AS impact, should we expect this to be a sustainable run rate going forward on a quarterly run rate basis?

Subhra Gourisaria: It will drop to a certain extent, but you can say, Abhijit, it would be in a similar range.

Abhijit Akella: Understood.

Subhra Gourisaria: You would have seen that -- in our balance sheet also, you would have seen the ROU assets have also gone up. So this is more around depreciation and interest, and in COGS you see some contra impact.

So Rs.3 crore -Rs.4 crore you'll see there.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: My first question is on the domestic crop protection side, you did mention launch of new products. So wanted your comments in terms of how should one look at the new product ramp up or new product launches going ahead. And for FY'24, broadly, how has been the contribution from older products versus the newer products?

S. Nagarajan: So as far as FY'24 is concerned, as you may have seen in the investor deck, the ITI index, which we actually calculate, based on the last four years introductions, what kind of revenue they contribute to the base, that has actually reached about 16%, which was higher than the previous two, three years figures. In terms of the products that we launched in FY'24, some of the crop protection products have received a very, very encouraging response. We do believe that there is a significant opportunity to scale up.

Clasto is one of the brands that we are really hopeful of scaling up sizably in the years to come. Some of the other products have had relatively satisfactory kind of scale-up, but not in the same league as Clasto.

Ankur Periwal: Okay. And secondly, on the seeds business, while this year we saw a good growth on the revenue front, and in the initial comments we did mention on, you know, ramp up in terms of overheads being lower and margin uptake, just wanted to get your thoughts on both revenue growth as well as on the

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margin side and whether the revenue growth will be only led by cotton or there are some more initiatives across other crops?

S. Nagarajan: Cotton is certainly a very important component and we are very hopeful that Diggaz will further scale up. In terms of the immediate situation, as we have mentioned, there have been challenges in the production quantities in the Rabi of last year. But if you discount that and kind of look at it over a longer time frame, we certainly believe we have opportunity to scale up in both paddy maize, I mean in paddy maize and in Bajra. All the three crops.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Yes. Hi team. Good morning and thanks for the opportunity. So my question is that in the last four to five years, we had a vision of almost capex of Rs.800 crores in driving the capacities in different verticals in the company. I think that is broadly over now. However, not much reflected in the bottom line of the company, but at least the capex cycle is over.

Just wanted to understand that at the management level, do you have any further thought process? So you gave some number of next year capex of close to Rs.100 crore, but do you have that over next

three to four years? What kind of investment you want to make in the business? And if not, then we are still a very healthy cash flow generating company. So what are the expected uses of the free cash flows that you are going to generate over next three to four years?

Gyanendra Shukla: Yes. so I think as far as capex is concerned, manufacturing side, I think we have done enough. And as we said, it will be sustenance only. On R&D side,

we believe that we need to ramp up. And so the current year capex, we are looking at really more directed towards R&D.

And I think R&D, our ability to launch new product and then our ability to produce, these are the two fundamental things. Now, going forward, I guess our focus is going to be shifting more towards improving, enhancing our customer connect. Probably increasing our marketing spend where we can actually get more stickiness with the customers. Because now backend is ready, we have to focus on the customer.

Rohan Gupta: So in terms of the CRAMS business, which has yet not seen any significant ramp up in the last two to three years. Also in B2B where some of the product prices have been weak. Do you see that part of the business where the investment in MPP and all has already gone and the prices globally have stabilized, So is that business showing some kind of recovery and do we expect that over the next two to three years? Do you see that any major ramp up can be seen in a CRAMS business and also in a B2B category where we have a couple of products?

Gyanendra Shukla: So you're right. I think we are almost getting out of a very difficult cycle the industry has gone through. And still, if you look at the commentary which has come from the global companies, there are still some residual challenges left. And the way this plant is designed with a variety of reactions

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we can do I think now really we're going to focus on B2B customer and say, look, how we can generate extra business. And part of the purpose is that we can do different kind of products. So I guess that's the next focus. And I guess it doesn't reflect right now because the situation itself is very difficult. But going forward, the purpose for which is created, I'm sure we'll have more opportunities on our way.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: So I have a couple, firstly, on the active ingredient pricing, I think we've seen a fair bit of stabilization happening in some of the key APIs. So do you think that this is kind of bottomed out here and from here on with improvement in pricing, especially on the international business going ahead? Let's say maybe a couple of quarters down the line, we should start seeing a pickup on the pricing front and on the volume side.

Gyanendra Shukla: Well, I mean, I don't have a crystal ball to predict, but all I can say, yes, there has been, I mean, the steep decline which was happening that has slowed down. And it varies from molecule to molecule. Some molecules are almost stabilized and so on. Marginal upward trend. But by and large, I would say it's stabilized.

A lot will depend on how this inventory starts getting consumed globally because they're all part of the global network. These molecules are traded across the globe. So how agriculture consumption goes around the world that will depend a lot on that.

Archit Joshi: So my second question is, with your experience with a very successful seed franchise like Monsanto, have you had any strategy for Rallis' seed business, which is just at the cusp of being turned around, especially in FY '24? Anything that you've identified as a strategy for Rallis' seed business going forward, picking up cues from your previous experience in Monsanto?

Gyanendra Shukla: So I think seed business, basically what I call is a germplasm business. And I have just resumed here. I'm in the process of reviewing the details of the business. But I believe we have good fundamentals in place. And what works for seed companies around the world is really focus. I think we are going to really focus on important segments, important markets, and important crops. And there's no reason. I mean, obviously, we're all part of the cyclical business. Things will happen. But I think the kind of focus we give and the kind of investment we make

in the technology and germplasm that will define future success and growth. Obviously, we had sort of short-term challenges. And sometimes they cannot be foreseen. But yes, we have a thought process. It's too early to comment on that. But yes, there's a thinking going on.

Moderator: The next question is from the line of Darshita Shah from Antique Stock Broking.

Darshita Shah: I had two questions. One was regarding CRAMS. I think we commercialized one formulation and one intermediate last year. So I wanted to understand the scale up and the plan for FY '25, if you have

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any? And I think there was one more product that we were to commercialize in CRAMS. So probably some update on that. And second on the MPP capacity utilization? How was it by the end of FY '24? FY '25, we have given a guidance of 60%. So do we expect to achieve that? And apart from Difenoconazole, how many more products do we have in the pipeline to be launched at the MPP for FY '25?

S. Nagarajan: Yes, I think as far as the introductions of last year are concerned, they have more or less been completed. There is one of the products which will be completing in April. In terms of scaling up for

those, certainly they are also susceptible to the kind of global challenges in terms of inventory, which the customers are also sort of experiencing. So we are in discussions with the customer in terms of the volume requirements for the upcoming year.

As far as the MPP itself is concerned, we have an opportunity to do an intermediate for an innovator company, which we have mentioned in the opening remarks, which is what we are next getting geared up for. Certainly, I think as the requirement for the different AIs and intermediate volumes stabilize, there is an expectation that our MPP utilization will also improve. At this point in time, certainly it is a bit uncertain, and we are working through that. We are working with the customers to improve the utilization levels.

Darshita Shah : Okay. Any guidance for FY'25 towards utilization? Or we probably comment later on that?

Subhra Gourisaria: I don't think we can work out the utilization because it depends on which products are being manufactured. But suffice to say that we will work on maximizing the utilization.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So if you look at the results, despite the fall in top line, there is an improvement in the margins in the domestic business. So is that something of a silver lining? Is that kind of trend likely to sustain in FY'25?

And what is the kind of ballpark volume growth you can expect assuming that the monsoon is as good as expected based on the met forecast?

Subhra Gourisaria: So margins I don't think – see, we are trying to do whatever is best in terms of managing the cost versus price competitively and looking at how do you do it in an agile manner to ensure that the gross margin keeps improving, but it's difficult to I would say give any forward guidance in this respect.

Monsoons, yes, there's a positivity around it currently, but how it spreads spatially and how is it in terms of timing needs to be watched out, but certainly there's a lot of optimism around it at present in terms of domestic markets.

S Ramesh: So is there any indication from the channels in terms of their willingness to take additional material in anticipation of demand or we have to wait till we see the monsoons in May, June? How does the season look as we stand today?

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Gyanendra Shukla: Yes, so I think it's too early for crop protection business, but yes seed we have seen increased interest from the trade channel and that is also reflected in some of the advances we collect from the market.

So seed, yes, optimism and a good seed purchase, good planted acres and supported by good rainfall generally in normal course would lead to

a good crop protection season.

S Ramesh: Okay. And what would be the current capacity utilization in all your AI plants both for domestic and exports?

Subhra Gourisaria: So it differs between plants to plants. For instance, pendimethalin we are seeing positive uptake and that's where the capacity utilizations will be better. Acephate we'll have to ensure that the cost dynamics are taken care.

Otherwise, the demand levels, I would say, we mostly end up using for the full capacity levels.

Metribuzin, yes, the capacity utilization is currently lower and that's where we're working on in terms of how do we flexibilize the capacity utilization. Hexaconazole is more or less around the full capacity utilization.

S Ramesh: Okay. Thank you very much. And Mr. Shukla, welcome aboard and wish you all the best. Thank you very much.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V: First question is on the domestic market, sir. From a pricing standpoint, so we've seen decline last year. So do you think that we are almost bottoming out there and then we do expect price increase the rest of the year or what is the status there in the domestic pricing?

Gyanendra Shukla: If you're referring about crop protection, I would say, look from a very what do you call unfavorable weather for last 6 months in the country which has led to certain inventory buildup and the next consumption cycle of crop protection, the big one really starts after the rains.

So I think still there's a pressure on the market. As I said, when question was asked by Ramesh that things have to, I mean, things are looking positive from seed offtake perspective, but then it has to translate into a good crop later on.

Somaiah V: Understood, sir. Secondly, pendimethalin capacity that you are referring to, you were referring to increase by end of FY25 some capacity additions. So what are the capacity addition quantum here and what will be at end of FY25. If you can give the capacity in total for pendimethalin and metribuzin, it will be helpful by end of FY25?

Subhra Gourisaria: Pendimethalin is where we are looking at capacity expansion and it should go in the vicinity of around 7,000 tons. Metribuzin is -- we are not looking at any capacity expansion. Metribuzin is the current capacity, which is around 3,000 tons.

Moderator: The next question is from the line of Ravi Purohit from SIMPL.

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Ravi Purohit: I have a question for Mr. Shukla. Sir you've been part of Mahyco Monsanto for a fairly long period of time. And I think our new independent director, Mr. D. Narain also has been part of the Monsanto Group and Bayer Crop Sciences subsequently for a longer period of time.

So we have two very strong experienced people who have joined Rallis, one as an Independent Director and one as a Managing Director. And especially the two most successful seed brands also Dekalb and BT Cotton.

So if you could just share your own vision for Rallis India now that you've joined here as an MD for the next 5 years, do you have any vision in your mind as to what are the things that you would like where would you like Rallis to be in 3 years or 5 years from now?

And what are the segments which you think could lead that growth for the company? Does seeds have that kind of potential? Today we are only Rs. 200 crore, Rs300 crore, Rs 400 crore in revenue terms whereas the market itself is very large compared to that. So if you could just spend some time and just share a vision with all the listeners today it will be helpful for us to kind of see this forward?

Gyanendra Shukla: Thank you for asking a question on and around the strategy. No, thank you very much for that question. The two things I would say, look, if you look Rallis as a company I think we have a very strong parentage and our brand is very strong and we have done a good job of enhancing our manufacturing capabilities.

bilities.

There has been also some work done on improving the quality of the seed research. We have a very extensive distribution network and I think the important thing is from here on how we direct some of the resources towards R&D. I think our R&D capability needs to be further enhanced because the both businesses we are in, our ability to launch new product and scale them fast will actually define because it's a very competitive segment.

There's no dearth of player and everybody's trying to do the same thing. It depends who does things faster and better. I think speed matters and our ability to really innovate faster. So our focus is going to be shifting more towards how effectively we connect with our customers.

So how do we deepen our relationship with the customers and how fast we basically bring the new product because we get those two things right. I think our ability to launch big and then scale up the volume will significantly enhance. So if you say focus, focus is really R&D and customer connect as we move forward.

Ravi Purohit: Okay. And sir, if we could also kind of share a little bit about our strategy on CRAMS and some of the products that we've mentioned in the last quarter that we've started for one intermediate, one formulation and there was also one product which we had started supplying after a long period of time.

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So generally what kind of scale up can we see in this segment of the business over a longer period of time? What kind of potential does it hold? We've been working at it for a long period of time. So when do we actually see the fruits of all the investments and all the time and effort that has been put out in this business?

Gyanendra Shukla: Yes, so difficult to predict the timeline, but this CRAMS business primarily depends on our efficiency, our ability to deliver efficiency to the customer. So that aspect certainly we are particularly looking at it. And other thing is really developing our relationship with the potential customer. I guess a lot of these customers as part of, I would say, China Plus One strategy also would be attracted to India. It's a question of who gets them first. I think we have good capacity, good credentials backed by our group parentage.

I think we're the right candidate for those customers. I think we have to reach out to more customers and demonstrate them our capabilities and develop some long term relationship to make that business successful. So that's all I would say from a strategy perspective.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So first question again slightly delving on the new project Rallis Science and Technology Centre. So what could be different from what we have been doing till now and given that R&D will be relatively high gestation period project or segment.

When do we see any fruitful outcome of these, given that, it may take 2 years, 3 years down the line to actually come out with new technologies or so? And just if you can give us where we are currently lacking in terms of technology or R&D capabilities, and which are the areas which we want to strengthen like whether it is the new molecule development or the molecules which are currently going off patent. So we would like to enter into those areas. Just a little bit more would be really helpful.

Gyanendra Shukla: Yes, so look, so one thing is very, very important to understand. Rallis is doing R&D, right? So we have been investing in R&D and significantly enough. Now we are developing a new center because we want to move to a better center, which has a better working environment. I know for the potential scientists and technical people will be working there. So the R&D investment from that perspective is more directed at improving infrastructure.

Now, from a focus perspective, as we said, if you look at

crop protection side, I think one of the areas

probably we have not invested in the past is some of the new chemistries which have come up on the fluorination and all. So that's where our focus is going to be.

On the seed side, I guess we were focusing on seed research, biotech, and everything else. But there is

a lot of attention shifting globally to leveraging more modern breeding tools like genomics, phenomics, and all, those kind of tools. So we are going to re orient our R&D to more modern tools because that brings a better product and it also reduces the time needed for the innovation.

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So that's how we are going. I think at the end of the day, an R&D infrastructure is part of the thing, but the kind of people you get in the kind of direction they get and what kind of tool we can provide. So our focus is really more people and tools enabled R&D. Building is just a part of it.

Rohit Nagraj: Sure. Thanks. That's helpful. The second question is in terms of the current environment, in terms of the pricing has more or less bottomed out. However, you also mentioned that there have been inventories in the system, both in domestic market as well as global market. So even if we assume that the rainfall is normal and it leads to volume growth, is there any possibility that since last year average pricing was relatively higher and given that we are at the bottom of the pricing, it may not get reflected in strong revenue growth despite a strong volume growth led by monsoon during the next Kharif season? Your perspective. Thank you.

Gyanendra Shukla: So you're right. I guess market is generally carrying a little high cost inventory and market price realization may not be same. But I guess the situation we are entering is better than what we were in. We have to be optimistic and we have to work towards it.

Subhra Gourisaria: The anniversary of pricing drop will take some time, but I think we should look at more effort and whether we are able to ensure that the price versus cost is positive. So there could be a temporary maybe in one quarter and impact because of the price drop in the base anniversary.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna: My first question was regarding the fertilizer piece. I do see a slide number six where we have talked about water soluble fertilizers, etcetera. Just wanted to understand, are we looking at nano-urea, nano-dap? Is there any R&D going on that front?

Gyanendra Shukla: So you already know that we are not in the bulk fertilizer and nano-urea also basically is part of the same segment. We are not looking at that segment as of now.

Arjun Khanna: Sure. And there's no R&D efforts going on that front?

Gyanendra Shukla: So our R&D and collaboration efforts are more directed towards crop nutrition, what we call, which are more specialty products.

S Nagarajan : Biostimulants, Bio-pesticides.

Gyanendra Shukla: Exactly. That helps in unlocking some of the locked nutrition in the soil.

Arjun Khanna: Fair enough. It's just that there's a line in the presentation, complete focus on non-subsidized fertilizers. So I figured since the nano side is non-subsidized. Anyway, fair enough. The second query is regarding parentage. So you did mention strong parentage on TATA group and that is held through TATA chemicals, which has also recently increased stake.

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So are there any linkages in terms of our R&D efforts, etcetera, with their spec chem facilities? And how do we look at our relationship with our parent TATA chemicals?

Gyanendra Shukla: I think across the companies, our relationship remains very strong. We always keep looking at synergies. And as and when needed, obviously, we look at the capabilities they have got. We would never get into a situation where different companies are creat

ing the same capabilities. We would internally leverage whatever we have.

Moderator: The next question is from the line of Abhijit Akella from Kotak Institutional Equities.

Abhijit Akella: The seeds inventory situation as of, in our books I'm saying, the inventory that we are carrying for the upcoming year, will it be possible to just quantify how much that is up by on a year-on-year basis?

Subhra Gourisaria: It's actually down, Abhijit, for the reasons that you mentioned. There are two reasons, actually. First, we liquidated some of the old inventory. So we actually took a call in terms of winding down, or become more focused in terms of inventory procurement for the hybrids which were low in terms of off-take.

And secondly, as we mentioned, that there were production challenges in terms of some of the hybrids. So the inventory levels are actually lower than last year.

Abhijit Akella: Got it. Thank you. And just the other one was, there was a mention earlier on in the call regarding an increase in advanced bookings in the seed business. So if it's possible to share some color around which crop business on, is it mainly on cotton? And if so, how much would be the increase in bookings year-over-year?

Gyanendra Shukla: In general, because industry, I think trade probably understands that inventory is going to be in short supply because it's just not our problem. In general, productions have been lower because of the water and rainfall challenges in the seed production areas. So it's channel's way of trying to secure supplies for them.

Subhra Gourisaria: It is significantly higher than last year, Abhijit, and it's also driven buoyancy towards the cotton hybrid demand that we have.

Moderator: Thank you, Ma'am. The next question is from the line of Viraj Kacharia from SIMPL.

Viraj Kacharia : Yes, three questions. First is on a follow-up on the gross margin. If you look at the last one year itself, and you look at the way RM's behaved, a lot of other B2C companies have seen a sizable expansion in gross margin.

So for us, when we say the RM's held, but when you see all the overall reported numbers, the expansion has not been to that extent. So what has been the dragged – what factors do you think have dragged the expansion in gross margin? And just a part two on that is, first to kind of -- if you look at the overall balance sheet, which we have, we're on a net cash basis. And given the way the RM prices
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are now behaving in new segments, are we kind of looking at maximizing the spreads, at least in the domestic B2C business in terms of, say, buying out inventory in bulk? So that's one of the things we may be looking at going into 2025. So that is one.

Second is on the overall financials, if you look at '24 as a whole, we have something close to Rs.19, Rs.20 crores in terms of say provision for doubtful debts and impairments on intangibles. So is this what a sustainable runway one should expect going forward? Or there was some one-offs in '24 as well?

Subhra Gourisaria: So in terms of gross margin, the pure play B2C players might have had, but I think what we do is we balance out long-term and short-term. So we will not significantly increase the pricing if that's not competitive. Plus, of course, there's a dent in the margin which has come because of the international business, since we are looking at margins for crop care as a whole.

While the domestic formulations have done better, and I mentioned that the gross margins have improved there, but in exports, because of the entire competitive intensity, the margins are lower. I think your other question was around one-offs, right?

S Nagarajan : Sorry, procurement. Yes, we do buy what we call strategic procurement in order to take advantage of what we think is the pricing outlook for different raw materials. But that's a normal thing that we have been doing over the last few

years.

Subhra Gourisaria: But we do not take any very long calls.

S Nagarajan : We take very calibrated and careful calls.

Subhra Gourisaria: We do not take long calls because it's difficult to predict whether it's still the bottom out or not, and I think it's important to be in the market. I would say be with the market rather than play long calls. The last one in terms of provisions, yes, there could be some provisions which would have come because the receivables have gone up, but nothing specific to be called out in terms of any one-off.

Moderator: The next question is from the line of Rahil Shah from Crown Capital.

Rahil Shah: Yes, hi, good morning. Firstly, I believe you mentioned about some capacity expansion. I just missed, for which line of product was it? I think you mentioned something 7000 tons by end of FY'25. Can you please just repeat for me?

S. Nagarajan: It's for Pendimethalin.

Rahil Shah: And what are your strategies for CRAMs? I believe you also spoke something about development there. So what are your strategies there? And now overall for FY'25, what can one expect going ahead in terms of overall business growth considering the pricing improvement you are seeing, the rainy season expected ahead, and the R&D strategies that will be there given the new facility and the expansion. So please, if you can just elaborate on that.

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Gyanendra Shukla: Well, so as I said earlier, I don't think we are putting a number at this point of time. These are all positive signs. We are coming out of a very difficult season. So, we are calibrating those things, not in a position to give you guidance on the numbers.

Subhra Gourisaria: And CRAM strategy is certainly to get new contracts, to get new meaningful contracts, and all work is being done towards it.

Moderator: The next question is from the line of Nirbhay Mahawar from N Square Capital.

Nirbhay Mahawar: So just to follow up on the seed business, we have achieved roughly around Rs. 415 crore size, and still our margins are around 4%, which is significantly lower than the industry standard. So how do you see it changing over the next two, three years, and why our margins are significantly lower than the industry?

S. Nagarajan: So when you look at the performance for FY'24, I think we should take into account that we did have some hybrids, which we were aggressively getting rid of because we did not want them to later on come back. So therefore, I think this is something which has impacted the overall margin levels. As we go forward, I think the margins will have to clearly depend on the point that Dr. Shukla mentioned about differentiated hybrids coming out of good germ plasma and coming out of our R&D efforts. So that is really the way forward for us to improve both the business side as well as the margins.

Nirbhay Mahawar: Yes, this is a very generalistic answer. I'm trying to get specific over a period of last three, four, five years, if you look at. Our margins have been significantly lower. If you look at the listed competitor with a thousand crores sizes operating at 27%, 28% margins. We are barely breaking even. So what are we doing wrong in terms of, we have got Tata parentage, we have got a solid business team, but still we are not able to crack the business. And we have been very evasive over the last three, four, five years about this business.

Gyanendra Shukla: So I think seed is one business where product performance depends a lot. And seed is one business, if you get a blockbuster product, you can scale up disproportionately your business. And if you don't get a blockbuster product, then you stay where you are. I think in past, not that we have not been putting research, our research have not yielded products which could be significantly differentiated from a

volume scale of perspective. Now, so what happens in this kind of businesses, you ha

ve to continue to

invest in R&D and continue to have your presence in the market. And it has a cost depen ding on your portfolio, some spread is needed.

So margin expansion happens when you get a good product and you can sell it to more customer in a concentrated market. And that's where I was emphasizing that look, our R&D efforts need to get refocused so tha t we were operating in four, five critical crops. If we start getting on a regular basis, some differentiate d product that will allow us to significantly ramp up the revenue and then margins can expand. There's a basic cost one has to keep investing in the seed business and continue to improve R&D and then you have to wait for your time.

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Moderator: The next question is from the line of Rohan Shukla from Anand Rathi.

Rohan Shukla: So I just want to know about how much does the export contribute to a top l ine now? And what does it look like in the next few quarters going ahead?

Subhra Gourisaria: It's in the vic inity of 35% I would say. And this is because the numbers have said, this year we have seen a degrowth, but we are working towards how do we achieve the longer term strategy.

Rohan Shukla: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing comments. Over to you.

Gyanend ra Shukla: So I really want to thank everyone for asking the questions. With that, we can conclude. Thank you very mu ch for your time. Look forward to interactions in the future.

Call: Jul 2024

July 24, 2024

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001

Scrip Code : 500355 National Stock Exchange of India Limited

Exchange Plaza

Bandra -Kurla Complex , Bandra (E)

Mumbai – 400 051

Symbol : RALLIS

Dear Sir / Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended June 30, 2024

Further to our letter dated July 9, 2024, we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the first quarter ended June 30, 2024 held on Friday , July 19, 2024 .

The same is also being made available on the Company's website at:

<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record .

Thanking you,

Yours faithfully,

For Rallis India Limited

Srikant Nair

Company Secretary & Compliance officer

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Rallis India Limited

Q1 FY' 25 Earnings Conference Call

July 19, 2024

Moderator : Ladies and gentlemen, good day and welcome to Rallis India Limited Q1 FY '25 Earnings Conference Call.

I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you and over to you, Mr. Desa.

Gavin Desa: Good day, everyone, and thank you for joining us on Rallis India Limited's Q1 FY25 Earnings Call.

We have with us today Dr. Gyanendra Shukla – Managing Director & CEO, Mr. S. Nagarajan – Chief Operating Officer, and Ms. Subhra Gourisaria – Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward- looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation.

I now invite Mr. Shukla to begin proceedings of the call.

Dr. Gyanendra Shukla: Thanks, Gavin. Good morning, everyone and thank you for joining us today on our Q1 Fiscal Year '25 Earning Call.

As mentioned by Gavin, I have alongside with me Nagarajan – our Chief Operating Officer and Subhra, our CFO.

Let me begin the discussion by getting into the industry landscape initially, post which I will discuss Rallis specific developments .

On the industry side, we have seen an early sign of demand recovery after a long time. All of you know that the couple of years have been a little bad. In domestic

markets, there is a positive sentiment primarily driven by monsoon prediction of IMD.

There was a deficient rainfall till June '24 , that did impact first quarter in fiscal year

'25 sales. But of late, monsoon has started really picking up well and the kharif sowing is registering significant growth of about 10% as compared to last year.

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If you look at key crops, Paddy is about 21% up, Soyabean about 30%, Maize 34% and pigeon pea about 191%. This is one crop that has seen a significant increase in acres driven by commodity prices.

From field reports, what we are hearing, cotton acreages have reduced significantly in northern part of India, there's one particular pest called pink bollworm that has been bothering the farmers.

However, on the export front, recovery remains soft with the key markets like Brazil, US, SEA. So, while volumes have started picking up, prices continue to depress due to oversupply from China.

We think with the ongoing season in the Northern Hemisphere including US, should lead to some balancing of the inventory and hopefully things will move start looking positively from there.

Coming to Rallis's specific developments, we have started the year with overall revenue being flat, I mean, when you compare with the last year, but there are some green shoots there, so for example our domestic crop care business has delivered a positive growth and seed business, as we had indicated in the previous call, we had supply constraint, as a result we had to take the degrowth.

And crop care, I think, is largely domestic as international business continues to remain under pressure because of the price.

EBITDA for the quarter stood at Rs.96 crore; it is lower by about 13% compared to the same quarter last year with a gross contribution margin of 30% and PAT for the quarter stood at Rs. 48 crore compared to the Rs. 63 crore reported during Q1 of fiscal year '24.

Getting more specific about the individual businesses, starting with Domestic Crop Care business - Crop prices are relatively better, particularly for pulses and oil seeds. Favorable monsoon was the primary growth driver for the business. Input prices were relatively stable during the quarter which in turn resulted in better margin profitability for the business.

In terms of Product Categories, herbicide is one area which is growing faster driven by the labor dynamics in the country and has performed well for us. Having said that, I think we still have a gap in our herbicide portfolio, which we are working on. On the back of it, crop care delivered strong volume-led growth of about 8%. Growth was good in both domestic crop protection and crop nutrition business with year-on-year price drop impacting growth.

Now, as we see the domestic market, I think prices are stabilized, but our strategy is to continue to grow the business with more thrust on developing differentiated product. We are improving our front-end capabilities based on the theme of customer centricity. And as we work more on this, you will start hearing more about this as we move forward. Our endeavor will be to build a more connected organization leveraging digital. I think digital will give us a scale and that's where we will get closer to the customer.

We have also progressed well in our supply chain management strategy, linking demand and supply planning with SAP I BP going live. It was launched in the month

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of August. So, work is still going on, but this will help in driving efficiencies on all the fronts.

Crop nutrition had a very good quarter and we had a growth of roughly 31%. We also commissioned a Water-Soluble Fertiliser Plant during the year. The crop nutrition as I mentioned last time is continuing to be our strong pillar for the long-term growth and will continue to invest in this segment.

Coming back to International business, Revenues stood at Rs.133 crore, which is lower by 5% compared to the similar period last year, though we had a decent volume growth of about 19%, but the price challenges are really impacting overall growth from a revenue perspective.

We have some old products like Acephate, Hexaconazole and Pendimethalin where prices continue to remain muted. Metribuzin prices actually

are almost at the level

of half compared to what they were two years ago. On top of that, sea freight has also seen steep hike as the Baltic Dry Index has doubled over last year, impacting margins.

In terms of our key products - Acephate continues to face challenges in Brazil and US, Pendimethalin operated at low capacity, but we are confident on long-term prospects of this technical. So, we are more optimistic about Pendimethalin relative to Acephate in the long-term and Metribuzin and Hexaconazole, exhibited steady traction in the US and Southeast Asian markets.

We also progressed well in terms of commencing new relations with the global majors for some of our old technical. In the contract manufacturing business, we are also working on expanding formulation alliances with global players to build a more resilient portfolio. This will help us improve the capacity utilization of our state-of-the-art manufacturing facility in the chemical zone in the Dahej. We are confident that this business will meaningfully contribute to both top line and bottom line in the years to come. So, that's on the chemical side.

Shifting gears to Seed Business – we had the seed supply shortage in several crops,

and as a result of that, our revenue has dropped by 16%, but with the prudent cost management and pricing, we have been able to improve our GC by 4% compared to similar period last year.

We also have invested in technology, a tool called Seed -Say which uses AI and ML forecasting abilities to really ensure that optimal placement is happening in the market.

I am also very happy to report that the Diggaz the hybrid cotton, which we had launched in the North, has seen a good volume growth and this is on the top of that significant lower cotton area planted in northern part of the country. As far as other crops are concerned, the liquidation trends are satisfactory as rains have picked up everywhere almost now.

In terms of our long-term strategy for the business, we are on the right path with the sharpened portfolio choices and driving sustainability, profitability with measures being taken across the value chain.

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In conclusion, I think near-term outlook for the business particularly international remains challenging at least for the next three months; however domestic business with the rain and the commodity prices being good is looking positive, we are very confident and optimistic about the overall growth prospect in the medium- to-long-term.

Furthermore, our efforts are now directed towards improving, customer connectivity leveraging the digital, sharpening product portfolio choices. We are going to work

more on a differentiated product, also going to phase out some of the products that do not make money or are too small as they bring supply chain complexity. We are working on new partnership and alliances to build renew our portfolio.

That concludes my opening remarks. Now, I will hand it over to Subhra, CFO for a detailed analysis of the financials.

Subhra Gourisaria: Good morning, everyone. I will quickly walk you through financials and after that we can start the Q&A session.

Our revenue stood at Rs. 783 crore as against Rs. 782 crore for the same period last year. Volume growth was encouraging at 9%, but price challenge especially in the international market impacted the overall growth, also as Dr. Gyanendra alluded, supply challenges has impacted the growth in the business. EBITDA for the quarter stood at Rs. 96 crore against Rs. 110 crore for the same period last year. PAT for the quarter stood at Rs. 48 crore as against Rs. 63 crore for the same period last year.

In terms of domestic business, Crop Care business, had a good growth of 13%. Due to poor rabi crop, we had high trade inventory which also we corrected during the quarter; however, now we believe sentiments have improved with new MSP and monsoon progressing qu

ite well.

As far as seeds is concerned, we did well despite reduced cotton acreages. We have made calibrated placements considering the inventory level and are hopeful that our liquidation trends will be better.

Moving onto International business, the high inventory and benign prices continue to impact sales and profitability. In terms of performance for key technicals, we are working on expanding our customer base and product portfolio to build a more resilient business in this front. Our efforts continue to be directed towards driving focused execution both at the front and the back end. This includes portfolio optimization, territory rationalization, removing overlaps wherever it's there and

looking at driving cost efficiencies and simplification across the value chain. Our actions around portfolio refresh continues and we have launched five new products in crop care and 14 products in seeds during the quarter.

We will continue to be relentless on improving capital efficiencies both for working and fixed capital. We do have a very healthy cash balance as of 30th June as well, and with no external borrowings.

We are also very prudent in CAPEX investment and envisage our expense would be in the range of Rs. 100 crore.

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In summary, we are implementing various initiatives in our drive towards achieving consistent competitive and profitable growth. That concludes the remarks. We can now start the Q&A session.

Moderator: We will now begin the question- and-answer session. The first question is from the line of Viraj Kacharia from Securities Investment Management Pvt Ltd.

Viraj Kacharia: Just a couple of questions. First is on the gross margin. You talked about an increase in prices in the seeds and cost management. So, the margin in the seeds is quite healthy despite the drop in sales. And if one looks at the growth in B2C business, one would think the overall gross margin

per se for the company as a whole should

be better. The question is that - is it that the international business is making a negative margin or a loss in this particular quarter? If you can just give some perspective what is driving this loss because if I look at other industry B2B players, they're seeing an improvement in margins and recovery in sales as well. But for us, it seems if we kind of dissect, it seems the B2B business has incurred a loss. So, that is one.

Subhra Gourisaria: See, gross margin has come down not because of international business making any negative margin. So, we did not make negative margin in the international

business. We have mentioned in the earlier calls that we were taking swift actions in terms of liquidating old inventory. Overall, spreads have indeed compressed and

hence the margins are lower than what we have made historically, but we have not made any negative margin. The overall margin compression has come, a) because the mix has overall become negative because every year Q1 seeds is a larger proportion of the portfolio and seeds mix has come down as you would have seen seeds has had a negative growth compared to crop care. So, while the mix is positive

in terms of domestic crop care versus international, it's adverse in case of seeds. Secondly, certainly in case of domestic and international, the margins are relatively poorer than the historical margin. Does it help answer your question?

Viraj Kacharia: No. See, if you look at seeds margin per se right, you did around 22% EBITDA

margin in seeds as against 20%. The drop is hardly Rs.4 crore on a year-on-year basis. So, even if you had just for the drop in sales and see you have kind of done a

far better job in managing the profitability in seed. In domestic, if you look at the

environment, you're reporting a very strong healthy volume growth. So, one would think that the overall margin either at the gross margin or the EBITDA level would

be relatively better. But that is not the case.

The only thing which adds up is either

the loss or the sharp compression in international business. So, that's what I was

just trying to confirm. And the related part was, see, in other expenses also, you have seen a jump from Rs.125 to Rs. 135 while sales is largely flat. So, any one-off there?

Dr. Gyanendra Shukla: Let me first give you my perspective on this margin. So, obviously seed we are up

and as I said earlier, we are going to be managing seed for profitability. Now, when

it comes to B2C or B2B in crop care, you have to understand that for us to significantly move margin when I am comparing with company ABCD, we have to

see the product mix they have, or we have. We are a company where our herbicide portfolio which really for most companies in quarter will comprise most of their sales.

Herbicide is one area where I would say we are not very strong. So, that is something

as we work on portfolio in herbicide. I think that will start changing. So, I think it's

always a combination of what product mix I have got and what others have got. So,

we are aware of this fact, and I think our attempt is to start looking at portfolio and

start cleaning up so that we are continuously improving our margins and that will only come from portfolio churn is a phase out process, it's not a start and stop switch.

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Viraj Kacharia: On the other expenses, sir?

Subhra Gourisaria: So, the other expenses, Viraj, has gone up; one, obviously because we spoke about

the contribution to electoral trust and there is also an element of increase in freight

and some investments that we have done behind digital sitting there including

migration to SAP HANA.

Viraj Kacharia: If you look at 2024 in the annual report, we talked about Rs.28 to Rs. 30 crore of

spends in the P&L towards digital and IT spends. So, the idea was to understand

how these spends are helping us either in terms of better sales throughput or cost

efficiency, so if you can give some examples? And if you can also help us understand

how we should understand this run rate of spends going ahead.

Dr. Gyanendra Shukla: So, if you look at all our digital spend actually you can categorize into five categories. One is obviously the back end is very, very important, which is SAP S4 HANA where

we are going through complete changeover of our ERP system. That obviously takes time and money. On our other efficiency related, we are building a tool called "Drishti"

and I think it has been talked about in the past and that's where we are trying to

develop how can we use AI and ML technologies leveraging satellite data, etc., to

help farmers warn about flooding, drought, pest pressure, so that they can optimize

uses of the chemicals on the crop and hence benefit. Because unless farmers make more money, none of the companies are going to be successful. Other things are really our channel-focused. So, we are investing a lot in really getting visibility. One

of the challenges we and industry faces is once a product moves from distributor to

retailer, there's hardly any visibility and that shows up in the form of return at the end of the season. So, there's something called 'Anubandh'. It's a program we are

investing in. It's again digitally-enabled. Really two things: A), we start getting better

visibility of what is happening at the channel level. One more step down beyond

distribution and other also thing to expand our footprint of retail, so that we are

reaching to the unreached customer. The other areas where we have is seeds say

where we are trying to use the planning tool to really say how we should plan and

how much we should plan and we are trying to work on some of the leading indicators to really understand how much placement we should make of the seed, because seed is one category, if you place too much, if it comes back, it also leads to a lot of write-off. And the other thing is really another tool which is

more related to products

and planning, tracking, improving the efficiency seeds, sure. So, there are four, five initiatives and I think six one which I have been talking is really customer-connect. So, we are trying to look at a lot of internal things from a company perspective, strong ERP is important. Then we have done something which are related to production and tracking and retailer distribution and now we are talking about customer. So, I think as we move forward, digital investment is going to further go up because we would like to understand customer and it's very, very important to understand your business to get lead indicators ahead of time, because that helps you in planning and forecasting business better. And the other one we probably have not talked

about it. I think manufacturing is one area where we are also evaluating if there are options and what kind of required automation we can bring, that can bring efficiency and timely delivery because everything is very very important. So, we are also

looking at automation in manufacturing and that has not been done yet. But customer and manufacturing automation are two focus areas. Others have started, will continue to improve and invest in those areas. But these two are going to be fresh investments.

S. Nagarajan: Also, to add, the reference was about last year we had invested in a supply chain tool as well. SAP-IBP integration, we are branding it as "Plan Guru" internally and of

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course that is something that will help us in better forecasting, better logistics. So, the question of how it will help us in improvement in operating efficiencies, we believe that this can actually help us in managing our stock flows much better and also be able to respond to demand changes that inevitably happened during the course of the season in a lot more agile fashion.

Dr. Gyanendra Shukla: I mean, in nutshell, I can tell you. So, for example, this year nobody would have thought the farmers would not plant cotton in the North. Such a significant drop will happen. Some of the areas actually drop is to the extent of 50%. So, what are the things we can do digitally to connect with the market better and can get some leading indicator to manage business better. I mean, pulses going up, Tur planting going up

by 200% is something very unprecedented. Because land is limited in the country, if they're growing so much of one crop, that means the other is going to suffer.

Moderator: The next question is from the line of the Darshita Shah from Antique Stock Broking.

Darshita Shah : The first question was regarding the supply constraints that we have been seeing in the seeds business. If you could elaborate a little bit on these supply constraints, one? And two, when do we expect this to smoothen?

Dr. Gyanendra Shukla: So, seed supply chain if I may say is very complicated. What I want to sell in 2025 for example, I should be taking production this year, right, and parents of those seeds should have produced in 2023. So, it requires two years of planning. The second thing is seed production for majority of the crop, we are dealing with happens in the rabi season of southern India. So, most of the seed is being produced in Andhra, Telangana and little bit in Karnataka, Maharashtra and Tamil Nadu. Now, last two years have seen significant drought right from the month of September all the way

to November, December in these parts. So, there were two years where there was excess rainfall planting got delayed and then last year was significant water shortage, as a result, there was competition for what we call seed crop acres. So, those are the things that led to really less production. The other thing is, we are raising our bar on the quality standards because when seed comes back, you have to test it and check it for its integrity from a purity and germination perspective. So, all those things also sometimes lead to

shortages. Now, the other thing is this is one category where either I keep too much of inventory, right, in anticipation of demand, which also means I lock in working capital for a which is not desirable. So, we are trying to fine tune in such a way and my colleague, Nagarajan mentioned some of the tools we are using to really forecast demand and produce accordingly. So, it's a combination of things. It's a complicated supply chain. I think we are just trying to

manage the whole business for profit rather than trying to say, we will just shape the volume in this because seed inventory can come to haunt us very badly. It all becomes a write-off.

Darshita Shah : Second one was a clarification. I think Subhra ma'am mentioned that we have seen a margin compression in the domestic market as well. Did I hear it correctly?

Subhra Gourisaria: Relatively yes, you're right, Darshita. Because also I said that we corrected inventory from rabi and rabi inventory made higher margin for us. In terms of the kharif placement, we are well on track in terms of the margin as well as the plan that we

had. But now monsoon is picking up, hopefully the liquidation should be improving.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
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Abhijit Akella: Just a couple of questions on the seed side. Would it be possible to give us some flavor of the crop wise breakdown of the seeds business, just rough numbers would also be great? And in terms of the YoY growth decline that we have seen, is that coming primarily from the non-cotton categories, how should we think about that?

Dr. Gyanendra Shukla: So, if you see our business, the two areas where we had supply challenges primarily were hybrid maize as well as hybrid paddy.

Subhra Gourisaria: So, North cotton actually we said we had very good momentum. South and West cotton we will have to yet see how the liquidation progresses, but it's not a big part of our portfolio. So, paddy and maize were the bigger dip for us.

Dr. Gyanendra Shukla: And they are a significant part of our revenue.

Abhijit Akella: And just in the context of this pink bollworm infestation in the North, what's your early sense of how Diggaz and your other hybrids are sort of coping with the challenge of the pest attack over there? Do you see them sort of withstanding the attack and thereby regenerating better demand for next season from the farming community?

Dr. Gyanendra Shukla: So, I think it's a very, very difficult situation for the farmers because each company has a common denominator of Bollgard gene as their technology platform. So, seed per se cannot control the pink bollworm, right. So, whether it's Diggaz or anything else, any competitor product. What we are looking at is because our seed in the last two years has performed very well in the farmers' field in comparable situations. It's all always relative performance. Everybody has seen the bollworm issue. Our team is on the ground and we are trying to really educate farmers what kind of strategy they can adopt from crop protection perspective to save their crop and every company is trying to do that. But given everything else being at par, I think Diggaz has performed well and that's why demand was very high this year.

S. Nagarajan: Maybe if I can add a little bit, Abhijit the purchases for this year have been very, very encouraging and obviously the purchases for this year are driven by the performance and the experience over the prior years and therefore if you kind of recall we had moved from 2,00,000 packets couple of years back to about 4,00,000 packets last year, clearly demonstrating that the proposition of a shorter duration to kind of beat the pink bollworm impact has been very well received and that is what has played out in this particular quarter for us. We believe the liquidation also will be very high. In fact, it is in some of the

pockets where it is complete. The experience of the farmers this year is going to be very critical for the future. So, the key monitorable from our point of view and which of course we will really be focused on is the experience in terms of the yield after two pickings, for example, and kind of see how it compares with various other brands. So, I think that's really where we are, and we are positive at this point in time.

Moderator: Next question is from line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question is on the export demand especially for our key crops. If you can highlight the pricing and demand trend there, because I think in the initial comments we did mention that Pendi methalin had a lower capacity utilization wherein if I am not wrong, we were planning to expand the capacity, so if you could highlight some comments there?

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Dr. Gyanendra Shukla: So, of all the molecules we produce, I think Pendi methalin is one which has a good future, it has continuing demand. Having said that, I think industry is still dealing with the oversupplies from the previous productions. So, other product where I think we face challenge is really acephate, because that product not only could come under significant regulatory review but suffers from the same fate as it is only sold in certain markets. So, how the supply situation is in those markets determines at what price we can sell. So, I would at this point of time say Acephate is a larger challenge than Pendi methalin. Because, I mean, we like it or not, China will be there, they will continue to supply. We also have to start internally looking to see how we become a more efficient producer there and be competitive.

Ankur Periwal: So, from a full year growth perspective, given the pricing is what it is, would it be fair to say that large part of the growth will be volume-led while pricing will still be an overhang in terms of overall revenues for exports?

Dr. Gyanendra Shukla: So, it's very, very difficult to say what will happen 10 months from now, eleven months from now. What we see is, if you start splitting our business in segments, as I said, domestic formulation demand is looking good for the various factors I mentioned. Seed, the majority of our season is over. Primarily the bulk of the business happens in kharif, and the only adjustment would be related to how much return comes versus what we have estimated. So, that adjustment you will see

probably in the subsequent quarters. And domestic season is actually coming big . Then you have obviously CSM business . I think CSM business also has the same dynamics as international business while contracts are slightly different . On international , I guess if you go around the world, commodity prices are low , but consumption is taking place, prices have not improved. I do not know either I am able to predict , there's no crystal ball in my hand to say what will happen. Having said that, I think we have to start becoming efficient on our cost and the customer relationship around. That's the only way to manage the situation and start looking for new molecules, new products and phase out some of the older ones.

Moderator: Next question is from the line of S Ramesh from Nirmal Bang.

S Ramesh : So, looking at the current progress in the monsoon, is it possible to give us some indication of what is the kind of volume growth you can expect in the domestic market ? And is the 19% volume growth you reported in exports kind of sustainable over the next few quarters and what is the sense we have?

Dr. Gyanendra Shukla: So, obviously I cannot give you a percentage, it's very difficult to say what percentage, but given the sentiment, we are expecting a significant growth and you have seen that has happened in the past quarter as well. Because when the prices are decent and planting is there, in a rainfall situation,

certain farmers do try to

maximize their yield in return and that's where crop protection do play a very, very important role. Our attempt would be to try to take full advantage of the situation which is in front of us.

S Ramesh: So, in terms of the export volumes , do you see that trend continuing ?

Dr. Gyanendra Shukla: So, export I think obviously from a volume perspective, things have started moving, pricing is something nobody knows. And again, it depends on the molecule we are talking because every molecule has its own dynamics in market .

S Ramesh: So, in terms of margin, is there some sense you have in terms of when you can see margins achieve what you did a year ago say to take a full year?

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Dr. Gyanendra Shukla: I cannot give you numbers, but all I can tell you are the initiatives we are taking and some of these initiatives for us being a seasonal business , you do not see in a very short period of time. So, fundamentally we are trying to look at our organization differently trying to get it more focused on the business units . We are double dialing up on partnership and collaborations. As I said, we are looking at portfolio. But you also have to understand portfolio, you have to do analysis and you have to make sure you're able to exhaust inventory . So, transition to more profitable differentiated product itself is a journey which means you have to identify old product, do that proper analysis , phase out them. But I said look , crop nutrition is looking very attractive, and this is something we want to pursue. It's a relatively higher margin and seed also is a higher margin, and we want to manage for profitability.

Moderator: Next question is from Rohan Gupta from Nuvama Institutional Equities .

Rohan Gupta: Sir, you mentioned that rationalization of the portfolio in agrochemicals where you want to focus more on herbicide portfolio which is weak . So, what strategies you are looking at whether you are getting into more collaboration with the global players or going to develop your own molecules launch by your self more in generic or in special categories or specialty chemicals. So, what is the strategy you're going to adopt to strengthen your product basket?

Dr. Gyanendra Shukla: So, I said two things , not only herbicide, crop nutrition. I also said even in insecticide and fungicide which is our larger chunk of the portfolio in crop care. There also our attempt is to slowly phase out low margin and start bringing new and differentiated product where margins are relatively better. Now , obviously we are not looking at doing everything on our own. And I have been talking about partnership and collaboration as an important part of the strategy so that we are able to partner with the companies both global as well as Indian companies to bring those products and bring what you call refresh the portfolio. Now these things do take time, it's not something now you can do overnight. So, it's a combination of things, not one thing.

Rohan Gupta: You mentioned that definitely you will be looking at more of the collaborative partnership, I mean coming with the global player.

Dr. Gyanendra Shukla: I think we are moving to a mindset to say we have to make a smart decision , make versus buy , in a world where so many supply chain and product partnerships are available. We have to be very prudent in making a decision. So, whatever is financially better, that's a decision we should make and obviously there's a point on supply chain certainty. So, our decisions are more going to be based on make versus buy, pure economical decision making sure there's a certainty of supplies.

S. Nagarajan: Just to add , the product that we launched in this quarter, one of the products we launched "Mark Plus" is 9(3) product which is in collaboration with one of the majors. So, I think there would be examples and like Gyanendra said it will be a comb

ination

of both partnerships as well as prudent buys and in-house products as well.

Rohan Gupta: Sir, similarly, in our export market also you mentioned like product like Metribuzin, and all have seen a significant price drop almost half. However, you have seen a significant volume-led growth of almost 19% in exports. So, wanted to know that this very solid volume-led growth which is in the current quarter. Is it driven by inventory restocking happening globally or the demand has picked up globally, what is driving this? And second with such a sharp price drop in some of the molecules which we are making intermediates, do you see that the gross margin in this business to remain at the lower end only and probably will drag the overall profitability? It was

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also surprising to see when Subhra mentioned that we did not have any inventory-led losses in export business despite such a heavy price drop. So, it is not able to figure out the maths that what earlier participant also asked that we had a seed business which is 22% margin in the current quarter, domestic business should have a better margin, but still we had a 12% overall margin, which should be only the function of that international business would have been in a red. But I am still not able to figure out that how the margins are actually in international business or in export business, which is such a drag?

S. Nagarajan: See, I think you are right. I think the volumes have actually been better on the international business for most of our products, except the two that Dr. Gyanendra

called out, one, of course, Pendimethalin and Acephate. What is driving the volume growth in these other products, I think the farmer level demand because of let's say destocking that has played out, the farmer level demand has actually been fairly robust continuously, but I think the intermediary level demand, I mean the stock levels have influenced the volumes that people like us are able to accomplish. So, I think that has certainly changed and we are finding that for the other products, the volumes have picked up. However, prices have continued to remain under pressure and that is why the margins, the contribution levels, for example in the case of the international business have been lower than last year. With respect to your query about the math on this and the earlier caller's question as well, I think one way I can try and help you with that is if you look at our Q1 EBITDA at Rs.96 crore, last year was Rs.110 crore. So, there's a drop of about Rs.14 crore. Four crore is the drop seeds which already Subhra explained, leaving you with a Rs.10 crore drop in the crop care area and a large contribution to this Rs.10 crore EBITDA drop is coming from the international business gross contribution drop, which I just now alluded to. But despite that drop, the profitability, that is EBITDA of the export business because Rs.10 crore is the drop, but it does not really make it negative. So, that's really the math to kind of reconcile the fact that the business has remained profitable and of course, we have had specific deals where we have had, let's say prices with very, very little margin because of the inventory that we were holding. But we have not as an export business lost money is what we would say at the EBITDA level, I hope it helps.

Moderator: Next question is from the line of Bhavya Gandhi from Dala I & Broacha.

Bhavya Gandhi: Just two questions. One, how much was the price decline when it comes to domestic markets? We had a volume growth of 13%. Was there any price decline in the domestic market? You have not given the split.

Subhra Gourisaria: In domestic business, price decline was upwards of 10% and this is YoY decline, the QoQ decline has come down, but obviously because Q1 was on a higher price last year; it's 14%.

Bhavya Gandhi: With respect to the 13% volume growth,

if you can share which products have worked better and with respect to price decline also, which products have not worked better, if you can just throw some light on that as well?

Subhra Gourisaria: So, large part of this volume growth is coming from herbicide, albeit is a small part of our portfolio, but we have seen good momentum in herbicide business in our domestic portfolio. Plus, some of the recent launches we called out Clasto in our press release as well, some of the recent launches have picked up there. So, that's how the volume growth has come through.

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Bhavya Gandhi: Where have we seen the price decline?

Subhra Gourisaria: So, price declines are coming in parts of the portfolio where we compete directly, and we have to be priced at par as the market is concerned. So, that's where the price declines are coming. Our portfolio, which is not very differentiated and where we have not a great share in terms of brand is where the price decline is largely coming from.

Moderator: Next question is from the line of Ravi Purohit from Securities Investment

Management Pvt Ltd. .

Ravi Purohit: Just one broader question, Dr. Shukla for you. Since it's been now four months that you have been in the company . If you could just share what have been your learning so far? I mean Rallis is probably the only Tata group company where profits are same where they were 10- years back , even today . What changes are you looking to make? What has gone wrong over the last 10- years ? And how should investors look forward to in Rallis with your experience, what should we expect over the next three to five years , if you could just share that would be very helpful for investors at large to understand where the company is headed to over the next three to five years ?

Dr. Gyanendra Shukla: So, one of the things I can reiterate, as I said last time was that Group is committed to this business and there's a lot of support , and I have been saying this is the only direct farmer facing business we have. So, there's a lot of commitment to grow this business. And I probably might be just reiterating what I have been saying is so we are in the right businesses, seed is a business , if it is run for profitability is a very, very good business to be , crop nutrition is a very good opportunity where I see a growth as well as healthier margin because beyond bulk fertilizer there's a lot of scope to grow the business and help farmers make more money , because any company unless can help farmer make more money is not going to win the heart of the farmers. So, those two areas from a business sector perspective, very important . And coming to crop protection, I think we have been weaker on herbicide. We are working on it and even this year also as Nagarajan has mentioned, we have launched a product . So, we will continue to focus on that because that is driven by labor dynamics of the country where labor is available , mostly it's not available and is becoming very, very expensive and there herbicide users come to play. Having said that, fungicide and insecticide will also remain very -very important. So, from a portfolio perspective, we are on the right segment . I think what you would see over a period of time, we will launch new differentiated products, we will transition to new product by slowly phasing out old products, which are less and they do not contribute to profitability, and they unnecessarily create supply chain complexity. So, that process you will start seeing . Obviously , it's a phase out . When I say phase out does not mean it will happen next month, it's a process , right? Now from a product sourcing perspective, we do have our own R&D and as we have reiterated in multiple calls in the past that we are trying to now build the integrated facility which should be ready in two years of time where we bring our two R&D capacities together at one center

in Bangalore, so we will continue to invest in R &D in the right areas . And from a product sourcing perspective, we are going to be very -very thoughtful about partnership and collaboration. So the mindset of I should do everything on our own, I think we are moving away from that to be a more collaborative partner for global companies as well as domestic companies, because I personally believe we have a very strong Tata and Rallis brand in the market , which works very well for us. So, the same product launched by us can get faster and better traction in the market compared to a relatively unknown company. So, partnership and collaborations are going to be key pillars. I also talked about investing in customer -facing digital initiatives. So, I think a lot of work has been done and we will continue to augment that which is more internal efficiency planning and accounting and everything else. But tracking, retail and customer and spending time with the farmers, leveraging digital because digital give us a scale, I mean there are only so many people a company can deploy in the marketplace and get access to the farmer and get a consistent message. So, we are going to be investing on more customer side digital investment , that includes training, marketing material , leveraging them to get lead indicators and that helps in planning our business better. So, that's on the digital side. And as I said, in manufacturing also, we are going to have a deep dive to really see how we make sure each of our products remains profitable and competitive in the market and that's where we are not only looking at the product . Our product life cycle at what life cycle they are in the global regulatory framework, where things understand. We are also going to invest in automation to really bring efficiency in our production and supply chain. So, those are broad areas and the last but not the least is investment in people. I think we are moving; we are looking at some significant leadership changes wherever required to bring some fresh thinking and also looking at not only from the perspective of rightsizing the organization. And some of those things as you move forward you will start seeing. Ultimately, the goal is that we should be able to deliver higher return on capital to the shareholders.

Moderator: Next follow -up question is from the line of Abhijit Akella from Kotak Securities. Abhijit Akella: One is actually just on the cotton seeds business that we were discussing earlier. So, just to sort of check versus the 4-lakh package that we did last year, what's an

approximate number we would look to maybe end this year with, obviously , assuming there is no significant sales return? Second thing is just from the Innovation turnover index, the ITI number , given the kind of traction you're getting with clasto and certain others, is there a broad number ballpark where we would expect that next to end up with for fiscal 25? And finally, just your sense on how the margins of crop nutrition compared with the margins in the overall crop care business .

Dr. Gyanendra Shukla: So, I think there's a normalized margin and the margin we make. Our attempt is to move from the margin we make to the normalized margin, right . So. If you say normalize margin as a sector , seed s generally have higher than crop nutrition and crop protection is just below crop nutrition now. The caveat here is that on the mix of portfolio . If you get a differentiated product which is well received in the market, your margins could be very high. But on a macro level , I would say crop protection, followed by crop nutrition, followed by seed.

Subhra Gourisaria: Maybe I will answer your question on cotton. So, cotton , overall, I think we are hopeful that this year we will do highest ever cotton pack ets between North cotton and Southwest cotton. Obviously , Sout

hwest cotton liquidation trends are yet to be seen. North cotton looking at the liquidation trend, we are hopeful that we should be able to get significant growth over last year's actual liquidation. And this was also in a way constrained by the packets that we got in terms of production. So, if it was unconstrained, we would have got further high volumes . on cotton. C rop nutrition, I think Dr. Shukla already alluded that it does make better margins and given the fact that we share common resources in terms of crop protection and nutrition in terms of front end, we do have a significant benefit in terms of bottom line.

Abhijit Akella: On the ITI please, Subh ra, if possible ?

Subhra G ourisaria: ITI is difficult to say because it's last four years contribution of it versus the overall portfolio and we do expect the overall portfolio to grow as well. Having said that, our Page 14 of 17

ambition is certainly as we said earlier as well, that ITI should start moving to the high teens and which is where we are seeing an uptick happening in 1st Quarter as well.

Moderator: Next follow -up question is from Darshita Shah from Anti que Stock Broking.

Darshita Shah : So, we heard that there has been an increase in the technical prices in the domestic market largely due to the freight issues that we have been seeing. So, if you could suggest if something like this is happening with us as well and if this would put some pressure on margins probably sometime in the seco nd and the third quarter in the domestic market ?

S. Nagarajan: I think we have to look at the time scale. Actually, if you compare it with last year, that is YoY, that may not be necessarily correct, but if you're comparing it in short run, that is, let's say, MoM or QoQ, what you're saying, y es, there are certain technicals where certainly the raw material prices as well as the technical prices are creeping up. We will have to really see product -by-product . In some products where the brand strength is there to absorb these increases , it would be possible, but certainly there would be somewhere it may be leading to some kind of margin compression. It's hard to say at an overall level.

Darshita Shah : If we have taken any price hikes probably on sequential basis in the domestic market ever since the monsoon has picked up?

S. Nagarajan: Our pricing has actually been very, very product -specific. I mean, I think there are products where we increase, there are products we reduce, that is more dictated by the strength of our product and the demand that we are out looking for that product. So, to answer your question, some products, yes, but most of the products , I would

say have actually had a reduction , I would say YoY is a better comparison b ecause if you compare sequentially the products that go into Kharif and the products, I mean there's a difference, right now we have had more of herbicides and all of that going. So, YoY, I would say pretty much most products there would have been a decline.

Moderator: Next question is from the line of Pradeep Rawat from Yogy a Capital.

Pradeep Rawat : So, my first question is regarding the overcapacity in China. So, we are hearing from other players that there are many capacities in the Chinese mainland has been shut down and their inventory level are also on the higher side. So, can you comment regarding that?

S. Nagarajan: Yes, I think that is correct. I think we have also got a lot of input about high capacity.

Yes, some of them have closed down, but I think the supply is pretty high, which is what is creating a lid on the price to move even if there is a volumetric demand at the farm level, which is robust. So, yes, I think t hat is true.

Pradeep Rawat: With regard to inventory level side, distributor and retailers in domestic and international market, can you comment on that as well?

Dr. Gyanendra Shukla: International supply is certain

ly continuing. There's no dearth of material. North

America is going through a big season and in Latin America, these are the two largest markets they will consume, including China, ASEAN and India. I think at a domestic level, I am sure you're aware that many companies were stuck with inventory and that's one of the reasons prices are still subdued because everybody's trying to
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convert that, no inventory to cash and also make sure their products are available during the season. But having said that, I think as monsoon progresses, sentiments are positive, I believe companies also have been very careful in planning subsequent inventories. So, I think at a domestic level situation to only improve, not get worse.

Moderator: Next follow-up question is from the line of S Ramesh from Nirmal Bang.

S Ramesh: So, there has been an inventory impact in the 1st Quarter. Is it possible to give a value to that inventory impact? And secondly, in the crop care business, the revenue was Rs.428 crore. Can we have a split between domestic crop protection and crop nutrition either in numbers or in percentage?

Subhra Gourisaria: So, we keep doing this inventory, we look at trade inventory and look at what is it that is sustainable and do the inventory correction at periodic levels. As I mentioned, there was in some parts of the market high rabi inventory which we did correction in the quarter, but I do not think that is a sizable number to be called out. As far as your question around crop protection and nutrition is concerned, we already call out that it is, for instance, in the last year we did around Rs.180 crore of crop nutrition business. So, it's currently around maybe 10-15% of our overall domestic crop care business.

S Ramesh: Secondly, if you're looking at say, FY 26-27, do you see any additional levers for growth like your manufacturing business or would it just still depend on the export business improving and the domestic business improving in terms of pricing and margin, how do you see say FY 26-27 from where we are today?

Dr. Gyanendra Shukla: I think I have already articulated as part of my broader strategic intent. There's always a B2B and which is important, is not less important but our focus big way is going to be in B2C and three segments as I said are important, growing crop protection and within that making sure our herbicide portfolio gets beefed up. We start putting extra effort on nutrition and seed managed for profitability. One more thing I want to really talk about crop protection, because of sentiments around pesticides in general based on what has happened recently in what we call spices market, we are also conscious of that fact, and we are also going to be investing in new age portfolio which is more based on peptides, enzymes and biologicals. And that eventually will become the fourth segment as we move forward from a customer perspective.

Moderator: Next follow-up question is from the line of Viraj Kacharia from Securities Investment Management Pvt Ltd.

Viraj Kacharia: The question is that we have seen a good amount of spend happening in the R&D in seeds portfolio. So, in '24, we did something like 8-10% of our sales in R&D in the seed business. And this is the business where in the past also we have done a lot of spends, but we have seen good amount of impairments and write-offs and all. So, the question is what correction I think the selection process in new products or in the process which we have done which gives you the confidence that you feel better efficiency of the spend? So, that's the second question. And third is do we expect this run rate to continue going forward?

Dr. Gyanendra Shukla: So, I think two investments are very critical for us, one is related to R&D and the second one is related to investing in the people. So, these two areas we will continue to invest. Now,

your question is whether R&D in seed business has been efficient or

not. There's not much I can tell you now, but there's a work going on to say how do
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we get more focused in R&D and what are the new tools of R&D we can deploy to improve the outcome of our R&D.

Viraj Kacharia: The average age profile of the product portfolio in seeds and what avenue we think we have in the interim which can drive growth because R&D itself is a I mean seeds, it can take somewhere between 7 to 10 years to actually commercialization. If you can give some thought process?

Dr. Gyanendra Shukla: Look, in normal course, you're right. I think now it cannot be 7 to 10 years because there a lot of modern breeding tools are becoming available, and our attempt would be that get that money focused on few things rather than thinly spreading it. Second thing is also investing that money wisely in the newer technologies, so that we can

reduce the time of our product development and launch because 8 to 10 year is really very long and no company can get into that and hope to be successful because by the time you develop product competition moves on. So, we are looking at both the aspects. What we do in a very focused manner and what kind of new technological tools we deploy to make R&D more efficient.

Moderator: Ladies and gentlemen, we will take the last question from the line of Rajkumar Vaidyanathan, individual investor.

R Vaidyanathan : So, my question is regarding the exports. So, if I see the presentation, it says there's a 19% volume growth and leading to 5% value decline. So, that means approximately there's a 20% price decline. So, I just want to know, see, given that you reported negative growth in Q2, Q3 and Q4 of last year on exports, so does it mean that sequentially we are seeing an improvement in terms of the pricing?

Subhra Gourisaria: See, it also depends on the portfolio mix. So, I do not think we can just add up the numbers and say that. But having said that, I mentioned in the earlier call as well that the year-on-year price drop is now going to get anniversarized. So, we will start seeing hopefully not such steep price decline which should probably manifest in better growth numbers. But the situation is quite volatile and it's difficult for us to say how Q2 or Q3 will pan out.

R Vaidyanathan: Ma'am, because in Q2 you reported 50% decline in exports and Q3 and Q4 also a significant decline. So, compared to that in the current Q1, you are reporting only 20% decline in price. So, that is why I am asking this question. So, sequentially then you should have seen an improvement right from a pricing perspective?

Subhra Gourisaria: Yes. So, sequentially, price drops have stabilized. So, sequentially price I would say moderation you will start seeing.

R Vaidyanathan: Also, there was a point mentioned about the buy versus make decision. My question is so are we looking at any asset light model when it comes to exports because if you take companies like Sharda Crop, they have been able to kind of mitigate this price decline because of asset light model. So, I just want to know what do you think that you are kind of late into the kind of the export market by pursuing the manufacturing-led strategy?

Dr. Gyanendra Shukla: Look, we have already made significant investment in manufacturing and our attempt is to really make sure we sweat it out better. Having said that, as we get more relationship abroad, we are going to be making more prudent decision that whether we have to make on our own or we can do things differently. So, it's not one approach

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cast in the stone. We are going to be flexible. I think the whole idea is how we grow business and how do we generate better return on the capital employed.

Moderator: Ladies and gentlemen, we will take that as a last question. I will now hand the conference over

to the management for closing comments.

Dr. Gyanendra Shukla: I just want to say thank you very much for all your questions. I think they're important to us. They always keep us on the toes to make sure we live up to your expectations.

But you have to understand, we are in a very complex business cycle and with a lot of external variables our attempt is to really bring more certainty to the business.

Thank you for your time.

Call: Oct 2024

October 21, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir/Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 2024

Further to our letter dated October 7, 2024 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2024 held on Wednesday , October 16, 2024. The same is also being made available on the Company's website at:
[https://www.rallis.com/investors/Financial -Performance](https://www.rallis.com/investors/Financial-Performance)

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer
Page 1 of 16

Rallis India Limited
Q2 FY' 25 Earnings Conference Call Transcript
October 16, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Rallis India Limited Q2 FY'25 Earnings Conference Call.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desa from CDR India. Please go ahead.

Gavin Desa: Thank you, Ryan. Good day, everyone and thank you for joining us on Rallis India Limited Q2 & H1 FY'25 Earnings Call.

We have with us today Dr. Gyanendra Shukla – Managing Director and CEO and Ms. Subhra Gourisaria – Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward- looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the result presentation.

I now invite Dr. Shukla to begin proceeding with the call. Over to you, sir.

Dr. Gyanendra Shukla: Thanks, Gavin. Good morning, everyone and thank you for joining us today on our Q2 Fiscal Year '25 Earnings Call. As mentioned by Gavin, I have alongside with me Subhra – our CFO.

Let me begin the discussion by delving into the Industry landscape initially, post which I will discuss Rallis Specific Developments .

We continue to witness mixed signals across agrochemical demand recovery in global markets. Volumes are largely back across key markets , though lower pricing continue to impact realizations. Production from China continues to be high, and margins are stressed across geographies.

In the domestic market, rainfall was erratic with the spatial distribution causing floods and dry spells in different parts of the country.

On an overall basis , monsoon season 2024 concluded with roughly 8% above normal rainfall , impacting key agricultural regions like Rajasthan, Gujarat, Western Madhya Pradesh, Maharashtra, Telangana state and AP.

Kharif '24 sowings as of 20th September reached about 110 million hectare versus 108.8 million hectare last year. Area under paddy has gone up by 2%, pulses by 8%, maize by 4%, whereas area under cotton has declined by 9%. Extensive rains in some part of the country, especially during mid-August to September period which is the key demand period for agrochemical companies did create growth challenges for the industry at large.

Continuous rain resulted in lower application of pesticide sprays , which in effect led to lower volume growth, especially in the herbicide category. The IMD predicts October to December rainfall to be 112% of the long- term average, potentially affecting Kharif crop harvest. La Niña conditions, which may cause below normal temperature in northern and central India could lead to cold wave events.

Export market demand recovery is still not very promising. Lower prices and volatility are making chemical players also see an inventory buildup. China continues to keep the market well supplied. Demand in the US has been relatively better . Demand remains uncertain in Europe due to operating challenges with unrest in the Middle East further adding more pressure.

Moving on to Rallis s pecific developments – We had a robust Q2 performance. On the back of a strong double- digit volume growth in the domestic market , our revenue stood at Rs. 928 crore versus Rs. 832 crore of Q2'24 and profit after tax at Rs. 98 crore, which is 210% higher than the previous year, similar quarter. Crop Care delivered strong volume- led revenue growth of 7%. Within crop care, growth is domestic led with export business continuing to remain under pressure. Seed revenue is up by 48% due to better Kharif liquidation. EBITDA for Q2 Fiscal Year '2 5 stood at Rs. 166 crore, higher by 24% compared to Q2 the previous year.

Moving to the i ndividual business Wise Performance – Our export business has displayed resilient performance, with focus on maximizing volumes and driving capacity utilization for our plants.

In Metribuz in, we have done the highest ever volume in first half '25 and with half year volume surpassing Fiscal Year '24 volume already. Hexaconazole is also showing good momentum, and we are working on debottlenecking to serve the increasing demand.

Pendimethalin is in good track with long- term demand being steady. Our work around capacity expansion with new efficient technologies would also be commercialized by the end of the financial year.

Acephate market continues to be under pressure in US and Brazil with key input raw material at lowest ever price.

Across technicals, we are also steadily working on expanding the customer base and securing registrations with more global players to improve our share.

In CSM, we are working on new relationships and alliances with global players. On the back of three new contracts in Fiscal Year '2 4, we have further successfully

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completed pilot scale production of pre- commercial quantities of Flavocide®, a novel insecticide for Bio- Gene Technology Limited, an Australian company. We are confident that these new partners will meaningfully contribute to both the top line and bottom line in the years to come.

Moving into Domestic Crop Care – Our growth was 11% with volume growth of 17%. The quality of growth was also good, with future growth categories like herbicide and crop nutrition, witnessing 25% and 29% growth, respectively. Herbicide categories is under indexed within our business and we are consciously working on improving the share progressively.

Within crop nutrition, GeoGreen did the highest ever volume in H1. . Our new product launches such as C lasto for

Cotton Whitefly and Mark Plus for Soyabean Herbicide

showed good promise, and we are confident of the potential for scale up.

Within crop nutrition, Naysinc and water -soluble fertilizer which is Aquafert range are scaling up fast. We also conducted our key dealer and retailer meetings to improve the engagement. Our actions around expanding targeted reach and penetration leveraging digital is also in good momentum. We have commenced the work on rationalizing the portfolio and sharpening focus across key markets. And you will hear more of it in the quarters to come.

Moving to Seed Business – It recorded Rs.141 crore revenue with 48% growth over the previous year, mainly due to lower Kharif '24 sales returns resulting from calibrated placement leveraging Seedsay digital tool . Seedsay is a AI and ML based sales forecast modeling tool based on historical sale and other business factors. We

will further work on improving the tool to keep sales return under check.

The near-term outlook for the business – Particularly export business remains challenging. Domestic business has a positive outlook on the back of good reservoir level. Our efforts are now directed towards improving customer centricity, sharpening the portfolio choices, expanding alliances and leveraging digitalization across the operations.

We launched Anubandh Edge, a Unified Retailer Management App for both Crop Care and Seed business. That concludes my opening remark. I will now hand over it to Subhra, our CFO for a detailed analysis of the financial situation.

Over to you, Subhra.

Subhra Gourisaria: Thank you, Dr. Gyanendra. Good morning, everyone, and thank you for joining us today for our Q2 & H1 Earnings Call.

I will walk you through our Financial Performance for the Quarter, post which we shall commence the Q&A session.

Starting with the top line for the quarter – our revenue stood at Rs. 928 crore as against Rs.832 crore for the same period last year. Volume growth has been encouraging at 17% with pricing challenges impacting overall growth.

EBITDA for the quarter was Rs. 166 crore as against Rs. 133 crore for the same period last year. Profit after tax for the quarter stood at Rs.98 crore as against Rs. 82 crore for the same period last year.

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Moving on to Business Wise Performance – Domestic crop care registered growth of 11% with 17% volume growth. Domestic demand was buoyant with positive monsoon and better commodity prices.

Overall, Rabi outlook is also positive, with increased reservoir levels. As far as seeds is concerned, calibrated placements in Kharif helped us in maximizing liquidation in the context of stock shortage to ensure most effective utilization of the inventory. Seeds business has grown by 48%.

We are significantly pleased with the response we are getting for our cotton hybrid – Diggaz and we believe it has significant growth runway. Our focus will primarily be on five key crops – Cotton, Maize, Millet, Mustard and Rice. We believe the focus on such selective crops will aid in driving scale. We aim to gradually build our presence across these five crops with a focus on profitability.

In exports business lower prices continue to impact revenues while demand recovery continues to be slow. Sales of Metribuzin and Hexaconazole maximized whereas Acephate specifically continues to remain soft. Our efforts on expanding the customer base and product portfolio are going to help build more resilient business.

Our efforts continue to be directed towards driving focused execution both at the front and the back end. This includes portfolio optimization, territory rationalization, removing overlaps and driving cost efficiencies and simplification across the value chain.

Our actions across the portfolio refresh also continue with two new products in crop nutrition and three products in seeds launched during the quarter.

We also continue to be

relentless on improving capital efficiency, both for fixed capital and working capital. We plan to adopt a measured approach in export segment and will not set up capacities till we have contracts in hand and have improved utilization for already set up capacities.

Our inventory levels have moderated. Collections have also improved. Despite stress in some markets, collections improvement will continue to be a focus. We have a healthy cash and liquid balance of Rs. 229 crore as of 30th September. We envisage spends on CAPEX would be around Rs. 100 crore. We also expect to commence the construction for integrated R&D Center in a phased manner soon.

In summary, we are implementing various initiatives, and we are trying towards achieving consistent, competitive and profitable growth.

That concludes our opening remarks. We can now commence the Q&A session.

Moderator: We will now begin the question- and-answer session. Our first question comes from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Couple of questions. First, on the seeds business. What do you think drove your volume? I mean you've indicated enough that it was because of calibrated placements, but would it therefore be fair to presume that your expectation of sales return for Q2 was materially lower than what actually turned out? And second, within the seeds business, how were the volumes for Aatish and Diggaz for FY'25?

Because the commentary seemed to suggest that you are quite optimistic on the

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offtake of Diggaz, but the fact of the matter is that cotton across industry was pretty bad for Kharif of '24?

Dr. Gyanendra Shukla: Thank you for your comments. I think what drove volume, I think one of the things we have been saying is look, we are trying to be better in forecasting how much we place and where we place. The investment we are making on digital capabilities we talked about seeds aye that basically takes into account what is likely to be accepted in the market and other parameters which we are using, that helps us in placing the product in the right quantity at the right places. Now, these are still early days, but I would say that certainly has helped us in placing the product at right place in the right markets in helping reduce the return. So, the difference between the previous year and this year is significantly low return compared to the previous seasons and that led to overall net sale going up. Coming back to the specifics, I think Diggaz as we have said earlier also has done very well. Literally, we had negligible return. I think now this is one product which has crossed more than Rs.50 crore brand of the total cotton, and we are very bullish on Diggaz for the North. Aatish of course is a mature product, is rather on dec line. We were very careful about building inventory of that. So, as we move forward in the seed, I think I have been talking about managing this business for profitability and it comes from also managing operational efficiencies and that's where combination of digital tool, better planning and better placement will help in long way, making sure that we are not losing money on one side as we try to generate revenue.

Tarang Agrawal : Just a follow up on this, I mean, typically from what I understand is that your seeds portfolio is skewed more towards rice and maize, followed by millet and cotton, right? If I look at H1 acreages for maize and rice generally it's been a good Kharif for both these crops for various reasons. So, how much of your performance in H1 rather than looking at it in Q2 and Q1 basis would be a function of those end markets really doing well, and how much would you attribute to it, because the function of the market having done really well, rainfall is being fairly continuous, which hasn't been seen in the last three years at least?

Dr. Gyanendra Shukla: So, if you start looking at the portfolio,

I think look, so rice obviously we didn't have enough seed, otherwise we would have sold, so rice has done overall well for us. So, whatever quantity we had, I think we have been good in liquidating that. Cotton though is one crop, it has gone down from 12 million hectares to 11 million hectares, but 11 million hectare is still a very large crop, right? So, from that perspective I would say we were still able to capitalize because of the good demand of our products. So, the market has gone down by 10%, but the products which were in demand have still done well. That explains cotton and rice. Millet, our portfolio, I would say is still not competitive to be in the leadership position, we are working on it and same applies to the maize. But maize because we didn't have a lot of inventory, we were still able to sell. We could have sold more if we had inventory, but yes, as we move forward, I think we are getting good traction in our cotton, and I think our biggest hope our biggest success will come when we are able to crack a good product for South and Central India, which we are working on. Rice, we have a good portfolio, millet, I think we are working on and maize is something also work-in progress.

Moderator: The next question is from Nirbhay Mahawar with N Square Capital.

Nirbhay Mahawar : Just a follow up on Diggaz. What is its target market size right now and what is our market share as of now, what is our aspiration?

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Dr. Gyanendra Shukla: So, the Diggaz market primarily is targeted towards the Northern part of the country, which is a pre-adjointing states of Punjab, Haryana and Rajasthan where cotton is grown. So, if you say how much we have grown, Punjab grows about 2,00,000 hectares, Haryana grows about 5,00,000 hectares and Rajasthan has similar areas. So, it's about 1.2 million hectares, a 10% of the total cotton area gets planted in that place. That's where this product is getting planted. That area, particularly in Punjab and Haryana has been under pressure. But still I think 1 million hectare and a concentrated pocket is a sizable area and we believe we still have significant headroom to grow given the performance of the Diggaz in the coming years.

Nirbhay Mahawar: Could we give these numbers in terms of the number of packets we are selling versus total market share?

Dr. Gyanendra Shukla: So, I think now, look, we are in production right now, right. We would have a fair estimate of how much inventory would become available by February and March.

So, at this point of time, you know, if I have even 2 million packet, I can sell all of it. But I know we are not going to get that kind of production because of this wet season, also, production becomes very, very challenging. So, I guess this question if you ask me in the month of February, March, I will be able to give you a better projection.

Moderator: The next question is from the line of Siddharth Gadekar with Equirus Securities.

Siddharth Gadekar : Sir, on the seed business, I just wanted to understand that have you taken any price

hike, was there a shortage of seed in the market? And can you quantify between value and volume growth during first half FY' 25?

Subhra Gourisaria: Price hike we took because the mix also changed significantly because cotton as a portfolio has become our largest crop in the portfolio. So, there is a combination of price and volume mix sitting there. But if I slice it, there is a large part of the gain which has come from price mix and not so much from volume, because inventory was already constrained. But cotton has done well, paddy, in the circumstances that Dr. Shukla spoke about, given the constraints of inventory, we were able to liquidate whatever we had made followed by maize where also returns were very low. So, it's a combination of both price and volume mix which has contributed to the growth. Siddhar

th Gadekar: And secondly, in terms of our sales return, can you quantify the number that was there in the last year's base number and this year, what was the sales return?

Subhra Gourisaria: So, I wouldn't be able to quantify, but if you look at first half performance itself, as I said, I give you some products, for instance, Diggaz it was practically zero return, paddy was also no net return except for some small returns we had to take and maize as well like very low returns. So, it was largely millet compared to last year. Last year as Dr. Shukla alluded there was also technology which helped in terms of digital placement plus also some interventions we did in terms of identifying the right distributors, placing it with the right kind of inputs in terms of marketing input. So, all of that helped in reducing the returns.

Moderator: The next question comes from the line of Abhijit Akella with Kotak Securities.

Abhijit Akella: Thank you, just a follow up on the previous question. On the seed revenue growth for the first half, which is about 2%, if you could please just split it out in terms of volume versus price and mix, that would be helpful?

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Subhra Gourisaria: Last part of it as I said has come from volume and mix. So, a high single digit would come from price and mix and volume would be largely flattish.

Abhijit Akella: Similarly, it is possible to just split it out for the domestic crop care business as well please, Subhra?

Subhra Gourisaria: The domestic crop care first half you wanted, right? So, domestic crop care has had a minus 6% price degrowth, I am talking about formulation business and the volume growth is positive at 18%.

Abhijit Akella: On the Bio-Gene project we have, if you could please just help us understand the revenue model that we are kind of envisaging there, do we derive some cut off the royalty that Bio-Gene makes from its licensing to its commercial partners or do we instead supply the molecule directly to bio genes licensees, how exactly do we make money in this project?

Dr. Gyanendra Shukla: So, I think look, this is a new arrangement. The way it starts in the beginning is we have a supply contract, we set up a facility to produce for them and we make margin there. But in future there may be a possibility of getting distribution rights of these products.

Moderator: The next question comes from the line of Rohit Nagraj with Centrum Broking.

Rohit Nagraj: First question is on the industry front. So, in your commentary, you also mentioned that the market is well supplied from China, however, our performance is otherwise in such a challenging environment. So, what is your understanding in terms of a), the immediate impact of the well-supplied market on the volumes across different geographies? And b), when would we see any pricing improvement given this context?

Dr. Gyanendra Shukla: I think given that there was good rain and commodity prices were favorable that led to obviously volume gain. Pricing is something very, very difficult to predict because no matter how much we continue to undermine China. China has capacity and they have ability to supply at a very competitive price. So, I guess that's very difficult to predict. What is easy for me and I have been saying in the past is that I am going to focus on domestic branded business where I have to make sure my product is being used more by the same farmer and on the more crop acres. That's where our focus is because prices are variable. If I am in a domestic branded business that also allows me to charge some premium at the brand level. So, that's our primary focus. Because that something China, we are not going to control, we are not going to really going to stop China. At the same time, we are also trying to diversify some of our supply chain domestically to say how do we balance reliance on China versus domestic suppliers, including our own production capacity.

Rohit Nagraj: Second question is on the balance sheet front. So, the trade receivable seems to have gone up to about Rs.850 crore from about Rs.580 crore on a YoY basis and top line has gone up by about Rs. 100-odd crore, right? So, is it due to maybe leaner

credit terms offering or is there any other reason?

Subhra Gourisaria: So, trade receivables have gone up from Rs. 773 crore to Rs. 852 crore, so, there is an Rs.80 crore increase. Part of it is contributed because of the increase in domestic sales, but there is no pocket of concern and there is also an element of some

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discounting that we had done in the base period for export receivables which is not there.

Moderator: The next question is from the line of Viraj Kacharia from Securities Investment Management Pvt Ltd. .

Viraj Kacharia: Couple of questions. First is on the seed. What you said is the volume is flat and the growth we have seen is largely a function of price and mix. Am I right?

Subhra Gourisaria: Yes.

Viraj Kacharia: So, if you look at last year same quarter we had seen very strong growth, and the reason for that was the delay in the season from Q1 to Q2. So, even on the higher volume base we have seen a very healthy improvement, and this is on the background of us seeing a supply shortage in seeds in Q1. So, just trying to understand if you can give some perspective into the crop wise growth performance? And when we say the price and the mix element which of the two has been a larger factor?

Subhra Gourisaria: I think we have been taking significant steps. I think a couple of years back we spoke about that in seeds business we were first to reset the business and look at profitability and then start working on growth. As we mentioned in multiple calls that cotton, hybrid, especially north one has done well. There are multiple other, hybrids, paddy, maize, which are also doing very well. So, I spoke about that cotton has now become the biggest crop for us. Along with Diggaz and other brands, we already touched Rs.100 crore of revenue this year. So, it's a combination and that's why when you said that on the back of a good FY24, FY25's performance has also been good. We are hopeful that many of the launches that we have planned we will be able to scale up. So, does that answer your question?

Viraj Kacharia: No, actually I just still trying to understand it. If you can just still give some perspective into our crop wise performance and which also comes back to the second question, which I also had over the margin front. See, if you look into the pecking order, cotton usually has the lowest margin profile in the segment for seeds. Now for us when we say cotton is the one which has given highest growth for us, still despite that we are seeing a very healthy improvement in operating margin. So, I am just trying to understand better in terms of both the sales mix profile and similarly, the impact on the margins when we say the price of the mix, how is that driven the margin part?

Subhra Gourisaria: Cotton indeed has shown the highest growth, both in terms of top line and bottom line, and it depends on the mix of the products that we have. So, you are right in the industry level, maybe cotton is making a lower margin, but it depends on the products that you have in the portfolio. So, for us both the combination of revenue growth and the operating leverage and the fact that we have been able to hold overheads or optimize them has helped in operating margin improvement.

Moderator: The next question comes from the line of Himanshu Binani with Anand Rat hi.

Himanshu Binani: Sir, I just have one question in terms of the seeds business. So, till last quarter, there was a commentary from us as well as from the industry in terms of the supply side concerns which we had, and as per my understanding, 1st Quarter h

appens to be

the heaviest for the seed industry. So, during the last quarter, we have posted a decline into the seeds business and that was largely led by the supply side

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constraints, and all of a sudden we have been able to grow somewhere around the 50% sort of a growth in the seeds business considering higher base of last year also.

So, maybe you can help me understand it?

Subhra Gourisaria: We are not able to follow clearly, but I think your question was that despite the shortage of seeds, how we were able to deliver a better performance in Q2?

Dr. Gyanendra Shukla: I think it's very simple. I think in seed what we call is before season you do the placement right. And then farmer buys the seed and unsold inventory comes back, and that gives you net of returns, right? So, net of returns, I think while we had shortage on the seed, but our supplies level was not enough to take benefit of the demand, but they were probably at the similar levels in terms of liquidation, but because we were able to reduce significantly return, that allowed us to still coming up to the level of previously in terms of volume and some price benefit, combination of that.

Subhra Gourisaria: So, in fact, one thing that probably will help all of you guys our seeds inventory is one of the lowest across various years now. So, the inventory levels have

significantly come down. So, we have been able to sell whatever was there or whatever was sellable, yes .

Himanshu Binani: So, due to the supply side constraint, the growth of this sort of number is largely led by the prices, right?

Subhra Gourisaria: Actually, let's actually if you look at first half level, we are flat. First half level, Kharif liquidation has been in line with last year. But this is where the placements were lower because of the inventory and because of the effective use of technology and better marketing and sales efforts, we were able to reduce returns.

Moderator: The next question comes from the line of Darshita Shah from Antique Broking.

Darshita Shah : My first question was regarding the current channel inventory that we have for the domestic crop care business. Is it on a higher end and are we expecting a lot of sales returns reflecting in the third quarter of the kharif inventory that we currently have ?

Dr. Gyanendra Shukla: So, again, look , I think this year planting is higher of overall crops and also because of continued rain. Because Kharif season doesn't end in September , Kharif season particularly in some crop in pulses , even in some late rice and cotton continues till October . So, obviously there is a required level of inventory in the market, but we are very careful and calibrated, and I think we have a system of making sure we provide based on our best estimate and this is something we keep trying to learn and improve more. At this point of time, I don't think we have any excess inventory, which we would like to leave in the market because leaving excess inventory also has a lot of other repercussions.

Darshita Shah : And the second question is regarding the higher tax rate during the quarter. If you can give us some idea on that ?

Subhra Gourisaria: Because of this long -term capital gains tax reduction by the union budget, there was an unwinding of the deferred tax assets created for both carry forward of losses and long-term capital gains. So, that's a one- time impact which has come for the effective tax rate.

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Moderator: The next question comes from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor : Firstly, in your opening remarks, you did allude to this extended monsoon and waterlogging and other issues that affected the aftersales that moisture still remaining in the agriculture field. So, taking these factors into account and the reservoir levels, what should be the growth that we are eyeing for the current year taking

into account sensing the rabi season and also the extended Kharif part which just our M. D. alluded?

Dr. Gyanendra Shukla: Well, I think all I have been saying is that our attempt is going to be we grow better than the market . That's our attempt and that's what we are targeting. I am certainly not in a position to give a number.

Saket Kapoor: Sir, we have also been looking to link the active ingredient part with other manufacturers. So, what kind of business are we outsourcing in terms of we are looking into the B2B segment of formulation, and the active ingredient portfolio being managed by other players , so what kind of business have we outsourced for the current year and if you could mention who are the key players with whom we are engaging for the same ?

Dr. Gyanendra Shukla: I think we always talk about our crop care business in key few buckets and first bucket is really domestic formulation, as I have been saying in the past also that's my number one priority . Now, obviously I have to find the optimal point of make versus buy. So, we keep making those decisions . Obviously, because of many confidential agreements we have with the parties, we are not able to disclose those names and all. But for us it's optimal . I make a decision on that what is right for me because we have capacity and we want to use the capacity . Then we also have a domestic institutional business where we sell some of our technicals we make on a bulk basis to parties. That's business for us, but that is not something we are very aggressive about it, and we participate in that market, but we are very calibrated because those markets also we want to make sure, we are not over -exposing now . The third business is basically international business where we sell, and that market remains subdued. Metribuzin has done well for us, Pendimethalin is doing okay , on fungicide, we have done well. I think where we have challenges is really acephate and we are trying to address that. I have been very candid about it. Do I have a solution? I think we have certain options; we are evaluating and as and when those options become executable, we will certainly get back.

Moderator: The next question is from the line of Ravi Purohit with Securities Investment Management Private Limited.

Ravi Purohit: Sir, since you've joined the company in the last couple of quarters, you have alluded to changes that you are looking to make both in terms of making our seeds portfolio more profitable, pruning the loss -making parts of it , and also kind of working on

getting the missing decade back on the contract manufacturing or tying up or make or buy or distribute or rather than make certain products on the Agrochem side. So, if you could just kind of give us a brief update on that strategy, what kind of pruning or what kind of things we have already done on the seed side and what are the opportunities that you are working on the Agrochem side working with MNCs particularly both in terms of licensing to sell in the domestic market and exporting for the requirements?

Dr. Gyanendra Shukla: So, I can give you just a general observation. So, the way we are working is one, we need a product sourcing. So, we are aggressively reaching out to discovery-related

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companies all over the world to really make sure that we have a pipeline and that pipeline remains robust. On the CSM side, I think we are very selective. As I said, we have enough capacity on the ground we will be very calibrated first. First priority is to use the capacity to maximum and then get into any new contract before we set up the capacity. So, that's a strategy. But I believe we also talked about this domestic formulation making more efficient. That work we did not want to touch with the Kharif season was going on, but we are in the midst of exercise and that exercise should get completed in couple of months. So,

as we enter the new year, we would be able

to actually go with completely what you call streamlined portfolio approach where we may be looking at sale and say, look, whether this sale is desirable or not. So, we are in the process of doing that exercise and we will take every step because ultimately goal I have been saying look, for me ultimate measure of success is going to be return on capital. That has to come from various measures around including revenue cost and optimizing profits wherever possible by looking at the portfolio.

Ravi Purohit: We will appreciate it if you could kind of give a brief update on that in every quarter,

I don't know, maybe part of the presentation or part of the press release? Sir, my second question is on seeds portfolio, I think you of course run a fairly large and profitable seeds business under Monsanto-Bayer combined. So, what is the sense

that that you get here in terms of the potential scalability of the seeds portfolio? We are really sub-scale in that sense and at higher scale seeds is a very, very profitable business is done right. So, if you could just kind of share as to what would your medium term to long term strategy would be on scaling up the seeds business?

Dr. Gyanendra Shukla: So, fundamentally, we said we are going to participate in five crops, These numbers keep changing, but backup envelope number, cotton seed market is about Rs. 3,000 crore, hybridized paddy seed market is about Rs. 2,500 crore, so that makes it 5,500 crore, millet market is about Rs. 700 crore, it's 1,500 tons, right, so that makes it 6,000 tons, and then there is another mustard of Rs. 500 crore and then add other crops like maize an universe of Rs. 10,000 crore of seed market, which is almost 50% of the total seed market. Now if you see our market share in that is roughly 4%. Our objective should be that we start growing our market share in that segment. And I guess different crops are at different stages in terms of portfolio readiness, I think right now we are slightly better in cotton, followed by rice, followed by I would say maize and millet. That's where we are. And so increasingly you will see as we try to grow our volume and markets you say in next one to two years more gains are going to come from cotton, a little bit from rice, and then subsequently from millet and maize. But our aim would be that, look, we come to respectable at least a high single digit or low double digit. It all depends on the portfolio, because every seed business is a product business, there is nothing called me too here, your product must perform, otherwise even if you give it free to the farmer he won't buy it.

Moderator: The next question is from the line of Bhavya Gandhi with Dalal & Broacha Stockbroking.

Bhavya Gandhi: Just wanted to know what is the absolute export number for the quarter and for the first half?

Subhra Gourisaria: So, we did Rs. 143 crore of revenue in Q2.

Moderator: The next question comes from the line of Somaiah V with Avendus Spark.

Somaiah V: My question was on domestic crop care. The volume had quite strong growth. Just wanted to understand, is this more of an industry trend or have we had market share

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gains that is one? And second, any part of the portfolio or any region has shown strong performance that has led to this kind of growth that you want to highlight? And also, between B2B and the formulations, which of these segments are kind of really done well to get this kind of growth?

Dr. Gyanendra Shukla: Two things I can tell you, look, so it's very difficult to say if I have gained market share or lost market share because Kharif season is on. I think that clarity will probably come by November and December, but the segments which have done

well for us is really herbicide relatively and also our crop nutrition business.

Somaiah V: On the B2B and the formulations , any

color on that ?

Dr. Gyanendra Shukla: I won't go B2B, I think it's really as I have been saying our story first has to be about how do we strongly continue to grow our domestic business .

Moderator: The next question is from the line of Ritik Jain with Nirmal Bang Securities.

Ritik Jain : My first question is on when can we expect export to see normal volume growth?

Dr. Gyanendra Shukla: Well, I think export is a very competitive business. I think what we are trying to work on, and I have been talking about this is that we are working on multiple fronts. One is just an existing product portfolio. So, I think we are having reasonably good traction on Metribuzin , Pendimethalin and Hexaconazole but we have challenges in Acephate. But having said that, we are also looking at various relationships, first of all how to optimize and increase the sales of the existing portfolio and then start working up some of the pipeline product. We don't have big products, but there is a decent pipeline developing , our team is working on the ground. It will only show improvement in the coming years. Having said that, the acephate will continue to be a trouble, I think it's a trouble child I would say , we have to work on it.

Ritik Jain: In the seed business sales growth of first half of FY25, what is the ROC one can expect from the seed segment on a sustainable basis?

Dr. Gyanendra Shukla: First thing I made the statement that we want to manage this business for profitability and what I call fit to run, right. I think we have to get to a fitness level where we reach a space where our business doesn't make losses at all, and I think we are slowly inching towards that and consolidating that position, and we are also stepping up our R&D effort so that we are able to launch new products at the same time and are able to take out old products. I think if we just get that cycle right I think as I said, looking at a Rs.10,000 crore segment we operate, we are just 4%, there is a lot of headroom to grow.

Subhra Gourisaria: I think in seeds what you should understand is the large CAPEX investment is only working capital , there is no fixed capital as such. So, what Dr. Shukla alluded is more important for us to drive profitability and keep the working capital under check. I think both the actions have started showing some momentum and we should be able to hopefully improve. More important is that the seed should not be a drag on the company profitability. So, we have to first move to a positive zone and then keep improving it from there.

Moderator: The next question is from the line of Bhavya Gandhi with Dalal & Broacha Stockbroking.

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Bhavya Gandhi: On the one half also if you can share what was the export data ? And on the exact one half as well, I just wanted to understand it's a big product for us in the export market whereas other companies are still struggling, maybe the likes of Astec LifeSciences and all this . What strategy are we adopting that our product is still surviving in the export market?

Subhra Gourisaria: The first half revenue for international business is Rs. 275 crore. As far as Hexaconazole is concerned, I think it's had a smaller overall market, but we are the market leader there and we do have a strong customer relationship and good registrations even in Southeast Asian markets and I believe it's a small market , it's a small business , but we are working almost like max out capacity today. In fact, we have debottlenecked some of the capacity and we are also looking at alternate ways to expand the capacity.

Bhavya Gandhi: In short, we have some pricing power when it comes to the export market when it comes to Hexaconazole because of our relation and maybe because of registration?

Subhra Gourisaria: Yes, it's a small market though.

Dr. Gyanendra Shukla: It's a combination of registration, customer relationship

and quality of the product. I

think several factors play together.

Subhra Gourisaria: And also, the dynamics that it has with other competing molecules.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal : Two questions actually are both on crop protection. One is on Acephate. Sir, I mean, given your vintage with the molecule and my sense is your experience and scale with the molecule, what do you think right now has happened in the marketplace, which is specifically rendering this particular molecule as a problem child? I mean, has there been a technological shift? Do you see widespread competition, which is driving the prices down, higher inventory in the marketplace or there are only specific players in the manufacturing value chain which are being extremely aggressive? So, that's one. And second, the overall crop protection if I look at the domestic and the

exports business, volumes have done reasonably well and this coming from a fairly soft previous year where inventory was sort of a challenge both in the international and domestic marketplace. So, therefore, would it be safe to presume that while pricing continues to be a challenge for the broader industry, but the destocking challenges that were being witnessed in the previous year, are they effectively addressed?

Dr. Gyanendra Shukla: So, see related to acephate, I think one of the things we have to understand is it's a very concentrated market. This product is primarily consumed in Brazil, US and a little bit in India, right. These are the three primary markets they probably are 80%, 90% of the total volume. Now, our competitors here are actually Adama and UPL. Now, both of them are significantly backward integrated from a manufacturing perspective as well as they have a significant B2C market as well in these markets and that I think puts us at some disadvantage. So, we are trying to figure out how do we solve this because today we don't have B2C presence in these markets, also we are looking at relationship and what kind of relationship we can develop to have B2C in direct presence by having a supplier relationship with the local people there. Other thing is we are also looking at how can we do some cost reengineering on the manufacturing operations we have got. So, a couple of options we are evaluating. I don't have a clear answer. Obviously, we know few things can be done. As I said

earlier, also I think we would like to have a clarity sooner the better, but I think it just takes time because the things we have to understand global dynamics. The easier option is that if we are not making, we get out of the product, right. I think we are not at that stage yet. Whatever we do, we have to make sure we have all the information, and we have considered all the options. To your second question, the global crop protection market if you see is primarily driven by two factors. So, obviously North America and South America become very, very important and commodity prices also play a very, very important role. Now, there was an uptick in commodity prices beginning of the year, but I think with good production estimates coming out of the US and rainfall situation being better in Latin America, commodity prices are relatively softer particularly for key crops like maize and soyabean including cotton, right. Yes, you are right, the destocking is by and large done, as a result current year numbers should look better, but we have to understand that it's not a very buoyant demand, it's not that suddenly 20% more crop is being grown all across the earth, right, and China continues to supply at a very competitive rate. So, I am not expecting any miracle to happen in this market. I think it's going to be a normal growth period. Prices will continue to remain subdued given the commodity prices and supply situation.

Moderator: The next question is from the line of Abhijit Akella with Kotak Securities.

Abhijit Akella: Just a follow-up. One is with regard to the newer products in the domestic crop care business, will be possible to just share the kind of growth we have experienced from that in the first half of the year? And #2 was just on the categories. You did give us some numbers for herbicide and crop nutrition growth, but if you could also please just specify insecticide and fungicide, that would be helpful?

Dr. Gyanendra Shukla: I don't know if we have a specific number today to share, but maybe we can say later on, but I guess some of the product launches we had made this year, they are looking very good, particularly when we had a soyabean herbicide launch. That seems very promising. As I have been saying in the past, herbicide becomes very, very important for me and luckily we have a good launch now. I think if you wait till for rain in November, I think I will have clarity on Kharif. That might be the best time for us to give you some clarity. At this point of time, I would say herbicide and nutrition have done well, fungicides are okay, so are insecticide and that is reflected in overall numbers.

Subhra Gourisaria: I think we published this ITI on an annual basis in Innovation Turnover Index which will reflect but safe to say that in the first half as well it's tracking in line with our expectations. Herbicide as a segment our portfolio is under index, but we have done well followed by fungicide and then insecticide.

Moderator: The next question is from the line of Viraj Kacharia from Securities Investment Management Pvt Ltd.

Viraj Kacharia: Both in seed and domestic crop care, when we say portfolio rationalization, what kind of a churn in the portfolio we have -- we would have seen last six months??

Subhra Gourisaria: So, you are talking about what we have done or what we are expecting?

Viraj Kacharia: What have we done and what we are expecting both?

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Subhra Gourisaria: So, I think what we are looking at is tail portfolio rationalization, which is where either

the scale up has not happened as per expectation or it's adding to the complexity. We are yet to complete the exercise, but I wouldn't say that it would have a meaningful impact on the bottom line.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor : Madam, if you could give me the CAPEX number which we have done for the last three years and what kind of capacity augmentation has been done in the agrochemicals space?

Subhra Gourisaria: We have done about Rs. 650 crore of CAPEX out of the Rs. 800 crore of CAPEX that we spoke about in the last five years. And if I slice it, the big one had gone behind multi-purpose plant , which is around Rs.200 crore. Multi-purpose plant , Dr. Shukla alluded t here are some challenges in getting higher capacity utilization because of the global situation as well. So, we hope to improve the utilization as we start seeing more contracts for it . The next Rs.100 crore went into a formulation plant which is working in line with our expectations or in line with the business case that we have done . Still there is significant headroom for the expansion of capacity there. And the last few ones went into capacity expansion and debottlenecking of existing capacities , some of the sustenance CAPEX we did and digital investments that we spoke about in both in f ront end and back end.

Saket Kapoor: Ma'am, just to add to it, for the multi -purpose, can you elaborate which products we are addressing to and what kind of asset turnover can we expect at optimum utilization level?

Subhra Gourisaria: See, by nature name itself is a multi -purpose plan t. So, it's supposed to help you do multiple chemistries before the scale up of the volume happens, and then you can set up an individual o

r standalone capacity for it . So, we have done multiple products for it, both for contract manufacturing customers and also the Difenconazole , the fungicide that we launched last year. So, there are few more products in the pipeline both from our international business and contract manufacturing that w e will put there. And depending on how this scale up, we will move it to the standalone plant . As far as asset turns is concerned, it's difficult to comment on it today, but I think what we are going to work on is how do you keep improving utilization and hopefully some of these products will contribute to our top line in years to come.

Moderator: The next question is from the line of Samaiah V with Avendus Spark.

Somaiah V : A question is on the CSM business. So, what is the strategy here in two years out how do we see CSM as a percentage of our total revenue share? Also, if you could just help us with what is the current contribution of CSM In our overall portfolio? And also I think you mentioned in your opening remarks, three contracts . If you can talk about opportunities on these three contracts would that be helpful ?

Dr. Gyanendra Shukla: So, look, CSM strategy I think it's very simple. We are not chas ing everybody. I guess big deals I don't think are available at this point of time. We are relatively late entrant in this game. We are having multiple conversations with various parties and the different conversations are at very different stage. All I can say is, we are generally getting encouraging response. At this point of time, it is very difficult to put a number, but maybe as things mature, we w ill start getting more clarity, but things seems to be slowly building up, they certainly are not negative.

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Moderator: Ladies and gentlemen, that was the last question. I now hand the conference back to the management for closing remarks.

Dr. Gyanendra Shukla: Thanks , everybody for joining. As I said, agrochemical is witnessing mixed signal of recovery , international business continues to be under pressure, while volumes are better across most technical margins are lower due to competitive context . In the domestic market , Kharif liquidation is slightly delayed. So, we said because of the rain season, and we are optimistic ally the causes of the placement , our endeavor would be to continue running the business to improve market share across verticals . While the s hort-term margin would be under pressure, long- term prospects continue to remain good. So, thank you very much for joining.

Call: Jan 2025

January 23, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir/Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended December 31, 2024

Further to our letter dated January 9, 2025 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2024 held on Friday , January 17, 2025.
The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer
Encl.: as above
Page 1 of 12

Rallis India Limited
Q3 & 9M FY 2025 Earnings Conference Call Transcript
January 17, 2025

Moderator: Ladies and gentlemen, good day and welcome to Rallis India Limited Q3 and 9M F Y '25 Earnings Conference Call.

I now hand the conference over to Mr. Gavin Desai from CDR. Thank you and over to you, Mr. Desai.

Gavin Desai: Thank. Good evening, everyone, and thank you for joining us on Rallis India Limited's Q3 and 9M FY '25 Earnings Call .

We have with us today Dr. Gyanendra Shukla – the Managing Director and CEO ; and Ms. Subhra Gourisaria – the Chief Financial Officer .

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation.

I now invite Dr. Shukla to begin the proceedings of the call. Over to you.

Dr. Gyanendra Shukla: Thank you, Gavin . Good evening, everyone. And thank you for joining us today on our Q3FY '25 Earnings Call. As mentioned by Gavin, I have along side with me, Subhra – our CFO.

Let me begin the discussion by dwelling into the Industry landscape initially , post which I will discuss Rallis' specific developments.

As far as crop sowings are concerned, Rabi sowings are roughly 61.5 million hectares, which are down by 0.5% over last year. That is the data available as on 27th of December . With oilseeds lagging by 5%, wheat area is up by 2% , rice area is up by 5.6% , and pulses area is more or less same as last year. Reservoir levels are better compared to last year by 24% and 139% of the overall normal storage as of 26 th December.

While the overall headline for the monsoon is positive, spatial and timely distribution

was uneven. Also, the post monsoon season, with two cyclones Dana in October and Fengal in December created trade inventory pressure. Companies also resorted to aggressive trade schemes to liquidate the carry forward inventory, creating pricing

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challenges. Seed production continues to face the challenges for the second year in a row with volumes under pressure despite a steep increase in input costs.

Agro chemicals export demand continues to remain weak due to over supply from China , price deflation and reduced margin. In 2024, the Chinese agro chemical market underwent a significant change, marked by global companies adopting supply chains and exploring strategies like internationalization, increased transparency amid challenges of over capacity and strengthened partnerships. All the key regions have seen degrowth in agrochemicals, mainly in central and South America, followed by North America, Europe and Asia- Pac, and Middle East and East Africa in 2024.

Moving to Rallis' specific developments :

During Q3 our revenue was Rs. 522 crore, which is a 13% degrowth, PAT was Rs. 11 crore versus Rs. 24 crore last year , mainly due to volume drop in exports. Domestic agrochemicals business registered a volume growth despite intense market competition. Export business continued to reel from market challenges, resulting in degrowth of roughly 38% .

Our long-term effort to expand the customer base and improve cost competitiveness continues. Seed business was same as almost last year at Rs. 30 crore versus Rs. 32 crore last year.

Moving to individual businesses wise performance:

Our export business was down by 38% with volume dropping by 34% and price dropping by 4% over Q3 of the previous year. We faced weak demand for most of our key products in Q3 .

Hexaconazole is showing good traction with process debottlenecking helping the business register highest ever volume outlook for the year .

Even in Metribuzin, our volumes are strong on YTD basis with positive outlook from one of the global majors .

Acephate, as highlighted in the earlier calls continues to face margin challenges due to steep volatility in the input cost material and high supply situation. We are working on several alternatives including flexibilizing the plant and optimization of overheads to improve profitability .

Pendimethalin is facing pressure due to high inventory with the customers . In line with our strategy on improving the process efficiency we are going to go live with the Continuous Stirred Tank Reactor process in Pendimethalin this quarter.

We are also in the final stages of commercializing new technical Metalaxyl -M from our reverse engineering pipeline and are confident of the long-term potential of the product , both for domestic and international markets.

Even in the CSM business, our efforts on expanding customer base and working on new chemistries is progressing well. We have also set up labs for new chemistries and are working with 10 new customers. We are confident these efforts will start contributing meaningfully to our top line and bottom line in the years to come.

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To drive synergies, we have also brought all B2B businesses under one roof. This will help drive strategic partnerships and alliances for both domestic and international markets.

Moving to the domestic market :

Crop care business grew volumetrically but was down by 2% due to steep price correction. However, on YTD basis , the crop care business has grown by 6% with volume growth. Our key focus segment of herbicide and biologicals and specialty solution have grown by 41% and 21% in volume, respectively in domestic business during this quarter.

Within biological and specialty solutions, GeoGreen, RalliGold Granule and Bio Stimulants did the highest ever sale on YTD basis . Water soluble fertilizer has also scaled up fast with 80% growth in the last nine months. However, we recognize these segments need far more focus and nurturing to improve resilience and drive both top line and bottom-line improvement.

Our innovation turnover index is in the high teens, in line with our ambition . We believe

there is still a gap in our ability to launch and scale new products. And are taking efforts to revamp our go-to-market and 360 degree marketing approach. Our digital based influencer approach to improve engagement with the farmers is also

being piloted and we expect to roll this nationally soon. We are also working on boosting the digital marketing approach and have gone live with WhatsApp for business to improve farmer connect.

Moving to seeds business :

We recorded Rs. 30 crore revenue as against Rs. 32 crore in previous year, mainly due to lower hybrid mustard seed sales . However, this is a small quarter for the business , on YTD basis , business has delivered 1% revenue growth and 55 % growth in profit before tax. This is in the context of product availability constraints which limited our scale -up of the new launches , for example, Diggaz. Cotton has become the biggest crop with sales of more than Rs. 100 crore and we are optimistic of the potential of the segment .

To conclude my opening remark , I will now hand over the call to Subhra – our CFO, for a detailed analysis of our finances. Over to you, Subhra.

Subhra Gourisaria : Thank you. Good evening, everyone. And thank you today for joining us for a Q3 and 9MFY25 earnings call .

I will walk you through our Financial Performance for the quarter and nine months , post which we can commence the Q&A session.

Starting with the topline for the quarter – our revenue stood at Rs. 522 crore as against Rs. 598 crore for the previous year. Domestic business registered volume growth of 3% in the backdrop of intense market competition . Agile pricing helped improve margins in the domestic crop care business. Also in the domestic crop care business , herbicides and biologicals and specialty solutions have maintained good growth momentum.

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Export business continued to face headwinds with business registering a degrowth of 38%. However, we are quite confident of the long- term potential with actions taken around expanding the customer base and improving cost competitiveness. The Seed business was Rs. 30 crore as against Rs. 32 crore for the last quarter same period. The profitability of the company was impacted due to challenges in the export business.

Our efforts continue to be directed towards optimizing the overhead cost, including portfolio rationalization, refresh of the portfolio, territory rationalizations, moving overlaps , and driving cost efficiencies and simplification across the value chain. Our inventory levels have been brought down without causing any business opportunity loss. Collections have also improved despite high market competition.

We continue to have healthy cash and liquid fund balance of more than Rs. 200 crore as of 31st December. We will continue to drive capital efficiency, and our recent initiatives will help us in our pursuit towards consistent , competitive and profitable growth. Our CAPEX has been moderated in line with the demand, and our focus is to firstly improve the utilization and ROI of the already invested CAPEX . We have recently received Board approval for solar panel installation in our manufacturing units, which will help reduce electricity cost and also the carbon footprint.

That concludes the opening remarks. We can now commence the Q&A session .

Moderator: Thank you. The first question comes from the line of Viraj with Securities Investment Management Pvt Ltd. .

Viraj Kacharia: I just have a couple of questions. One is , if you look at the environment, generally the segments performance , exports have seen a sharp degrowth with pricing pressure, and you talked about pricing pressure in domestic. And seeds contribution is not that big in the current quarter. So, what explains your sharp jump in gross margins? We have seen almost a 300 to 350 basis points increase in gross margin. So, can you just give

some perspective on what is driving this?

Subhra Gourisaria: See, gross margin, I think one is, of course I spoke about the domestic business has been able to improve margins through the actions taken on pricing front and also ensuring that we keep our inventory levels at the right level. And also, there's a mix factor which plays because the international business did not deliver well . So, given all these factors have helped in improving the margin . Seeds, albeit small as you said, but that has still been able to improve both gross margin and profit before tax .

Viraj Kacharia: But generally, see in terms of pricing also, even in domestic we have seen almost a 5% decline in price realizations . So, still trying to understand the gross margin kind of like there can be a mix play between international and domestic, but even in domestic we have seen a very good mid- single digit kind of a decline. So, if you can explain.

Dr. Gyanendra Shukla: See, as I have mentioned in the previous calls, look, we operate in a very complex competitive environment. Our effort is to continue to drive margin as a primary thing because that is something is very, very important for long -term profitability of the

business, sustainability of the business. But there are factors, when you have a significant export business that goes down, obviously brings the averages up. We can get maybe more details at a later stage, but combination of factors sometimes you get advantage in terms of raw material cost and all, so various factors can help. But our effort will continue to remain that and as we have been talking in the past ,

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look, domestic seed, biologicals and specialty solution which we used to call crop nutrition in the past, we want to continue to drive domestic business because that's where certainty, in spite of competition, it's still more certain given our brand equity.

Viraj Kacharia: Okay, just two questions. One is on the portfolio, in the presentation also we talked about churn or pruning in the portfolio. And in the last few quarters we have been talking about more aggressive approach in terms of weeding out low profitable or loss making products. Can you give us a sense in the last nine months or in Q3 what kind of a churn at the portfolio level we have seen? And is that experiment largely done or we would expect further, I mean, any prospect where are we in that cycle? That's one. And second is on the export, when do you expect that the decline to kind of settle down given that we have been talking to MNCs for supplies? These are the two questions.

Dr. Gyanendra Shukla: So, first thing is on the portfolio. Look, when we talked about portfolio pruning, we were in the middle of the season. Now we have completed the exercise of portfolio rationalization. And a lot of that effect you will see in the upcoming season because we also do not want to waste the inventory or waste the packaging inventory and all. So, the impact of that should be seen in subsequent quarters, right. So, products are identified. What we have been very careful is that building inventory of those low margin products. So, that's one. So, impact of that we will see in the future.

Now, on the export side, you understand our portfolio, right, our portfolio is really not very new. As we have spoken in the past, look, Acephate had challenges.

Pendimethalin now is facing challenges. Two products we had a better opportunity was Metribuzin as well as Hexaconazole. We have a pipeline, for example, we talked about Metalaxyl-M which we have started making. Our effort would be to not to continue to rely on these products, continue to participate because we have capacity but also flexibilize the plan and keep looking at new opportunities.

And even in the existing products we keep adding customers. And to that extent, we have started investing more time with

potential customers, developing new

customers. And some of these things they do take time because when you get a new customer you have to supply them sample, they have to test the sample, they have to approve you as a vendor and all of that.

But we know that we do not have a very, very new portfolio. But within that we are trying to really take maximum advantage of what we have, also trying to slowly switch over to a newer portfolio. But given the global context of the market, I think global market forecast, given the commodity prices of key commodities like corn and soybean, including wheat remain low. The forecast for 2025 I do not think is very strong as far as international business is concerned. And then this is primarily driven by Americas.

Moderator: Thank you. Next question comes from the line of Ankur Periwal with Axis Capital.

Ankur Periwal: First question on the domestic crop protection business. If I heard the initial comments right, you mentioned YTD we are up 5%, 6%. Please correct me if I am wrong, I think in the first half we were up mid-high teens, probably more like 16%, 18%. Is there a sharp decline in Q3? And probably key reasons for the same.

Dr. Gyanendra Shukla: So, one of the reason is that, and I have probably alluded that in the past is that, look, Q3 depends on two factors. One is, Q3 is a very strong herbicide business, because in Q3 the wheat herbicide business is big, sugarcane herbicide business is

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big, and rice herbicide business is big. And I have been highlighting, we have weakness in the herbicide portfolio, so some of the work we have started. So, Q3 is generally from herbicide perspective, that's the largest segment is wheat for us. The other two big products which go in Q2 are some specialty products in vegetable. And then there's a continuation of Kharif season. In Rabi, this year all of you if you have noticed, there was abrupt cessation of monsoon in the month of September, right, it actually did not rain a lot in October, November like previous three years. So, I think it's just portfolio weakness in Q3 and abrupt cessation of Kharif consumption as well as weak chilly season, this year chili prices have been very low. So, some of those things actually explain why Q3 is slightly weaker for us.

Ankur Periwal: Secondly on the export side, you did mention that Pendi also is facing some pressure, if I am not wrong, till last quarter it was largely Acephate wherein we were

facing some challenges , while Pendi was doing okay . So, any specific comments there, inventory led issues again cropping up?

Dr. Gyanendra Shukla: Yes. Well, look, Pendimethalin challenges are basically because of the inventory at the user level, right , that is what is causing problem. And other thing I think we cannot continue to undermine the Chinese overcapacity and their ability to undercut prices in the global market.

Moderator: Thank you. Next question comes from the line of S Ramesh with Nirmal Bang Equities .

S Ramesh : In your presentation , can you give us a breakup for this Rs. 492 crore of domestic revenue and export revenue? And for the bio and specialties, if you can break it up for us ?

Subhra Gourisaria: So, Rs. 492 crore, a large proportion of it, I would say , has come from domestic crop care. Biologicals and specialty solutions, we have mentioned in the presentation as well has done well , clocking 13% growth on Q3 basis and even on a YTD basis has done 24% growth. International business continues to be a challenge.

S Ramesh : Is it possible to give the breakup of the international revenue in number in rupees crore?

Subhra Gourisaria: It's Rs. 110 crore .

Moderator: Thank you. Next question comes from the line of Shaurya Punyani with Arjav Partners.

Shaurya Punyani: So, would you like to give out guidance with respect to the topline for FY ' 26?

Subhra Gourisaria: So

, we do not give any forward guidance, but we will talk on this call on what are the challenges and what are the opportunities for us.

Shaurya Punyani: And one more, out of the international revenue , what country is the highest , like in terms of percentage?

Dr. Gyanendra Shukla: I mean, most of our business is primarily Americas .

Moderator: Thank you. Next question comes from the line of Viraj Kacharia with Securities Investment Management Pvt Ltd. .

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Viraj Kacharia: So, we talked about that in the coming quarters we were done with examining in terms of review of the portfolio, and we will be looking to prune a certain part of the portfolio in coming quarters. So, just to get a sense on this, what percentage of the portfolio is not that profitable and which we may be exiting in the next six months , one year ?

Dr. Gyanendra Shukla: Yes. So, in terms of number of SKUs , it is very significant, right. I think we have a long tail. I mean, it is a very high number . In terms of revenue, I think maybe I cannot tell you now.

Subhra Gourisaria: Viraj, this is not a question of being less profitable. I think what we are saying is the focus and the effort from the team, goes a lot in serving them, which is where we are looking. The impact is not going to be material on top line and bottom- line perspective.

Dr. Gyanendra Shukla: I think what is important is that, our sales team, rather than trying to handle so many SKUs , they put all their energy on a smaller number of SKUs . And it also helps in improving supply chain complexity.

Viraj Kacharia: And from IT I perspective, say either for nine months or the quarter, what will be the ITI index for us ?

Dr. Gyanendra Shukla: So, we consider, I mean, I think for me healthy ITI we can always keep above 15%, right. At this point of time, we probably are above 15%.

Subhra Gourisaria: I think it's more to look at it on a longer term and what are the actions we are taking to refresh the portfolio.

Moderator: Thank you . Next question comes from the line of Prit Nagersheth with Wealth Finvisor .

Prit Nagersheth: Yes, the question I have is related to your guidance, domestic guidance at least for quarter four. So, are you seeing continued traction the way you have explained that Q3 has seen an increase in volumes and herbicide obviously comes off , and maybe insecticide pesticide demand will increase in quarter four, so do you see a better domestic performance from your side?

Dr. Gyanendra Shukla: Yes. So, as I said, look, herbicide, we are strengthening our portfolio. Now, a lot of what happens in quarter four from a consumer perspective, so from crop area perspective it is more or less similar compared to last year with the change in crop mix. Example, mustard is down but wheat is up in fact. So, from a crop area perspective, it is the same area as last year. A lot of consumption of fungicide and insecticide depends on the kind of pest pressure, so it's very difficult. So, you always go by what are the normal pests expected, what is the normal volume vis-à-vis previous year and what is the competitive situation. So, difficult to say what will

happen. At this point of time all I can say at least crop is there. Having said that, commodity prices are soft compared to even last previous years. But if pest pressure is high, farmers would tend to, I mean, resort to use of chemicals to protect their crop. But it's difficult to say how things will evolve because there's no solid mathematical model available to say what kind of pest pressure will happen.

Prit Nagersheth: Right, I understand. My question is more in line with how over the last year was for Q4, and for Quarter 3 as well with a lot of inventory available in the Indian market.

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Do you see that the larger business scenarios are better off than what they have been? And do you see a continuation of the

growth that you have seen in Q3 continuing in Q4?

Dr. Gyanendra Shukla: So, business sentiment, I would say, remains more or less same compared to last year. If they are not better, they certainly are not better, they are more or less same, depending on the crop. So, sentiments are very similar. And what happens next, I think it depends on the external factor.

Subhra Gourisaria: Prices are low definitely but volumes will be our endeavour.

Moderator: Thank you. Next question comes from the line of Abhijit Akella with Kotak Securities.

Abhijit Akella: Sir first on the Rabi season in the crop care business, you did mention the fact that those cyclones had created additional trade inventory and maybe also created pricing pressure because of the trade scheme. So, would it be possible to just give us some slightly more color in terms of how things stand at present, are inventories still elevated or have they been cleared out? And are you still seeing aggression in terms of pricing from the leading competitors?

Dr. Gyanendra Shukla: So, I mean, I think from what I understand, pricing pressure continues in the market. And there's no shortage of inventory. I think everybody's sitting on the inventory and leaving in the market. So, I mean, I think price pricing pressure continues and there's enough inventory in the market.

Abhijit Akella: And just last one from my side is on, number one, the seed production for next year, how is the outlook shaping up given it's already been through a season, I guess?

The other one was just with regard to how the CSM products are performing. For us, I guess, Metconazole is important and then PEKK, so how are those doing? And then what kind of traction you are seeing in terms of the newer ones, by when can we expect some meaningful contribution from them?

Dr. Gyanendra Shukla: Yes. So, on the outlook of the seed production, I think seed production is challenging. Is it as challenging as last year? I think it's probably slightly better than last year. But seed production area remains a constraint because farmers are always weighing options between growing a commercial crop versus seed crop. But I would say slightly better than last year, right, on the production side. On our CSM pipeline, I know you talked about PEKK and the other product. I think, look, our CSM pipeline is there, right. But we are adding to the portfolio. It will be very difficult for me to disclose the names of the customers, but we continue to add more customers. And we have inquiries. We are supplying samples for trialing and testing. I think there are a few products in the pipeline. I mean, we did mention today Metalaxyl-M because that is something we have reached a stage of commercial. As we get more details about the other product, when we get into commercialization more than its matter of talking. But yes, in other products we are adding customers, particularly Metribuzin, Pendimethalin and Hexaconazole.

Moderator: Thank you. Next question comes from the line of Siddharth Gadekar with Equi rus.

Siddharth Gadekar: Sir, just wanted clarify on our multipurpose plant that we had commissioned last year. We were targeting to do Difenoconazole, have we started anything in that plant or is that plant still idle?

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Subhra Gourisaria: See, Difenoconazole, we took some batches last year, this year also we are working on a few contract manufacturing opportunities. One of them is with a global major.

So, the plant is not idle. The plant is used for the purpose it was set up which is working on various new opportunities.

Moderator: Thank you. Next question comes from the line of Archit Joshi with Nuvama Institutional Equities.

Archit Joshi: I just have one question. Sir, what would be your reading in the global landscape after six, seven quarters of the inventory destocking and that onslaught that we have

ve

been hearing of? And you also mentioned in opening remarks about quite a lot of inventory still there in the system in products like Pendi. How do you see this panning out from a volume and pricing perspective in this calendar year?

Dr. Gyanendra Shukla: So, I think volumes are very comfortable. And whenever there are comfortable volumes, it does put pressure on the pricing. And the most important driver of consumption of these products is really commodity prices, and that continues to, I mean, I think if you track soybean prices, cotton prices, wheat prices, when you look at the CBOT prices, they continue to trend downwards lower, right. And when the farm income, because of the lower commodity prices, farm income are under challenging situation. And I think we understand the China supply dynamics as well. I believe while volumes will continue to grow, I mean, continue to grow because farmers are planting crop, they are not leaving the crop, there will always be pressure on the pricing. That's why domestic have become very important for us. I think I have been saying probably for last three, four calls, our primary focus is to drive domestic. We have lot of opportunities to fix in, I mean, we have opportunities in CSM, we have opportunities to participate in international business. But given the scenario there I am more optimistic about domestic because that's where we have brand equity.

Moderator: Thank you. Next question comes from the line of S Ramesh with Nirmal Bang Equities.

S Ramesh: So, if you look at the outlook for the products which you mentioned are under development in the last stage, the 10 product you are working on, can you give us some sense in terms of what will be the target market size for these products? When you expect to commercialize them?

Dr. Gyanendra Shukla: Most of our CSM product, they are for a diversified set of customers abroad. And international businesses tend to primarily get focused towards Asia and Americas, right. So, that's the kind of pipeline.

S Ramesh: And if you look at the Chinese strategy, I understand they are also trying to get into formulations. So, how would that impact Rallis' business if you see the Chinese population supply hitting the international market in your own markets?

Dr. Gyanendra Shukla: So, I think that is something we have not been talking in the industry, and I am glad you have brought that point. Because Chinese have started participating directly in those markets, that is something we have to wait and watch. But I believe there will always be opportunities from a diversification perspective from prospective clients to have alternate suppliers. I guess that's where India is playing a role and will continue to play an increasingly important role.

Moderator: Thank you. Next question comes from the line of Ranjit Cirumalla with IIFL Capital.

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Ranjit Cirumalla: We have been focusing more on the domestic front in this particular year, and we continue to remain focused for the next few years. And that is also something which has grown for us in the first nine months. So, just wanted to get a sense, how has been the secondary demand by the farmers? I believe it is a case of having a bit of high inventory and that might become a bit of a headwind for us next year or the liquidation has been at par regarding the sales split.

Dr. Gyanendra Shukla: So, volumes generally are good. I think it's a pricing issue right now because this year Kharif was decent. I think it did not do well in the later part of the Kharif. And Rabi planting is good. So, I do not see it is a volume issue, it is largely an issue of pricing and supply.

Ranjit Cirumalla: The liquidation has been at par with the volume growth that we have been seeing?

Dr. Gyanendra Shukla: Volumes are higher that means liquidation is high.

Ranjit Cirumalla: And that should not be

a challenge for the next few years or at least for the coming year?

Dr. Gyanendra Shukla: I mean the way I see it, look, there are probably I shouldn't say too little farmer because we have millions of farmers. There are a lot of companies chasing the same set of farmers.

Moderator: Thank you. Next question comes from the line of Shivaji Mehta, an individual investor.

Shivaji Mehta: Sir, one of the specialty chemical players in their earnings call had mentioned that China may start looking at increasing prices of various chemicals post the Chinese New Year. Are you expecting something similar post the Chinese New Year?

Dr. Gyanendra Shukla: Look, a lot of news goes in the media. I think I will really wait. See, we have to see for some indications, right. For example, recently there was a news that because Chinese have increased the price of some of the chloro chemical related and suddenly those reduced, and it died down very quickly. So, I think we will continue to monitor how it happens. And then it's very difficult to predict. I do not have any real insight to say how they would be handled.

Subhra Gourisaria: It is any way with the market.

Dr. Gyanendra Shukla: I mean, if there's an opportunity, I think we would not leave any opportunity on the table if there's an opportunity to increase the price.

Shivaji Mehta: Right, makes sense. Sir, and also over the next two to three years, once things

normalize, what is the stable asset turn that you foresee for your businesses, excluding the seeds portfolio?

Subhra Gourisaria: Seeds, anyway we do not have any fixed capital, so seeds asset turn, it's a working capital business. As far as crop care is concerned, I think I mentioned earlier that we do not look at asset turns but IRR, and IRR should be certainly more than the Weighted Average Cost of Capital that we look into.

Moderator: Thank you. Next question comes from the line of Sanjay, an individual investor. Please go ahead.

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Sanjay: Sir, my apologies, I joined the conference call by about 20 minutes late, so very briefly if you could tell me what was the reason for drop in our profitability this quarter. And secondly, sir, I just wanted to know, as an individual investor, obviously my query will be skewed towards the stock price performance. So, if I see, first of all, there's an underperformance in the last five years and also our revenue growth CAGR has not been that good if we compare to all the other competitors, our CAGR is not even increasing by about 10% to 12%, it is hardly 7% to 8%. So, how does a company foresee the next five years in terms of revenue and profitability?

Dr. Gyanendra Shukla: Yes, I do not know Sanjay if you have attended the previous conference calls. But I have been trying to articulate some of the steps we are taking to really turn around this business and bring it in line with the industry or do better than industry. There are quite a few things we are doing, for example, this business is a product business, we are looking at significantly revamping our product portfolio. We have gaps in certain areas, particularly herbicides and all, so we are working on those. We have now a decent seed business which has taken a while to stabilize, I think we can continue to deliver on seed. The other area where we are focusing from product perspective is biologicals and specialty solution, because that's another area where consumers are getting interested, farmers are getting interested, so we are working on those. That's on the product side.

I think we are taking a lot of the steps on really customer side, because at the end of the day, this business is also demand generation business. If you are a farmer in a village, you are probably approached by 10 different companies in a day, so how do you make decision which company to prioritize. Obviously, product and product

performance matters. We are trying to intensify our customer relationship efforts, and we are trying to get more focused rather than trying to meet healthy spread. And also trying to leverage on digital, so we are making a lot of investment on digital connectivity with the farmer so that we can serve them better. So, that's on the customer side. On I would say efficiency side, obviously we have some assets, and we are also having old portfolio, we are looking at even on manufacturing side how can we make our products better, how can we bring down the cost on production side, what are the other things we can do to add new products to the portfolio. We are also looking at some CSM opportunities, we have a pipeline of companies we are working on. But these things do take time, right. We are re-orienting our people capabilities, so we are looking at people capabilities and various other things. So, a series of steps.

Sanjay: And sir, just a very brief on the reason for the drop in profitability this time, I am sorry I joined the conference call late, that's the reason.

Dr. Gyanendra Shukla: Drop in profitability, Subhra, you want to talk about.

Sanjay: Yes, year-on-year if we see, our profitability has dropped significantly. So, just what is the specific reason for that, just a small pointer if you could provide.

Subhra Gourisaria: See, I think for us seasonal profit, quarterly profitability is difficult to explain because it's a small quarter and we said that export business had a challenge. On YTD basis, we are largely flat on PBT basis despite the challenges in the market front. So, this quarter the numbers are lower squarely because of the challenges in exports business.

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Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and-answer. I would now like to hand the conference over to the management for closing comments.

Dr. Gyanendra Shukla: So, thanks to everybody for participating on the call. Agrochemicals export demand continues to be weak. We will try to improve volume growth and margins in a tough environment. Seed business is impacted by availability of inventory. Domestic agrochemicals demand is positive, but lower prices across products are impacting revenues. Margins are steady with actions around product mix improvement and cost optimization. We remain optimistically cautious for Q4 overall business plans. Our endeavor would be to improve capacity utilization and take steps to improve market

share across verticals . We will try to maintain EBITDA margin in the short term. Our long-term actions on improving business health is in the right direction and I remain positive for driving competitive, profitable and sustainable growth to create value for all the stakeholders. Thank you very much.

Call: Jan 2025

January 23, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir/Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended December 31, 2024

Further to our letter dated January 9, 2025 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2024 held on Friday , January 17, 2025.
The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer
Encl.: as above
Page 1 of 12

Rallis India Limited
Q3 & 9M FY 2025 Earnings Conference Call Transcript
January 17, 2025

Moderator: Ladies and gentlemen, good day and welcome to Rallis India Limited Q3 and 9M FY '25 Earnings Conference Call.

I now hand the conference over to Mr. Gavin Desai from CDR. Thank you and over to you, Mr. Desai.

Gavin Desai: Thank. Good evening, everyone, and thank you for joining us on Rallis India Limited's Q3 and 9M FY '25 Earnings Call .

We have with us today Dr. Gyanendra Shukla – the Managing Director and CEO ; and Ms. Subhra Gourisaria – the Chief Financial Officer .

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation.

I now invite Dr. Shukla to begin the proceedings of the call. Over to you.

Dr. Gyanendra Shukla: Thank you, Gavin . Good evening, everyone. And thank you for joining us today on our Q3FY '25 Earnings Call. As mentioned by Gavin, I have along side with me, Subhra – our CFO.

Let me begin the discussion by dwelling into the Industry landscape initially , post which I will discuss Rallis' specific developments.

As far as crop sowings are concerned, Rabi sowings are roughly 61.5 million hectares, which are down by 0.5% over last year. That is the data available as on 27th of December . With oilseeds lagging by 5%, wheat area is up by 2% , rice area is up by 5.6% , and pulses area is more or less same as last year. Reservoir levels are better compared to last year by 24% and 139% of the overall normal storage as of 26 th December.

While the overall headline for the monsoon is positive, spatial and timely distribution

was uneven. Also, the post monsoon season, with two cyclones Dana in October and Fengal in December created trade inventory pressure. Companies also resorted to aggressive trade schemes to liquidate the carry forward inventory, creating pricing

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challenges. Seed production continues to face the challenges for the second year in a row with volumes under pressure despite a steep increase in input costs.

Agro chemicals export demand continues to remain weak due to over supply from China , price deflation and reduced margin. In 2024, the Chinese agro chemical market underwent a significant change, marked by global companies adopting supply chains and exploring strategies like internationalization, increased transparency amid challenges of over capacity and strengthened partnerships. All the key regions have seen degrowth in agrochemicals, mainly in central and South America, followed by North America, Europe and Asia- Pac, and Middle East and East Africa in 2024.

Moving to Rallis' specific developments :

During Q3 our revenue was Rs. 522 crore, which is a 13% degrowth, PAT was Rs. 11 crore versus Rs. 24 crore last year , mainly due to volume drop in exports. Domestic agrochemicals business registered a volume growth despite intense market competition. Export business continued to reel from market challenges, resulting in degrowth of roughly 38% .

Our long-term effort to expand the customer base and improve cost competitiveness continues. Seed business was same as almost last year at Rs. 30 crore versus Rs. 32 crore last year.

Moving to individual businesses wise performance:

Our export business was down by 38% with volume dropping by 34% and price dropping by 4% over Q3 of the previous year. We faced weak demand for most of our key products in Q3 .

Hexaconazole is showing good traction with process debottlenecking helping the business register highest ever volume outlook for the year .

Even in Metribuzin, our volumes are strong on YTD basis with positive outlook from one of the global majors .

Acephate, as highlighted in the earlier calls continues to face margin challenges due to steep volatility in the input cost material and high supply situation. We are working on several alternatives including flexibilizing the plant and optimization of overheads to improve profitability .

Pendimethalin is facing pressure due to high inventory with the customers . In line with our strategy on improving the process efficiency we are going to go live with the Continuous Stirred Tank Reactor process in Pendimethalin this quarter.

We are also in the final stages of commercializing new technical Metalaxyl -M from our reverse engineering pipeline and are confident of the long-term potential of the product , both for domestic and international markets.

Even in the CSM business, our efforts on expanding customer base and working on new chemistries is progressing well. We have also set up labs for new chemistries and are working with 10 new customers. We are confident these efforts will start contributing meaningfully to our top line and bottom line in the years to come.

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To drive synergies, we have also brought all B2B businesses under one roof. This will help drive strategic partnerships and alliances for both domestic and international markets.

Moving to the domestic market :

Crop care business grew volumetrically but was down by 2% due to steep price correction. However, on YTD basis , the crop care business has grown by 6% with volume growth. Our key focus segment of herbicide and biologicals and specialty solution have grown by 41% and 21% in volume, respectively in domestic business during this quarter.

Within biological and specialty solutions, GeoGreen, RalliGold Granule and Bio Stimulants did the highest ever sale on YTD basis . Water soluble fertilizer has also scaled up fast with 80% growth in the last nine months. However, we recognize these segments need far more focus and nurturing to improve resilience and drive both top line and bottom-line improvement.

Our innovation turnover index is in the high teens, in line with our ambition . We believe

there is still a gap in our ability to launch and scale new products. And are taking efforts to revamp our go-to-market and 360 degree marketing approach. Our digital based influencer approach to improve engagement with the farmers is also

being piloted and we expect to roll this nationally soon. We are also working on boosting the digital marketing approach and have gone live with WhatsApp for business to improve farmer connect.

Moving to seeds business :

We recorded Rs. 30 crore revenue as against Rs. 32 crore in previous year, mainly due to lower hybrid mustard seed sales . However, this is a small quarter for the business , on YTD basis , business has delivered 1% revenue growth and 55 % growth in profit before tax. This is in the context of product availability constraints which limited our scale -up of the new launches , for example, Diggaz. Cotton has become the biggest crop with sales of more than Rs. 100 crore and we are optimistic of the potential of the segment .

To conclude my opening remark , I will now hand over the call to Subhra – our CFO, for a detailed analysis of our finances. Over to you, Subhra.

Subhra Gourisaria : Thank you. Good evening, everyone. And thank you today for joining us for a Q3 and 9MFY25 earnings call .

I will walk you through our Financial Performance for the quarter and nine months , post which we can commence the Q&A session.

Starting with the topline for the quarter – our revenue stood at Rs. 522 crore as against Rs. 598 crore for the previous year. Domestic business registered volume growth of 3% in the backdrop of intense market competition . Agile pricing helped improve margins in the domestic crop care business. Also in the domestic crop care business , herbicides and biologicals and specialty solutions have maintained good growth momentum.

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Export business continued to face headwinds with business registering a degrowth of 38%. However, we are quite confident of the long- term potential with actions taken around expanding the customer base and improving cost competitiveness. The Seed business was Rs. 30 crore as against Rs. 32 crore for the last quarter same period. The profitability of the company was impacted due to challenges in the export business.

Our efforts continue to be directed towards optimizing the overhead cost, including portfolio rationalization, refresh of the portfolio, territory rationalizations, moving overlaps , and driving cost efficiencies and simplification across the value chain. Our inventory levels have been brought down without causing any business opportunity loss. Collections have also improved despite high market competition.

We continue to have healthy cash and liquid fund balance of more than Rs. 200 crore as of 31st December. We will continue to drive capital efficiency, and our recent initiatives will help us in our pursuit towards consistent , competitive and profitable growth. Our CAPEX has been moderated in line with the demand, and our focus is to firstly improve the utilization and ROI of the already invested CAPEX . We have recently received Board approval for solar panel installation in our manufacturing units, which will help reduce electricity cost and also the carbon footprint.

That concludes the opening remarks. We can now commence the Q&A session .

Moderator: Thank you. The first question comes from the line of Viraj with Securities Investment Management Pvt Ltd. .

Viraj Kacharia: I just have a couple of questions. One is , if you look at the environment, generally the segments performance , exports have seen a sharp degrowth with pricing pressure, and you talked about pricing pressure in domestic. And seeds contribution is not that big in the current quarter. So, what explains your sharp jump in gross margins? We have seen almost a 300 to 350 basis points increase in gross margin. So, can you just give

some perspective on what is driving this?

Subhra Gourisaria: See, gross margin, I think one is, of course I spoke about the domestic business has been able to improve margins through the actions taken on pricing front and also ensuring that we keep our inventory levels at the right level. And also, there's a mix factor which plays because the international business did not deliver well . So, given all these factors have helped in improving the margin . Seeds, albeit small as you said, but that has still been able to improve both gross margin and profit before tax .

Viraj Kacharia: But generally, see in terms of pricing also, even in domestic we have seen almost a 5% decline in price realizations . So, still trying to understand the gross margin kind of like there can be a mix play between international and domestic, but even in domestic we have seen a very good mid- single digit kind of a decline. So, if you can explain.

Dr. Gyanendra Shukla: See, as I have mentioned in the previous calls, look, we operate in a very complex competitive environment. Our effort is to continue to drive margin as a primary thing because that is something is very, very important for long -term profitability of the

business, sustainability of the business. But there are factors, when you have a significant export business that goes down, obviously brings the averages up. We can get maybe more details at a later stage, but combination of factors sometimes you get advantage in terms of raw material cost and all, so various factors can help. But our effort will continue to remain that and as we have been talking in the past ,

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look, domestic seed, biologicals and specialty solution which we used to call crop nutrition in the past, we want to continue to drive domestic business because that's where certainty, in spite of competition, it's still more certain given our brand equity.

Viraj Kacharia: Okay, just two questions. One is on the portfolio, in the presentation also we talked about churn or pruning in the portfolio. And in the last few quarters we have been talking about more aggressive approach in terms of weeding out low profitable or loss making products. Can you give us a sense in the last nine months or in Q3 what kind of a churn at the portfolio level we have seen? And is that experiment largely done or we would expect further, I mean, any prospect where are we in that cycle? That's one. And second is on the export, when do you expect that the decline to kind of settle down given that we have been talking to MNCs for supplies? These are the two questions.

Dr. Gyanendra Shukla: So, first thing is on the portfolio. Look, when we talked about portfolio pruning, we were in the middle of the season. Now we have completed the exercise of portfolio rationalization. And a lot of that effect you will see in the upcoming season because we also do not want to waste the inventory or waste the packaging inventory and all. So, the impact of that should be seen in subsequent quarters, right. So, products are identified. What we have been very careful is that building inventory of those low margin products. So, that's one. So, impact of that we will see in the future.

Now, on the export side, you understand our portfolio, right, our portfolio is really not very new. As we have spoken in the past, look, Acephate had challenges.

Pendimethalin now is facing challenges. Two products we had a better opportunity was Metribuzin as well as Hexaconazole. We have a pipeline, for example, we talked about Metalaxyl-M which we have started making. Our effort would be to not to continue to rely on these products, continue to participate because we have capacity but also flexibilize the plan and keep looking at new opportunities.

And even in the existing products we keep adding customers. And to that extent, we have started investing more time with

potential customers, developing new

customers. And some of these things they do take time because when you get a new customer you have to supply them sample, they have to test the sample, they have to approve you as a vendor and all of that.

But we know that we do not have a very, very new portfolio. But within that we are trying to really take maximum advantage of what we have, also trying to slowly switch over to a newer portfolio. But given the global context of the market, I think global market forecast, given the commodity prices of key commodities like corn and soybean, including wheat remain low. The forecast for 2025 I do not think is very strong as far as international business is concerned. And then this is primarily driven by Americas.

Moderator: Thank you. Next question comes from the line of Ankur Periwal with Axis Capital.

Ankur Periwal: First question on the domestic crop protection business. If I heard the initial comments right, you mentioned YTD we are up 5%, 6%. Please correct me if I am wrong, I think in the first half we were up mid-high teens, probably more like 16%, 18%. Is there a sharp decline in Q3? And probably key reasons for the same.

Dr. Gyanendra Shukla: So, one of the reason is that, and I have probably alluded that in the past is that, look, Q3 depends on two factors. One is, Q3 is a very strong herbicide business, because in Q3 the wheat herbicide business is big, sugarcane herbicide business is

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big, and rice herbicide business is big. And I have been highlighting, we have weakness in the herbicide portfolio, so some of the work we have started. So, Q3 is generally from herbicide perspective, that's the largest segment is wheat for us. The other two big products which go in Q2 are some specialty products in vegetable. And then there's a continuation of Kharif season. In Rabi, this year all of you if you have noticed, there was abrupt cessation of monsoon in the month of September, right, it actually did not rain a lot in October, November like previous three years. So, I think it's just portfolio weakness in Q3 and abrupt cessation of Kharif consumption as well as weak chilly season, this year chili prices have been very low. So, some of those things actually explain why Q3 is slightly weaker for us.

Ankur Periwal: Secondly on the export side, you did mention that Pendi also is facing some pressure, if I am not wrong, till last quarter it was largely Acephate wherein we were

facing some challenges , while Pendi was doing okay . So, any specific comments there, inventory led issues again cropping up?

Dr. Gyanendra Shukla: Yes. Well, look, Pendimethalin challenges are basically because of the inventory at the user level, right , that is what is causing problem. And other thing I think we cannot continue to undermine the Chinese overcapacity and their ability to undercut prices in the global market.

Moderator: Thank you. Next question comes from the line of S Ramesh with Nirmal Bang Equities .

S Ramesh : In your presentation , can you give us a breakup for this Rs. 492 crore of domestic revenue and export revenue? And for the bio and specialties, if you can break it up for us ?

Subhra Gourisaria: So, Rs. 492 crore, a large proportion of it, I would say , has come from domestic crop care. Biologicals and specialty solutions, we have mentioned in the presentation as well has done well , clocking 13% growth on Q3 basis and even on a YTD basis has done 24% growth. International business continues to be a challenge.

S Ramesh : Is it possible to give the breakup of the international revenue in number in rupees crore?

Subhra Gourisaria: It's Rs. 110 crore .

Moderator: Thank you. Next question comes from the line of Shaurya Punyani with Arjav Partners.

Shaurya Punyani: So, would you like to give out guidance with respect to the topline for FY ' 26?

Subhra Gourisaria: So

, we do not give any forward guidance, but we will talk on this call on what are the challenges and what are the opportunities for us.

Shaurya Punyani: And one more, out of the international revenue , what country is the highest , like in terms of percentage?

Dr. Gyanendra Shukla: I mean, most of our business is primarily Americas .

Moderator: Thank you. Next question comes from the line of Viraj Kacharia with Securities Investment Management Pvt Ltd. .

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Viraj Kacharia: So, we talked about that in the coming quarters we were done with examining in terms of review of the portfolio, and we will be looking to prune a certain part of the portfolio in coming quarters. So, just to get a sense on this, what percentage of the portfolio is not that profitable and which we may be exiting in the next six months , one year ?

Dr. Gyanendra Shukla: Yes. So, in terms of number of SKUs , it is very significant, right. I think we have a long tail. I mean, it is a very high number . In terms of revenue, I think maybe I cannot tell you now.

Subhra Gourisaria: Viraj, this is not a question of being less profitable. I think what we are saying is the focus and the effort from the team, goes a lot in serving them, which is where we are looking. The impact is not going to be material on top line and bottom- line perspective.

Dr. Gyanendra Shukla: I think what is important is that, our sales team, rather than trying to handle so many SKUs , they put all their energy on a smaller number of SKUs . And it also helps in improving supply chain complexity.

Viraj Kacharia: And from IT I perspective, say either for nine months or the quarter, what will be the ITI index for us ?

Dr. Gyanendra Shukla: So, we consider, I mean, I think for me healthy ITI we can always keep above 15%, right. At this point of time, we probably are above 15%.

Subhra Gourisaria: I think it's more to look at it on a longer term and what are the actions we are taking to refresh the portfolio.

Moderator: Thank you . Next question comes from the line of Prit Nagersheth with Wealth Finvisor .

Prit Nagersheth: Yes, the question I have is related to your guidance, domestic guidance at least for quarter four. So, are you seeing continued traction the way you have explained that Q3 has seen an increase in volumes and herbicide obviously comes off , and maybe insecticide pesticide demand will increase in quarter four, so do you see a better domestic performance from your side?

Dr. Gyanendra Shukla: Yes. So, as I said, look, herbicide, we are strengthening our portfolio. Now, a lot of what happens in quarter four from a consumer perspective, so from crop area perspective it is more or less similar compared to last year with the change in crop mix. Example, mustard is down but wheat is up in fact. So, from a crop area perspective, it is the same area as last year. A lot of consumption of fungicide and insecticide depends on the kind of pest pressure, so it's very difficult. So, you always go by what are the normal pests expected, what is the normal volume vis-à-vis previous year and what is the competitive situation. So, difficult to say what will

happen. At this point of time all I can say at least crop is there. Having said that, commodity prices are soft compared to even last previous years. But if pest pressure is high, farmers would tend to, I mean, resort to use of chemicals to protect their crop. But it's difficult to say how things will evolve because there's no solid mathematical model available to say what kind of pest pressure will happen.

Prit Nagersheth: Right, I understand. My question is more in line with how over the last year was for Q4, and for Quarter 3 as well with a lot of inventory available in the Indian market.

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Do you see that the larger business scenarios are better off than what they have been? And do you see a continuation of the

growth that you have seen in Q3 continuing in Q4?

Dr. Gyanendra Shukla: So, business sentiment, I would say, remains more or less same compared to last year. If they are not better, they certainly are not better, they are more or less same, depending on the crop. So, sentiments are very similar. And what happens next, I think it depends on the external factor.

Subhra Gourisaria: Prices are low definitely but volumes will be our endeavour.

Moderator: Thank you. Next question comes from the line of Abhijit Akella with Kotak Securities.

Abhijit Akella: Sir first on the Rabi season in the crop care business, you did mention the fact that those cyclones had created additional trade inventory and maybe also created pricing pressure because of the trade scheme. So, would it be possible to just give us some slightly more color in terms of how things stand at present, are inventories still elevated or have they been cleared out? And are you still seeing aggression in terms of pricing from the leading competitors?

Dr. Gyanendra Shukla: So, I mean, I think from what I understand, pricing pressure continues in the market. And there's no shortage of inventory. I think everybody's sitting on the inventory and leaving in the market. So, I mean, I think price pricing pressure continues and there's enough inventory in the market.

Abhijit Akella: And just last one from my side is on, number one, the seed production for next year, how is the outlook shaping up given it's already been through a season, I guess?

The other one was just with regard to how the CSM products are performing. For us, I guess, Metconazole is important and then PEKK, so how are those doing? And then what kind of traction you are seeing in terms of the newer ones, by when can we expect some meaningful contribution from them?

Dr. Gyanendra Shukla: Yes. So, on the outlook of the seed production, I think seed production is challenging. Is it as challenging as last year? I think it's probably slightly better than last year. But seed production area remains a constraint because farmers are always weighing options between growing a commercial crop versus seed crop. But I would say slightly better than last year, right, on the production side. On our CSM pipeline, I know you talked about PEKK and the other product. I think, look, our CSM pipeline is there, right. But we are adding to the portfolio. It will be very difficult for me to disclose the names of the customers, but we continue to add more customers. And we have inquiries. We are supplying samples for trialing and testing. I think there are a few products in the pipeline. I mean, we did mention today Metalaxyl-M because that is something we have reached a stage of commercial. As we get more details about the other product, when we get into commercialization more than its matter of talking. But yes, in other products we are adding customers, particularly Metribuzin, Pendimethalin and Hexaconazole.

Moderator: Thank you. Next question comes from the line of Siddharth Gadekar with Equi rus.

Siddharth Gadekar: Sir, just wanted clarify on our multipurpose plant that we had commissioned last year. We were targeting to do Difenoconazole, have we started anything in that plant or is that plant still idle?

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Subhra Gourisaria: See, Difenoconazole, we took some batches last year, this year also we are working on a few contract manufacturing opportunities. One of them is with a global major.

So, the plant is not idle. The plant is used for the purpose it was set up which is working on various new opportunities.

Moderator: Thank you. Next question comes from the line of Archit Joshi with Nuvama Institutional Equities.

Archit Joshi: I just have one question. Sir, what would be your reading in the global landscape after six, seven quarters of the inventory destocking and that onslaught that we have

ve

been hearing of? And you also mentioned in opening remarks about quite a lot of inventory still there in the system in products like Pendi. How do you see this panning out from a volume and pricing perspective in this calendar year?

Dr. Gyanendra Shukla: So, I think volumes are very comfortable. And whenever there are comfortable volumes, it does put pressure on the pricing. And the most important driver of consumption of these products is really commodity prices, and that continues to, I mean, I think if you track soybean prices, cotton prices, wheat prices, when you look at the CBOT prices, they continue to trend downwards lower, right. And when the farm income, because of the lower commodity prices, farm income are under challenging situation. And I think we understand the China supply dynamics as well. I believe while volumes will continue to grow, I mean, continue to grow because farmers are planting crop, they are not leaving the crop, there will always be pressure on the pricing. That's why domestic have become very important for us. I think I have been saying probably for last three, four calls, our primary focus is to drive domestic. We have lot of opportunities to fix in, I mean, we have opportunities in CSM, we have opportunities to participate in international business. But given the scenario there I am more optimistic about domestic because that's where we have brand equity.

Moderator: Thank you. Next question comes from the line of S Ramesh with Nirmal Bang Equities.

S Ramesh : So, if you look at the outlook for the products which you mentioned are under development in the last stage, the 10 product you are working on, can you give us some sense in terms of what will be the target market size for these products? When you expect to commercialize them?

Dr. Gyanendra Shukla: Most of our CSM product, they are for a diversified set of customers abroad. And international businesses tend to primarily get focused towards Asia and Americas, right. So, that's the kind of pipeline.

S Ramesh : And if you look at the Chinese strategy, I understand they are also trying to get into formulations. So, how would that impact Rallis' business if you see the Chinese population supply hitting the international market in your own markets?

Dr. Gyanendra Shukla: So, I think that is something we have not been talking in the industry, and I am glad you have brought that point. Because Chinese have started participating directly in those markets, that is something we have to wait and watch. But I believe there will always be opportunities from a diversification perspective from prospective clients to have alternate suppliers. I guess that's where India is playing a role and will continue to play an increasingly important role.

Moderator: Thank you. Next question comes from the line of Ranjit Cirumalla with IIFL Capital.

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Ranjit Cirumalla: We have been focusing more on the domestic front in this particular year, and we continue to remain focused for the next few years. And that is also something which has grown for us in the first nine months. So, just wanted to get a sense, how has been the secondary demand by the farmers? I believe it is a case of having a bit of high inventory and that might become a bit of a headwind for us next year or the liquidation has been at par regarding the sales split.

Dr. Gyanendra Shukla: So, volumes generally are good. I think it's a pricing issue right now because this year Kharif was decent. I think it did not do well in the later part of the Kharif. And Rabi planting is good. So, I do not see it is a volume issue, it is largely an issue of pricing and supply.

Ranjit Cirumalla: The liquidation has been at par with the volume growth that we have been seeing?

Dr. Gyanendra Shukla: Volumes are higher that means liquidation is high.

Ranjit Cirumalla : And that should not be

a challenge for the next few years or at least for the coming year?

Dr. Gyanendra Shukla: I mean the way I see it, look, there are probably I shouldn't say too little farmer because we have millions of farmers. There are a lot of companies chasing the same set of farmers.

Moderator: Thank you. Next question comes from the line of Shivaji Mehta, an individual investor.

Shivaji Mehta: Sir, one of the specialty chemical players in their earnings call had mentioned that China may start looking at increasing prices of various chemicals post the Chinese New Year. Are you expecting something similar post the Chinese New Year?

Dr. Gyanendra Shukla: Look, a lot of news goes in the media. I think I will really wait. See, we have to see for some indications, right. For example, recently there was a news that because Chinese have increased the price of some of the chloro chemical related and suddenly those reduced, and it died down very quickly. So, I think we will continue to monitor how it happens. And then it's very difficult to predict. I do not have any real insight to say how they would be handled.

Subhra Gourisaria: It is any way with the market.

Dr. Gyanendra Shukla: I mean, if there's an opportunity, I think we would not leave any opportunity on the table if there's an opportunity to increase the price.

Shivaji Mehta: Right, makes sense. Sir, and also over the next two to three years, once things

normalize, what is the stable asset turn that you foresee for your businesses, excluding the seeds portfolio?

Subhra Gourisaria: Seeds, anyway we do not have any fixed capital, so seeds asset turn, it's a working capital business. As far as crop care is concerned, I think I mentioned earlier that we do not look at asset turns but IRR, and IRR should be certainly more than the Weighted Average Cost of Capital that we look into.

Moderator: Thank you. Next question comes from the line of Sanjay, an individual investor. Please go ahead.

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Sanjay: Sir, my apologies, I joined the conference call by about 20 minutes late, so very briefly if you could tell me what was the reason for drop in our profitability this quarter. And secondly, sir, I just wanted to know, as an individual investor, obviously my query will be skewed towards the stock price performance. So, if I see, first of all, there's an underperformance in the last five years and also our revenue growth CAGR has not been that good if we compare to all the other competitors, our CAGR is not even increasing by about 10% to 12%, it is hardly 7% to 8%. So, how does a company foresee the next five years in terms of revenue and profitability?

Dr. Gyanendra Shukla: Yes, I do not know Sanjay if you have attended the previous conference calls. But I have been trying to articulate some of the steps we are taking to really turn around this business and bring it in line with the industry or do better than industry. There are quite a few things we are doing, for example, this business is a product business, we are looking at significantly revamping our product portfolio. We have gaps in certain areas, particularly herbicides and all, so we are working on those. We have now a decent seed business which has taken a while to stabilize, I think we can continue to deliver on seed. The other area where we are focusing from product perspective is biologicals and specialty solution, because that's another area where consumers are getting interested, farmers are getting interested, so we are working on those. That's on the product side.

I think we are taking a lot of the steps on really customer side, because at the end of the day, this business is also demand generation business. If you are a farmer in a village, you are probably approached by 10 different companies in a day, so how do you make decision which company to prioritize. Obviously, product and product

performance matters. We are trying to intensify our customer relationship efforts, and we are trying to get more focused rather than trying to meet healthy spread. And also trying to leverage on digital, so we are making a lot of investment on digital connectivity with the farmer so that we can serve them better. So, that's on the customer side. On I would say efficiency side, obviously we have some assets, and we are also having old portfolio, we are looking at even on manufacturing side how can we make our products better, how can we bring down the cost on production side, what are the other things we can do to add new products to the portfolio. We are also looking at some CSM opportunities, we have a pipeline of companies we are working on. But these things do take time, right. We are re-orienting our people capabilities, so we are looking at people capabilities and various other things. So, a series of steps.

Sanjay: And sir, just a very brief on the reason for the drop in profitability this time, I am sorry I joined the conference call late, that's the reason.

Dr. Gyanendra Shukla: Drop in profitability, Subhra, you want to talk about.

Sanjay: Yes, year-on-year if we see, our profitability has dropped significantly. So, just what is the specific reason for that, just a small pointer if you could provide.

Subhra Gourisaria: See, I think for us seasonal profit, quarterly profitability is difficult to explain because it's a small quarter and we said that export business had a challenge. On YTD basis, we are largely flat on PBT basis despite the challenges in the market front. So, this quarter the numbers are lower squarely because of the challenges in exports business.

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Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and-answer. I would now like to hand the conference over to the management for closing comments.

Dr. Gyanendra Shukla: So, thanks to everybody for participating on the call. Agrochemicals export demand continues to be weak. We will try to improve volume growth and margins in a tough environment. Seed business is impacted by availability of inventory. Domestic agrochemicals demand is positive, but lower prices across products are impacting revenues. Margins are steady with actions around product mix improvement and cost optimization. We remain optimistically cautious for Q4 overall business plans. Our endeavor would be to improve capacity utilization and take steps to improve market

share across verticals . We will try to maintain EBITDA margin in the short term. Our long-term actions on improving business health is in the right direction and I remain positive for driving competitive, profitable and sustainable growth to create value for all the stakeholders. Thank you very much.

Call: Apr 2025

April 29, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir,

Sub: Transcript of Analyst/Investors Call pertaining to the Financial Results for the quarter and financial year ended March 31, 2025

Further to our letter dated April 9, 2025, we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2025 held on Thursday , April 24 , 2025.

The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record .

Thanking you,

Yours faithfully,
For Rallis India Limited

Srikant Nair
Company Secretary & Compliance officer

Encl.: As above
Page 1 of 15

Rallis India Limited
Q4-FY25 Earnings Conference Call Transcript
April 24, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Rallis India Limited 's Q4 and FY '25 Earnings Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Suraj Digawalekar from CDR India. Thank you , and over to you , sir.

Suraj Digawalekar : Thank you. Good morning , everyone, and thank you for joining us on the Rallis India Limited's Q 4 and FY '25 Earnings Call.

We have with us today Dr. Gyanendra Shukla – Managing Director and CEO; and Ms. Subhra Gourisaria – the Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussion s may be forward -looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation.

I now invite Dr. Shukla to begin the proceedings of the call. Thank you, and over to you, sir.

Dr. Gyanendra Shukla: Thank you. Good morning , everyone. And thank you for joining us today on our Q 4 and full -year fiscal year '25 Earnings Call. As mentioned, I have along side with me,

Subhra – our CFO.

Let me start by outlining the current industry landscape before turning to Rallis' specific developments.

Domestically, Rabi sowings for 2024 -25 concluded at 661 lakh hectares, which is up by 1.4% over last year, led by higher acreages in wheat (+2%), rice about 5% and pulses about 2%, while oilseed acreages declined by 1.7% to 97.5 lakh hectares. Summer crop sowing area as of April 4th reached 60 lakh hectares. A notable 13%

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increase year -on-year is driven by strong gains in paddy. Paddy is about 14.5% and pulses about (+20.7%) .

Companies have continued aggressive trade schemes in Q4, Fiscal Year '25 to manage inventory, which in turn created pricing pressures. Overall, the Indian agrochemical sector posted a 5% volume recovery in Fiscal Year '25 . These are all estimates primarily on the back of a favorable monsoon.

Nonetheless, the industry continues to be plagued with high carry forward inventories at lower price , tight seed supplies, shrinking cotton acres and ongoing weather irregularities, including erratic rainfall and localized droughts. Indian agrochemical exports remain largely flat, growing just 1% through April to January period , though signs of pick -up emerged in January '25. Seed production meanwhile continued to face significant challenges for a second consecutive year with volumes remaining under pressure amidst rising input costs despite selective improvements in some pockets.

In summary :

While expanded sowing areas, a favorable monsoon and a steady reservoir level points to positive prospects , the sector remains challenged by pricing, inventory and seed supply dynamics along with persistent water -related uncertainties.

Coming back to Rallis :

During Q4 our revenue was 430 crore , 1% de -growth and PAT was (-32) crore versus (-21) crore as compared to last year.

Moving to individual business -wise performance for the Q4 Fiscal Year '25 :

Crop Care B2C business revenue was Rs. 222 crore against Rs. 226 crore in Q4 the previous year with growth impacted due to price pressures. Volume growth was positive at 3% despite peak agrochemical consumption in crops like chili, cumin, paddy and pulses in Q4 .

India's agricultural exports have recovered during the latter half of the year. Rallis' export business also has seen the recovery with 6% growth in Q4 in fiscal year 24, both in volume and price. CSM business was impacted due to customer scheduling. However, long-term prospects are positive with work on new relationships . We are confident of some of these turning into meaningful opportunities into the future . Seed business revenue was Rs. 25 crore as against Rs. 26 crore in Q4 of the previous year.

Moving to individual business -wise performance for the full year :

Crop Care B2C business revenue is Rs. 1,578 crore as against Rs. 1,517 crore in previous year. Volume growth was robust at 9%. Soil and plant health and herbicide businesses clocked 23% and 24% growth respectively, in line with our growth strategy. Overall Crop Care revenue has grown by 1% due to challenges in the export business as spoken in earlier communications . Our long-term efforts to expand the customer base and improve cost competitiveness across the value chain continue .

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Seed business for Fiscal Year '25 revenue was Rs. 418 crore as against Rs. 416 crore in previous year. The positive news is the business has delivered strong profit before tax of 18 crore. We will work on further improving the value dynamics of this business with cost kept under a strong vigil. As of now, the team is working on placing the inventory dynamically in the market.

Looking ahead to the upcoming Kharif season, the domestic sentiments remain positive. As of March 27, 2025, reservoir water levels stood at 16.5% higher than last year and 1% above the normal average, supporting a favorable outlook for sowing and crop growth. IMD forecast s above rainfall for the 2025 season, while Skymet anticipates a normal monsoon, both of which bode well for the Kharif crops. Monthly rainfall is expected at (-4%) in June (+2%) in July and (+8%) in August relative to the historical average.

Overall, while favorable climate conditions and improved reservoir level point to robust crop prospects and record Kharif production , our new launches across segments have good potential. Th

e new non-selective herbicide 'LAAFA' will address the portfolio gap in non-selective market.

There are a few more promising launches in the insecticide segment during the season. We have received good trade responses for seeds and remain optimistic of the domestic business. Geopolitical developments may cause some disruption in the short term in the export market. However, we believe India will remain an important manufacturing hub in the years to come.

To conclude my remarks :

I will now hand it over to Subhra – our CFO, for a detailed analysis of the financials.

Subhra Gourisaria: Thank you, Dr. Gyanendra . Good morning , everyone , and thank you for joining us today for a Q4 and FY25 Earnings Call.

Let me walk you through the financial performance for the quarter , post which we can commence the Q&A session.

Starting with the top line for the quarter :

Our revenue stood at Rs. 430 crore as against Rs. 436 crore for the previous year, same quarter. Crop Care B2C business registered volume growth of 3% despite lower spreads and poor crop economics. PAT was impacted due to challenges in the export business impacting revenue and overall margins. We have gained volumes in the B2C segment during Q4. Exports have also seen an uptake in both volume and price in Q4.

For the full financial year, performance was impacted due to lower exports with volumes under pressure, especially in Acephate and Pendimethalin . PAT was Rs. 125 crore versus Rs. 148 crore in the same period previous year. It was impacted due to challenges in the export business. Our Crop Care B2C business has grown by 4% in revenue.

Moving on to the seeds business :

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Over the past few years, our seeds business has seen a significant turnaround. This success can be attributed to strong execution across all functions, effective use of digital tools, a targeted marketing approach and working on removing process inefficiency . As a result, we have improved our forecast accuracy, reduced sales return, fixed costs were kept flat, and we have exited some of the unproductive territories and products. We continue to strengthen our capabilities to build a high-performing , resilient organization.

Our focus remains on optimizing overhead costs through portfolio rationalization and refresh, territory realignment, eliminating overlaps and driving cost efficiency and simplification across the value chain. Recently, we introduced a streamlined organization structure to boost agility and cross-functional collaboration.

Looking ahead, we remain committed to enhancing our market position through superior product offerings which address the evolving needs of farmers, sustained investments in customer centricity, marketing, manufacturing and digital transformation will be essential to building a sustainably different business.

As of 31st March '25, we are pleased to report a healthy cash and liquid fund balance of 439 crore and will further work to improve capital efficiency. We are confident that our recent initiatives will help us achieve consistent, competitive and profitable growth.

That concludes the opening remarks . We can now commence the Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Yes, thanks for the opportunity. The first question is again regarding your commentary on the inventory. So , you alluded that there is a high carry forward inventory in the domestic market. If you could just give us a flavor about how that is likely to shape up for the upcoming Kharif season and a similar commentary if you have for the global market as well. Thank you.

Dr. Gyanendra Shukla: So, let me start. Do you want to take questions first or one by one we take? One by one, okay. So, thanks , Rohit. See, carry forward

inventory, I would say, at a global

level has, the majority of the product has come to the normal level. Right ? Whereas for India, yes, inventory is there, but I would say it is not at a level where you can say unmanageable. Right? A lot of it might be in anticipation of the strong season people are expecting given by the commodity prices and generally, a normal monsoon forecast.

Rohit Nagraj: Sir, second question is in terms of the quarter gone by. So , we have seen that in the domestic market there has been a volume recovery, however, pricing has been skewed. And on the contrary, exports, there is volume recovery as well as pricing has been favorable. So , could you just tell us why there is a dichotomy in terms of pricing for the domestic market and the international markets?

Dr. Gyanendra Shukla: Yes, so I think they are completely unrelated. When we say domestic market, if you see our volumes for Quarter 4 are more or less for crop protection flat. Now there are two things happening. We have one product in the chili crop which goes in Quarter 3 and Quarter 4. There is another product which is a very good product which goes to control rice plant hopper.

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So, in spite of planting, I think there was a lesser pressure of chili thrips. And the product which we have, though it's a future generation product, but there are not many farmers who like the way it works. It's a slow acting insect growth regulator, gives a longer duration control, but I think our farmers are used to spray and pests would fall down immediately from the leaf and fruits.

So, I think we are working on it. We are trying to see whether we can educate farmers better and can do some strong recovery in that category of product. But these two if you take out, plus on the top of that, if you see Quarter 3 and Quarter 4, I have been telling in the past also, we are working on fixing the herbicide category in Quarter 3 and Quarter 4, because that will bring more sustainability, and I would say resilience to our second half of the business.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Good morning and thank you so much. First of all, would it be possible to just share the breakdown of the Crop Care revenues between domestic and exports? Please, in case you mentioned it earlier, I think I have missed it. Thank you.

Dr. Gyanendra Shukla: Yes, so I think there is also confusion on what we call international business as well as CSM business. So, I think CSM business was soft and there was some deferment of the order which was scheduled beyond March. So, that's why CSM business suffered. And Subhra, do we have a split?

Subhra Gourisaria: So Abhijit, I think the confusion that exports have grown at 6%, the number of 6% was the B2B number. CSM, as Dr. Shukla mentioned, there was deferment of some of the customer consignments, which is where there is a degrowth. In terms of the absolute numbers, the overall B2B business, B2B exports, total exports business is around 150 crore for this quarter.

Abhijit Akella: Yes, sorry, if it's possible to just also share the competitive number for last year's 4Q, please.

Subhra Gourisaria: The last year was around Rs. 165 crore.

Abhijit Akella: Okay. And the balance would be a domestic business, right? Just to clarify.

Subhra Gourisaria: Yes, domestic.

Abhijit Akella: Got it. And the other one I just had was on the discussion on the pricing pressure.

Was this in specific products in the domestic market or slightly more broad-based?

And also just trying to reconcile the fact that the domestic pricing is reported to be down 5% this quarter, year-on-year. But even in 3Q, it was reported that it was down 4.5%. So, it does not seem like there has been a major deviation quarter-on-quarter. So, I just wanted to understand that a

bit better.

Subhra Gourisaria: So, I think, Abhijit, you will see that the margins have moved up. So, there is indeed, in some pockets, the prices, the final realization is down. And what we are talking about 5% is versus previous year, within which as well, our soil and plant health has seen good price traction. I think domestic in some market because of competitive and because of the cost price, cost reduction, we had to pass on the price, cost drop to the consumer.

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Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Hi, thanks for the opportunity. Two questions, one on crop care and second on seed.

First, crop care. You know, H2 was reasonably good in terms of volumes, but H1 saw deterioration there. And you just highlighted that probably there is some bit of competitive pricing pressure still continuing even in Q4. Any thoughts on how we should look at growth in crop care, both on volume as well as on the revenue side?

Dr. Gyanendra Shukla: So, two things. I think I have been highlighting herbicide as a large category in the non-core herbicide Rabi crop segments. So generally, if you see, we are weak on herbicide, which is the largest category now. So we are weak on cotton herbicide. We are weak on soybean herbicide. We are weak on maize herbicide. So, all across categories we are weak.

So that portfolio, I mean that is about 30-35% of the crop protection market. We are building on that. And we were literally absent on non-selective herbicide market.

That's where we have introduced our 'LAAFA', new product. It got introduced late in Quarter 4, but the response so far is very, very positive. So, one growth strategy is

really herbicide led and plugging the portfolio gap. That should give some upside. The second analysis we have done that though we have a good presence in fungicide and insecticide, there also there are some specific segments. Either we have a product which may not be meeting customer's expectation, or we have a specific gap. So, we are also trying to address some of those gaps.

So just portfolio gap itself and getting team s focused on key market with a very focused, what you call, distribution retailer and village linkage , I think a lot of our effort we are putting on sending our people back to talk to village rs and talk to the farmers, I think should lead to significant changes in the way I look at domestic business.

Ankur Periwal: So, sir, just following up on that, from a full -year growth perspective for say, FY25-26, how we should look at the volume or the revenue growth?

Dr. Gyanendra Shukla: Sorry, I couldn't hear. If somebody could repeat.

Ankur Periwal: Yes, so I was saying just as a follow -up, so how should one look at your volumetric or revenue growth for FY26 for the cop care business?

Dr. Gyanendra Shukla: So, I mean, really speaking, I would like to grow both. Right? And that's how we have planned. So , all our actions are targeted towards growing both volume and price and price sometimes is also a combination of product mix.

Ankur Periwal: Fair enough. Just secondly on the seed business, we had earlier highlighted inventory -led issues there. So , any thoughts, you know, how one should look at the growth in this business?

Dr. Gyanendra Shukla: So, inventory story is very unique. I mean, unfortunately, what happens ? Seed gets produced on farm. And every year there is a new chapter that gets added, new experiences. So , as far as cotton for North is concerned, I think we are decently placed. Even for the South we are decent ly place d. So, for cotton, which actually will become our largest category of seed , I do not have any, I would say significant inventory challenges.

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We are okay on the ri ce side, I mean, rice, but there is some delay in supplies because last y

ear, almost all the big companies suffered inventory shortages. So , this year everybody has gone and trying to produce. So, a s a result, drying capacity. So while field production is happening, commensurating drying capacity constraint is there . So, we are trying to work around that. So, ri ce I would say by and large okay.

The challenge actually is in the maize business , corn, where a lot of, so I would say, industry cumulatively has produced 150% of what is required. Now, all inventory has come out at the same time in the month of March and April as we speak. And there is not enough capacity to process , pack and send it to the market. So, I think here every Company is trying to play catch -up game. Companies, those who have a carry - forward inventory, they have some advantage. We didn't have much carry forward inventory, but I still believe we are going to be better than last year.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Spark Institutional Equities . Please go ahead.

Somaiah V: So, my first question is on the export business. So here, the pricing improvements that we have seen give some color on three aspects. One, between the products that we have , our Pendimethalin , Acephate , Metribuzin, so which of the ones that is helping us, which has started showing a bit of an improvement ? That's one.

Second, the recent tariff impact. How do we see this? Is this an opportunity set for us, and globally, do we see a bit of a help in terms of Chinese technical prices going up, and that should kind of help us help forward in the export business?

Dr. Gyanendra Shukla: So, I think situation as all of you must be thinking, I mean, actually is a bit fluid at this point of time, but I would say whatever is happening, it is good for the long term because I guess this only will intensify supply chain diversification effort by the markets, those who are consuming product originating either out of China or India. So, from a long -term, it is positive. Short term , there is a dynamic. I think the way we see today it is slightly positive for Acephate . It is neutral for Metribuzin and Pendimethalin we make. These are the three majority contributors. Hexaconazole actually, I would say, is neutral too at this point of time. So, except Acephate , I would say, is neutral.

Somaiah V: Got it, sir. So, the second question is on the domestic pricing. So, I think the last couple of quarters we saw kind of a Y-o-Y price impact that you explained. So, do we see, given where inventory is and what the future outlook is in terms of rainfall, do we see, let's say, next six months, a similar kind of a Y-o-Y price drop ? Or do we see we have to continue at this current level of pricing? Or do we see further challenges that we have to take price down because of competition in the lower raw material economy ? So, what is your outlook on pricing? So, the decline is more or less done. We have to just continue at current levels o r do we see further decline that is my

question.

Dr. Gyanendra Shukla: So very, very difficult to say because I think right now if you see there is a bit of calmness, right? A lot will depend on how China would react. Because two views one can take.

One is, you know, China, if they are producing, they already have factory and they are already running the factory, they would like to ship the goods to the markets where they can sell. They can't sell in Europe or Americas, which is the largest market and Latin America is, I mean, the season is still a little far away. So, would they try to dump in other markets at a lower price? We have heard some news, but we don't have any conclusive evidence to say it hasn't started happening. So, that is one worst case scenario can play out.

Now, if that happens, I know, again, it will depend. So, if the products and raw materials we were importing, they will become cheaper. But they will still become cheaper for everybody. So that might lead to overall, what do you call, the reduction in prices because then there will be competition, and an excess supply. But if that doesn't happen, I would say prices should only remain where they are and slightly start firming up.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha. Please go ahead.

Bhavya Gandhi: Hi, thanks for the opportunity. Is it possible to share the revenue contribution for soil and plant health and herbicide for the quarter and the full year?

Dr. Gyanendra Shukla: We would be able to do it. I think soil and plant health is about ...

Subhra Gourisaria: Rs. 220 crore.

Dr. Gyanendra Shukla: Rs. 220 crore, which was about Rs. 190 crore.

Subhra Gourisaria: Yes.

Dr. Gyanendra Shukla: It was about Rs. 190 crore.

Subhra Gourisaria: Rs. 180 crore in previous FY. So, Rs. 180 crore. So, we have had a good 23% growth on it.

Bhavya Gandhi: And soil and plant health?

Dr. Gyanendra Shukla: Yes, soil and plant health only has grown from Rs. 180 crore to 220 crore.

Bhavya Gandhi: Okay, sorry, and herbicide?

Dr. Gyanendra Shukla: Herbicide just...

Subhra Gourisaria: Give me one second. So, herbicide has moved from around 250 to 300 crore.

Bhavya Gandhi: Rs. 250 crore to Rs. 300 crore.

Subhra Gourisaria: I am only talking about domestic business.

Bhavya Gandhi: Okay, and is it possible to provide some number on LAAFA? How do you plan to scale it, this Glufosinate portfolio?

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Dr. Gyanendra Shukla: I think this product has high potential, slightly different from Glyphosate and Paraquat, which are the products it competes. Our ambition would be that, you know, given our brand strength, can we make a kind of a million-liter kind of product?

Bhavya Gandhi: Any early understanding on numbers on LAAFA? I mean, what sort of sales number has it reached?

Dr. Gyanendra Shukla: So, so far, our response is encouraging.

Bhavya Gandhi: Okay.

Dr. Gyanendra Shukla: It has started selling in Quarter 4. So, so far, the response is encouraging. We will see how it plays out.

Bhavya Gandhi: Sure. Thank you so much. That's it from my end.

Moderator: Thank you. The next question is from the line of Archit Joshi from Nu vama Institutional Equities. Please go ahead.

Archit Joshi: Hi, good morning, sir, and thanks for the opportunity. Sir, can you share your views on two or three of our top exported products, Acephate, Pendimethalin, Metribuzin, with regards to its global supply-demand situation and how do we see our volumes shaping up in the next year? Just a follow up. Incrementally, the new product that we have launched, which is also for international markets, which is Metalaxyl-M, I believe this is a new product. If you can share your thoughts with regards to how we think of scaling this up in the export market. Thank you.

Dr. Gyanendra Shukla: So, I mean, our top three products, obviously, so Acephate is looking positive, right? Metribuzin and Pendimethalin, I would say, are neutral. All of you should also know that Metribuzin is now banned for sale in Europe. Right? So, it's now primarily America's market as well as it goes into domestic market and some of the ASEAN markets.

Metalaxyl-M is a product which has multiple applications. So, it has applications domestically. It has applications abroad. It can be used also to make combination

fungicide, and I think this product is not a new product. It is an old product, but the isomer we have launched is new. I think our position is decently competitive. We believe this product should add a significant resilience to our critical manufacturing business.

Archit Joshi: Sir, if you could speak of the supply -demand scenario a bit on these four products globally.

Dr. Gyanendra Shukla:

So, supply, I think all of them are available, right? It is not that there is a shortage of any of these products. All of them are available, there is a demand. Metribuzin, obviously Europe market is out. Acephate basically primarily grows in some of the Latin American countries and U.S. So, those are fixed market. Pendimethalin grows across the globe and Metalaxyl also has potential, but again you have to understand it is a new product. A lot will also depend on our ability to secure registration in various other countries.

Archit Joshi: Sure, sir. All the best.

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Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Yes, hi, sir. So sir, I just wanted to get kind of your idea in terms of guidance for FY26 in overall consolidated revenue in terms of revenue and margin. Because I think in the last two years the margins have kind of stabilized, but revenue has also been in the same range. So, just wanted to know how do we see FY26 going as well?

Dr. Gyanendra Shukla: I couldn't actually hear well, you know.

Darshil Jhaveri: Yes. So, I just wanted to ask in terms of FY26, how do we see our revenue and margins because the last two years have been around a similar range that we have been doing. So just wanted to get your thoughts on how do we see FY26 going as well.

Dr. Gyanendra Shukla: Right. So, I think let's address this segment by segment. I believe the seed will continue to improve from where we are. Our soil and plant health business will also continue to improve. We are adding a new portfolio in herbicide. That should improve. So, overall, export is the only business I would say and some of the CSM thing because things become very dynamic, 75% of the business which is domestic. I think we are covering all the bases very well now.

Darshil Jhaveri: Okay. So, any, like, maybe can we like grow at around 10% or any kind of a qualitative guidance you would like to give in terms of revenue growth that we are internally targeting? It can be a range also, anything that we are looking at, sir.

Dr. Gyanendra Shukla: So, I mean, one of the challenges, so I mean crop area remains same, right? Market grows with a combination of volume and price and so the only way we grow is price and selling more and getting markets there. I think our effort is to grow faster than industry average of 5 to 7% depending on the product and category. But because we are adding some of the new segments, I think that's where there should be significant traction coming to us.

Moderator: Thank you. The next question is from the line of Arjun from Kotak Mahindra Asset Management. Please go ahead.

Arjun: Thank you for taking my question. Sir, the first question is regarding the CAPEX. So, in terms of FY25, we had initially thought we would spend between 100 and 160 crore. Effectively, if one looks at our cash flow statement, we seem to have spent lower. So, any key projects that have been spilled over to FY26? And what is our outlook for capital expenditure in FY26?

Dr. Gyanendra Shukla: So, one is what you call sustenance CAPEX, which is regular maintenance, repair of plants and machinery. All of that continues. Besides that, there are two areas where we intend to invest monies. One is solar projects. Solar, you know, we were planning to do in our site in Dahaj. And the other one is we will continue to actually increase our spending and R&D capabilities.

Arjun: So, what would our outlook be for CAPEX in FY26?

Dr. Gyanendra Shukla: Outlook in 26? I don't think we have.

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Subhra Gourisaria: We don't have any major greenfield or brownfield investments planned, Arjun. So, a large part of it will be what Dr. Shukla just mentioned on solar power and R&D and sustenance CAPEX.

Arjun: So, that would be in the region of

generally Rs. 25 crore -50 crore?

Subhra Gourisaria: No, no, it would be around Rs. 100 crore. Rs. 75 crore to 100 crore.

Arjun: Okay, sure. The second question I had was regarding the MPP. So, where are we in terms of getting a new business for the same scaling up new projects, molecules, et

cetera? Could you comment on the pipeline and how do we look at potential profitability from this?

Dr. Gyanendra Shukla: So, I think MPP project is a long-term investment. Frankly speaking, if you see, same time last year we were having a conversation, working, having a conversation now. Market hasn't changed significantly dramatically. In fact, it has become further complicated with the tariff conversation going on. Having said that, we have started multiple new conversations because we have to reset the mathematics and assumptions we had agreed when we made the initial investment. So, a lot of new conversation and new relationships and new ideas are being explored. I am not in the position at this point of time to give you a specific.

Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, sir. So the new Metalaxyl product that we have launched for the domestic and the international market, can you share some comment on the registrations, where all have you received in the international market?

Dr. Gyanendra Shukla: So, I think, let me check.

Subhra Gourisaria: So, we have received in some markets. I think firstly we will start with domestic business. We will then prioritize all the frontier markets, and then we will go progressively to EU and other markets.

Siddharth Gadekar: And secondly, in terms of our export business, can you give a mix between formulations and technicals?

Dr. Gyanendra Shukla: Primarily it is technical.

Subhra Gourisaria: Yes, so we would have done around 15 to 20% in formulation this year.

Siddharth Gadekar: Okay, thank you.

Moderator: Thank you. The next question is from the line of Riju Dalui from Antique Stock Broking. Please go ahead.

Riju Dalui: Hello, thanks for the opportunity. So, just wanted to understand the tariff thing. So, I think our, like, we are procuring 50% or 60% kind of our RMs from China, and we do have export to U.S. So, how that is going to impact? Like, is it like, can we shift our supply chain to domestic market, like the product that we are exporting to US? And how that is going to happen?

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Dr. Gyanendra Shukla: So, I mean, at this point of time, we haven't seen any significant surge in raw material import prices. There are some minor adjustments, for example, few products might have become dollar and a half expensive. So, we haven't seen any significant surge in raw material prices. Ramping new products where availability has been a challenge, but they are not part of our portfolio. I think this is something very, very difficult to explain.

If I look at global scenario, all is happening that North America season had already started. So, my feeling is all the China supplies which are directed towards North America, they were already done before all this conversation has started. Now India also with the season starts in April, people start tying up for the contract early enough to supply on time for the Kharif season. I think it is happening at a time where there will be a lag effect and hopefully till then some consensus will be reached.

Riju Dalui: Understood. So, we can see some impact maybe in the Q2 like ...

Dr. Gyanendra Shukla: Towards later part of the Q2, which is more directed towards supplies to Rabi crops.

Riju Dalui: Understood. And in terms of, you know, other supply chain, right, so if China is not exporting to U.S. markets, then the technicals or the generic products will flow to the Indian market or maybe other Asian markets. So, how that can impact

our

international portfolio because we are mostly into the generic business and international portfolio?

Dr. Gyanendra Shukla: Right. So, I mean, not only us, majority of the Indian companies are in generic business, and none of them are discovery companies. I think the way we should see it is that if there is going to be a pressure on China, would they start dumping in the markets where they can sell because if they decide not to slow down their production and all, they can't export to U.S. My feeling is that the U.S. was largely covered before all of this has started, right? So, if that doesn't happen, what would China do? How we would react?

I think there is a lot of guesswork going on. At this point of time, it's very, very difficult to say how things will pan out. Worst case scenario, China starts dumping at a cheaper price in India, but I guess, is there a possibility? The answer is yes. But we haven't seen significant signs of that at this point of time. I think we are in a bit of a fluid situation. Everybody is waiting and watching. So are we. I think as far as Kharif is concerned, our inventory till June-July, I think we are in a comfortable situation. We will see how it moves further.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Thank you so much for taking the follow-up. So, just with regard to the comment you had made previously regarding some slightly positive impact on acephate because of the U.S. tariffs and then neutral on the others, just trying to understand whether the reason for that is your acephate might be subject to the tariffs whereas the other products are exempt from the U.S. tariffs, you know. Just sort of wanted to get your perspective on how the exemption situation stacks up for our key products.

Dr. Gyanendra Shukla: You are right. I think Pendimethalin and Metribuzin are in the exempt category and Acephate is not. I think that is one point, but we also have started selling a new
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formulation of Acephate, which is SG formulation and that has some traction in the Brazil, Latin America market.

Abhijit Akella: Okay. So, I mean, in the event that China turns more aggressive in Acephate outside of the U.S., that could be a bit of a risk factor.

Dr. Gyanendra Shukla: Yes, I mean, at this point of time, I mean, we don't see it, but see, I think you have to understand, I don't think people are making money on Acephate. Everybody is just trying to liquidate their inventory. And that's why I keep saying of the export thing at this point of time, unless you have B2B business in those markets, it's very, very difficult and bit low.

Abhijit Akella: Got it, sir. And if I may just also ask, at a slightly broader industry perspective, agrochemical industry, you know, moving, looking beyond just your product portfolio, are most of the products flowing into the U.S., you know, as imports, are most of those exempted under the new tariffs? That was my understanding, at least, but just wanted to speak to your perspective.

Dr. Gyanendra Shukla: Actually, lots of them are exempted. And then you have to understand, U.S. starts building their inventory right from October, November onward, right? Their consumption of, I mean, herbicide is the biggest segment there, 40%. Herbicide consumption takes place in the month of April and May. That means inventories were already there in their warehouses.

Abhijit Akella: Right. And we are not seeing any stoppage in Chinese exports to the U.S., right, because of the same exemption. I mean, I guess, since they are exempt, they should be able to continue to sell.

Dr. Gyanendra Shukla: So, I mean, because all these non-exempt, I mean, exempt categories anyway, I think things will continue.

Subhra Gourisaria: It's too early to form a view on it.

Abhijit Akella

a: Okay. Just one last thing, if I may. Just with regard to new product launches for fiscal 26 or any partnerships that you might have on the anvil, if you could please share any color on that.

Dr. Gyanendra Shukla: So, I think there are some new products in the seed category we are launching for particularly in cotton in South and Central. We will know by the end of the season how significant they could become. I hope they also become Diggaz. Right? Then we would be launching product in soil and plant health, some specific crop specific products. We have already launched a non-selective herbicide which actually goes around the year. Then we are launching an insecticide which is 9 (3), which as we speak, we are actually in the process of launching. So, these are significant products and that product I think cuts across crops and categories, the new insecticide we are launching.

Abhijit Akella: Okay. Will that come in Kharif for later in the year?

Dr. Gyanendra Shukla: No, as we speak, we are launching, Kharif.

Abhijit Akella: Okay, great. So, thank you so much and wish you all the best.

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Dr. Gyanendra Shukla: Thank you.

Moderator: Thank you. The next question is from the line of Viraj from SIMPL. Please go ahead.

Viraj: Yes, just three questions, and apologies if the question is repetitive. First is on the export piece of the business. Can you give some color, what kind of conversations you are having with your partners, existing or potential, given the kind of tariff situation we are seeing for Chinese exports to US? That is one.

Second is I think you did say that you have to see what kind of a strategy Chinese players are adopting into the dumping excess capacity in other markets, but wouldn't registration be a barrier for those products to be dumped to India? And if products are registered, then won't B2C players like us be beneficial given that you may probably get better terms in terms of raw material sourcing or payment terms? So, any color you can give on the conversations or the signs you are seeing in the market on these things?

Dr. Gyanendra Shukla: So, I think as we are talking, I don't have a lot of clarity. I don't think a lot of clarity around. So, I think everybody is keeping their fingers crossed, but business is moving. I don't think there has been a significant hue and cry in any market to say this product has become so expensive or not available because our spring season for Brazil is over, and America herbicides was not an issue and insecticides & fungicides will follow. I think agriculture is such a basic fundamental need, I do not see any radical changes expected from any government.

As far as China's strategy is concerned, I think China would continue to play an important role in my view. The kind of investment, the kind of factories they have put up, they are really world class. I am sure at some point of time, there is going to be a negotiation amongst countries to sort that out. I do not see this as a long-term thing. What I do see from a long-term perspective is that every country which has been importing from China, and it did start a little bit after COVID and there has been a kind of a price and volume war, I think would be looking at diversification of supply chain beyond China, right? And as far as the U.S. guidelines are concerned, if you see it says, for U.S. to consider value addition, a reaction must take place. Right? That means, so if China you bring technical and formulate it and sell it, that is not considered as a value addition by US. US is saying if you bring, so if you are making technical, you should bring in a form which is different from technical. That means one reaction has to take place. So, I would say it is very, very conversational. I think something positive will only emerge. That much I can tell you.

Viraj: And in terms of the Indian

market for the B2C business, you see an environment where pricing pressure can continue, or you think it's more of a beneficial play for a B2C brand playing like us?

Dr. Gyanendra Shukla: I think it depends on the product you have, the category you operate, but by and large, I think companies have suffered a lot. I think everybody would like to see normalcy. And I think given the forecast for the monsoon is normal, commodity prices by and large okay, there should be a robust demand unless something comes out which is not known to us.

Viraj: Okay, thank you very much.

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Dr. Gyanendra Shukla: I am very clear, till the time clarity emerges from all the places, my focus is going to really continue to drive domestic because brands are more sustainable.

Viraj: Got it. Wish you good luck.

Dr. Gyanendra Shukla: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I now hand the conference over to the management for closing comments.

Dr. Gyanendra Shukla: Go ahead. So, thank you everybody for joining. All I can say, agrochemical export demand has seen a recovery. We are carefully calibrating our approach and amid ongoing U.S. tariffs and bilateral negotiations, we will try to improve both volume growth and margin in a tough environment. As I said, seed business prospect is positive, especially that is designed for our new launch hybrids. North cotton hybrid continues to see good momentum with more than a million packets already sold. Domestic agrochemical demand is positive in terms of normal rainfall for the 2025 monsoon. Our endeavor would be to improve market share across vertical and to operate efficiently while building on recently taken steps. We will try to maintain EBITDA margin in the short-term or long-term actions on improving business in the right direction. And I remain very positive about driving competitive, profitable and sustainable growth to create value for all the stakeholders. Thank you very much.

Moderator: Thank you. On behalf of Rallis India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

July 21, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra- Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS
Dear Sir /Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the first quarter ended June 30, 2025

Further to our letter dated July 7, 2025 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the first quarter ended June 30, 2025 held on Tuesday , July 15, 2025.

The same is also being made available on the Company's website at:
[https://www.rallis.com/investors/Financial -Performance](https://www.rallis.com/investors/Financial-Performance)

You are requested to take the same on record.

Thanking you,

Yours faithfully,
For Rallis India Limited

Sariga P Gokul
Company Secretary & Compliance officer

Encl: As above
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Rallis India Limited
Q1 FY '26 Earnings Conference Call
July 15, 2025

MANAGEMENT : DR. GYANENDRA SHUKLA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MS. SUBHRA GOURISARIA – CHIEF FINANCIAL
OFFICER

Rallis India Limited
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Moderator: Ladies and gentlemen, good morning, and welcome to the Rallis India Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

Ladies and gentlemen, we have with us today Dr. Gyanendra Shukla, Managing Director and CEO; and Ms. Subhra Gourisaria, Chief Financial Officer. Before we begin, I would like to

mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation. I now invite Dr. Gyanendra Shukla to begin the proceedings of the call. Thank you, and over to you, sir.

Gyanendra Shukla: Thanks. Good morning, everyone, and thank you for joining us today on our quarter 1 fiscal year '26 earnings call. As mentioned, I have got alongside with me, Ms. Subhra Gourisaria, our CFO. Let me begin the discussions by getting into industry landscape initially, post which I will discuss Rallis' specific developments.

The global agrochemical market is showing early sign of recovery after 2 challenging years of degrowth since 2023. Inventory levels have normalized and the sharp decline in prices, particularly for generic products has largely come to a halt. While recovery is progressing at a slower pace in Latin America, APAC and Africa, these regions are gradually stabilizing. The shift reflects a broader improvement in global demand dynamics and potential turning point for the industry.

In India, market segment sentiments are improving on the back of early and broadly favorable monsoon, high reservoir level and supporting crop MSPs. The estimated crop production for '24-'25 stands at 354 million metric tons. That is a 6% increase over previous year. Acres also has expanded across key crops in crops like paddy went up by 7%, soybean, 4.5%, groundnut 51%, pulses 12.6% and coarse cereals about 17%.

Field reports indicate a shift in cotton sowing patterns driven by better price realization through the issue of illegal RRB T cotton, though the issue of illegal RRBT cotton remains with low carryover stocks opening a space for inventory replacement and the possibility of modest price increases. The Indian agrochemical market holds a cautiously optimistic outlook.

Coming to Rallis' specific developments. We had a robust Q1 performance on the back of strong volume growth and double-digit growth across businesses. Our revenue stood at INR 957 crores, 20% up over previous year and profit after tax at INR 95 crores versus INR 48 crores of previous year. Both the Crop Care and Seed business showed a strong performance and are up 16% and 38%, respectively, over previous year. We witnessed double-digit volume-led growth of 13% in Crop Care, 23% Crop Care and B2B businesses.

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EBITDA for the quarter stood at INR 150 crores. It is higher by about 57% compared to the same quarter last year. And PAT for the quarter stood at INR 95 crores compared to the INR 48 crores reported during Q1 fiscal year '25.

Getting more specific about the individual businesses, starting with domestic Crop Care business, Crop prices are relatively better, particularly in crops like bajra, maize, oilseed, cotton and millets, alongside broadly favorable monsoon is the primary growth driver for the business. Input prices were relatively stable during the quarter, which in turn resulted in better margin for the business.

In terms of product categories, I had been indicating herbicide is one area which is growing faster,

driven by the labor dynamics in the country and has performed well for us. As per our strategy, we have been strengthening the herbicide portfolio.

During this quarter, we have launched 6 products in the herbicide category, namely 'Allato', it's a paddy herbicide, 'Penflor' again is a paddy herbicide and 'Deweed' which is a non-selective herbicide amongst them. Our new products 'Dodrio', which is a fungicide for paddy sheath blight and 'Master Gold', which is fungicide for grapes and 'Fiplam', which is an insecticide for cotton, will fill in the portfolio gaps. During the quarter, we have launched 9 products in the Crop Protection B2C business.

The Soil and Plant Health business is up by 33%, in line with our strategy. As mentioned earlier, SPH business continues to be our strong pillar for long-term growth, and we will continue to invest in this segment.

Our strategy is focused on driving growth by placing greater emphasis on developing differentiated products. Also, we are steadily enhancing our front-end capabilities with customer centricity at the core. At the same time, we are working towards building a more connected and agile organization by leveraging digital and artificial intelligence initiatives. These technologies will enable us to scale efficiently and strengthen our engagement with both customers and farmers, bringing us closer to their evolving needs.

Talking about Crop Care B2B business, revenues stood at INR 203 crores, of which Export is higher by 75% compared to the similar period last year. We have grown in volume mainly from Metribuzin, Thiophanate-methyl, and Metalaxyl and Hexaconazole. Our CSM business was impacted by phasing, but it is on track for the full year.

In terms of our key product, Acephate continues to face challenges in Brazil and U.S.

Pendimethalin operated at a low capacity, but we are confident on the long-term prospects of the technical. Metribuzin and Hexaconazole exhibited steady traction in the U.S. and Southeast Asian markets, respectively. Our B2B segment is focused on accelerating long-term growth through building, strengthening global customer partnerships, focusing on key markets, including U.S.A., Brazil and Japan and expanding our product portfolio that includes CSM formulations.

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We have made encouraging progress in initiating new relations with global majors of some of our technical products and our contract manufacturing segment. We are also actively working on expanding formulation partnership with international players to strengthen and diversify our portfolio. These efforts are aimed at building long-term resilience and enhancing our strategic positioning.

Specific initiatives are underway to drive growth, both by onboarding new customers and by deepening engagement with existing ones. These actions are expected to significantly improve capacity utilization in our state-of-art manufacturing facility in Dahej chemical zone. We're confident that this business will deliver meaningful contribution to both our top line and bottom line in the coming years. That summarizes our updates on the chemical front.

Talking about seed business now, revenue has significantly jumped by 38% to INR 305 crores versus Q1 of previous year despite the reduced cotton acreage in RRB T cotton expansion, our Diggaz North Cotton has done very well. However, we have challenges in maize and paddy due to supply constraints. Our 'seed say', which is based on AI & ML, forecasting abilities is helping with optimal placement in the market in terms of a long-term strategy for the business. We're on the right path, sharpened portfolio choices and driving sustainability profitability with measures being taken across value chain.

In conclusion, I think the near-term outlook for business driven by better farmer sentiments and positive demand

for both domestic and export markets. Liquidation trends need to be watched across both crop and seed segment. We are confident and optimistic about the overall growth prospects in the medium to long term.

That concludes my opening remarks. Now I'll hand it over to Subhra, our CFO, for a detailed analysis of the financials. Subhra, over to you.

Subhra Gourisaria: Good morning, everyone. I'll walk you through the financials. And after that, we can start the Q&A session. Our revenue stood at INR 957 crores as against INR 783 crores for the same period last year with PAT INR 95 crores versus INR 48 crores for the previous year. Importantly, the growth was led by robust volume growth across the businesses. EBITDA for the quarter stood at INR150 crores against INR96 crores for the same period last year.

In terms of Crop Care B2C business, it had a good growth of 13%, whereas SPH business is up 33%. Our trade inventory has also been satisfactory during the quarter. We believe sentiments have improved with broadly favorable monsoon and better crop prices.

Moving on to exports business. Demand recovery has improved. Price fall has largely stabilized and an early price recovery is also seen in some products, evolving on expanding our customer base and product portfolio to build a more resilient business. As far as seeds business is concerned, our revenue was INR 305 crores with 38% growth over previous year.

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We made calibrated placements considering the inventory level. And I'm hopeful that the liquidation trends will be favorable. Our efforts continue to be directed towards driving focused execution, both at the front and the back end. This includes portfolio optimization and looking at driving cost efficiencies and simplification across the value chain.

As mentioned by Dr. Shukla, we launched 9 products in Crop Care B2C and 14 in seeds. The reorganization has been completed for S&M teams for Crop Care B2C, B2B and seeds business.

This is expected to enhance operational agility with revised business processes. We'll continue to be relentless on improving working capital efficiencies, both for fixed and working capital. We do have a very healthy cash and bank balance as of 30th June as well and continue to have no external debt borrowings.

Also very prudent in capex investment and envisage our expense -- total capex investment would be in the range of INR 100 crores, mostly related to plant upkeep and maintenance, R&D and captive solar plant. In summary, we are implementing various initiatives in our drive towards achieving consistent, competitive and profitable growth. That concludes the opening remarks.

We can now start the Q&A session.

Gyanendra Shukla: So before we start Q&A, I think some of you would have also heard about the news. Subhra, right, because all of you probably -- many of you have been connected with her. She is moving on for a larger responsibility in another group company, right? She has been of a great service to Rallis India, done fantastic job of overall managing business strategy as well as financials of the company.

So I want to put on the record now all the appreciation for all what she has done. I think she's been a fantastic person, great business partner to me. But we're going to miss her services here. It doesn't mean she's going away. She's just 20 minutes away from the place I sit, so I'll continue to reach out to her for her advice on the strategic matters.

So thank you, Subhra, for all your great work you have done. I wish you all the best. You move on to a larger company within the group. So that's a testament of your abilities and recognition by the group of your capabilities. So thank you for all what you did for us.

Subhra Gourisaria: Thank you.

Gyanendra Shukla: So we can move on to Q&A now.

Moderator: Thank you. We take the first question

from the line of Rahul Singh Bhadoria from Elara Capital.

Please go ahead.

Prashant: This is Prashant from Elara Securities. Congratulations on good set of numbers and congratulations to Subhra ma'am as well for your new role. So my first question is how much is the top line from the 9 new Crop Protection products and 14 new seed products that we have introduced. Am I audible?

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Subhra Gourisaria: You have another question as well?

Prashant: Yes. The next question is to Mr. Shukla. Sir, how has the cost structure altered now since the time you have taken over the reigns? I mean, for example, how much was the fixed cost earlier as a percent of total cost and how much is it now and same for variable costs also?

Gyanendra Shukla: Okay. Do we take one by one or we answer both.

Prashant: One by one would be better.

Gyanendra Shukla: Yes, go ahead. The first question is to you. Contribution from new products -- 9 new products we have.

Subhra Gourisaria: So these products have got recently launched, and I don't think we can give you a precise number.

Having said that, Prashant, for cotton, I think you are aware that we had some gaps in the Southwest market and we've launched new products. And I would say that most of these products are showing good traction, including the production plan that we have for the subsequent year. If you look at it as ITI, it actually measures that whether it's moving in the right direction in terms of revenue from the new launches.

Gyanendra Shukla: So I think one other thing I would like to additionally comment is that look, these are launches for Kharif. Season has just begun. What we're trying to communicate is that look, we said herbicides, fungicide and insecticide and new seeds are important.

And we have launched out of 9 products in Crop Protection, 3 are herbicides, 2 are fungicides and 1 is insecticides. So we are covering broader spectrum of portfolio. All of you may remember that we did talk about doing some strategy work with one of the big 4 agencies. And this is all execution part of that strategy to say how do we bring new products. And how do we phase out old product and how do we then it start doing up.

So I think this conversation will be good probably in the month of October, when we have a half yearly result what has been the volume where we had positioned, what has been customer experience from these products.

Prashant: Sure. And sir, on the cost structure part?

Subhra Gourisaria: So cost structure, again, Prashant, I think -- so what we are talking about is I probably take the fixed cost conversation first. So fixed cost, our endeavor would be you invest in the right places.

And I think we covered some of the digital investments we are doing, how are we looking at the span of control and driving efficiency.

So we have indeed looked into new sales team, the various levels that we had and collapsed some of them, but we are also going to make investments wherever required. I think on an overall basis, we look at how do we probably operate at minimal increase over the fixed cost base so that we start getting operational efficiencies through scale.

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In terms of variable costs, I think, again, it's a question of while the plants -- when the plants

start getting fully utilized, a lot of efficiencies start coming in because while the variable cost in terms of utility, power and even to some extent, contr actual manpower, you start seeing scale-related efficiency. So I think our bigger focus will be on how do you drive growth, which will ultimately help in reducing both fixed and variable costs.

Prashant : Ma'am efforts you have highlighted earlier also, I just wanted to get a sense on how much savings or whatever target we had set out for how much have we achieved on that?

Subhra Gourisar

ia: So there's a different way that we look in management information. I can say the numbers are lower in terms of -- they started showing it lower on a Y -o-Y basis, which is where you've seen the margins improving far more than gross margin. And we are ahead of our internal targets, I can say.

Prashant : Okay. And the road we had set out for how much have we achieved on that? I know it's a recurring thing every year, but whatever target we had set out for how much have we achieved on that?

Subhra Gourisaria: So we don't have a target per se to say that -- we have not gone to the market to say what is the target because this number will keep moving depending on the investments we are making. But as I said, we are in line with our target.

Prashant: Sure. Thank you so much for your time.

Moderator: Thank you. Th e next question comes from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and c ongrats on a very strong set of numbers and congratulations

Subhra ma'am for a new role. The first question is on cotton, our Diggaz hybrid, which probably has performed extremely well during the season. About 4 years back, I think we had some 20,000 packets and probably we must be touching a couple of million now.

If you could throw that number? And second thing, historically, we have seen that in a period of, say, 3 to 4 years, usually the sales peak out unless until we have a product to replace the existing product, there could be a possibility of stagnation and t hen decline. So what are your thoughts on this?

Subhra Gourisaria: So I think, Rohit, you are right we have placed more than 1 million packets. And I think we are hopeful that the liquidation will be near -- or our sales return will be near zero in terms of the -- in line with the earlier years. We have also developed fol low-on hybrids to Diggaz. And while we don't talk about it, many of them have also started showing good improvement.

So in fact, this year, probably we'll take one of the highest production for cotton. So I don't think that there's any concern as of now, at least for the next 2 to 3 years.

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Rohit Nagraj: Sure. That is helpful. Second question on the exports business. So domestic we have done well. Exports also, we have done well. But is it because of the lower base of last year when the exports market was impacted because of the inventory destocking issue. And the export number probably will still -- we need to watch out for incrementally given that China still is a strong player in the global system. So ju st your perspective on this one?

Gyanendra Shukla: See, on export, look nobody knows how this tariff and everything will evolve. So let's keep that question for later stage when all these tariffs are settled. I would say tariff situation has been positive for some product, negative for some products. But o verall, it is stable. Now the general -- anybody who is in the export business generally would have benefited from -- we have been talking about inventory levels reducing and all. But in our case, it is a combination of recovery in the market as well as addition of new customers.

Subhra Gourisaria: Plus a few of our products, there's also been some early purchases which has happened, which may impact Q2 revenue.

Rohit Nagraj: Sure. That is helpful. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Vishal Dudhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala: Good morning and thank you for the opportunity. I have two quick questions. First, given the early volume and strong product placement, how are channel inventories looking specifically for herbicides and seed products? Are secondary sales keeping up or do you see any risk stock building up in cotton?

Gyanendra Shukla: So I can take this question

section by section. So cotton this year has been a soft year for North and there has been, again, a spurt in what we call illegal HTB T cotton in central part of India, particularly Maharashtra. And cotton crop also is significantly down compared to last year. But given that we had a limited inventory, I do not see much risk in cotton.

We also had a little bit of shortage of rice and maize because of the processing challenges every company had to face in the month of April and May. So at this point of time on seed, I do not

see a large risk. Herbicide season will extend from -- so far, it is pre-emergence. Now it's getting into early post.

A lot of crop is still getting planted, I think, all the way through July and crop getting planted.

So at this point of time, we have tried to factor in a lot of risk related to seed and herbicides.

Now fungicide and insecticide is something you place in the market. And this year, because monsoon came early, there was also a request from the trader need to place.

So we have also placed the product. I think here on, a lot will depend on how insect, pest and disease pressure builds up. So too difficult to say. But yes, given that commodity prices, by and large, for most of the crops are good, rains are good. We would certainly need some rain-free period for the farmers to spray.

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I think it has been too wet sometimes. Rain never comes in what we call custom order. So I mean those are the things we don't control. I think that's part of the business we are in and we try to factor in as much as possible those things.

Vishal Dudhwala: Got your point. And the second one is on the digitalization. How tools like Plan Guru or real-time analytics help improve monsoon demand forecasting?

Gyanendra Shukla: So I think these tools are built -- so their ability to forecast builds on over a period of time when you start building the data. Most of these tools are in what we call second to third year of their introduction. So first year, it was a trial and now they are all being implemented. We certainly see value.

At the same time, we also see some -- as we learn new things, we will go on improving these tools. I have a long-term belief in these tools. We'll continue to invest. So they certainly help.

Gyanendra Shukla: And they take some human bias out of decision-making.

Subhra Gourisaria: If I may add, in terms of Plan Guru, it's going to help us in SKU level forecasting. And I think we have spoken in the previous calls about splitting the portfolio into A, B, C. So we're looking at how do we dynamically manage stocks by using -- this is an SAP-based tool. So we are going to extensively use it to do portfolio segmentation and decide the right stocking strategies.

Moderator: Thank you. The next question comes from the line of S. Ramesh from Nirmal Bang Equities Private Limited. Please go ahead.

S. Ramesh: Thank you very much and congratulations and wish Subhra all the best for a new assignment.

So if you look at your seeds performance that has been a key driver in this quarter and the margins are also led by the seed business. So -- and you already achieved EBITDA, which is much higher than last year's full year EBITDA.

So where do you see the overall relative share of seeds and Crop Care over the next three quarters in terms of the impact on margins? And how do we read the long-term big picture, say, over the next 2 to 3 years in terms of seed business? Are we seeing this kind of turnaround to give you a little more stability in terms of the earnings over the four quarters or will we continue to see the trend kind of sag after the first quarter? How do you see that?

Gyanendra Shukla: So I think let me address long term first. I think we have very clearly articulated our long-term strategy about three segments and using our existing assets to sweat them out and also co

ntinue

to not only domestic, also continue to expand global customer base so that we can also take advantage of the assets we have got. So the strategy doesn't change. We are going to pivot on customer centricity and we are building tools.

As we speak, we have to keep testing new ideas so that whatever we launch on a larger scale is acceptable to the customer. I think all our businesses are of scale and all of them require a minimum cost. I think from here on what I see, it's very, very difficult to say which will go up

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and which will go down, but all three are very, very important for agriculture, the portfolio in soil and plant health, seed as well as crop protection.

Now all of them will not have the same trajectory. Some will do better than our expectation, some may not do better than our expectation, but our overall strategy remains to start growing our revenue in double digit. And if we achieve that, I think we'll start getting into a situation that our operating leverage becomes very, very important.

We are able to add higher share of incremental revenue to the bottom line. That's how I see it.

These percentages are really ambitious goal. Yes, I do aspire and I keep talking about it, I want to grow high double digit and that's where we're putting all our resources. But a lot depends on how things pan out.

S. Ramesh: Yes. So just one more thought on your FY '26 outlook. So when do you see the gross margins actually showing you Y-o-Y improvement because this quarter, you have seen the operating leverage help you in terms of EBITDA margin improvement. So when do you see the gross margins improve on a sustainable basis?

And secondly, on cotton, structurally, there are some challenges, which is actually hampering the cotton acreages. So how do you see that impacting the long-term growth in cotton, crop protection, chemicals and the seed business?

Gyanendra Shukla: So I think the important thing to understand is, yes, I think if you say next 2, 3 years, cotton is going to be very, very important, but we are developing a robust pipeline in case of other three important crops for us, which is rice, bajra and maize. Some of those products are being introduced this year, maybe at the end of the season, I can give you some idea in terms of what is likely to get a better trajectory and what is not likely to get.

But yes, for coming 2 to 3 years, the cotton is going to be a significant contributor. Cotton has challenges, but cotton is grown on 12 million hectare. Out of that, earlier, I mean, now people are saying in Maharashtra, 25% of the cotton has become illegal BT cotton. So out of that, you take out 20%, about 1 million.

I think -- so I always say out of 12 million hectare, you leave 20%, 25% area out. So we have to develop a product for the balance of the market, compete hard. And as and when government approves new technology, we transition to new technology.

S. Ramesh: And on the outlook for gross margins, how do you read that?

Gyanendra Shukla: See, gross margin depends on the product mix. So we have a plan. Our aim is to, if not better, at least maintain the level of gross margin we have been delivering because the new products we are launching, some of them will give us higher margin, but the turnover has to change. Will it make material change this year? We will see. But obviously, the whole effort is to improve profitability at the gross margin level itself.

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Subhra Gourisaria: Yes. Focus will be more on operating margin because I think the business needs to start growing in terms of scale so that we are able to absorb the fixed cost. While gross margin will be influenced, as Dr. Shukla said, one by the product mix and also by the segment mix, depending on exports grow, seeds grow and B2C business grow because each of them are a

different business model.

Moderator: Thank you. The next question comes from the line of from Mr. Abu, Individual Investor. Please go ahead.

Abu: Thank you, sir. Sir, can you provide an update on the current demand trends for acephate?

Gyanendra Shukla: So acephate demand, I think, is more or less fixed. It primarily gets used in Brazil, U.S. and now India. These are the 3 key markets. Now we have seen some revival of acephate, but we are yet to see significant margin improvement on acephate because it all goes to Brazil, U.S. and all.

And I think while volumes are there, and we also have started using our plant and exporting.

We are also a waiting registration of a new formulation, which is a dispersible granule. And I think once that happens, we will start seeing not only higher volume and margin improvement. At this point of time, I can say it is better than last year.

Abu: All right, sir. So how do you see the medium to long-term outlook for acephate, sir?

Gyanendra Shukla: See, I think when I look at long-term forecast, So acephate is a great product for us because we have approvals and we have customer base. The way I see role of acephate in Rallis India is, one, our domestic business, this product remains a very, very important product. Secondly, we have customer relationship, which has started with acephate across the countries, particularly in Americas. And our opportunity is to really continue to add new products in those relationships and reduce our reliance on acephate.

Moderator: Thank you. The next question comes from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Thank you and good morning. Would it be possible to share a breakdown of the Crop Care revenues between the domestic business and exports, please?

Subhra Gourisaria: So this quarter, we did B2C INR449 crores and INR203 crores for B2B business.

Abhijit Akella: Okay. Sorry. So INR449 crores is total domestic or just the B2C product?

Subhra Gourisaria: Total B2C. We now call it B2C, including soil and plant health, domestic and crop protection.

Gyanendra Shukla: So it's about 13% growth over last year.

Abhijit Akella: Okay. Yes. And just the export number, please, how much would that be? I believe last year, it was INR132 crores in 1Q.

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Subhra Gourisaria: It was not INR132 crores. It was more than that. But this year, the number is INR203 crores. And here, we count exports, domestic. So we call it B2B now. So it is including of domestic and institutional sales, contract manufacturing and exports business.

Abhijit Akella: Okay. And this is up 23%, year-on-year?

Gyanendra Shukla: Yes. So if I can give you a further breakup, our domestic institutional business has also grown and including export, we have some CSM orders, which probably will get executed later on.

Abhijit Akella: Okay. Thank you. And within the seed business growth that we've seen, 38%, how much of it would have been driven by cotton versus the rest of the portfolio?

Gyanendra Shukla: So cotton, I would say, is a large contributor, followed by paddy and maize. We also have entered into another category called research rice, and that also has contributed, though on a smaller scale went from INR5 crores has gone about INR10 crores. But that's another category we think in future, we'll be able to grow. There has been -- I would say, bajra availability has been less.

We had a quality issue and bajra might be marginally down.

Now these are current estimates. We still have to reconcile returns and everything else. That's why I keep a look at the number in October because by then, at least return adjustments have taken place.

Abhijit Akella: Sure, sure. And just finally on the breakdown between volumes and prices, if it's possible to share some color for both the domestic and the export pieces.

Subhra

Gourisaria: So I think I mentioned that the volume growth is quite robust across most of the businesses. Abhijit, it will be difficult to give a specific split. But as I said, the growth is driven by volume, especially in seeds, we have had 20% plus volume growth.

Gyanendra Shukla: So if you really look at the broad categories, the way I see it, I think we have given you a split of domestic, Crop Care and export. Now in terms of percentage on a smaller base, export has grown more than domestic. But domestic has a higher base, and I said has grown 13%. And seed, obviously, is a good growth, but a couple of it -- a lot of it is also early planting and everything else. Some of these things do moderate as we move to quarter 2.

Abhijit Akella: But at least year-on-year erosion in prices has kind of been arrested now, right? The prices are not declining anymore year-on-year.

Gyanendra Shukla: By and large, I would say.

Subhra Gourisaria: In fact, year-on-year, we have had a cost shift. So year-on-year, some of the pockets, the rates have gone up.

Moderator: Thank you. The next question comes from the line of Saurabh Jain from HSBC. Please go ahead.

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Saurabh Jain: Sure. So wanted to know your views around the recent news flow, which is suggesting there is some sort of shortage on the specialty fertilizer side from China. I wanted to understand have you benefited from this in the quarter that has gone by? And any of these shortages from China, how does it change your strategy? What kind of expectation you will have from this segment in the future?

Gyanendra Shukla: So I think what we are referring here is more of a bulk fertilizer. We are not into bulk fertilizer. In fact, our business is more beyond bulk fertilizer. There are multiple segments there. But yes, so that crop nutrition area is currently in the media. At this point of time, I do not see any significant shortages. I think government must have carried forward some inventory and some of it is also getting produced particularly urea domestically. But by and large, I haven't seen a lot of media news on the shortages and all.

Saurabh Jain: No, I thought there was also some news flow suggesting water soluble fertilizers and that segment is also getting impacted. So I was just curious to know your standalone on there.

Gyanendra Shukla: See, at this point of time, I haven't -- I mean, I think our water soluble fertilizer business also has started very recently. So volumes are less. Not at this point of time. In fact, when bulk fertilizer becomes challenging, that's an opportunity for water soluble fertilizers to grow because they're required in lesser amount per unit area.

Saurabh Jain: Sure. That is helpful. The other question I had, can you throw some more light on your progress on the CSM business in particular? Some more understanding on that business will be very useful to us.

Gyanendra Shukla: So CSM business is a long-term business where you keep cultivating new customers and -- so I think at this point of time, because of the confidentiality reason, we cannot give you a specific detail. Some of the things we talked about in the past, and we continue to work with those customers. A lot of it is related to how their registration progresses. I keep saying that we haven't still cracked a INR500 crore manufacturing opportunity yet.

Saurabh Jain: Okay. Sure. Do you have any targets in mind when you think about this business, what percentage of revenue this could form in 3 years or anything?

Gyanendra Shukla: I think that is the most difficult one to predict because a lot of these conversations happen, and there's also a change in market dynamics. So very difficult to divulge any detail at this point of time.

Saurabh Jain: Sure. But your conversations, are they more around the patented kind of products .

Gyanendra Shukla: CSM could be a

combination of patent and un- patent as well, could also be around formulation for some of the multinationals. So it's always a mix.

Moderator: Thank you. The next question comes from the line of Manish Shah, who is an Individual Investor. Please go ahead.

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Manish Shah: Thank you for the opportunity, sir. Sir, my question was regarding the exports. The figure was INR203 crores. What was the figure last year?

Gyanendra Shukla: If you compare base, it was about INR160 crores, INR165 crores, yes.

Manish Shah: And quarter -on-quarter, sir?

Gyanendra Shukla: I've given you quarter -on-quarter only. INR165 crores.

Manish Shah: Preceding quarter.

Subhra Gourisaria: Yes, yes. So we had -- we said INR200 crores broadly, which was INR160 crores of the previous year.

Manish Shah: No, I'm telling Jan to March quarter, ma'am.

Gyanendra Shukla: What was the number for Jan to March quarter?

Subhra Gourisaria: Jan to March was INR182 crores.

Manish Shah: And the pricing has increased, ma'am from Jan to March quarter from -- in this quarter?

Subhra Gourisaria: So year -on-year, it has increased. We have not seen it quarter -to-quarter, but yes, some of the technicals are showing an uptick.

Moderator: Thank you. The next question comes from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: Yes, hi. Thanks for the opportunity. Sir, is it possible to quantify the CSM business contribution for full year or maybe for quarter last year?

Subhra Gourisaria: For confidential reasons Bhavya , we have limited customer base and revealing the number will reveal their numbers. So we'll not be able to give those.

Bhavya Gandhi: Okay. On the business model of CSM, is it like cost plus margin? Or how is it like if you can throw some light on that front as well?

Subhra Gourisaria: So it varies. In most cases, its margins are protected, but the business model varies depending on customer to customer.

Bhavya Gandhi: Okay. At least can you share the geography of the customers? Are these Indian customers, Japanese customers, whom are we targeting, at least some broad level guidance, if you can?

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Subhra Gourisaria: So two of the key technicals which we anyway speak about. One is in Japan, one is the U.S. - based customer. At the same time, we have Indian customers with whom we are working. We also have a few more partnerships even with big MNCs in the pipeline.

Bhavya Gandhi: Okay. Fair enough. And what would be the revenue potential of the 9 products that we've launched? I mean what is the broad target that we are setting up for these new product launches?

And are they better margin products compared to the existing product basket? And what would be the margin differential compared to the existing products?

I understand that you mentioned about 15% ITI, but purely from the new 9 products that you've launched, what would be the revenue target that you're looking for?

Gyanendra Shukla: So I think maybe today is not the right time to give you all the details. I guess a lot of it is calibrated. So we said all the products, quite a few of them are herbicides, 2 fungicides and 1 insecticide. All of them are into broad categories with multiple users in multiple crops. So I think the other thing is that we also have to start working on each of these products . Some products are specific to rice. So they only go to rice. But fungicide and insecticide can go on multiple crops.

So I think we are introducing them now. Let's have this conversation in the month of October.

At that point of time, we'll be able to give more color on this because they are supposed to be a large contributor with higher margin because they're all mixture product.

Bhavya Gandhi: What would be the margin differential compared to

o the company level margins, if you can provide something on that front?

Gyanendra Shukla: Let's wait till October.

Bhavya Gandhi: And just one last thing. I mean, what could be the long-term steady -state EBITDA margin guidance, if you can provide? Because I think on cost front, you've done phenomenal cost optimization and all. Now it's largely on the gross margin and product mix. So if you can just provide some numbers, steady -state EBITDA margin on a long -term basis?

Gyanendra Shukla: So see, long term, what we have been saying is that we wanted to come to 500 basis point steady improvement from where we were, right? Now obviously, quarters and quarters will change.

But directionally, we would like to operate in the range of 15% to 20% EBITDA margin over a period of time.

Moderator: Thank you. The next question comes from the line of Chintan Modi from Haitong Securities.

Please go ahead.

Chintan Modi : Yes, hi. Thank you for the opportunity. Sir, my question is with respect to gross margins. This quarter, we have seen almost comparing to the historical trend, there is almost 200 basis points of decline. And considering that we had a good mix also of seeds business, which is typically a

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high-margin business. Could you explain what was the reason for that? And how should we see that going ahead?

Subhra Gourisaria: So one obviously, positive is what you touched upon seeds. The negative was B2B business. So exports in terms of gross margin is lower. And hence, I think and within the segment itself, there would be some negatives, for instance, cotton within seeds mix, lower margin compared to the overall portfolio.

And secondly, I think what we look at is not necessarily gross margin internally. We look at gross contribution. So apart from raw material, there are various other costs, including power, labor. We look at gross contribution at that level. And for us, the gross contribution is on the right track.

Chintan Modi: Understood. So it was largely a function of mix, you would say, rather than any other raw material cost increase. Okay. Coming to the employee cost, that was also quite well maintained despite the growth in the revenue. So you think that this current base of employees and the cost structure that we have broadly will continue for the full year and will be able to deliver a similar kind of trend in growth?

Subhra Gourisaria: So to answer your larger question, I would say that it will be in the similar direction, but I think we'll also make investments in a few of the areas. So a few special talent, a few senior talent will continue to get recruited. I think employee cost, you can say, will be in a similar direction, but not necessarily you can do Q1 multiplied by 4 and arrive at a number.

Chintan Modi: Okay. Third question is slightly from a longer -term perspective. Now we are into multiple businesses like seeds, we have B2B where -- we have exports also domestic also slightly and B2C where we have the conventional agrochemicals plus the soil and health. Now I wanted to understand like, let's say, from a next 3 to 5 year perspective, which according to you is most lucrative and where you can see a lot of opportunity playing out, where we have kind of more competitive advantage compared to the peers?

Gyanendra Shukla: So obviously, structurally, you see all 3 businesses have a very different margin profile on a gross basis. So seed tends to be, depending on which crop you are, tends to be more high margin, gross margin business, followed by, I would say, soil and plant health portfolio. But in soil plant health portfolio also, if you start relying more on the bulk fertilizer our margins drop followed by crop protection.

Now within crop protection also, if you have a unique mixture of patented product, you can make more money. If you're in a generic category, if you make te

chnical, you make more money. If you don't make technical, you make less money. So it's always a blend.

My feeling is that the way we are looking at, we are looking at, say, farmers -- so if there's a paddy farmer say in some districts of UP, am I able to supply them all what they need from crop nutrition perspective, seed perspective as well as crop protection perspective.

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As a result, you are able to actually optimize mix of your revenue and mix of profit. That's how we are approaching and that's what we call customer centricity, how do we get very focused, how do we increase our frequency of interaction with the customer so that we are able to take more share of the needs of the farmer.

Chintan Modi: Let's say, from a landscape perspective in India, agri typically has been growing, I mean, at a

slow pace only. I mean the changes doesn't come much rapid. But are you observing considering the recent ministry level changes and some aggression coming in like this year, we are seeing the number of reservoirs have also gone up.

You think that over next 3 to 5 years, there could be a drastic improvement in terms of the underlying in terms of agriculture, the trend changing and which can kind of benefit the agrochemical companies?

Gyanendra Shukla: Yes. So water is a very, very important element of agriculture. So every time there's irrigation potential, farmers will plant the crop and they tend to use more input because the possibility of getting a higher harvest goes up. Having said that while reservoirs are getting added, we also lose some inefficiency if they're not de-silted.

So I think overall, we need to see what is the net capacity of irrigation getting added every year, including all kind of methods being tried with the government, right from micro irrigation to macro irrigation. Yes, irrigation has a positive impact. But at the same time, we have to see at the net level because some of our existing irrigation project also become inefficient over a period of time. So yes and no, both.

Moderator: We take the next question from the line of S Ramesh from Nirmal Bang Equities Private Limited.

S. Ramesh: So in terms of your target for ROCE and ROE, when do you see that showing material improvement? And if you look at the current year, if you maintain the current trend in top line growth, there will be an increase in working capital. So on that higher working capital, would you be able to show an improvement in ROCE this year? What is the thought there?

Subhra Gourisaria: So ROCE is driven by 2 factors, right? One is your margins and secondly is your capital prudence. So I think Dr. Shukla mentioned that we will strive to achieve 500 bps improvement in margins. As far as capital is concerned, there will be certainly investment in working capital to support growth.

But you would have seen our days on hand has come down. Actually, the balance sheet is not released this quarter, but I can say that the days on hand has come down compared to year-on-year. We are taking measures in terms of inventory rationalization in relevant pockets, tail brand reduction. So we are hopeful that the working capital will be kept under check.

As far as capex is concerned, I anyway mentioned that we will try to keep it at around INR100 crores. A large part of it will go behind sustenance investments. So as and when the profitability,

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I would say, mix improves and the capex investments are kept under check and capacity utilization improves, you'll start seeing an uptick in ROE.

S. Ramesh: Understood. So one last thought, if I may squeeze in. The Mandi prices are prevailing below the MSP is the case in Rabi and also for the Kharif. So is that something of a concern in terms of the farm incomes? Or are we comfortable in terms of the ability to collect and place p

roducts?

Gyanendra Shukla: So look, Mandi price, again, is a factor of demand and supply. So we don't deal with commodities, so we don't want to comment on that. My feeling is that, look, Rallis team has done a wonderful job of managing the receivables so far, and we haven't relented on our effort to be efficient in terms of placing and collecting.

And even if that means sometimes short term, we have to take back the stock, we do properly take back. So there has been a very efficient capital management by the finance team, and I don't see that is going away. And hopefully, that will ensure that we don't get into unnecessary large receivable issues.

Moderator: The next question comes from the line of Riju from Antique Stock Broking.

Riju : So regarding the new launches that we have done this quarter, 9 products. So out of which only 1 product is 9(3), is that correct?

Gyanendra Shukla: Okay. I don't have a specific detail right now handy with me, but Fioplam is 9(3) for sure. Some of them I need to check. Maybe we can get back to you.

Riju : Okay. And you have only mentioned 6 products names. So if you could name the other 3 products that you have launched this quarter?

Subhra Gourisaria: We'll give that separately,

Gyanendra Shukla: Yes. We can provide at least separately. Because some of them actually might be targeted towards next season. So that's the plan for the year.

Riju : Okay. So understood. So 9 products that may be in Q1 and Q2, that is correct?

Gyanendra Shukla: Yes.

Subhra Gourisaria: Launches have happened, but you have a very soft launch. We will give you.

Gyanendra Shukla: Yes, we'll get you the detail. In seed, we have launched 14 new products.

Riju : Okay. Understood. And in terms of the seed business, so I think earlier, the cotton seeds used to be roughly around 20%, 25% of the total seed portfolio. So how is the mix right now for cotton and the paddy?

Gyanendra Shukla: So of the total number we have declared for seed, it is about more than 33% at this point of time. So it's a significant number for cotton. And I believe cotton will remain significant for, as I said in the beginning, for next 2 to 3 years.

Riju : Okay. And how much is the paddy for the portfolio?

Gyanendra Shukla: So paddy and hybrid maize should together season is on, right?

Subhra Gourisaria: We should see after H1.

Gyanendra Shukla: But I would say paddy and maize, will be about 40% put together. And balance will be mustard and Bajra.

Riju : Understood. So like moving forward, our most focus would be on improving the maize portfolio or the other portfolio that we don't have right now, right?

Gyanendra Shukla: I think all are important. I mean today is the customer want new seed, new products more frequently than what companies were able to do in the past. So it's a continuous process. We keep launching product so that farmers and there's a value added for the farmers because every new product certainly holds higher yield potential.

Riju : Understood. And sir, this quarter in the seed business, we have registered roughly around 26% kind of EBITDA margin, right? And which is, I think, like historical high margin in terms of the seeds business. So how sustainable is this margin? Or like how we can work with the margin going forward? What are the drivers for this?

Gyanendra Shukla: Majority of our business is lopsided towards quarter 1, right? Now obviously, EBITDA margin we are looking at, you're also looking at quarter 1 cost only. So there will be quarters when there will be less sale or no sale, but cost will stay. I think in seed when I say overall 15% to 20% EBITDA margin on a long -term basis, I see seed delivering 20% and maybe crop protection at 15%. So somewhere we operate depending on the year, which business grows more. That's the target we want to keep in mind.

Moderator: We take

the next question from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, probably a bit of a repeat, but I just wanted to have a better understanding on the ground level pickup in terms of the ag -chem products. I think the first 2 months of the quarter are generally replacement months and the later follows the actual ground level. So if you can share any details on how is it -- is it in line with your expectation? Is it better? Is it worse? So some thoughts please.

Gyanendra Shukla: So I think seed, we have a better clarity because majority of the seed, which has to be planted with the farmers is purchased, whereas trying to check the channel level inventory. So seed, we have a better handle, I think we have the good clarity. Crop protection, I think probably we need another 10, 15 days to get complete clarity because a lot of herbicide, which goes early. I mean, obviously, we are done with, say, apple season, which happened in April, May and June.

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So it's very difficult to predict. But yes, we have a clarity on seed. We have clarity on some level of clarity on pre -emergence herbicide, but crop is still getting planted. And early post -emergence herbicide, post -emergence herbicides will come later and then followed by insecticides and fungicides, they go concurrently. So we'll have to have some patience, right, before we can get that.

Dhruv Muchhal: Sure. And sir, probably from some of our checks, we understand there were some price increases, some technical, which were passed on to probably the channel also, some in June, some in July.

So just trying to understand, have these prices sustained? Probably one can infer that from subsequent orders from dealers. Have these prices sustained? Were you able to sustain these price increases? Or there has been some recalibration? Or it's too early to say?

Gyanendra Shukla: It's very product specific. I think Acephate prices, for example, continue to be soft. There's been some improvement in Metribuzin prices, but Hexaconazole and Pendimethalin prices have not moved much. So it's very product mix. I mean what we report is basically a blend. It's very difficult to get into product.

Dhruv Muchhal: And sir, 2 quick questions is on exports. So from -- of course, the growth is on a low base, but just trying to understand, is the delta more towards U.S. market for you or it's across regions, so nothing specific to U.S.?

Gyanendra Shukla: Primarily Americas.

Dhruv Muchhal: U.S. and LatAm both?

Gyanendra Shukla: Yes.

Dhruv Muchhal: I'm just trying to understand, is it because of the prebuying from U.S. and all those that the

reason which is driving this?

Gyanendra Shukla: I think it's seasonal buying, right? I mean, well, LatAm is buying basically for the planting season, which will begin in September, October. U.S. has been buying for their seasonal need because U.S. has a very diverse climate North and South. So I don't think anybody is buying and stocking. I think that mindset has gone away.

Yes, people might have preponed some order because when all this war has started, right, there's an uncertainty around movement of sea -- I mean, movement through sea and also. So there must be a little bit of it, but that has also quietly died down. So I think right now, we are back to normal.

Dhruv Muchhal: Got it. And sir, lastly is -- you have a decent cash balance and given your capex requirement, probably it will remain same and -- you will continue to accumulate cash. So any thoughts in terms of how do we plan to use it? Probably it's a longer-term thing, but any thoughts that you can share?

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Gyanendra Shukla: So the first use of money is to continue to do things related to doing current business better. Second thing is related to acquisitions. I think we are very curious about opportu

nities in the marketplace, and we objectively look at it. We want to make sure whatever we do becomes accretive to our income. These are the 2 primary uses right now.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to Dr. Gyanendra Shukla for his closing comments.

Gyanendra Shukla: Yes. So I think it's an early onset of the monsoon and performance of the sector actually should be seen more on the seasonal basis, which is H1 basis, we shouldn't read too much into what we call quarters. I think rainfall, there are some rainfall disparities.

For example, Bihar still has received less rain. Northeast has been a low rainfall patch. And we'll have more visibility on the liquidity by H1. And I think August, September is going to be very, very important as far as pest and other things to be watched out. From a cost and other perspective, working capital management, we continue to be very, very focused.

And we continue to drive our business more towards profitability, and we will continue to take action towards that. We are in for a long-term business building. While it is very exciting to say I have delivered quarter, but my focus is that get the train moving in the right direction and then we get into what we call velocity.

So thank you for your time.

Moderator: Thank you. On behalf of Rallis India Limited, that concludes this conference. Thank you for joining us.

Call: Oct 2025

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Tel: 91 22 6232 7400 / Website: www.rallis.com
CIN: L36992MH1948PLC014083

October 22, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the second quarter and half year ended September 30, 2025

Further to our letter dated October 8, 2025, we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2025 held on Friday , October 17, 2025.

The same is also being made available on the Company's website at:
[https://www.rallis.com/investors/Financial -Performance](https://www.rallis.com/investors/Financial-Performance)

You are requested to take the same on record .

Thanking you,

Yours faithfully,
For Rallis India Limited

Sariga P Gokul
Company Secretary & Compliance officer

Encl: As above
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"Rallis India Limited
Q2 and H1 FY '26 Earnings Conference Call
October 17, 2025

MANAGEMENT : DR. GYANENDRA SHUKLA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – RALLIS INDIA
LIMITED

MR. BHASKAR SWAMINATHAN – CHIEF FINANCIAL
OFFICER – RALLIS INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Rallis India Limited Q2 and H1 FY '26 Earnings Conference Call. We have with us today Dr. Gyanendra Shukla, Managing Director and CEO; and Mr. Bhaskar Swaminathan, Chief Financial Officer.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Gyanendra Shukla. Thank you, and over to you, Mr. Shukla.

Gyanendra Shukla: Good morning, and thank you, everyone, for joining us today for Rallis India Limited Q2 and H1 Fiscal Year '26 Earnings Call. As mentioned, I have alongside with me Mr. Bhaskar Swaminathan, our new CFO, welcome Bhaskar.

Let me begin the discussion by delving into the industry landscape initially, post which I will discuss Rallis' specific developments. Abnormal and uneven rainfall distribution in Q2 of 2026 has led to significant crop losses in pre-agronomic consuming states. The heavy rain plus floods, water logging and submergence of large farmland areas, which severely affected crops like soybean, maize, cotton and pulses.

These conditions delayed harvesting and the application of crop protection product, limited pest inflation, also limited pest infestation due to heavy rain washing of the pest and increased sales return of agrochemical products due to lower demand from farmers.

Moving on to Global. Global signals for recovery in the agrochemical sector in 2025 show cautious optimism with gradual demand improvement supported by stable pricing and strong export demand, particularly from markets like the U.S. and Brazil. Industry margins are likely to remain subdued amid rising competition and U.S. tariffs on Chinese agrochemical imports. Indian agricultural exports to key markets like the U.S. and Brazil are growing at 5% to 6%, supported by destocking normalization. China continues to keep the market well supplied, demand in the U.S. has been stable. U.S.-China trade tensions, including tariff up to 60% are pushing U.S. manufacturing repatriation and reducing Chinese export competitiveness.

Moving to the Rallis-specific developments. We had a muted Q2 performance on the back of incessant rainfall in the key agrochemical consumed in states like Punjab, Maharashtra, UP and Rajasthan. Our revenue stood at INR861 crores versus INR928 crores of quarter 2 '25. Overall, EBITDA for quarter 2 '26 stood at INR154 crores, lower by 7% compared to Q2 of the previous

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year. Profit after tax at INR102 crores versus INR98 crores of Q2 '25, which is 120 basis points higher than the previous same quarter.

Crop Care segment, degrew by 3% due to lower performance on domestic front, due to excessive rains. Export revenue grew by 33% whereas Seeds segment, degrew by 29%. Moving into domestic B2C, our revenue degrew by 8% and volume degrowth of 3%.

Liquidation of herbicides in cotton and soybeans suffered, which led to returns and overall volume degrowth, with farmers missing on the spread due to heavy rains, Insecticide also registered degrowth. From an overall perspective, herbicide categories is still under-indexed within our business, and we are consciously working on launching new products and improving the share progressively.

New

product launched during the quarter are 'Deeweel' and 'Dodrio'. Deeweel is a herbicide and Dodrio is a fungicide. Soil and Plant Health category faced subdued demand due to poor property prospect, adverse weather conditions and regulatory challenges.

Our continuous actions around expanding targeted reach and penetration, leveraging digital initiatives showing good momentum. We continue to work on rationalizing the portfolio and

sharpening focus across key markets.

Our export business has displayed encouraging performance with a focus on maximizing volume, driving capacity utilization for our plants and expanding customer base. U.S. tariff impacted some technical and formulation business for U.S. CSM quarter 2 revenues impacted due to customer phasing -off of dispatch plan for key products. Metribuzin and Hexaconazole showed good momentum, Pendimethalin is also on the good track and with long-term demand remaining steady.

We also have commercialized the planned capacity expansion with new efficient technologies. Acephate has also shown improvement in H1 fiscal year '26 in comparison to the same period of last year, improving capacity utilization. Across technical, we are steadily working on expanding the customer base and securing registrations with more global players to improve our share.

Moving to seed business. Seed revenue degrew by 29% in the quarter from INR141 crores to INR101 crores. Our quarter 2 witnessed significant supply chain constraints for maize, particularly in Tamil Nadu and neighboring states in Q2.

Our placement volume fell short of plan targets, mitigated through enhancement of placement of mustard. Widespread adoption of illegal HTBt varieties resulted in higher returns of organized seed companies. We have increased product demonstration activities to maximize sales in kharif '26.

We are focused on accelerating the launch pipeline for proprietary research added varieties with high yield potential. The near-term outlook for the business remains positive on the back of driven well level and positive engagement with export customers. Our continuous efforts are directed towards long-term improvement like customer centricity, sharpening the portfolio

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choices, launching new products, expanding strategic alliances and farmer reach and leveraging digitalization across the operations.

That concludes my opening remarks. I will now hand over to Bhaskar, our CFO, for a detailed analysis of the financial situation. Over to you, Bhaskar.

Bhaskar Swaminathan: Thank you, Dr. Gyanendra. Good morning, everyone, and thank you for joining us today for our Q2 and H1 FY '26 earnings call. I will walk you through our financial performance for the quarter, post which we shall commence the Q&A session. Starting with the top line for the quarter, our revenue stood at INR861 crores as against INR928 crores for the same period last year, resulting in overall degrowth of 7%.

Overall, there has been a volume degrowth of 6% and price degrowth of 1%. EBITDA for the quarter was INR154 crores against INR166 crores for the same period last year. Profit after tax for the quarter stood at INR102 crores as against INR98 crores for the same period last year. We are significantly pleased with the response we are getting for our cotton hybrid 'Diggaz', and we believe it has significant growth runway. Our focus is primarily on 5 key crops, cotton, maize, millet, mustard and rice for our seed segment.

We believe the focus on such selective crops will aid in driving scale. We aim to gradually build our presence across these 5 crops with a focus on profitability. Our efforts on expanding the customer base and product portfolio are going to help build more resilient business. Our efforts continue to be directed towards driving focused execution both at the front as well as the back end. This includes port

folio optimization, territory rationalization, removing overlaps and driving cost efficiencies and simplification across the value chain.

Our action across the portfolio continues with 2 new products in crop protection segment launched during the quarter. We continue to be persistent on improving capital efficiency, both for fixed capital as well as working capital. Our inventory levels have moderated. Collections have also improved.

We have a healthy cash and liquid balance of INR454 crores as of 30th September. We envisage spends on capex would be around INR50 crores. In summary, we are implementing various initiatives, and we are trying towards achieving consistent, competitive and profitable growth.

That concludes our opening remarks. We can now commence the Q&A session. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Sucrit D Patil, Eyesight Fintrade Private Limited.

Sucrit D Patil: I have 2 questions, one for Mr. Gyanendra and one for Mr. Bhaskar. Mr. Gyanendra, my question to you is, given the volatility in monsoon patterns and farmer sentiments, what are the biggest execution challenges you foresee in scaling your crop protection and seed business over the next few quarters? And how is Rallis adapting its go-to-market and product strategy to stay competitive and relevant in this shifting agri landscape?

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Gyanendra Shukla: You want us to take one by one. Okay. So fine. Look, I think volatility in agriculture sector. Now it looks like has become a norm, not only in India and across the globe. So obviously, it poses challenges. But I think what we have been saying in the past is that, look, our focus on 3 segments, which is Soil and Plant Health, our Crop Protection portfolio and Seed will incur our business. And because we produce these products, we research into these product, we sell in India, so we'll continue to not only sell in India, we'll also continue to explore the opportunities for export.

And along with comes our collaboration product access with multinational companies. So we believe the kind of pipeline we are developing in the relationship, we are developing for product access as well as some of the CSM development. I think will ensure that we continue to get Seed of a new product to develop combination or co-launch with the multinationals in the domestic market as well as continue to explore some export opportunities.

On the top of that, other thing we have been saying that, look, we are getting very focused. India is a very large country, very dispersed, but companies with focused effort in the villages are likely to more succeed.

So our continued focus on identifying right villages, leveraging digital market reach. So combination of digitalization, focus on manufacturing efficiencies, getting new product launched. I think combination of all of those things, we believe we should be able to grow better than the industry in the long term.

Sucrit D Patil: And my final question to Mr. Bhaskar is, with raw material inflation and pricing pressures in the key markets, how is Rallis planning to protect the margins going forward, especially in balancing procurement efficiency, product mix and pricing discipline? What are the key financial levers you are planning to maintain the profitability going ahead?

Bhaskar Swaminathan: Yes. So when you say procurement efficiencies, I think the efficiency lies directly around the procurement decision itself. So we buy at the right time. So timing of purchases is very important. So that's kind of a very calculated call. Wherein we look at the input side as well as the sales side, what is our view of the price ultimately will fetch. So most of the times, these are spot decisions and that's how we have rigor control over it.

Moderator: Next question comes

from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: So I have only 2 questions. First on the CSM revenue side. So my first question is on the CSM revenue side. So the CSM revenue dipped due to customer phasing. So can you help us understand whether this is purely timing related or do you expect any normal volumes to resume from quarter 3 or quarter 4 onward? This is my first question.

Gyanendra Shukla: Yes. So I think our current year CSM revenue, if you see, I think has come from all the products. So Metribuzin has done very well, so has Pendimethalin and Hexaconazole. Majority of the gain which has come is actually with a combination of really expanding to the new markets and also trying to be very competitive in the marketplace.

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So I think our focus is really new product, new country -- I mean, product, new registrations, new customers. So that is really helping us. The other benefit which we had was many of our products actually other than formulations are exempted from tariffs in U.S. As a result, we were able to continuously supply.

Rehan Saiyyed: Okay. Fair enough. And my second question is on your new project product launch of 'Deeweet' and 'Dodrio'. So sir, the company launched 8 new products year-to-date, including 'Deeweet' and 'Dodrio'. So could you discuss which of these products have shown the most promising early response? And how do you see them going forward for upcoming years?

Gyanendra Shukla: Yes. So we launched products both in Crop Protection and Seed. So the seed product, which we launched 1 new hybrid in cotton, 1 in rice and 1 in maize. All 3 have done very well. Now it's a question of producing more and scaling up. So we are very optimistic about the performance of those products in the future.

On the 8 products, which we talked about, in 1 product we had to delay the launch because we were not happy with the quality of the formulation that came out. We have fixed that problem. So that will get introduced now because that has application across the crop, it's a broader spectrum insecticide. Of the remainder, majority of them were herbicide and one fungicide and insecticide.

All I can tell you, these products were introduced towards in quarter 4 of last year as a test launch. And we actually have more than doubled their volume as we speak on a YTD basis. So

it looks like good traction and good momentum in the market.

Moderator: Next question comes from the line of Rohit Nagraj with B&K Securities.

Rohit Nagraj: The first question is on the bio-stimulants Market. So if you could just give us an understanding about how the last 3 months have transpired in terms of the regulatory regime? And how are we placed in terms of the opportunity? More importantly, if some of those non-regulated players are weeded out or will it be a better opportunity for the incumbents like us? So a broader understanding on the industry in general and Rallis in particular will be very helpful?

Gyanendra Shukla: Yes. So I think, yes, what government is trying to do probably was overdue and that simply means that there are challenges for everybody in the short term. But from a long-term perspective, I see this as a positive development because it does help in bringing more, what you call, organized market players. Having said that, our quarter 2 was challenging on 2 points. Farmers do tend to miss sprays when there's so much of uncertainty in the marketplace because of the extreme weather condition.

Then some of the products, for example, we were dependent on our third-party supplier. They were able to not secure the permission to sell. All of that is sorted out. So I think there was a storm in quarter 2, if I can use the more appropriate word, but this should lead to better prospects for organized players like us in the future.

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Rohit Nagraj: Sure. That's helpful. Second question is in terms of the seeds availability for next season, given that for this quarter, there was an impact delivering across the board. So are we seeing that for the next kharif season, there will be some issues in terms of availability of seeds?

Bhaskar Swaminathan: So if you see from a crop perspective, 4 crops are more important for us because they constitute bulk of revenue. One is cotton, followed by maize, rice, bajra and mustard. So, I do not see any risk to mustard because there are limited players. Bajra also, I do not see any challenge at this point of time. Most of the challenges are expected in cotton, rice and maize.

Now cotton, we already had taken sufficient planting. So I think we are covered. And maize and rice is getting planted now. So as we speak when kharif gets harvested, particularly other places, Tamil Nadu and part of Orissa, Chhattisgarh, rice gets planted and maize gets primarily produced in Andhra and Telangana.

So planting season is progressing. We are working hard. Last year, the challenge was not only with the planting. I think planting happened on the time, but everything happened on so much on time in a narrow window.

So when harvest came, all harvest is happening at the same time, there was a constraint got created in drying capacity and rain led to other challenges. So we are tying up the processing capacity, storage capacity. At the same time, production planning is in place. So as I speak, I don't see any risk in cotton. Rice and maize, I think we are planting, and we are taking sufficient measure based on our past experiences to ensure supplies.

Moderator: Next question comes from the line of Saurabh Jain with HSBC.

Saurabh Jain: Again, on the seeds front, there are 2 headwinds in the cotton side, right? One, we are noticing a consistent decline in the overall cotton acreages in the country. So structurally, does it become a problem for the seed players having high portfolio to the cotton in our products?

And secondly, you also highlighted there is another rising problem of illegal HT seeds. So my question is these 2 problems, do you see that as structural or at least in the midterm as a major headwind for you? And can that actually restrict the opportunities for you to continue to grow your cotton portfolio the way it has done for the last few years?

Gyanendra Shukla: So our cotton dependency is very high on Northern India. Fortunately, illegal cotton has not made inroads into that. To that extent, we have secured because I think our 70%, 80% of the business still comes from North. Now South and Central, yes, this year, there was a setback in terms of cotton planting. How this will pan out in the future, I don't know. But given the rise of illegal HTBt cotton last year, a lot will depend on how well the harvest comes.

And I think I'll have to wait for really third quarter to get over because that's the time when you will start getting more clarity from the farmers, so that they were able to secure enough yield on HTBt cotton, what kind of experiences they have. But if it turns out to be successful as it was this year, I think it does create challenges for companies in the operating, primarily in South and Central part of India.

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Saurabh Jain: Okay. That is helpful. Part two, also, if we look at the margin profile this quarter Y-o-Y basis,

seeds has declined high double digits. But still, we noticed that there has been an improvement in the margins. So 2 things. One, can you explain us what could be the broad margin differences between all of these 4, 5 products that you do?

And can the margin improvement be attributed to your lower -margin product not growing for in this quarter. Is that the reason or are there more reasons behind it? And also, have you seen any sal

es returns even in your seeds portfolio as well?

Gyanendra Shukla: So I think for the current kharif season, we have accounted for everything. So the numbers you see are true kharif number. So sales returns are accounted for, discounts are accounted for, manufacturing, cost overruns, everything is accounted for, the number you see are real. But do not see this as a quarter number, see this as a half yearly number, our kharif season number. And on a half yearly basis, we have seen significant improvement in margin. I think in seeds what happens, if you have a portfolio which is coming primarily from your own research, then you tend to make a higher margin, but not every company can research and sell everything. The good news is that in first half of the year, more than 80% of our business comes from our own research product. As a result, margins are higher.

As we move into quarter 2 and quarter 4, which is more rabi season, which is less than 20% of the revenue, that gets skewed towards, basically more product coming from the partnership, that's where margin profile tends to get lower. But I think -- I believe past is behind us. We are a very focused seed company now doing a few things. I believe that we should be able to sustain and grow our margins. So our target is that we should bring our seed business to -- in the range of 23% to 25% EBITDA margin.

And first half, we are very close. Second cost, there could be slightly dilution because revenue will be smaller and the cost remains same. Revenue will be smaller, but I think we're on track to deliver that kind of margin, which will be on par with the industry -based players.

Saurabh Jain: Okay. Understood. Just very last bit, can you also give us some sense in terms of the difference between margins of your cotton and maize, I presume would be your -- more of your in-house products. And what could be the margin difference between bajra and all of these other products?

Gyanendra Shukla: So bajra tends to be highest margin product. Cotton, maize and rice, they would tend to fall in the same bucket because cotton challenges -- there's a government price control.

Moderator: Next question comes from the line of Somaiah V with Avendus Spark. We have lost the line of Mr. Somaiah.

We'll take the next that is Abhijit Akella with Kotak Securities.

Abhijit Akella: So on the export business, we've called out 33% growth for this quarter. Would it be possible to also just share the absolute number, the export revenue number in rupees crores? And also if it's possible to share a export growth percentage for the entire first half of the year, that would be great.

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Gyanendra Shukla: So my understanding is our export -- just give me a second. Export has grown by, I think, more than 30% in the first half. Is that right?

Bhaskar Swaminathan: Yes, close to that.

Gyanendra Shukla: It's about 30% growth over previous H1.

Abhijit Akella: And so for the quarter, I think we can assume it ended up at somewhere around INR190 crores. Would that be a fair number to work with?

Gyanendra Shukla: Let me see what is the quarter number? Bhaskar, can you track about quarter number?

Bhaskar Swaminathan: For the quarter, it's INR161 crores.

Abhijit Akella: I see. Because I thought last year's corresponding number was about INR142 crores, if I'm not mistaken, based on last year's disclosures. So 33% growth would have implied about INR190 crores?

Gyanendra Shukla: So no, 33%, we are talking on a 6 monthly basis, right?

Bhaskar Swaminathan: Yes. So see, if you go to absolute number, it is about 24% for the H1 point of view?

Abhijit Akella: Right. Yes, I was referring to the quarter because quarter you said 33% growth. And last year's number, would be -- is INR142 crores still accurate or has there been a change to that number?

Gyanendra Shukla: H1, we have gro

wn. H1, we have grown from about INR200 crores last year to about INR300 crores plus.

Abhijit Akella: Yes, there is some difference versus what we had reported last year. Maybe I can take it offline.

Gyanendra Shukla: You can speak to Bhaskar.

Bhaskar Swaminathan: Maybe I can just clarify, just give me a moment. So H1 absolute number is INR312 crores, okay? And this would be more like 51% growth against last year, which was INR207 crores at H1 level, on a H1 level.

Abhijit Akella: 51% growth?

Bhaskar Swaminathan: Yes. From H1 level.

Abhijit Akella: I'll take it offline in the interest of time. And just one other topic.

Gyanendra Shukla: The way we tell our number is basically export B2B and export. So you can actually take offline and I'll get there. What I told you was more about export, last year, I don't know what number you take, we were about INR120 crores and this year it's INR160 crores plus. That's why I said 30% growth.

Abhijit Akella: Okay. Got it. And just the other thing with regard to the outlook for the second half of the year now. Number one, on the export side, has there been any -- in your estimation, has there been

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any front loading? And therefore, could there be some softness because of that in the second half this year? And conversely, on the domestic business, how do you see the rabi season now is shaping up following whatever has happened in kharif?

Gyanendra Shukla: Yes. So two things can happen. I think there could be some spillover of kharif season 10%, 15% to October because there could be extended rabi season for some crops. The export, I don't think there's any front -loading happening because customers also after them getting aggressive about inventory purchase in the past, I think customers also have become very cautious.

I think what we should watch out is if U.S. market remains restricted. Effort from Chinese player to take the product more to Brazilian market and Brazilian market has its own limits and commodity prices are soft as a result, while volumes might go, there might be some pricing pressure.

Yes. And on domestic, I would say one is extended kharif season. And then normally, residual moisture leads to a better rabi crop if this situation continues. So I'm expecting rabi prospects look slightly better at this point of time. I know there are challenges in terms of fertilizer supply. So when fertilizer in the shortage, a lot of capital goes towards securing fertilizer first and then pesticide companies and seed companies take a back seat. But I believe once this planting happens, fertilizer issue gets resolved, farmers would shift their focus to crop protection.

Moderator: Next question comes from the line of Prashant Biyani with Elara Capital.

Prashant Biyani: Sir, this quarter, branded business seems to have declined by 10%. So one would assume that margins would contract, but you rather delivered a margin expansion at gross level. So is it because of product mix change in branded business or is it that lower sales of non -profitable products like acephate in B2B business led to this?

Gyanendra Shukla: Yes. So I would say -- I mean, the overall decline in crop protection in Q2, you are referring, right, from a GC perspective, I would say domestic is a combination of price. And in fact, we probably would have done overall basis, we can look at it, we might have done better on the volume because I guess what has happened is that tendency in the market to reduce the price and offer more schemes so that as a result, retailers and distributors are able to pass on some benefit to the farmer. So a lot of promotional campaign run. So I would say from that perspective, it could be just price getting impacted more than the volume.

Prashant Biyani: Okay. And sir, on seed side, you have mentioned in one of the questions that we have taken suffice

nt planting in cotton. So that should yield to how much of growth in seed sales or at least seed available for sale in next kharif?

Gyanendra Shukla: So based on our target, we expect our Diggaz and newly launched cotton hybrid in North to keep doing well. And we have planned for a significant volume expansion, but you have to understand cotton seed production is still in the field, right? And it will all start coming now from quarter 3 onwards to our warehouse, and it has to go through quarter and multiple quality testing.

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So I would say we have planned for sufficient expansion, significant expansion of our cotton business. But I cannot put a finger on volume now. Maybe towards the end of quarter 3, we would have more clarity on how much comes in and how much it passes the quality test.

Prashant Biyani: Actually, sir, the only thing was that year before last, we had seed sales impact because of cyclones and all. Now this season, I thought that we would have ample seeds available.

Gyanendra Shukla: So, cotton does not been impacted by the cyclone, right? So cotton is already getting in the field. It gets planted in kharif. Cyclone have impact on rice, maize and other crops.

Prashant Biyani: Okay. But we have got good products in Aatish and Diggaz. In your view, what would be the optimum top line level we can take it to, to take full advantage of those seeds before a competitor comes in with a better variety?

Gyanendra Shukla: I think we probably have only harnessed 50% to 60% of the potential of the product, but still a lot of runway left.

Moderator: Next question comes from the line of Somaiah V with Aventus Spark.

Somaiah V.: So my first question is on the export business. So if you could give some color in terms of volume growth during the quarter, pricing, and also, you did mention about venturing into newer geographies. So ballpark, how all these 3 kind of contributes to the overall growth?

Gyanendra Shukla: So on a half yearly basis, if you see I think bulk of the gains have come from -- 85%, 90% have come from volume and some from efficiencies and price.

Somaiah V.: So when it comes to volumes in the existing geographies, the growth is more or less from existing geographies or what, I just wanted to understand the newer geographies that we are getting into what, how much would have been the...

Gyanendra Shukla: Yes. So for the current product, I would say, bulk of our business still comes from existing geographies, but we have been able to add new customers in the same geographies. There is some growth in newer geographies, but I think those are early supplies. We have to build on those businesses. So I would say bulk of it is existing geography or more customers.

Somaiah V.: Sir, also, when it comes to the tariff impact, any ballpark in terms of our total exports, what would be the quantum that will be exposed to these higher tariffs? And how is it getting approached in terms of -- are we able to take commensurate price hikes or we have to absorb it, how is it getting managed?

Gyanendra Shukla: As I said, majority of that actually have come from volume, right? A small percentage has come from price. We are in a very competitive market. On a continuous basis, we are competing with basically Chinese players and domestic players. Our U.S., Brazil, China, Bangladesh, these are our primary markets. But we have added some countries like France, Malaysia, Spain also to our portfolio this year.

Somaiah V.: I'm trying to understand on the tariff impact for us, for our set of products. I mean our overall export part.

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Gyanendra Shukla: So yes, I'll say this, U.S. is our primary business, right? Now U.S. has tariff challenges, but fortunately, for us, 85% of our business is technical supply that is not impacted by tariffs as o

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now. Only 15% of export business is impacted by tariff because it is formulation based, right?

So I think to that extent, we are secured. But it has, I think, an order effect on Brazil because when people are not able to supply to U.S., they tend to go to the second largest market, which is Brazil.

Somaiah V.: Sir, also in the domestic market in the quarter, in terms of extent of volume versus pricing, was there any negative pricing impact also? Generally, how is the pricing trend for the industry, especially with this prolonged rainfall impact in few of the pockets, and also in terms of sales returns, is this something that's done in this quarter or is this something that can extend into next quarter as well?

Gyanendra Shukla: So I think we do have a fairly robust process of, what we call, building bottom-up stock taking from distributors, distributors in terms of -- in turn take the feedback from retailer. So I think we have a sufficient provision and taken returns. What we have not taken return is for the residual part of the kharif. So I would say, by and large, covered under something untoward we experience.

Somaiah V.: Sure, sir. The other question was on the domestic pricing versus volume impact during the quarter, sir?

Gyanendra Shukla: So pricing, as I said earlier, our pricing has been challenging because when there's enough supply in the market, what every company in the industry does, and we also have to do to be online with the market situation is you tend to plot more schemes to collect money, you tend to plot more scheme to push the product to retailers, and that also when it gets passed on to the farmer. Farmers are also encouraged to use the product.

So I guess it depends on the product. But by and large, I would say, pricing probably will remain subdued for the sector. If somebody has got a specialty product, the unique product, that might be a special situation.

Somaiah V.: We have a 10 %-odd decline Y-o-Y in the domestic this quarter. Will it be like low single digit kind of a pricing impact or something that is there in that number? Is that the right way to think about it?

Gyanendra Shukla: Yes, bulk of it is pricing, there's some volume as well.

Somaiah V.: Got it, sir. One last question, sir, on the Soil and Plant Health portfolio, what would be quantum within our overall domestic portfolio? The share of this part of the business?

Gyanendra Shukla: So on an annual basis, last year, we did about INR225 crores. This year, our -- on a half yearly basis, we are flat. We were planning for actually 20% growth. So we are flat in terms of revenue.

But the majority of the impact has come from rains. So the biofertilizer business we have actually also has when there are too much of challenges because the process to make biofertilizer is also called open field system. So when too much of rain, it becomes difficult to process too much biofertilizer.

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The other is biostimulant area, which got impacted. And that's supply, so on the growth side, supply side on the growth product where regulations were not challenging because of excess rain, supply of the raw material became a challenge. On the biostimulant, it was primarily a change in government regulation. But I think most of the issues are sorted for us, and we expect recovery of the normal business from here on.

Somaiah V.: And also in terms of margin profile, if you had to put the 3 segments, the crop care, seed and bio, bio probably will be higher in terms of margin profile. So bio followed by seeds followed by crop, is that the right technique?

Gyanendra Shukla: So we have to take that. I think Soil and Plant Health obviously contributes higher margins, GC margin, followed by seed, you're right. And even on CSM, though it's a small business, margins are higher where we have margin challenges are really export business

where it's a very

competitive -- even our domestic institutional business, so part of the product we sell also sell it to domestic suppliers, those domestic companies, that's where most of the challenges are.

But our domestic B2C business actually on an overall basis because of the better cost management and all, and better SG&A management has shown marginal improvement from a GC perspective.

Moderator: Next question comes from the line of Pavan Kaware with Nayan M Vala Securities.

Pavan Kaware: So my question was on CSM part. So last year, what was the CSM numbers in our export and in this half year, half year ratio? What was the growth in the CSM business?

Gyanendra Shukla: So actually, CSM business, if you see on a H1 basis, actually has shown some degrowth. But I believe a lot of it is also related to timing of the customers. So one of our key products, which goes in making aeroplanes and all, the Boeing faces challenges, I think, there's some rescheduling of order. CSM customer, I think it's more of a timing issue than anything else.

Pavan Kaware: Okay. And our CSM -- yes, you can go ahead.

Gyanendra Shukla: Yes. But our CSM margins continue to remain intact.

Pavan Kaware: Okay. And our CSM business is mostly focused on the export or do we providing at a domestic level?

Gyanendra Shukla: So it's a combination primarily export, but we do have a -- actually, in fact, 1 or 2 customers we have added for CSM portfolio domestically.

Pavan Kaware: Okay. Out of the number of INR312 crores in the H1, what was the contribution from CSM?

Gyanendra Shukla: CSM, I said this H1 was relatively small. In fact, majority of the business has come from export of technical and domestic institutional business. CSM is relatively small this time.

Pavan Kaware: Any absolute or percentage number?

Gyanendra Shukla: Actually, it's less than 5%.

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Moderator: Next question comes from the line of Saket with Kapoor & Company.

Saket: Sir, firstly, pertaining to the sales return, what have you factored in for the first half? And how should this be pertaining in for the remaining part? I think you did alluded to it. And secondly, sir, with the vagaries in the rains and that affecting the crop protection business, how should the current ensuing quarter look, generally, this is a weak quarter, seasonally weak quarter for us and the industry. So if you could just give some color on the aspect?

Gyanendra Shukla: So generally, when there are late rains and a lot of residual moisture, we call it primarily rabi season. Other than chili crop, which anyway was planted less, looks better compared to previous years. As far as returns are concerned, I think we have methodology and we have created sufficient return reserve provisioning. Hopefully, we should not get into significant negative or positive surprises both ways.

Saket: So sir, seasonally and if we compare it on the last year basis, these were not the factors for Q2.

So taking into account, Q3 should -- on a prospective basis with the moisture in the system -- in the soil should be comparatively better in terms of the off take also for -- as you said, that the groundwork for rabi begins early. That should be a fair understanding?

Gyanendra Shukla: Absolutely. And planting should be good. I think right now, there's a scrambling for fertilizer and all. I think once that settles, then there's a consumption of herbicide in primarily, Southern

India rice as well as maize in South and Eastern part of the country and wheat in northern part of the country.

Then vegetable insecticide and fungicide season should kick in. I mean minus chili, chili has been a bit of a disappointing because of the low commodity prices. But overall, we are positive about quarter 3 and quarter 4.

Saket: If you could just give your take on the shortage of fertilizer and the real as

pect of how that has

affected the agriculture industry as a whole? Because when we hear and we read about the yield part, in all cases, everywhere the acreages have gone up and at least the newspapers are pointing towards higher yield. So correct me there. So what has exactly played out for the shortage of fertilizer? And what corrective steps are there in the annual that will correct the situation going ahead and thereby revising the situation.

Gyanendra Shukla: So let's split the business into kharif and rabi. So I think in Kharif, though overall area went up. But based on what I'm hearing and estimate, while area has gone up, overall production may not go up because a lot of it got damaged because of weather conditions and various other things.

So when area goes up, obviously, fertilizer also goes up.

As far as rabi, demand is slightly higher right now because there's an anticipation of area increase, and that's why prices are up. But this does not always mean higher area. So production overall might go up, but productivity and production are 2 different things. I think this year, what you will see is that kharif season productivity drop, right?

Now rabi is relatively more secured season because rains are more certain or they're not as rigorous. So these are not related eventually, fertilizer shortage to increase our production or

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decrease in production. So there's a challenge at the time of planting. But as the season progresses, you'll also see situation eases a little bit.

Saket: Sir, just to get on the fertilizer shortage part. So what is the take of the industries on the sectors?

Is it only the subsidy part and the RM prices or what has led exactly to fertilizer shortage, which we have not heard for a very long time? And if -- your take on the same, sir?

Gyanendra Shukla: So I actually do not get into details of why shortage is there. Obviously, India phosphorus and potash has to import and sell. So there could be challenges on those fronts. Our urea capacity also has peaked, so there might be import requirement and there could be challenges related to that.

But when there's a shortage of fertilizer, a lot of market money which should come to pesticide and seed companies, tends to go to fertilizer players first. And that puts challenges on the receivables of the pesticide and seed companies.

So in fact, when there's too much of fertilizer noise, it's a bad news for pesticide sector from a receivable perspective and your ability to place the product because you want some money before you place the product, but these shortages create some kind of imbalance in terms of movement of the money to different components of the business.

Saket: Right, sir. And lastly, sir, on the R&D part. What are the key highlights for the first half in the R&D? And what are we anticipating? What should we expect going ahead in the R&D in terms of the -- any of the molecules getting patented out and redeveloping the same and what's the take for the R&D?

Gyanendra Shukla: Yes. So I think one of the things we did, and I talked about in previous calls is that we have got R&D very focused now. A lot of things we were doing, we have stopped, right? For example, we don't do any vegetable R&D now. We are less focusing on GM crops. Now we are focusing more on modern breeding tools, which are biotechnology driven, but are not GM crops.

So that -- in fact, the progress you are seeing in the seed side is a lot of it is driven from focus.

Same applies to the crop protection side of the R&D. We -- and I think as things unfold, I think towards the end of this year or early next year, we would be able to probably give a more comprehensive summary of the progress we have made, but I'm very pleased with the 9(3) registrations we are securing, we should be launching a wheat herbicide, a rice herb

icide next

year, which will be completely 9(3). So making good progress there.

Saket: Okay, sir. Can you quantify, sir, how much have we spent on the R&D? And what is -- what can we envisage for the remaining part of the year?

Gyanendra Shukla: So I don't have exact number. Bhaskar you can give, but our R&D budget ranges from INR60 crores to INR70 crores per year. And I think what we're trying to do, not trying to cut on R&D, but trying to get it more focused. Do you have separate cut for R&D, Bhaskar?

Bhaskar Swaminathan: Yes, it's about INR60 crores, INR70 crores.

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Moderator: Next question comes from the line of Riju Dalui with Antique Stock Broking.

Riju Dalui: So in H1, we have -- like in this 2Q, we have registered roughly 10% of decline in our overall growth in domestic business. So as per your understanding, how was the industry growth for this quarter or maybe for the H1?

Gyanendra Shukla: So it's too early to comment because a lot of numbers are yet to come. But based on what I hear, that industry is not likely to grow beyond low to mid -single digit.

Riju Dalui: Understood. Because when we are talking to some of the channel partners, so we understood exactly there was some decline in the volumes across key regions, maybe Maharashtra and the other parts of the -- maybe Punjab. So there was a decline in terms of volume for 10% to 15%. So is that a correct understanding?

Gyanendra Shukla: Yes, right. So some -- so not across -- Punjab, certain pockets in Punjab.

Riju Dalui: So can you say that the industry for H1 could be around minus 5% to plus 5% kind of a growth trajectory?

Gyanendra Shukla: So companies could be in that range, right? I think industries would grow low to mid -single digit in my view.

Riju Dalui: Understood, sir. And also like ...

Gyanendra Shukla: And the companies with the seed in the portfolio, they get some cushion because seed business has done overall well.

Riju Dalui: And in terms of excessive rainfall and rainfall in the first week of October or maybe late September. So how do you see the rabi season and the field preparation will happen and the rabi season will be good. So you have commented that the excess rainfall always follows by a good rabi season. But field preparation and the early sowing for the rabi, how that will happen like or we have seen a crop damage or field damage, maybe Eastern part of the Maharashtra or maybe Rajasthan and Punjab, like the se parts. So how do you see that scenario?

Gyanendra Shukla: So look, farmers are very optimistic people, right? Even if they have a bad kharif, they will still go ahead and have a rabi because this residual moisture only factors in central and southern part of India and Western part of India because East and North anyway has a lot of groundwater, so it doesn't impact them.

My personal view is that larger planting of pulses and some more rice in South and Eastern part of the country should help in basically higher rabi planting and higher entity usage. And I think probably by mid of November, we'll have more clarity because that's when majority of the crops get planted. Normal thumb rule would say late rains have a -- they contribute positively to the rabi prospects.

Riju Dalui: And like as you mentioned that we are like in this kharif season, so there was an extended kharif season maybe till October. So was there any kind of a pace that happening between this period, maybe last 1 month period?

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Gyanendra Shukla: So this year, disease has been more prevalent than insects. A lot of insects actually got washed away by heavy rains also, right? And so I think the crops which are left for staying are mainly southern rice, which gets planted late and some cotton in South . As far as North is concerned, everything is over.

Soybean is over, North cotton is over, rice is over, millets are over. So North and East primarily is not.

Moderator: Next question comes from the line of Viraj K with SEC Investment Management.

Viraj K.: Just 2 questions. One is on the plant nutrition, the resolution. Sorry, I missed that. Is there any resolution to that? Do we see impact continuing for Q3 and the rest of the year or how should one understand this?

Gyanendra Shukla: So for our business, I think we have sorted now, right? We had a challenge with 1 or 2 products, but we have found a solution to those with the help of a partner. So I believe from here on, business to normalize.

Viraj K.: Okay. And for the industry, because there's a lot of re-registrations required and maybe reading out on unorganized players. So just trying to understand in terms of the share of those unorganized or not so -- players not adhering to quality standards. What would be the share if I have to look at the overall pie of the market?

Gyanendra Shukla: So I exactly don't know volume and revenue share of our unorganized people, but there are too many players, right? So I think number of players would certainly reduce. And I believe the development of trying to regulate market better, it brings more clarity for organized company like ours. So I see this segment -- we continue to look at very positively from here on.

Viraj K.: Second question is on the export piece. I think what you said is technical export is more viable and competitive, especially to U.S. vis-a-vis formulation. Can you explain how does the price and cost dynamics compare someone formulating in U.S. versus someone, say, formulating from China or India and exporting?

Gyanendra Shukla: So I think value addition part cost probably China would always be more efficient because of their cost of capital, there is scale and all. But at the same time, we should not forget that there's an increasing demand from companies operating in those markets to look at alternate source, given the geopolitical situation, I think all companies at the same time would look for diversifying their supplier basket.

So I think while one thing is negative, but we also have to see the positive side. So the positive side is, I think while it may not have benefited in short term, but I think from a long-term perspective, suppliers looking for alternate sources like India. And I think it still augurs well for the business.

Viraj K.: No, I understand the diversification piece. But I was just trying to understand, is it still viable or competitive for anyone formulating in U.S. and say, sourcing the API from India or China? Or it's even -- it's still the economically even post tariff for someone to do import of formulations from India or China?

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Gyanendra Shukla: There's no straight answer. For example, if you go in the Southern Hemisphere, there is some formulation capabilities beyond U.S. and Colombia, Brazil, some in Mexico. So depending on the source registration, some companies can take the technical to their facility in Mexico and if Mexico is exempted, they can still sell very competitively to U.S. So it depends on the product, and registration status. There's no general answer.

Viraj K.: Last question, if I can squeeze. See, in U.S., because again of this tariff and trade war, what do you see for certain large product segments like, say, soybean or maybe corn, there is an increasing pressure on commercial farmers in those regions, right? Are you seeing incrementally any softening in the demand from those pockets or regions?

Gyanendra Shukla: I think given that channel inventory is normalized, I do not see pressure in the demand, I only see pressure on prices.

Moderator: Ladies and gentlemen, we take that as a last question and conclude the question-and-answer session. On behalf of Rallis India Limited, t

hat concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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CIN: L36992MH1948PLC014083

January 28, 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code : 500355 National Stock Exchange of India Limited
Exchange Plaza
Bandra -Kurla Complex , Bandra (E)
Mumbai – 400 051
Symbol : RALLIS

Dear Sir /Madam ,

Sub: Transcript of Analysts/Investors Call pertaining to the Financial Results for the third quarter and nine months ended December 31, 2025

Further to our letter dated January 10, 2026 , we enclose herewith a copy of the transcript of the Analyst/Investors Call on the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2025 held on Wednesday, January 21, 2026 .

The same is also being made available on the Company's website at:
<https://www.rallis.com/investors/Financial-Performance>

You are requested to take the same on record .

Thanking you,

Yours faithfully,
For Rallis India Limited

Sariga P Gokul
Company Secretary & Compliance officer

Encl: As above
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"Rallis India Limited
Q3 & 9 months FY '26 Earnings Conference Call
January 21, 2026

MANAGEMENT : DR. GYANENDRA SHUKLA – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – RALLIS INDIA
LIMITED
MR. BHASKAR SWAMINATHAN – CHIEF FINANCIAL
OFFICER – RALLIS INDIA LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the Rallis India Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. We have with us today Dr. Gyanendra Shukla , Managing Director and CEO; and Bhaskar Swaminathan , Chief Financial Officer. Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in the results presentation. Please note that this conference is being recorded.

I now invite Dr. Shukla to begin with the proceedings of the call. Thank you, and over to you, sir.

Dr. Gyanendra Shukla: Thanks, good morning, everyone and thank you for joining us today on Rallis India Limited Q3 & 9M FY'26 Earnings Call. As mentioned, I have alongside myself our CFO, Mr Bhaskar Swaminathan.

Let me begin the discussion by initially delving into the industry landscape, post which I will discuss Rallis Specific Developments.

Talking about domestic market —Agrochemical demand remains weak due to stressed demand drivers (weather issues, low crop prices), leading to industry-wide volume decline.

Farmer interest in purchasing high value products dropped due to lower crop and horticulture prices. South & West India saw sharp demand declines, while East & North remained stable. According to official data, all kharif crops barring paddy ruled 9 -30% below the respective Minimum Support Prices during harvesting period Oct -Dec '25.

Rabi acreage is higher YoY and channel stocks are slightly elevated. Official dashboards confirm Rabi acreage up by ~3% YoY in wheat, oilseeds & Pulses as of Jan'26 1st week data which is supportive for Q4 sell-out and early Kharif placement.

The sector is on track for 3 -4% growth in FY26 to ~USD 9.6 –10.0 bn. Seeds category remains a structural 5 –10% CAGR story.

Volumes will benefit from stronger acreage and moisture, but margins are expected to remain stable -to-soft. The market should favour low-cost producers with export breadth and tight working-capital discipline.

Pricing power stays limited as global competition intensifies with China continues the primary supplier, capping realizations.

Rapid resets in key technicals (glyphosate/glufosinate/paraquat) can reprice on-hand inventory and can compress margins.

Export volumes are improving as inventories normalize, but realizations remain capped. Weaker currency would cushion margins but not offset broad price pressure.

On the weather side, ENSO (El-Nino Southern Oscillation) is expected to run neutral through winter, reducing tail-risks from extreme anomalies. IMD guidance points to neutral ENSO (El-Nino Southern Oscillation) through DJF 2026; negative IOD is weakening —less chance of disruptive extremes.

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The Draft Pesticides Management Bill, 2025 referring quality controls, lab accreditation, digital traceability & stiffer penalties is a structural positive for organized players. Proposed Seeds Bill measures which include registration/QR tagging keep compliance in focus and raise barriers to entry over the medium term.

The global agrochemical market particularly crop protection market, valued at approximately \$75 billion in 2025, is projected to grow at a CAGR of ~5.5%. Herbicide globally is the major category followed by insecticide and fungicides.

Upside potential hinges on expanded acreage in the Americas and regulatory clarity for new genomic techniques (NGTs) in the E

U, while trade policies and Chinese pricing represent key uncertainties.

Export recovery is gradual as global inventories normalize. U.S. 2,4-dichlorophenoxyacetic acid Anti-Dumping/Countervailing Duties has reset landed costs and reshaped herbicide trade flows. Global reliance on China persists as it supplies ~99% of glyphosate production outside the US, ~85% of US glufosinate imports, and ~100% of US atrazine as per 2024-25 data —exposing costs to tariff and policy shifts.

Chinese producers are pivoting toward branded formulations & overseas registrations, increasing competition in value-added generics. This is something to watch out for Indian players.

Leading seed companies prioritize disease-resistant, drought-tolerant, and pest-resistant varieties through advanced biotechnology and gene-editing innovations.

Indian agrochemical exports to key markets like the US and Brazil are growing 5 -6%, supported by destocking normalization. USDA WASDE data for Dec 2025 showed an uptick in the stock -

to-use ratio for Indian rice, but little change otherwise.

Moving on to Rallis Specific Developments – We had an encouraging Q3FY26 performance despite unseasonal October rains and higher -than-normal reported crop damage.

Our Q3FY26 revenue stood at ■ 623 cr versus ■ 522 cr of Q3FY25. Overall EBITDA for Q3FY26 stood at ■ 58 cr, higher by 29% compared to Q3 of the previous year. Profit after tax stood at ■ 2 cr versus ■ 11 cr of Q3FY25, which is 81% lower than the previous year, same quarter. Exceptional items include gratuity provision of ■ 40 cr on account of wage code implementation.

Across the technical's portfolio, we are continuously broadening our customer base and securing additional registrations with global players to drive share gains.

In Metribuzin, we achieved higher volumes in Q3FY26 surpassing Q3FY25 volumes.

Pendimethalin shows promising track with long -term demand remaining steady. Q3FY26 volumes have surpassed Q3FY25 volumes.

Hexaconazole & Acephate volumes had constraints in Q3FY26 in comparison to Q3FY25 volumes.

Capacity utilization has also improved.

New Launches & Initiatives

We launched one new Herbicide 'Fateh Nxt' during the quarter. In 9M we have launched 9 new products - 7 Herbicides & 2 Fungicides.

We launched NuCode under Soil and Plant Health category - A biologicals platform covering bio-fertilizers, bio -stimulants, bio -pesticides.

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Partnership announced with Paryan Alliance for FullPage® herbicide -tolerant rice technology in India.

We have recently unveiled Idea2impact which is an open -innovation platform to co -create, validate, and scale farmer -centric solutions. It invites startups, researchers, and partners to collaborate with Rallis.

We have launched Sampark Plus app for unified field operations. This will act as a demand creation platform for both seeds & Crop care businesses.

We have been granted Indian patent for Metsulfuron Methyl+ Clodinafop -Propargyl +Metribuzin, a three -way herbicide combination for wheat. We have also been granted US patent for Mesotrione process.

The near -term outlook remains positive, underpinned by healthy reservoir levels, increased acreages, and stronger engagement with domestic & export customers. We are focused on long -term value drivers such as deepening customer -centricity, sharpening portfolio choices, accelerating product launches, expanding strategic alliances and farmer reach, and embedding digitalization across operations.

That concludes with my opening remark. I will now hand it over to Bhaskar, our CFO for a detailed analysis of the financial situation.

Over to you, Bhaskar.

Bhaskar Swaminathan: Thank you, Dr. Gyanendra. Good morning, everyone, and thank you for joining us today for our Q3 & 9M FY'26 Earnings Call.

I will walk you through our Financial Performance for t

he Quarter, post which we shall commence the Q&A session.

Starting with the top line for the quarter – our Q3FY26 revenue stood at ■ 623 cr as against ■ 522 cr for the same period last year resulting in overall growth of ~19%. Overall volume growth has been ~28% with pricing de -growth by ~8%.

Overall EBITDA for Q3FY26 stood at ■ 58 cr, higher by 29% compared to Q3 of the previous year. Profit after tax at ■ 2 cr versus ■ 11 cr of Q3FY25, which is 81% lower than the previous year, same quarter. Exceptional items include gratuity provision of ■ 40 cr on account of wage code implementation.

Crop Care Segment grew by 18% to ■ 580 cr in Q3FY26 from ■ 492 cr in Q3FY25 due to volume expansion, new product promotion, & increased digital engagement.

Moving to Seeds Business – Seeds Revenue grew by 46% to ■ 43 Cr in Q3FY26 from ■ 30 Cr in Q3FY25 due to volume growth driven by paddy, mustard and wheat. In the current quarter, we have achieved healthy product placements in paddy.

Soil & Plant Health category grew by 16% to ■ 73 cr from ■ 62 cr in Q3FY26 in comparison to Q3FY25, registering both price and volume growth. We progressed in compliance in majority of the states post successful migration of bio -stimulant production inhouse.

Exports (B2B) topline grew by 73% to ₹ 129 cr from ₹ 75 cr and have shown promising growth due to volume growth, expansion in customer base and driving capacity utilization of our plants. CSM Q3FY26 revenue also displayed positive run rate lodging 26% growth to ₹ 46 cr from ₹ 37 cr.

Moving into Domestic (B2C) – 13% growth in Q3FY26 registering ₹ 391 cr revenue vis-a-vis ₹ 347 cr in Q3FY25, which was driven by volume growth of 25%. Volume was driven by strong performance in Fungicides primarily supported by potato and cumin crops. The negative price impact is due to liquidation of near expiry materials.

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For the nine-month period, topline revenue stood at ₹ 2441 cr reflecting growth of 9% year-on-year. Crop Care revenue stood at ₹ 1,991 crore, reflecting 8% growth year-on-year, driven by volume expansion despite price softness. Seeds revenue increased to ₹ 450 crore, delivering 15% growth year-on-year, supported by cotton and maize along with improved contribution from licensed products.

The B2C business recorded growth of 3% delivering ₹ 1401 cr of revenue.

The B2B business recorded growth of 22% delivering ₹ 590 cr of revenue supported by volume growth and expansion of the customer base.

In Crop care segment, expanding our customer base and product portfolio is strengthening business resilience. We are driving focused execution across the front line and operations — optimizing the portfolio, rationalizing territories, eliminating overlaps, and simplifying costs across the value chain. We remain disciplined on capital efficiency across both fixed and working capital.

In seeds segment, our primary focus will center on five strategic crops — Cotton, Maize, Millet, Mustard, and Rice — where selective concentration will drive operational scale and efficiency. We aim to methodically expand our presence across these crops while prioritizing profitability at every stage.

Our digital-led initiatives are accelerating targeted reach and penetration, with momentum remaining strong. In parallel, we are rationalizing the portfolio and sharpening our focus on priority markets.

At quarter end our inventory levels remain slightly elevated in comparison to the same quarter of last year and collections remain smooth. We have healthy cash and liquid balance of Rs. 455 cr as of 31st December.

In summary, we are implementing various initiatives, and we are committed towards achieving consistent, competitive, and profitable growth.

That concludes our opening remarks. We can now commence the Q&A session.

Moderator: Thank you very much. The first question is from the

line of Viraj from SIMPL. Please go ahead.

Viraj: Just a couple of questions. First is, if you can give the volume price trend for the quarter in domestic, B2C and international business? And a related question is, we've seen a healthy placement in Q3 in the domestic business for us. So any color you can give in terms of the liquidation and the industry? It was going into Q2 -- I mean going into Q3 industry reported a lot of inventory in the system. So any color you can give on that?

Gyanendra Shukla: So Bhaskar can give a specific number, but I can tell you -- so for example, there is a significant growth in our seed business compared to the same quarter last year. I think it is all because of the crops we were -- this is in spite of there was a weak mustard season. So I think we're in good shape. Our export business also has gone up significantly where there's no risk, right? Our topline has grown and export actually has grown by almost 73%.

In seeds there was a growth of 46%. Soil and plant health 16%. So all those are good. The only challenge remains sometimes in domestic crop protection. That has grown by 13%. And I think it's a combination of our promotional activities, digital engagement and some of the activities we have been taking it combines with new launches.

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So I think we feel confident about what we have placed in the market. We are very careful in the way we track our basically placement and remainder of the inventory. Two things, a season is still on, a lot of displays will happen in January, February and March. So we need to have an inventory in the market.

At the same time, we try to look at receivable situation because that's the best indicator of what is happening in the marketplace. At this point of time, it looks in line with what we should be

doing. Bhaskar, you want to answer the question on volume and price?

Bhaskar Swaminathan: I think the question is mainly on quality of placement as well as in terms of what is coming back. We are quite in control in terms of the returns, and that basically indicates the quality and focus with which we place in the market. In terms of the quarter, volume has basically played ~25% positive impact and price have played a negative ~12% impact.

Viraj: Is this for the domestic B2C?

Bhaskar Swaminathan: Yes.

Viraj: Okay. And on the soil and plant health segment, I think last quarter, we were expecting approvals to come maybe by end of Q4 and a normalized environment starting into 2027. So the approval which you have got is just for us or generally for organized players in the industry, everyone, so the issue by and large addressed by everyone in the space or we have managed to get an early lead?

Gyanendra Shukla: Yes. So I think see, in our agriculture business, what you miss is missed, right? Having said that, whatever regulatory changes happened, they are, by and large, good for large organized players, and that is reflected in recovery we are having. So here, we have grown both in price and volume, and we have been able to migrate our business to -- we've taken, for example, one of the biostimulant we had a challenge.

So we have moved the production inhouse. And as a result, there is a growth of 16% in quarter 3. I know towards the end of quarter 1 and quarter 2 were very challenging because of the regulatory constraints. So we have addressed most of those issues now. And I guess, I cannot really comment about competition, but I'm sure every company is taking such steps particularly large organized players, they would like to fix their house.

Viraj: Okay. Just last question, I'll come back in queue. How large is the unorganized market was in the soil and health segment or the biostimulant space?

Gyanendra Shukla: So see, I think it's a category which has 6, 7 subcategories. I would say, very difficult to put a number, but there

are hundreds of players operating. Let's put it that way, right? The regional players, the national players, I certainly see that number shrinking and more authentic players coming up in the marketplace. It's very difficult to give you a number, but it's too many.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

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Arjun Khanna: Sir, the first question is regarding the Chinese VAT rebate, which will be discontinued. Now some of the products we export including, say, an acephate or ethion, etcetera. So how do you look at it in terms of the impact? I know formulations are not part of this. But in terms of technical exports, how do we see this play out for us going forward?

Gyanendra Shukla: Yes. So we don't do ethion. We only do acephate, we do metribuzin, we do hexaconazole, we do metalaxyl, those kind of products. I think this rebate thing is a new, which is applicable from April. So we have to understand. I certainly believe when they remove the incentive by the month of April, how much they would have already supplied and have they supplied enough to cater to the market.

So I think we have to wait for how it will evolve. I think generally, it's a positive movement to say, it probably reflects the challenges Chinese companies face in terms of overcapacity and also maybe this is an attempt by Chinese government to really encourage consolidation of players there because China has also a lot of players, those who are into technical fields and many of them are actually migrating to, what we call, registering their own product and participating in direct formulation market.

So I think you'll have to wait for some more information to filter in as I know it is applicable only from April. But it will certainly lead -- I mean if there's not too much a production happening for a particular AI, it should lead to some price increase and some consolidation in players.

Arjun Khanna: So we have seen a very strong third quarter, albeit the base wasn't extremely high, but yet the numbers are very robust. So given that in the fourth quarter, do you anticipate dumping where it may have an impact on a quarter or that is not something that we are seeing, say, in dispatches for Jan and Feb?

Gyanendra Shukla: No. So I think we have planned for a normal quarter. We don't advance sale or we don't unnecessarily delay the sale. I think we go by the seasonal demand. I think fourth quarter is an important from, (a) there is a crop on the ground. (b) for us, cotton season begins, again, there's some element of when the government announced cotton seed price because cotton gets planted early in northern part of India, we have to start placing.

There's also some bajra seed business, which happens in quarter 3. So we have factored everything which is -- and this maize business as well. So I think we have planned for the normal quarter. Hopefully, we'll be able to sustain some momentum we have created.

Arjun Khanna: Sure. Sir, just the final question, in terms of our growth going forward. So how do we envisage the deployment of the cash on balance sheet because that continues to grow?

Gyanendra Shukla: So cash on the balance sheet, obviously, one thing is, obviously, we need cash to meet our working capital requirement as we grow business. As we said, look, while we do not give a guidance, aspirationally, we want to grow in double digit, and we also want to expand our margin.

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So cash is helpful from that perspective because it also allows us to sometimes negotiate better prices, right, depending on the situation credit versus cash, kind of situation. Obviously, one area which I've been talking, we keep seeking opportunities where if we come across a good opportunity to grow inorganically, any of the verticals w

e operate, 3 particular verticals, we want to use that cash for those purposes as well.

Moderator: The next question is from the line of Jagveer Singh from Shade Capital.

Jagveer Singh: Sir, in the presentation, you have mentioned some inventory liquidation in the fourth quarter. So what is the impact of this on our company Rallis India?

Gyanendra Shukla: So look, you have to always place product in the market because it has to go from factory to CNF, CNF to distributor to retailer and farmers also end up buying a few days in advance at least before they want the space, the product has to be in the market. I think the numbers reflect what has been actually consumed and what might be lying in the market. The way we track these things is -- so we are hoping all of this will get liquidated. We will also be able to invite some fresh inventory, which is an ongoing business.

Agriculture never goes completely silent in any part of the country. For example, Eastern region might start little early, particularly Assam, Bengal and all, tea plantations and all. The season of Apple start early in Kashmir and all. So I think it's a continuing business. All we are watching when we declare a quarter number, we have to ensure that we are not posting volume unnecessary in the marketplace when there's no demand.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: So just one quick clarification on the numbers first, if I may. And by the way, thank you so much to Bhaskar and team for sharing the revenue breakdown, very helpful. But just to clarify, of this INR580 crores top tier revenue that you've reported for this quarter, is it correct to conclude that basically exports are INR129 crores, as Bhaskar mentioned, CSM INR46 crores and B2C domestic INR391 crores, I think that adds up to about INR566 crores, but are those the 3 main components? And what would the remaining piece be, if any?

Gyanendra Shukla: So there's other small businesses, which we don't add here. For example, we have a household pesticide business. There's another small segment we have got. But these are the numbers he has given breakup for the majority in general.

Abhijit Akella: Okay. So these are the only 3 components. And soil and plant health is over and above this, right? That is not part of crop care business?

Gyanendra Shukla: Yes. Soil and plant health, we clubbed with the crop care. So I think when we say crop care, it has a crop protection, domestic exports, CSM as well as soil and plant health. Soil and Plant health is about INR73 crores.

Abhijit Akella: Just on the seeds business, we've seen a further reduction in losses there, as well as fairly healthy revenue growth this quarter. I know in the past, you've talked about getting the seed business margins to significantly higher levels on a full year basis, closer to 25% or so. So what exactly

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are the interventions we are making? And how confident do we feel that we are on track, by when could we sort of aspire to get close to that target?

Gyanendra Shukla: So I think seed business could be very chunky in growth depending on the new product launches. We had some momentum because of the North cotton hybrid, and now we have launched some products in maize and rice and bajra, we are seeing some momentum. I think the margin expansion primarily will happen because of operating leverages. We are well staffed team, our R&D cost is controlled.

So our cost of doing business basically will go based on the inflation. So if we can deliver any growth higher than the cost of inflation. I think we'll be able to and when you have a new product, you're able to price it differently if it's a good product, you're able to sell more faster. So combination of new launches, expansion of the products we have got and benefiting from operating

leverage, these are the 3 levers, I think, will help us drive margin.

Abhijit Akella: Right, sir. Any sort of aspirational time line towards getting to that closer to mid -20s kind of margin level?

Gyanendra Shukla: So I mean, obviously, I mean we always shy away from giving a guidance, but last year, I said, look, aspirationally in 5 years, I want to take my seed business closer to INR1,000 crores. Soil and plant health business, I want to grow by 4x from where it was, INR225 crores to INR700 crores, INR800 crores. These 2 are relatively high -margin businesses.

And then obviously, CSM also is a high -margin business, though it is small and in B2C, domestic as well as B2B export, we have to be competitive with Chinese players. We do get some brand premium in the domestic business. So I mean as I've been saying aspirationally, I want to grow company in double digit from a revenue perspective and expand the margin on an overall blended basis to 500 basis points in 5 years.

So I'm on track, I believe, this year we had some setbacks in kharif, right, because of the excessive rain which happened in the month of August and September, that as a result, some sprays were missed. There was a lot of setback for the companies operating in soybean and cotton in herbicide segment. So all of those things will keep happening the way I have internalized it. Look, we have technically 4 segments, B2B, B2C within the crop protection, then I have a seed business and soil and plant health.

There's a small fifth segment, I would say CSM, they will not all fire -- unlikely to fire all of them at the same time. All we have to ensure is that no, we are doing the right things in each of those businesses so that we are ready whenever opportunity presents. So focus on R&D from a manufacturing standpoint of view, customer standpoint of view to keep launching new products. Looking at partnerships to win contracts in CSM space, looking at new registrations and export. I think those are the things. For example, we launched this platform Idea2Impact, I think this would help us accelerate innovation because we believe with our brand equity, we are able to grow. We have that level of trust within the society where there are a lot of people, those who do innovation, they are not able to scale it up or take it from an idea to a product label because of the resource constraint.

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I think some of those ideas are also using to really start bringing new products, new ideas. We are spending on digital connect. We talked about Sampark plus app, which has gone live on Friday that will make sure the efforts related to very focused targeted work at the demand generation and connecting those villages, we operate all the way up to retailers and distributors. I think those are all the right efforts.

And I guess, combination of all of that, I think very difficult to predict segment by segment revenue. But all of them actually help in all the other areas, every area. And rest all, we have to leave it to the season and crop prices, we don't control, rain fall, we don't control. So we will do what is right to stay focused on our business.

We don't know what is in our control, right? And then we leave it to the factors and be vigilant in the marketplace so that we are managing our receivables well, we are managing our inventory well without compromising on the growth opportunity. And obviously, I talked about the leadership, now bringing new leaders, new ideas.

Abhijit Akella: Yes. That's really helpful color. And just one last thing, if I may squeeze in. If you could please just share your outlook for the international business, sir, just in the context of all these tariffs and all of the uncertainty plus new crop prices and everything. How is the demand environment looking for the upcoming calendar year and maybe on the margin front as well,

pricing/margins?

Gyanendra Shukla: So overall, I would say, we have done well in spite of the challenges in fiscal year '27. We are still assessing the situation because of the new announcement from China and the new geopolitical context. We don't know how things will evolve. At the same time, there has been softening of crop prices, particularly corn and soybean in Latin America. I think we will continue to watch the situation.

I don't want to give a, what we call, guidance on the international business. I know we have been able to recover from the setback we had in '24, '25. And I think our focus is to continue to seek registration, continue to seek partners, continue to add new customers. In fact, we have added more number of people on ground in international business so that we get more closer to what is happening in those countries and geographies.

So that's how we are managing. Difficult to tell how tariff situation will evolve. I think there's a bit of uncertainty around that. But I think last year, it excluded technical. So it did not hurt us much.

How things will change? Difficult to predict. It's very, very uncertain environment right now.

And China, I mean there was a news I was reading a couple of days ago. Year -on-year basis, China has produced more technical, right, which means either there's a demand, which is

growing fast or there's a buildup of inventory restarting. At this point of time, I see in the market inventory at the normalized level. And this volume pressure when it comes from China, obviously, it keeps pressure on the prices.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

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Siddharth Gadekar: So first, on the seed business, can you give some indication in terms of how have we planned the inventories for the BigHaat for the next year?

Gyanendra Shukla: So we have enough -- we have planned for enough inventory, not only for BigHaat for all the crops. This year, if you can see in spite of the challenges that we had on our supply side, we have been able to grow our revenue by 5%, 15% on a year-on-year basis. And last year, we did have challenges where seed production crop was not planted on time and all the crop came at the same time, as a result, there was delays in supplies and rains came early.

So it became very chaotic to manage the business in the month of April, May and June. I think we have taken all the precautions, all the things are in place to ensure that we have sufficient inventory to grow the business. I think we have momentum and we have to capitalize on it.

Siddharth Gadekar: And secondly, on the technical business -- hello?

Gyanendra Shukla: Yes.

Siddharth Gadekar: So on the technical business, can you just give some qualitative comments on the gross margins that we currently are operating at? And how do we see this panning out over the next 2, 3 years in terms of internally, what are we doing to improve our efficiencies?

Gyanendra Shukla: So I think, obviously, we keep looking at how can we become -- a, I mean, raw material cost, we have to keep looking at. The other area is basically ability to find customers where we can get more realization. But when I look at basically export business, I think there has been a significant expansion in our margin, which has exceeded, which has gone beyond 20%. It's a very, very competitive place. But when I add the CSM business, I think it is falling in the range of our blended margin of about 30%.

Seed obviously, is a high-margin business for us, as we have been saying. And so it's really, I would say, challenges really on the margin front are primarily on export where we sell what you call catalog product. The other thing we have started doing is a local domestic institutional business which, we don't talk. So whatever AIs we produce, we also have opportunity to sell domestic ally.

I think that's most competitive. That's where we make lowest margin, but it ensures that our plants are running and we improve our capacity utilization. We don't sell on losses. We make probably mid-teens margin. But on an overall basis, if you say B2B business, when you look at the blended margin, it is in excess of 20%.

Moderator: The next question is from the line of Saurabh Jain from HSBC Mutual Fund.

Saurabh Jain: So we appreciate your comments around the strategy to expand the margins by about 500 bps in the next 5 years. But when I compare 9-month basis performance, it seems that the gross margins have actually compressed by about 1%, maybe because of rising share of your B2B business.

My question is how would you see these margins expanding in the near term over the next 1 year or so? And what to drive that margin expansion?

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Gyanendra Shukla: Yes. So I think there are a couple of one-off items we had probably not have impacted. So for example, we were planning to launch an insecticide last year, and I keep talking about one product did not go as per the plan. Because when final product came out of the factory, there were some quality issues.

So as a result, we had to take a provision. So a lot of it is actually related to provisions we create for the inventory when it doesn't go as expected, right? Some of it actually -- I would say, majority are related to that. So when you look at on a, what you call, if you take one-off items, I would say we would have marginally improved.

Saurabh Jain: Is it possible to quantify this impact?

Gyanendra Shukla: Yes. So this impact, if you see in excess of INR10 crores, roughly. Yes.

Saurabh Jain: Okay. INR10 crores. So how would your expectation be for the next year? How much of gross margin expansion do you think can come to Rallis on a blended basis? Any insights on that would be useful.

Gyanendra Shukla: One is the gross margin. Other thing is really EBITDA. So when I talk about 500 basis points, we are talking about EBITDA margin improvement, right, and EBITDA margin improvement to me is more important because that's what ultimately translate to PAT and shareholder value

creation.

Because of diverse nature of business and competitiveness of the industry. I am not interested in losing on the market share because that's when business starts getting challenging. So, we can stay in the gross contribution range and marginally improve. But because of the operating leverage, we'll be able to sell more per person or per employee and as a result, we expand our EBITDA margin. So fixed cost actually does not grow as fast as your other business contribution comes.

Saurabh Jain: So most of these 500 bps would actually result from operating leverage?

Gyanendra Shukla: Operating leverage.

Saurabh Jain: What could be the blended utilization of our plants? Any insights on that side?

Gyanendra Shukla: So this year, all across plants, utilization has improved. And we are looking at various other initiatives around, which I can't say at this point of time. I think this year, say, it has been a significant improvement over last year.

Saurabh Jain: Okay. The other question I had, you mentioned that you have been able to bring a bioproduct in-house that saves you from the regulatory challenges. But can you make a comment on what is the exact status on the regulatory side on the biofertilizers, how the situation has improved over the last 3 months? And do any significant challenges still remain with the industry on this side?

Gyanendra Shukla: See, in countries like India, there will always be some regulatory challenges because the way our system operates. But I think, by and large, I would say, we are out of that situation, for us

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things are sorted. The other thing which I did m

ention is that, look, our seed team operates

independent of Crop Care team. We have also launched a new brand for soil and plant health.

And within that brand of NuCode, we have started launching products in different categories of soil and plant health, and we are seeing a good traction.

So soil and plant health will have two sales and marketing engine driving the product in the marketplace because there's a significant opportunity to sell to more farmers because there is some uniqueness of distribution and customers are different. Other thing is that it's also better utilization of seed fixed cost because seed team carrying a new brand of soil and plant health. So it gives us volume as well as double leverage. I mean seed team is able to sell something beyond seed. It also gives them connected to the farmer because when you have to sell these products, you have to visit and meet more frequently, farmers and retail network.

So in a way, I think that solves some of the problems related to soil and plant health. I think smaller players will eventually get weeded out over a period of time. We have instead of one channel to carry, we have two distinct channels to carry the product, and we keep adding products. So at back end actually it's a common back end but front becomes you have two opportunities.

Saurabh Jain: Okay. So is the registration process and other things are good now? Is it working on speed for registering all of these buy sites?

Gyanendra Shukla: So you can't say speed. But yes, it is sorted for us.

Saurabh Jain: Okay. Understood. One last question, if I may. Can you please tell us what would be your dependence for technical procurement from China on a blended basis?

Gyanendra Shukla: So on a blended basis, still it is more than 40%. And I mean the challenge is not that all of that can be replaced. Not only it is there, it will continue to be there. Because some of the products probably given the complexity and the stage of product, at what life cycle they are, I have not one who says that, we'll be completely moving away from China. I think we have to have more partners in China to ensure that we continue to have access to a product for some of the things we do.

Saurabh Jain: So when the China government says they're going to remove the export rebates, how much of that exposure would be for you when you think about the procurement from China?

Gyanendra Shukla: So this is applicable post April. So let's wait for more details to emerge at this point of time, I think it's not negative for us. I mean it's common for everybody. It will not apply only to us.

Moderator: The next question is from the line of Ramesh Shankar anarayan an, an Individual Investor.

Ramesh S.: Congratulations on the performance given the challenging environment. So if you look at your third quarter B2C growth of 13%. How would it compare with the overall industry growth in the same segment or category?

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Gyanendra Shukla: So it's very difficult to comment about the industry because I mean not many people have reported numbers. So I don't want to speculate, but I think generally, rabi has been better compared to previous rabi. So depending on the portfolio, depending on the crop segment, people operated. For example, I can tell you, so we have done very well in crops like potato and cumin with fungicides and all.

But somebody who had a weed herbicide, a strong portfolio weed herbicide companies would have done well. So again, it's across -- if somebody was depending on the grape, I think grape has been a challenging crop, cumin area dropped as a result, it has been challenging. So a very crop-specific and portfolio focused. There's no one comment I can make about what is happening in the industry. Different players would have got positively or negatively impacted depending on the crop they participated.

Rame

sh S.: Okay. So as you look at your aspiration numbers for seed and soil and health, what would be the growth capex you have to invest to achieve these numbers, excluding working capital. And in terms of your future focus on ROCE, would you see these 2 businesses driving your improvement in ROCE given the investment you need to do and the kind of growth you can expect in these 2 businesses?

Gyanendra Shukla: So I think coming back to your question on capex, I think I have said it and I want to reiterate that, look, unless I have a very firm contract to make something for somebody. We are not going to put any significant capex ahead of what you call, market demand. I think we have enough seeds on the ground. We have enough plants and equipments on the ground to continue to grow. Having said that, there will always be a sustainable capex, which will continue to be required and that's all we have planned at this point of time.

Ramesh S.: So on the CSM business, you said the margin is around 13%. So if you look at your, again, aspirational targets in CSM, do you see some traction in terms of getting higher value contracts which will improve the margins and return on capital for the CSM business? And what would be the aspirational revenue target in the next 3 to 5 years given the kind of opportunity that Indian companies see in CSM overall?

Gyanendra Shukla: So look, when it comes to CSM, there are quite a few established players. And I guess they have built their reputation of being a CSM player. So it's not easy to take away business from them. What we have to see is that what is new coming in terms of patented products or unique opportunities.

And that's where we are always in touch with and we are, I would say, rather more active in keeping in touch with those players. And we do have some small opportunities in hand at this point of time, and they are at different stages of execution. I think some of those opportunities we'll start seeing is contributing in a small manner from '27 onward.

But there's no large, big molecule opportunities available even in the market. So -- but that business, I think, for example, with our existing partner, there's a new molecule coming. We probably will end up making for them. There are no INR500 crores of opportunities, I would say, at this point of time, which are available in the market.

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Moderator: Ladies and gentlemen, we take that as a last question and conclude the question-and-answer session. On behalf of Rallis India Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Gyanendra Shukla: Thank you. Thanks, everybody.

Call: May 2026

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